بنك الاتحاد
Bank al Etihad

Annual Report 2023

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Our profile

Who we are and why we're here

We're Bank al Etihad, a financial institution proud to be Jordanian. Built on family values, we see every customer as one of our own and make it our business to help wherever we can. For us, empowerment is everything. That's why we work with individuals, entrepreneurs, local and global businesses, and the next generation of female leaders, so they can succeed the way they want to. It will always be our goal to help people shape their future.

Our values

- Endlessly entrepreneurial
- Always learning
- Championing creativity
- Community spirited

Our purpose:

To empower and engage

We exist to help our customers grow and achieve their ambitions by allowing them to bank on their terms, anywhere and anytime. Whether saving for a holiday, buying a house, or starting a new business, we're committed to supporting their success.

Our promise:

Shape your future

We empower our customers to shape their futures. By championing innovation, entrepreneurialism, and new technology, we develop progressive services that help people achieve their needs and ambitions. Life is full of challenges, but money management shouldn't be one of them. We always put our customers first and are committed to helping them build a bright future.

Our History

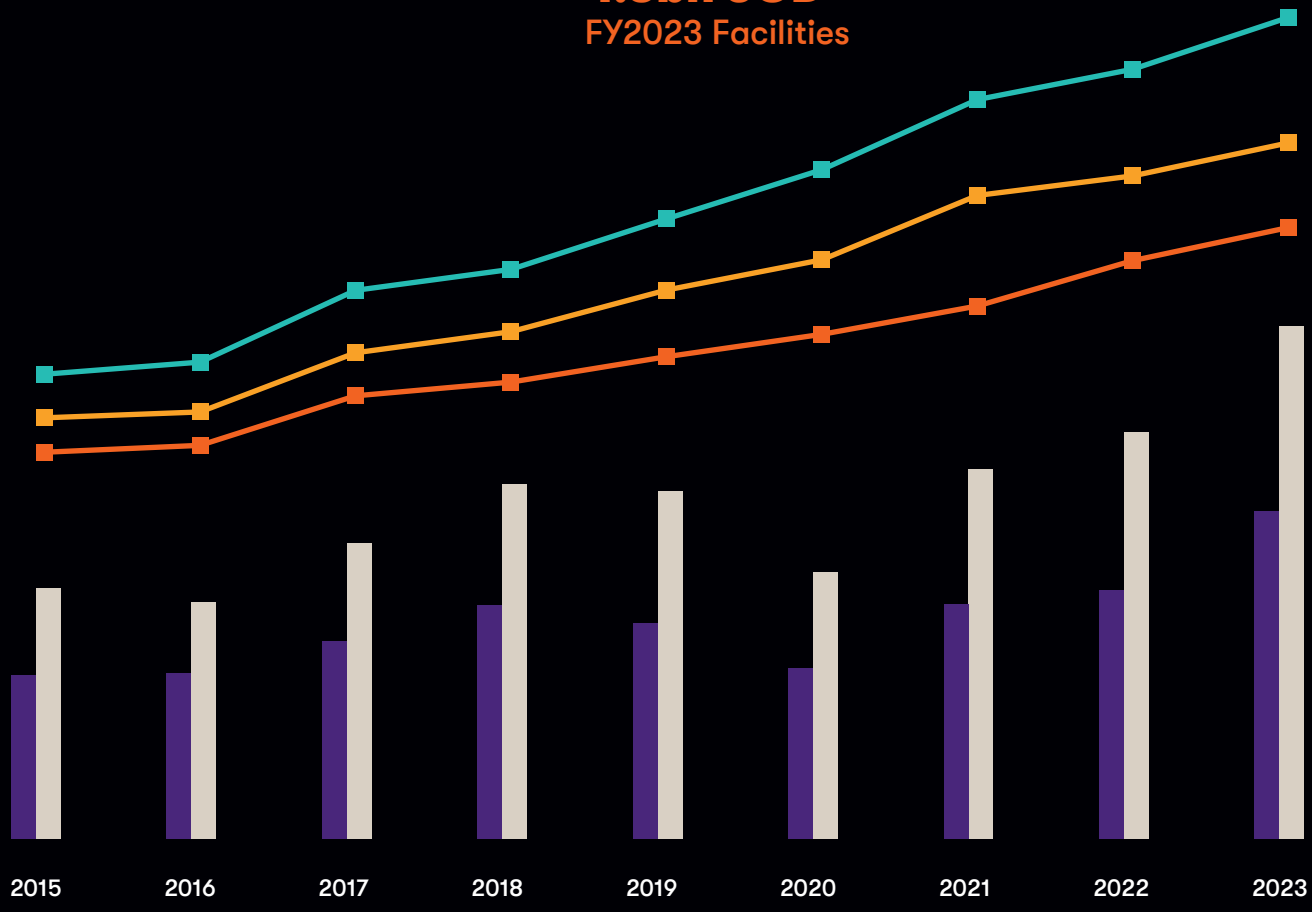
7.4bn JOD
FY2023 Total Assets

57.7M JOD
FY2023 Net income

5.7bn JOD
FY2023 Customer Deposits

90.4M JOD
FY2023 Profit (before tax)

4.5bn JOD
FY2023 Facilities



2015

We launched Etihad Leasing Company.

2017

We acquired 62.4% of Safwa Islamic Bank, making it our arm in the Islamic banking sector.

2019

We launched a developed version of our banking services application and evolved our vision to become the leading digital bank in Jordan.

We established Etihad Financial Technology Company.

2020

We received two awards: “Best Digital Bank” in Jordan and “Most Innovative Digital Bank” in Jordan and the Middle East.

2023

We obtained approval from the Central Bank of Iraq to grant us a license to operate in Iraq.

2023 at a glance

7.4 Bn
Total assets
(FY2022: 6.6bn JOD)

5.7 Bn
Customer deposits
(FY2022: 5.1bn JOD)

4.5 Bn
Facilities
(FY2022: 3.9bn JOD)

"BB-"
Fitch Rating
(with a stable outlook)

"B+"
Capital Intelligence
(with a positive outlook)

Best Bank for Digital Solutions in Jordan

As well as Best Bank in Corporate Social Responsibility, Best Mobile Banking App in Jordan and Best Customer-Centric Bank in Jordan.



58%
of our new customers joined us digitally

64%
of our business clients are currently registered on our Etihad for Business Platform
(FY2022: 64%)

54.8%
Net Promoter Score

33%
Increase in our eNPS

Board of Directors



Isam Halim Jaris Salfiti
Chairman



Basem Isam Halim Salfiti
Vice Chairman

Social Security Corporation
Represented by Shaden Ziad Nabeh Darwish Al-Hajji

Libyan Foreign Investment Company
Represented by Mr. Mousa Al-Hassan Atiq Ali in (Seat One) and Mr. Ali Mahmoud Hassan Mohammad in (Seat Two)

Imad Mohammad Ali Abdul Khaleq
Member

Nadia Ahmad Abdulmuhsen Al-Anani
Member

Mugith Ghiath Munur Sukhtian
Member

Lana Yousef Ibrahim Ghanem
Member

Jabra “Raja Yaqub” Jabra Ghandour
Member



Nadia Hilmi Hafez Al-Saeed
CEO



“Mohammad Ghasib” Abdullah Abdul Majeed Hatamleh
Chief Corporate Officer



Deema Mufleh Mohammad Aqel*
Deputy CEO for Special Projects



Mohammad Mahmoud Ahmad Burjak
Chief Operations Officer



Tarek “Mohammad Saeed” Hassan Badawi
Chief Credit and Credit Administration Officer



Daniel Fawaz Odeh Al-Sharaiha
Chief Human Resources and Customer Experience Officer



Zeid Eyad Akram Kamal
Chief Financial Officer



Mahmoud Tayseer Ahmad Badwan
Chief Retail Banking and SME Officer



Bashar Mohammad Khair Odeh Ababneh
Chief Audit Officer



Amer Mohammad Khair Zaki Abu Laila**
Chief Technology Officer



Fadi Ahmad Kamel Marei
Chief Treasury, FI and Investment Officer



Natalie Mazen Yousef Alnaber
Chief Marketing Officer



Khaled Abdulmalek Mohammad Abdulmalek
Chief Risk Officer



Tamer Wasif Mohammad Musa Barakat
Chief of Compliance

* Resigned on 31/12/2023 but continues in other roles within the bank

** Resigned on 01/01/2024 but continues in other roles within the bank

Distinguished shareholders,



Forty years ago, I embarked on an incredible journey with Bank al Etihad, building an institution that has grown from an exchange office into a foundational pillar of finance in our kingdom. From small beginnings with three branches and 20 employees, we've grown significantly. Today, we operate 60 branches, 1,300 employees, and 3 subsidiaries, including an Islamic bank, and we are about to open our first regional branch in Iraq.

I'm extremely proud of our team's dedication, hard work, and belief in leading through serving others—serving our colleagues, our customers, and the community around us. Our beginnings were humble but filled with ambition to offer our customers the best possible banking experience. Today, we are among the largest banks in the kingdom, having significantly expanded our customer base and achieved sustainable growth on all fronts. Our roots run deep and embody the promise of our future leadership, which I trust will continue to guide Union Bank to exceptional new heights.

The past year was filled with challenges and achievements, in which we recorded profits of 90.3 million JOD before taxes. Our detailed annual report for 2023 showcases the bank's journey in more detail.

I would also like to extend a special word of gratitude to our CEO and the extraordinary executive team. Their commitment and leadership have been instrumental in navigating the challenges of the past year while setting new benchmarks in excellence. It is their drive, and dedication that have enabled us to achieve the milestones outlined in this report. Their ability to inspire and lead our talented team has truly made the difference in taking Bank al Etihad to new heights.

This past year has been challenging yet rewarding, with us achieving profits of 90.3 million JOD before tax. Our detailed report outlines our strides in banking innovation.

This past year, we successfully launched a Tier 1 Capital Bond issuance, garnering a significant subscription request totalling $176.5 million USD, representing an oversubscription of 1.765 times the issuance size — an affirmation of the market's confidence in our financial stability and growth trajectory. Additionally, our expansion into Iraq, marked by the license approval from the Central Bank of Iraq, represents a strategic milestone in our mission to broaden our footprint and serve more customers with our pioneering digital banking solutions.

A highlight of 2023 was the remarkable adoption and use of our mobile banking app, with 58% of all new accounts opened digitally—a testament to our digital-first approach. Our app's rating as the highest in Jordan underscores our commitment to providing exceptional digital experiences to our customers. This digital initiative, among others, has contributed to a 20% increase in our overall customer base and a 38% rise in customers acquired through digital channels.

Our strides in digital bill payment, innovative in-app features such as the stocks feature and Apple Pay, and comprehensive online solutions for personal loans and credit cards reflect our dedication to leveraging technology to simplify banking. Our efforts have not only enhanced customer satisfaction, as reflected in our Net Promoter Score (NPS) of 52.3% and a Customer Satisfaction (CSAT) score of 89.9%, but also solidified our position as a leader in digital banking in Jordan. These scores not only surpass global averages in the banking industry but also highlight our bank's commitment to setting a new standard for customer experience worldwide.

We have also reinforced our commitment to supporting SME and corporate clients through the Etihad for Business platform, expanding payment solutions, and fostering access to finance through strategic partnerships. The launch of the 8th edition of the Bank al Etihad SME Awards, themed "Green Future," underscores our commitment to promoting sustainable business practices.

Our Paris Alignment transition plan represents a pivotal chapter in our ongoing strategy towards sustainability and responsibility. This strategic initiative underscores our dedication to aligning our lending and investment portfolios with the goals of the Paris Agreement and Jordan's Nationally Determined Contributions (NDCs) This ambitious yet crucial undertaking involves a comprehensive analysis of our portfolio, ensuring that our financial products and services foster a low-carbon, climate-resilient economy.

To actualize this commitment, we have set forth a series of actionable steps, including the development of a green finance framework that prioritizes funding for projects with significant environmental benefits. This encompasses renewable energy projects, sustainable water and waste management, as well as green building practices. Additionally, we are enhancing our risk assessment models to incorporate climate-related risks, ensuring that our portfolio remains resilient in the face of climate change's potential impacts.

Looking ahead to 2024, our focus remains steadfast on embedded finance and continuing our digital transformation journey. We are committed to optimizing profits while continuously refreshing our value proposition to focus on customer needs. Our aim is to not only empower our customers through innovative banking solutions but also to drive sustainable growth and solidify our market leadership.

Finally, I would like to express my deep appreciation to our customers, employees, and shareholders for their steady support and trust, which fuel our ambition to continue innovating and strive for excellence.

Isam Halim Salfiti

Chairman

Our business model and strategy

Our Goal: To Become Jordan's Leading Digital Bank

We have a clear mission - to be the leading digital bank in Jordan. How do we achieve this? By focusing on what matters most to our customers and where we can have the most impact. Our strategy is all about empowering people through digitalization and making finance accessible to all. We're dedicated to providing efficient and dynamic service while staying ahead of the game with new products and services. Sustainability is at the heart of everything we do, from supporting entrepreneurs and SMEs, promoting diversity and inclusion to paving the way for sustainable finance.

We're agile and innovative

We're passionate about growth and innovation. That's why we take an agile approach, finding the perfect balance between our business and continuous innovation. We encourage our team to think outside the box and bring their ideas to life. We listen to our customers and use technology to serve them better.

We're here for our customers every day

We want to be a part of our customers' daily lives. That's why we strive to provide the best experience through our employees, digital channels, and automated banking services. We're always available, anytime and anywhere.

Efficiency and productivity are key

We're committed to keeping up with the latest developments to serve our customers better. We optimize our resources, reduce costs, and increase efficiency all without compromising the customer experience.

Sustainable growth is our priority

We grow strategically, taking calculated risks and using the latest technologies to protect our environment and comply with regulations. We aim for growth and prosperity while remaining cost-effective.

Data-driven decision making

We analyze data to design products and services that meet the needs of our customers. We're constantly improving and upgrading to meet market demands. Our aim is to provide unique services and gain our customers' trust.

Building a positive culture

We value diversity and strive to create a safe and encouraging workplace. We're always looking for new talent to join our team and help us innovate. We believe in giving our team the freedom to reach their goals and fulfill their ambitions.

Committed to sustainability

We hold ourselves to high standards of sustainability. We prioritize access to finance, support SMEs, and embed sustainability in every aspect of our business.

Board's Expectations for the Bank’s Performance

The Board of Directors has set high expectations for the bank’s performance and growth, based on the achievements of the previous year, which serve as a benchmark. The Board expects continued revenue growth and improvements in financial efficiency in 2024 in line with sustainable profitability strategies. Additionally, there is a strong focus on enhancing innovation and adapting to evolving market dynamics, ensuring not only the bank’s competitive edge but also its improvement, which will drive the bank toward further success in the financial sector.

2023
Strategic projects

In recent years, we've made significant progress towards our goal of becoming Jordan's leading digital bank. Despite the rapid evolution of the banking sector, customer-centricity remains central to our approach. Our strategy has been focused on digital excellence, driving progress in technology expansion, customer-focused initiatives, and sustainability efforts.

These endeavours reflect our adaptability and commitment to enhancing the banking experience. Over the past year, we've achieved notable milestones, demonstrating our dedication to growth, resilience, and strategic expansion. Through careful planning and focused efforts we've surpassed goals in financial structure and regional growth, showcasing our strong foundation and paving the way for exciting new opportunities in our regional expansion.

Tier 1 Capital Bond Issuance

In a significant stride towards fortifying our financial position, we successfully launched a Tier 1 Capital Bond issuance on September 12, 2023. This move was met with overwhelming support, drawing subscription requests totalling $176.5 million USD. This response, representing 176.5% of the offered value, signifies robust market confidence in our strategic direction and financial health. These perpetual bonds, classified as Additional Tier 1 Capital under the Basel III standard and aligned with the guidelines issued by the Central Bank of Jordan, enhance our capital base and provide us with the leverage to pursue further growth initiatives.

Iraq Expansion

Our strategic vision to extend our footprint in the Middle East took a concrete form with the Central Bank of Iraq granting us approval to begin our operations. This milestone paves the way for the opening of our first branch in Baghdad in 2024, marking a significant step in our regional expansion efforts. Entering the Iraq market is not only a testament to our capability to navigate complex regulatory environments but also reflects our ambition to serve a broader spectrum of customers across the region.

We're committed to becoming Jordan's leading digital bank

Our dedication to innovation and enhancing our mobile banking experience has been at the forefront of our efforts. Our efforts are geared towards our North Star to become Jordan's leading digital bank, and in 2023, we were able to launch several new and improved features to get us closer to our goal. These advancements have not only expanded our offerings but have also left a significant impact on our customers' banking experience.

With our goal in perspective, 58% of all new accounts digitally via our mobile banking app in 2023, and today 60% of our customers actively use the app for their daily banking needs. Additionally, our mobile banking application has consistently topped the iOS and Android app store charts, boasting ratings of 4.8 and 4.3, respectively, ranking it as the highest-rated banking app in Jordan across both platforms.

Our commitment to enhancing our digital services has led to significant upgrades across our systems. We've embraced digital transformation wholeheartedly, simplifying and streamlining our workflows from beginning to end. These advancements allow us to provide more personalised online experiences, reduce running costs, and better support our valued customers. As a result, the proportion of our automated processes rose from 45% in 2022 to 68% in 2023.

Harnessing the power of data has played a pivotal role in understanding and meeting our customers' needs proactively. By intelligently using data, we're ensuring that our services remain aligned with our goal of putting customers first. This approach allows us to tailor our services, stay ahead in the industry, and make the most of our tech capabilities to bring about innovation. In doing so, we're committed to evolving and providing a banking experience that's second to none, marking our digital transformation journey with optimism and a focus on the future.

Our digital initiatives are significantly positive, evidenced by a 20% increase in our overall customer base since 2022 and a 38% rise in customers acquired through digital channels. Our mobile banking app's CSAT score has reached 91%, exceeding the global banking industry average of 71%. A reflection of our dedication to delivering the best digital banking experience. We're also proud to be acknowledged as the leader in digital bill payment in Jordan, which reflects the trust and confidence our customers have in our services, highlight our unwavering commitment to excellence and cement our position at the forefront of the digital banking industry.

Some of our latest mobile app features:

Fractional Stocks Investment Feature

We proudly became the first bank to introduce an in-app stocks feature, allowing customers to invest in fractional S&P 500 stocks with as little as $1. This feature has opened up investment opportunities to a broader audience, enabling our users to take the first steps in their investment journeys with ease and confidence.

Personalised Year in Review

Launched in December, our Year in Review feature provided all our customers with a comprehensive roundup of their financial activities over the year. This personalised insight into spending habits, top merchants, total cashback earned, and more has enabled our customers to plan their finances more effectively for 2024.

Apple Pay & Tap to Pay

In our continued effort to enhance payment convenience, we launched Apple Pay for iPhone users and Tap to Pay for Android, streamlining daily transactions and providing secure and efficient payment solutions.

Personal & Credit Card Loan Requests

Revolutionising the way our customers apply for financial support, our app now offers complete in-app request processes for personal loans and credit cards. These fully automated processes allow customers to track their application from submission to approval, directly from their mobile phones.

Help Centre

Our in-app Help Centre, featuring FAQs and step-by-step guides, has enabled users to find resolutions quickly and efficiently. This initiative has significantly improved customer satisfaction by enabling users to troubleshoot independently around the clock.

We remain committed to elevating our customer experience

In a year that challenged us to redefine the boundaries of service excellence and innovation, our focus remained on delivering an exceptional banking experience for every customer. Our commitment to listening, adapting, and evolving based on our customers' needs has been the cornerstone of our success so far.

Our dedication to refining the customer experience is validated through our Net Promoter Score (NPS) of 52.3% and a Customer Satisfaction (CSAT) score of 89.9%. These figures not only surpass industry benchmarks but are a testament to our relentless pursuit of excellence in banking services. Our advancements in both the digital and the human aspects of banking have allowed us to cater more effectively to the needs of our valued clients, establishing us as a leader in delivering the best banking experience in the market.

We continue our support for SMEs and corporates

This year marked significant milestones for our organisation in fostering the growth and innovation of small and medium-sized enterprises (SMEs) across Jordan. Our concerted efforts in partnership with notable financial institutions have not only bolstered local businesses but have also contributed to the economic fabric of the nation.

Etihad for Business

We view the fostering of our local community and the fortification of Jordan's economy as a privilege and a duty we passionately undertake. In aligning with this ethos, our dedication to supporting Small and Medium Enterprises (SMEs) stands at the forefront of our priorities. We recognise SMEs as pivotal engines of economic growth and key architects in crafting a resilient and flourishing economy. Our commitment extends beyond mere support; it is an unequivocal pledge to empower these vital businesses, acknowledging their role in not only enriching our local fabric but also in driving sustainable progress and prosperity across Jordan.

This year, we've made significant strides in enhancing our banking services for our SME and corporate clients. Our dedication to innovation and improving customer experiences has yielded remarkable results, especially through our Etihad for Business platform.

Client Engagement and Platform Adoption

As of 2023, 67% of our SME and corporate clients are now registered on the Etihad for Business platform, marking a 68% increase from the previous year. This surge in adoption underscores the platform's value and efficacy in meeting the needs of modern businesses.

Expanding Payment Solutions

The introduction of our point-of-sale (POS) machines in 2023 has been a game-changer for our SME and corporate clients, offering competitive Merchant Discount Rates (MDR) and tailored facilities, encouraging more card payments. This expansion not only facilitates smoother transactions but also enhances the customer payment experience.

Pioneering Support for Startups with JLGC

In partnership with the Jordan Loan Guarantee Corporation (JLGC) and the "Inhad" National Self-Employment Program, we initiated lending opportunities aimed at supporting startups and enterprises led by young entrepreneurs. This effort has led to a remarkable 200% increase in the sector, underlining our dedication to stimulating the national economy through innovative projects. Further, we are enhancing our collaboration with JLGC to extend guarantees under their IJADA and Mashroui programs, specifically targeting Women-Owned SMEs.

Expanding Sector-Specific Lending with the Central Bank of Jordan

In partnership with the Central Bank of Jordan, we've broadened our sector-specific lending scheme, targeting vital industries such as Tourism, Manufacturing, Agriculture, IT, Renewable Energy, Healthcare, Transportation, Exporting Businesses, Engineering Consultancy or Technical and Vocational Education and Training. This initiative offers preferential interest rates, aiming to stimulate growth and sustainability in these crucial sectors.

The 2023 Bank al Etihad SME Awards

In 2023, we launched the 8th edition of the Bank al Etihad SME Awards, themed "Green Future," to reward local SMEs for their green business practices. We received over 80 applications, demonstrating the growing awareness within the business community of the importance of sustainability.

After a rigorous evaluation process with an internal and external jury, the winner of this year's award, valued at JOD 50,000, was awarded to Jordan Company for Carton Industry (JCCI). JCCI's dedication to the circular economy approach, its waste-free operations through exhaustive paper and cardboard recycling, and the incorporation of green technologies in its processes, set a benchmark for excellence and resonated deeply with the award's criteria.

We're being recognised for our service

In 2023, we achieved remarkable recognition in the digital banking sphere, clinching several prestigious awards. This includes being honoured with titles for Best Online Portal/User Experience (UX) Design and Best Information Security and Fraud Management by Global Finance magazine, within the scope of their Best Corporate/Institutional Digital Bank Awards for the Middle East. Additionally, we were also acknowledged as the leading Corporate/Institutional Digital Bank in the region. Most notably, we earned the distinction of Jordan's Most Innovative Digital Bank 2023, presented by International Business magazine.

Building a strong culture for our people

In 2023, we were named the "Best Place to Work in Jordan" by the Best Places to Work certification program. This award reflects our dedication to our employees and our commitment to creating a supportive and inclusive workplace culture. We believe in empowering our team members because we recognize their importance to our success. Our success is reflected in the significant improvement in our e-NPS score, soaring to 74% in 2023 from 69% in 2022 — a testament to our progressive strides towards becoming synonymous with the world's best employers.

We've maintained important initiatives like "Coffee with the CEO" and "Get Closer" sessions, which foster open conversations and the exchange of knowledge at various levels within the company. Such engagements have played a key role in building a strong sense of community and inclusiveness, making sure everyone's opinion is heard and appreciated. Our commitment to strengthening our corporate culture has also led us to continue with our culture tours, with a special focus on visiting offices in different regions. These tours have been crucial in bringing our teams closer to our bank's core values.

Our continued commitment to enhance women's economic participation

In 2014, we embarked on a pioneering journey by launching our Shorouq proposition, aiming to enable women with both financial and non-financial services. We are driven by our belief in the importance of boosting women's economic involvement to Jordan's economy and our customer outreach. Our dedication has resulted in a tenfold increase in our female clientele since the program's inception.

Shorouq is a comprehensive suite of services beyond financial support, such as access to crucial knowledge, insights, networks, and marketplaces. This includes legal advice, opportunities for networking, engaging workshops, the Career Comeback program, and Shorouq Connect, all designed to inspire, enable, and forge connections among enterprising women.

In 2023, we successfully conducted 429 non-financial events, including workshops and mentoring sessions, through collaboration with our partners. These efforts benefitted over 1,920 women.

Our Shorouq Comeback Program marked its 5th year to support women wishing to return to their professional life after a pause. Our aim is to fill any gaps in their knowledge, ensuring a smooth transition back into the business environment and unlocking their full potential.

This year, from a pool of over 1,300 applicants, we welcomed 52 women into the program. In an effort to amplify our impact, we joined forces with 18 organisations that share our vision, effectively doubling our reach. Participating companies included Crown Prince Foundation, PwC Middle East, Hikma Pharmaceuticals, Umniah, Amam Ventures, BPWA, Fine Hygienic Holding, Grand Hyatt Amman, King Hussein Cancer Center, Better Business, J. Walter Thompson, Asali Architects, LingoArt Center, EXOS, Khibraty, PARACHUTE16, Al Nashmeyah Arms for Maintenance, Attayebat, showcasing our collective commitment to women's professional advancement.

Bridging the knowledge gap through financial literacy

Over the last year, we've taken big steps forward in promoting financial literacy, a key area we're passionate about. Realising just how crucial understanding money is for empowering people, we set in motion a number of pioneering initiatives aimed at building a community well-versed in financial matters. A highlight of these efforts was the launch of Rise Academy.

Rise Academy made its debut to the public at the close of the second quarter in 2023. Designed as a no-cost, 2-day bootcamp, it targets two key demographics — young adults aged 18-27 and working professionals aged 28 and over. The main goal of Rise Academy is to arm participants with the vital financial knowledge they need, enabling them to make smart decisions for a brighter financial future. In its first year, we're proud to say we held 6 bootcamps, bringing essential financial skills to a total of 226 beneficiaries.

Risk Mitigation

In the face of shifting economic, political, and market landscapes, our dedication to effectively managing risk is unwavering. We pride ourselves on a robust organisational structure and an approach to governance that prioritises the identification and reduction of risk, aligning with international standards. This practice not only ensures the incorporation of top-notch risk management techniques but also fosters a culture where risk awareness is ingrained at every level. We hold the conviction that identifying and dealing with risks is a collective responsibility that each member of our team should actively undertake.

Currently, we're focusing efforts on enhancing our governance and risk mitigation strategies, with plans set to expand these improvements throughout 2023. Our goal is clear: to conduct our operations with the utmost responsibility and security, thereby earning the continued trust and confidence of our customers, partners, and investors in our ability to manage risks effectively. This year, our efforts have been concentrated on several critical areas, highlighting our commitment to not just maintaining but improving our standards in risk management.

Credit Risk

In 2023, Bank al Etihad received external credit ratings with a positive outlook from several international rating agencies. We also developed our Environmental and Social Policy, alongside tools for assessing environmental and social impact, while enhancing internal capabilities to identify and manage environmental and social risks in lending, investment, and portfolio management processes. Additionally, our Credit Risk Department contributed to raising awareness of credit risk across all bank divisions.

Climate Risk - Double Materiality Transition Plan

In alignment with the goals of the Paris Agreement, we have set forth a comprehensive Double Materiality Transition Plan, aiming for full implementation by 2024. This initiative integrates climate considerations into the core pillars of the bank - governance, strategy, risk management systems, metrics and targets, and disclosures. The plan represents a significant step toward our commitment to sustainable finance and climate risk management..

Model and Rating Process Governance

A substantial effort was undertaken to refine our Internal Rating Process and Model Risk Management through the enactment of two comprehensive governance policies. These policies reaffirm our commitment to governance practices, ensuring compliance with best practices and industry standards, thus strengthening our internal risk framework.

Early Warning Indicators System

Our early warning indicator model received significant enhancements, improving our ability to proactively identify and mitigate potential risks among our SME and Corporate clients. Automating this process has elevated our risk management capabilities, enabling a more reactive approach to risk anticipation.

Environmental and Social Risk (E&S) Management

In accordance with our Environmental and Social Policy, we conducted Environmental and Social Due Diligence for two of our largest corporate clients against the International Finance Corporation (IFC) performance standards. This assessment plays a pivotal role in identifying the client's environmental and social (E&S) risks, proposing mitigation strategies, and integrating E&S considerations into the decision-making process. It aims to identify gaps, propose mitigating actions, and uncover transition finance opportunities, ultimately facilitating our clients' transition towards sustainable business practices.

Cyber Security & Fraud

Fraud Detection and Prevention

This year, our team has made significant strides in bolstering the company's defences against the evolving risks in today's digital-first environment. Through the diligent implementation of robust risk management strategies, we have not only safeguarded our operations but also reinforced the trust our customers place in us.

In response to the rising sophistication of financial fraud schemes, we have successfully implemented an AI-enabled fraud prediction and prevention solution. This initiative represents a significant leap forward in our ability to safeguard our customers' transactions across all payment channels.

The advanced technology enables real-time, accurate detection of fraudulent activities, effectively blocking potential threats before they can affect our customers. The insights gained from this system have been instrumental in understanding the mechanisms of various fraud schemes, leading to significantly improved operational efficiencies. Most importantly, this solution has enhanced our capabilities in fraud prevention, demonstrating our commitment to maintaining the highest standards of integrity and customer trust.

Operational Resilience

Understanding the importance of operational continuity, we have taken substantial steps to enhance our operational resilience. This year, we focused on strengthening our ability to withstand, respond to, and recover from disruptions, regardless of their origin.

Our efforts in building a resilient operational framework ensure that we can maintain consistent service delivery standards, even in the face of unforeseen challenges. By prioritising the reliability of our operations, we not only uphold our service commitments to our customers but also secure the long-term sustainability of our business.

Compliance

In 2023, our Compliance Department took big steps forward in building a stronger compliance system and promoting a culture of honesty and compliance throughout our organisation. We achieved key milestones that reaffirmed our dedication to meeting the highest compliance standards.

Fighting Financial Crimes

In an era where sustainability is not just a choice but a necessity, we're committed to integrating sustainable practices across all facets of our operations. We believe in driving positive environmental impacts while simultaneously ensuring robust financial performance. Over the past year, we have made considerable strides in cementing our position as a leader in the green finance domain within Jordan.

International Sanctions Compliance

Sticking to international sanctions has been a major part of our compliance plan. We thoroughly revised our policies and enhanced our monitoring systems to make sure we're fully compliant with changing international rules. Working closely with our Financial Institutions Department has helped us strengthen our banking relationships and advance our data management practices.

Handling Customer Feedback and Onboarding

We've seen better results in dealing with customer complaints, with a 1.11% decrease achieved by adopting new solutions and providing educational programs. We've also worked on improving how we welcome new customers, updating our processes and offering thorough training to our staff to meet regulatory needs.

Innovative Compliance Approaches

Our dedication to ongoing improvement is evident in the upgrades we've made to our compliance systems and processes. We've aligned our monitoring scenarios with the best practices in the industry, made significant updates related to the Common Reporting Standard, and fine-tuned the ways we assess customer risk.

Building a Culture of Compliance

Promoting a strong culture of compliance within Bank al Etihad has been a key goal for our department. A survey we conducted this year showed over 95% employee satisfaction, proving our success in increasing awareness and integrating compliance practices across the organisation.

Sustainability

In an era where sustainability has become paramount for the survival of our planet, we are actively championing environmentally responsible practices, embedding them deeply into our core business activities.

Green Financing

We have significantly enhanced our green financing offerings through the disbursement of the Green Financing Facility with the European Bank for Reconstruction and Development (EBRD) and Green Climate Fund (GCF), known as GEFF loans. These loans specifically target SMEs and organisations aimed at combating the water scarcity issue in Jordan, alongside energy efficiency, circularity principles, and renewable energy projects. A testament to our commitment, we awarded cashback funded by the European Union (EU) to clients who implemented and finalised their projects.

Green Guide Development

A pivotal achievement this year was the development of our Green Guide, which incorporates the EU taxonomy, providing a clear directive on sustainable financing. We've conducted a historical overview of our existing financial portfolio against this guide, proudly reporting an outstanding balance of 100 million JOD in green loans screened through the green guide.

Capacity Building

Dedicated to fostering a culture of sustainability within, we have introduced numerous training programs. Our Management Capacity Building programme has raised awareness on green financing and enhanced cost-benefit analysis skills. The Green Economy Basics and Circularity training drew participation from 120 employees. Also, over 180 employees have benefited from the Green Finance Academy platform, in collaboration with EBRD. Our commitment extends to all employees, as demonstrated by incorporating sustainability topics in our onboarding orientation and the issuance of sustainability certifications to our Green Champions.

Stakeholder Engagement

Our efforts in the past year have been marked by active engagement with external stakeholders, all aimed at enhancing environmental sustainability. We worked closely with the Central Bank of Jordan, aligning with their issuance of the Green Strategy. This pivotal strategy will shape the development of the financial sector towards a more climate-resilient financial system. We were one of the first to take a seat at the table as part of the Green Finance Committee developed by the Central Bank of Jordan, dedicating our efforts to the formulation and implementation of policies that promote green finance.

Recognising the importance of cross-sector collaboration, we have actively engaged with the industrial ecosystem to encourage green transitions. Our interactions with the Climate Change Unit at the Ministry of Environment have been particularly fruitful, allowing us to align our sustainability efforts with the Nationally Determined Contributions (NDC) and the Central Bank of Jordan's green strategy. Furthermore, our collaborative work with green ecosystem players such as The Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ), USAID, and others has amplified our impact, fostering a community of practice that champions environmental sustainability.

Internal Sustainability Practices

At Bank al Etihad, we practise what we preach. Our internal sustainability practices underpin our vision for a greener tomorrow. We have embraced renewable energy sources, resulting in an 11 million KG reduction in carbon emissions. Through our 'Plastiqua' initiative, we've upcycled and recycled, transforming old cards into art and recycling 45,000 KGs of paper waste. Furthermore, we have automated 68% of our processes, significantly cutting down paper usage.

We're committed to aligning our financial flows with the goals of the Paris Agreement. We understand that our sustainability goals for the upcoming year are ambitious yet critical and the pressing need to direct financial resources towards projects and initiatives that mitigate the effects of climate change and promote environmental sustainability.

Some of our goals for the coming year include increasing our green finance portfolio, prioritising investments in renewable energy, sustainable infrastructure, and green technologies.

We also aim to strengthen our partnerships with environmental organisations and stakeholders to amplify our impact on sustainability. And to continue our active engagement in national and regional committees to shape policies and practices that promote green finance.

Significant Events for the Bank in 2023

1. Expansion into Iraq

After receiving approval from the Central Bank to operate in Iraq, we took a significant step in broadening our operations by establishing our first overseas branch in Iraq with an initial capital of USD 50 million, with plans to increase this to USD 80 million by 2024.

2. Issuance of Tier 1 Capital Support Bonds

On September 12, 2023, we launched our first issuance of permanent Tier 1 bonds, which attracted subscription requests totaling USD 176.5 million - 176.5% of the offered value. These perpetual bonds are classified as additional Tier 1 regulatory capital for Bank al Etihad in accordance with Basel III standards and align with the guidelines issued by the Central Bank of Jordan, further strengthening our capital base.

3. Merger Discussions

The bank's Board of Directors has given preliminary approval to enter discussions with the Jordan Kuwait Bank to evaluate a potential merger between the two banks and undertake the necessary technical, financial, and legal studies.

CSR

Our customers and community are our family. We want to help the people and places around us prosper whether it's championing the next generation of leaders and entrepreneurs, supporting the arts and culture that make Jordan so unique, or investing in skills and education to help people be who they want to be.

Our social responsibility platform features six pillars: financial inclusion & economic empowerment, community wellbeing, environment, access to knowledge, and arts and culture. These pillars represent areas of importance to our bank, our community, our clients and our stakeholders that we are passionate about and where we can make a difference in.



Goal 2: Zero Hunger

Goal 3: Good Health and Well-Being

Goal 4: Quality Education

Goal 5: Gender Equality

Goal 7: Affordable and Clean Energy

Goal 8: Decent Work & Economic Growth

Goal 9: Industry, innovation and infrastructure

Goal 10: Reduced Inequalities

Goal 11: Sustainable Cities and Communities

Goal 12: Responsible Consumption & Production

Goal 13: Climate Action

Goal 17: Partnerships to achieve the Goal

Financial Inclusion & Economic Empowerment



Our dedication as a bank extends beyond mere transactions. We believe that enabling our customers and the communities we inhabit with comprehensive financial knowledge solidifies the foundation for mutual growth and prosperity. It's our conviction that well-informed individuals, who practise wise financial management, ultimately contribute to a healthier customer base and a more vibrant community.

In our ongoing efforts to foster financial literacy and inclusivity, which are fundamental drivers for societal enhancement, we have embarked on several key initiatives:

- Money Talks Tour: Our annual involvement in Global Money Week marked by the Money Talks school program, which visited various schools in Amman, has been a resounding success. This initiative touched the lives of 395 high school students by providing them with crucial financial insights, preparing them for a brighter economic future.
- Wasel for Education and Awareness Partnership: Our collaboration with the "Shabek wa Ibtakr" program through Wasel for Education and Awareness has offered invaluable support to 30 unemployed youths aged 18-28. This initiative has not only sparked creativity and innovation but also led to the adoption of ten pioneering ideas by local incubators.
- Enabling Women for Employment: In association with the Jordan River Foundation, we have extended our commitment to integrating women from East Amman into the workforce. This initiative has equipped 18 aspiring women with the necessary skills and technical training for employment, thereby fostering independence and economic empowerment.
- Financial Literacy Online Resources: In our digital leap towards spreading financial literacy, we inaugurated a blog in 2020, and in November 2022, we launched "Mali wa Maluk," our pioneering Arabic financial literacy podcast. This platform serves as a beacon of financial insights, covering diverse topics to enrich our audience's economic understanding.
- Rise Academy Initiative: Our flagship financial literacy program, Rise Academy, has made significant strides, reaching 189 young individuals and 57 professionals through comprehensive boot camps and workshops tailored to equip them with essential financial skills.
- Sustainable Tourism and Community Development: Our sponsorship aimed at revitalising a touristic trail from King Talal Dam to Rmaimeen is a testament to our commitment to sustainable community development. This initiative has trained 13 women in food production and safety (HACAP) in 2023, enabling them to produce and market local specialties, which in turn, fosters economic independence and community well-being.

Community Engagement and Development



Our foundation as a bank is deeply rooted in family values, driving us to contribute positively to our community at every opportunity. In 2023, we initiated several key projects:

- Happiness Bus Initiative: During Ramadan, we unveiled the Happiness Bus initiative, aiming to bring joy to over 3,800 people across eight governorates. Each journey of the bus showcased a unique theme and travelled through various underprivileged areas during the holy month of Ramadan.
- World Cancer Day Campaign: On World Cancer Day, we initiated a donation campaign via our mobile app, successfully funding university education scholarships for 10 cancer patients.
- Support for King Hussein Cancer Foundation & Center: We maintained our ongoing support through several strategic initiatives like the Run for Life, Go Green Campaign, and the educational programs of the King Hussein Cancer Training Academy, reaching over 21,000 beneficiaries across these activities.
- Solidarity with the Palestinian People: Through our mobile app, we launched a campaign, raising 1 million JOD to procure medical supplies in collaboration with the Jordanian Hashemite Charity Organization (JHCO). Additionally, we initiated another campaign to fund medical care for cancer patients and their families from Gaza, in association with the King Hussein Cancer Foundation, donating approximately 25,000 JOD and aiding 30 patients and their families.
- Nursery Renovation: Our community development efforts led us to completely refurbish a nursery in Rmaimeen, which resulted in a 50% increase in enrolment.
- Medical Support: Partnering with the Gift of Life organisation, we funded open-heart surgery for a child in need within Jordan.

Environment



In 2023, we achieved remarkable progress towards our environmental objectives:

- LCOY Sponsorship: For the second consecutive year, we joined forces with UNICEF Jordan to sponsor the Local Conference of Youth (LCOY), championing young advocates for climate action. This collaboration enabled 36 emerging climate leaders to enhance their understanding of climate change impacts and to develop skills for leading youth-driven climate initiatives, negotiation, and advocacy efforts. Impressively, 7 of these young ambassadors were chosen to attend COP28, presenting the concerns and aspirations of Jordan's youth within the national government's official delegation.
- Plastiqua Upcycling Initiative: We broadened the scope of our Plastiqua project, transforming over 80,000 expired banking cards in 2023 into artistic creations and jewellery pieces, thus providing economic empowerment to 10 disadvantaged women from Jabal al Nathif.
- Support for Bedouin Women: Continued support was extended to 6 Bedouin women from Wadi Rum, assisting them in generating income through the creation of recycled products.
- Activating Green Spaces in Jordan: The inauguration of the Jabal Amman Community Park was a significant milestone, achieved in collaboration with the Greater Amman Municipality. The park's founding team, composed of volunteer urban planners/designers, social activists, community mobilizers, and educators, unified under the vision to connect, conserve, and activate the space. The initiative aims to:
  - CONNECT with community members and organisations, fostering a shared responsibility for the park.
  - CONSERVE the urban legacy of the region, enhancing community and stakeholder values.
  - ACTIVATE the space with scheduled programs and activities, while also accommodating spontaneous gatherings.
- Sustainability in Design: We proudly sponsored the 10th edition of the i-sustain environmental design award, engaging 250 university students from Jordan. This award highlighted the students' most innovative, forward-thinking, and sustainable solutions to address the challenges facing Jordan's built environment.

Empowering the Next Generation Through Education



Our commitment to shaping a brighter future for the next generation is unwavering, particularly in the realm of education and knowledge accessibility. In 2023, our initiatives focused at levelling the educational playing field for young individuals made significant strides, as detailed below:

- Scholarship Programmes in Jordan and Palestine: We awarded 31 scholarships to distinguished students from Jordan and Palestine, facilitating their access to higher education and empowering them to pursue their career goals.
- Support for Audible Learning: Our continued backing of "Raneen for Audible Storytelling," an innovative project that promotes reading and an appreciation for audiobooks through unconventional educational techniques, remained a priority.
- Strategic Collaboration with the Queen Rania Foundation: Our partnership flourished through two impactful educational projects:
  - Madrasati Initiative: Our support for the "Masahati'' after-school programme has touched the lives of over 670 students and 45 teachers at the Salhoub Secondary School for Girls. This multifaceted approach, including Safe and Creative Spaces, Educator Capacity Building, and the establishment of Masahati Student Clubs, focuses on integrating life skills and extracurricular activities into the mainstream curriculum, enriching the educational experience for public school students.
  - Al Aman Fund for Orphans' Future: We sponsored 9 exceptional young individuals, facilitating their pursuit of university degrees. Five beneficiaries received a monthly allowance, while 6 partook in capacity-building training. Our support has been crucial in nurturing these youths into independent, skill-equipped adults ready to carve their paths successfully.

Arts and Culture Initiatives



In the year 2023, our commitment to fostering strong community bonds and unity through the arts took centre stage. We proudly supported a diverse array of musical endeavours, connecting with over 50,000 devotees of music and the arts. Highlighted initiatives include:

- We backed the innovative "Pss Pss" performance, featuring two contemporary clowns in an act reminiscent of Charlie Chaplin and silent film luminaries, captivating audiences with their unique artistry.
- We provided support for the El Funoun Palestinian Popular Dance Troupe. Their performances beautifully melded traditional Palestinian song and dance with state-of-the-art digital visuals, offering a modern twist on folklore.
- The enchanting sounds of the Mediterranean were brought to life by Egyptian opera sensation Farah el Dibany. Our sponsorship made possible an evening filled with Opera highlights and a tribute to Mediterranean Divas.
- In collaboration with the Modern Montessori School, we supported Stardust Academy's "School of Rock of Ages," a harmonious blend of music, education, and theatrical storytelling.
- Our backing of the Jerash Festival of Culture and Arts brought its thirty-seventh season to life, adding to Jordan's rich tapestry of cultural celebrations.
- The "Talaqi" musical gathering, a result of the partnership between Layth Sidiq, Hazem Shaheen, and graduates from the Action for Hope Music School, showcased a fusion of classical Arabic melodies from across the region, from Jordan to Egypt.
- A concert featuring Turkish cellist Cag Ercag alongside Jordanian pianist Zina Asfour was also among our sponsored events. The evening's repertoire included works by Arab contemporary composers Iyad Mohammad and Dia Succari, juxtaposing tradition with innovation.
- The 11th "The Image Festival Amman," under the banner of "Roots" and organised by Darat al Tasweer, received our support, exploring the theme through visual storytelling.
- The legendary Maestro Riccardo Muti and the Cherubini Orchestra's performance was another highlight, sponsored in partnership with the Jordan Italian Forum for Cooperation, further cementing our dedication to international cultural exchange.
- Lastly, we celebrated the unique voice and style of Lena Chamamyan, the Syrian-Armenian singer-songwriter known for her enchanting soprano and distinctive musical blend, through concert sponsorship.

Volunteerism at Our Core:

Fostering a vibrant culture of volunteerism is at the heart of our commitment to positively impact the community. We believe in nurturing a deep connection between our employees and both their workplace and the communities we serve, underscoring the importance of contributing to societal betterment. In the year 2023, our dedicated team of 256 staff members devoted 887 hours to volunteer work, touching the lives of approximately 7,365 individuals across 37 different initiatives.

Bank al Etihad Foundation:

Demonstrating a steadfast commitment to the enrichment of arts and culture within Jordan, Bank al Etihad has established a foundation dedicated to fostering the performing arts both regionally and across the Arab world. The heart of this initiative is the Amman Institute of Performing Arts (AIPA), which champions music education and training. Complementing this, the Amman Chamber Orchestra (ACO) presents a repertoire that beautifully merges Western and Middle Eastern classical music through its seasonal concert series. Beyond their main performances, the orchestra actively participates in outreach and educational initiatives, aiming to make a lasting impact on the broader Jordanian community.

- Amman Chamber Orchestra (ACO) Concerts and Amman Institute for Performing Arts (AIPA) Programs: The season showcased eight classical music concerts, drawing in over 2,500 attendees, delivered upwards of 2,050 hours of music education, and ventured into the realms of drama and dance with over 26 hours of workshops. Additionally, a special ninth concert was organised as a charitable event, with all proceeds generously donated to aid Palestine.
- Outreach Concert and Scholarship Program: In a meaningful collaboration with 'Madrasati,' an outreach concert was held, and the lives of 12 scholarship recipients were transformed through music education, seven of whom have had the honour of performing with the ACO.

Pillar	Total Amount (in JOD)
Access to Knowledge	265,229
Financial Inclusion & Economic Empowerment	79,305
Community Wellbeing	2,247,893
Environment	217,743
Arts and Culture	340,364
Other	167,477
Total Amount (in JOD)	3,318,011

Donations from 50K and above	
Institution Name	**Amount**
Al Hussein Technical University Endowment	100,000
Queen Rania Foundation	80,000
King Hussein Cancer Center	150,000
Himmetna Charitable Organisation	50,000
Waqf Thareed	100,000
Al Aqsa Initiative	550,000
Jordan Hashemite Charity Organization	1,000,000
National Aid Fund	92,966
Total (in JOD)	2,122,966

Our Awards

Best Place to Work 2024

Best places to work

Most Active Issuing Bank

EBRD

Best Mobile Banking App

International Business Magazine

Most Innovative Digital Bank

International Business Magazine

Best Bank for Digital Solutions

Euro Money

Best Bank for Corporate Responsibility

Euro Money

Best Corporate/Institutional Digital Bank in Jordan

Global Finance Magazine

Best Corporate/Institutional Online User Experience (UX) Portal in Jordan

Global Finance Magazine

Best Information Security and Fraud Management in the Middle East

Global Finance Magazine

Best SME Banking

Global Finance Magazine

Best Customer Centric Banking Brand, Jordan

Global Brands Magazine

Best SME Growth Bank

CFI.co



Financial analysis and operating results for 2023

First: Financial Position for 2023

Total Assets

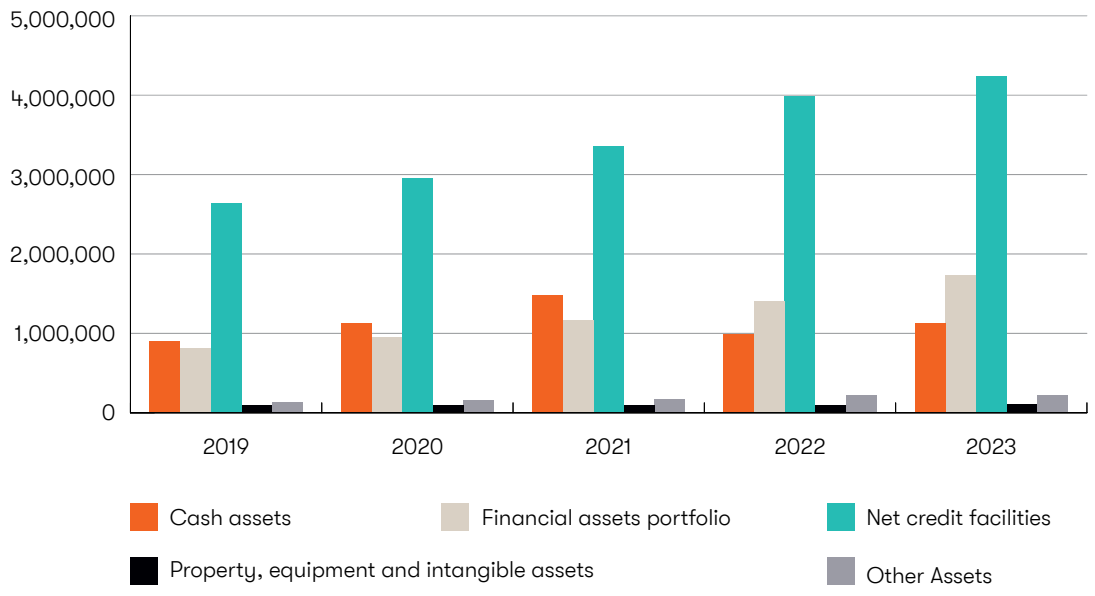
Total assets increased at the end of 2023 to reach 7.420 billion Jordanian Dinars, marking an increase of 729 million Dinars, or 11.6%, compared to 2022. The annual growth rate of total assets over the past five years was 10.1%, and the return on assets (ROA) was 0.8%, compared to 0.7% at the end of 2022.

The primary reason for the increase in assets is the growth of net direct credit facilities by 6.4% compared to the previous year, in addition to the growth of the financial assets portfolio by 22.9%.

The table and chart below illustrate the development of the main asset items during the years 2019-2023.

Description	2019	2020	2021	2022	2023	Growth Rate 2022-2023
Cash Assets	897.673	1,122,593	1,484,678	983,163	1,122,232	14.1%
Financial Assets Portfolio	814,423	950,878	1,161,552	1,405,491	1,726,702	22.9%
Net Credit Facilities	2,635,851	2,951,628	3.351.124	3,991,119	4,244,911	6.4%
Properties, Equipment, and Intangible Assets	96,549	95,829	93,877	95,410	104,744	9.8%
Other Assets	135,180	152,777	171.290	215,708	221,430	2.7%
Total Assets	4,579,676	5,273,705	6,262,521	6,690,891	7,420,019	11.6%

(Rounded to JOD 1,000)

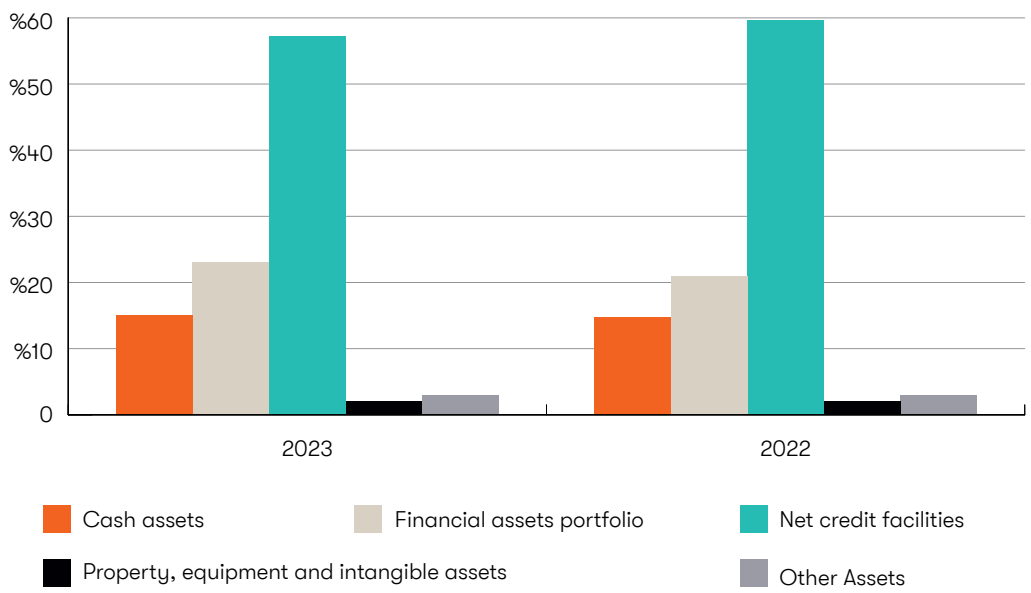


(Rounded to JOD 1,000)

Looking at the income-generating asset items, they indicate the bank's ability to manage its assets efficiently and effectively and to leverage its financial resources to maximize income, taking into account the policies and procedures in place and the risks associated with each asset category.

The relative importance of net direct credit facilities constituted 57.2%, compared to 59.7% at the end of the previous year. Cash assets accounted for 15.1%, compared to 14.7% in 2022, while the relative importance of financial assets reached 23.3%, compared to 21.0% in 2022.

The Relative Importance of the Bank's Total Assets

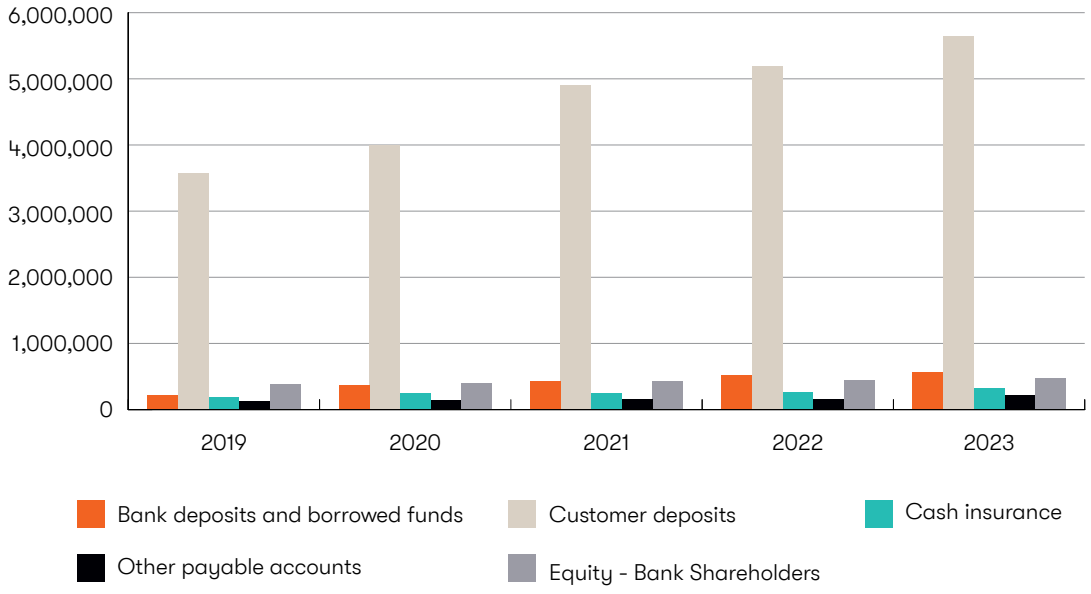


Liabilities and equity

The table and graph below show the growth in the main Liability and Equity items during the years (2019 - 2023):

Description	2019	2020	2021	2022	2023	Growth Rate 2023-2022
Bank Deposits and Borrowed Funds	215,167	370,840	425,349	525,673	561,952	6.90%
Customer Deposits	3,575,967	4,003,011	4,910,374	5,186,344	5,651,353	9.00%
Cash Collateral	185,698	251,303	244,828	257,368	329,660	28.10%
Other Credit Accounts	123,599	142,148	152,502	161,469	213,453	32.20%
Equity - Bank Shareholders	387,273	407,956	428,012	453,047	478,812	5.70%

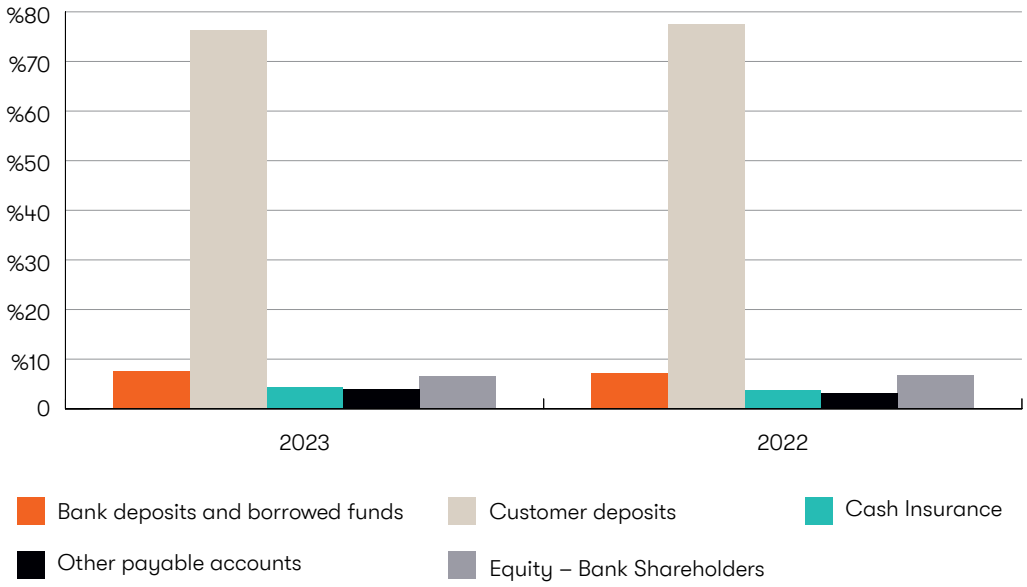
(Rounded to the nearest thousand JOD)



(Rounded to the nearest thousand JOD)

Regarding the relative importance of the components of the bank's liabilities and equity, as shown in the chart below, customer deposits represented 76.2% of total liabilities and equity, compared to 77.5% at the end of 2022. The equity component accounted for 6.5%, compared to 6.8% previously. Bank deposits and borrowed funds represented 7.6%, up from 7.2% last year. Additionally, cash collateral and other credit accounts accounted for 4.4% and 2.9% of total liabilities and equity, compared to 3.8% and 3.1% at the end of 2022, respectively.

The Relative Importance of Total Liabilities and Equity



Financial Assets Portfolio

- Bonds: The bond portfolio balance at the end of 2023 reached 1.638 billion Jordanian Dinars, marking an increase of 311 million JD, thus comprising 94.8% of the total financial assets portfolio, characterized by low risk and fixed returns. The balance of bonds and loan securities in Jordanian Dinars amounted to 1.129 billion JD, while foreign currency bonds totaled 509 million JD by the end of 2023.
- Local and Foreign Equities Portfolio: In 2023, the bank invested in stocks of both local and international companies with solid financial positions and acceptable investment risks. Consequently, the total equity portfolio increased by 10.1 million JD, a growth rate of 12.8%, reaching 89 million JD at the end of the year compared to 79 million JD at the end of 2022.

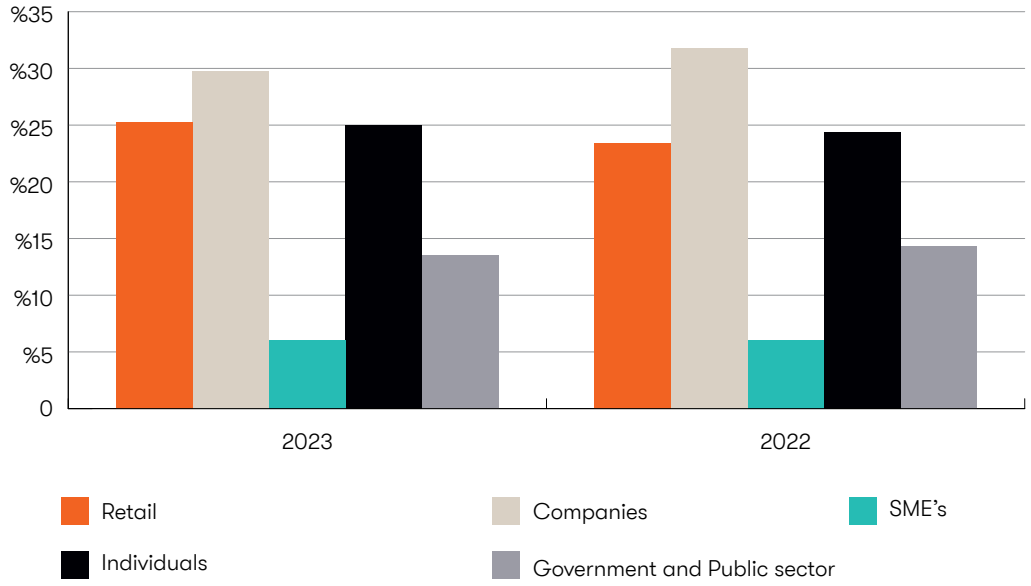
Total Direct Credit Facilities

The total direct credit facilities balance at the end of 2023 was 4.457 billion JD, reflecting a growth rate of 7.9% compared to the end of 2022, positively contributing to the asset return rate. This increase resulted from a rise in the JD balance by 281 million JD, while foreign currency balances decreased by 4 million JD. The annual growth rate for total direct credit facilities over the past five years (2019-2023) was 10.1%, with the bank's market share in total direct credit facilities within the Kingdom reaching 13.7% at the end of 2023, compared to 13.3% the previous year.

In terms of the structure of total direct credit facilities by borrower type, the bank achieved its strategic goals in attracting individual and small-to-medium enterprise (SME) segments. The relative importance of the individual sector reached 25.3% of total direct credit facilities, compared to 23.4% at the end of last year. The SME sector accounted for 6.0%, while corporate facilities constituted 29.8% of total facilities, compared to 31.8% the previous year.

For the real estate sector, direct credit facilities accounted for 25.0% of the total by the end of 2023, compared to 24.4% at the end of the previous year. Facilities extended to the government and public sector represented 13.5%, compared to 14.3% at the end of 2022.

The Relative Importance of Total Direct Credit Facilities According to the Borrower



Provisions for Impairment of Facilities:

To strengthen the bank's financial position and comply with Central Bank requirements, international accounting standards, and IFRS 9, the bank continued its policy of hedging and maintaining adequate collateral to cover credit facilities extended to its clients. The bank also made a provision for impairment to address any anticipated losses related to non-performing facilities. Consequently, the balance of provisions for direct credit impairment reached 194.1 million JD, compared to 171.9 million JD at the end of 2022. Notably, the coverage ratio of provisions for impairment of direct credit facilities in Stage 3 was 69.3%, down from 76.3% in 2022. Additionally, Stage 3 facilities, after deducting suspended interest, accounted for 4.09% of total direct credit facilities (after interest deductions), compared to 3.29% in 2022.

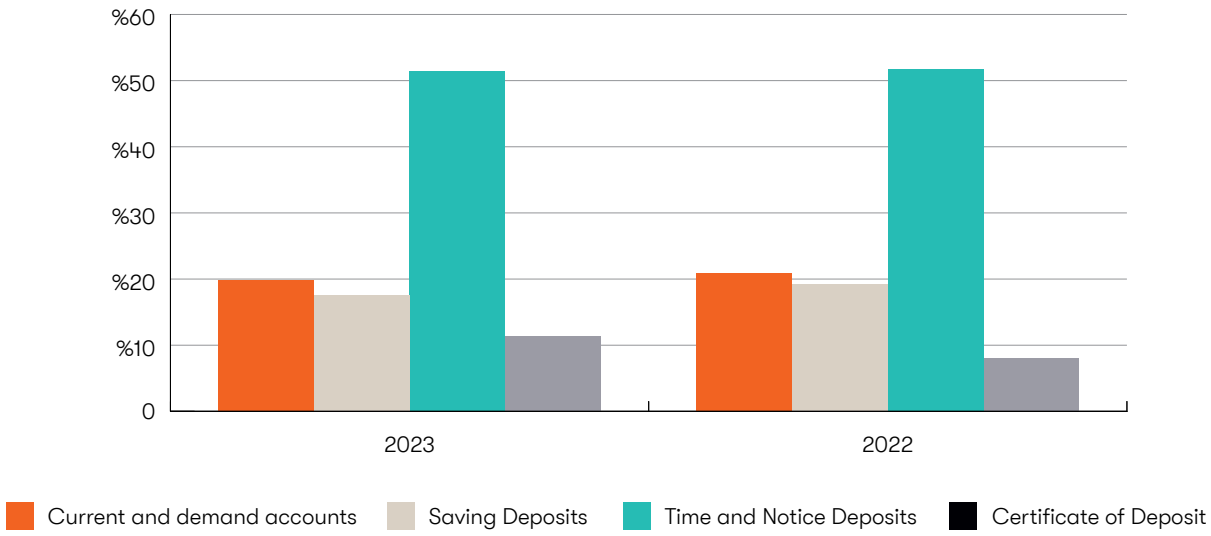
Customer Deposits

Despite intense competition in the Jordanian banking sector to attract customer deposits from various segments, the bank has demonstrated its ability to achieve positive growth in deposit volume through its distinctive banking services and products, with an annual growth rate of 9.6% from 2019 to 2023. Deposits increased by 465 million JD, a growth rate of 9.0% compared to 2022, bringing the total customer deposits to 5.651 billion JD by year-end. The bank's market share in total customer deposits within Jordan stood at 13% by the end of 2023, up from 12.4% the previous year.

Analyzing total customer deposits by depositor category, individual deposits rose by 7.3%, while deposits from small and medium enterprises grew significantly by 36.3%. In contrast, deposits from large corporations decreased by 1.7%. Deposits from the government and public sector recorded an increase of 9.4%.

Regarding the structure of customer deposits by deposit type, "term and notice deposits" accounted for 51.5% of total deposits, compared to 51.7% at the end of 2022. "Current and demand accounts" made up 19.8%, down from 20.9% the previous year. "Savings deposits" constituted 17.5%, compared to 19.3% in 2022, while "certificates of deposit" increased to 11.3% of total deposits from 8.1% in 2022, as illustrated in the chart below.

The Relative Importance of Total Customer Deposits According to Deposit Type



Equity - Bank Shareholders

The net equity for the bank's shareholders increased by 25.8 million JD, reflecting a growth rate of 5.7%, reaching 479 million JD by the end of 2023. The annual growth rate over the past five years has averaged 4.3%. Additionally, the return on equity (ROE) reached 10.1%, showcasing the strong performance achieved in 2023.

Solvency and Capital Adequacy

The capital adequacy ratio stood at 15.00% at the end of 2023, compared to 13.79% previously, surpassing the Basel III minimum requirement of 8% as well as the Central Bank of Jordan's requirement of 12.5%. The core capital to risk-weighted assets ratio was 13.02%, up from 11.87% in 2022, reflecting the bank's resilience in managing potential banking risks and its capacity for expansion and growth within capital adequacy limits.

Competitive Position in the Sector and Market Share

According to the 2023 statistical bulletin from the Central Bank of Jordan, which outlines growth rates within the Jordanian banking sector compared to those achieved by Bank al Etihad, the overall growth rate of direct credit facilities in the banking sector was 2.44%, down from 8.54% in 2022, while total customer deposits grew by 3.89%, compared to 6.54% the previous year.

For Bank al Etihad, growth rates were achieved due to its activities across internal markets, including government and public sector, individuals, large corporations, and small and medium enterprises (SMEs). As a result, the bank recorded a 6.25% growth in total direct credit facilities, down from 18.93% in 2022, and an 8.93% growth in total customer deposits, compared to 5.71% at the end of the previous year.

	Growth Rate				Market Share	
	Banking Sector		Bank al Etihad			
	2023	2022	2023	2022	2023	2022
Direct Credit Facilities	2.44%	8.54%	6.25%	18.93%	13.74%	13.25%
Customer Deposits	3.89%	6.54%	8.93%	5.71%	12.95%	12.35%
Current and Demand Accounts	5.83%-	0.67%	3.12%	3.57%-	10.27%	9.38%
Savings	5.93%-	1.79%-	1.04%-	9.08%	15.92%	15.13%
Term Deposits	10.77%	12.14%	8.36%	6.93%	11.44%	11.70%
Cash Collateral	6.36%	8.25%	28.09%	5.12%	14.27%	11.85%

The bank's competitive position cannot be determined in more detail beyond what is mentioned above. Additionally, the bank has no operations in foreign markets as of the end of 2023.

Financial Soundness Indicators

Indicator	2019	2020	2021	2022	2023
Return on Average Total Assets	0.90%	0.60%	0.70%	0.70%	0.80%
Return on Average Equity	8.30%	5.90%	7.80%	7.80%	10.10%
Capital Adequacy Ratio	13.99%	14.48%	14.49%	13.80%	15.00%
Stage 3 Facilities / Total Facilities	4.24%	3.83%	3.73%	3.66%	4.47%
Coverage Ratio of Provisions for Stage 3 Debt	77.70%	75.10%	77.40%	76.30%	69.30%
Total Statutory Liquidity	117.97%	122.77%	144.49%	119.88%	127.04%

Second: Bank's Operating Results

Interest, Returns, and Collected Fees

The bank's income from interest, returns, and collected fees has shown an increase over the past five years, rising from 279 million JOD in 2019 to 466 million JOD by the end of 2023, with an annual growth rate of 10.7%. Additionally, a year-over-year increase of 32.4% was recorded for 2023. Interest generated from direct credit facilities made up 77% of total interest by the end of 2023. Interest and returns from individual facilities grew by 33.2% from the end of 2022, while corporate facilities increased by 28.2%, and facilities for SMEs grew by 29.7%. Real estate loans showed a growth rate of 30.5%, and facilities for government and public sector achieved a growth of 32.6%.

In terms of collected fees, there was a 1.5% decrease compared to 2022, totaling 35.3 million JOD.

Paid Interest, Expenses, and Fees

This item recorded a 60.7% increase compared to the previous year, with an annual growth rate of 13.5% over the past five years. Paid interest, expenses, and fees rose from 117.3 million JOD in 2019 to 220.5 million JOD by the end of 2023. Interest paid on customer deposits comprised the largest portion, accounting for 84.6% of total paid interest and fees. The remaining percentage was attributed to bank deposits, cash collateral, borrowed funds, and deposit insurance fees.

Operating Expenses

Operating expenses (administrative and general expenses, depreciation, and amortization) grew at an annual rate of 7.2% from 92.9 million JOD in 2019 to 131.6 million JOD in 2023. Employee expenses rose over the past five years from 46.5 million JOD to 62.9 million JOD. Other administrative and general expenses increased to 53.6 million JOD by the end of 2023, compared to 33.7 million JOD in 2019. Depreciation and amortization expenses also rose during this period from 12.6 million JOD to 15.1 million JOD. Notably, the increase in operating expenses is due to the bank's expansion of its branch network, with the number of branches growing from 48 in 2019 to 59 in 2023. This expansion included modernizing current branches, recruiting skilled personnel, enhancing employee training, investing in advanced technological systems, and launching multiple advertising campaigns for new services and products.

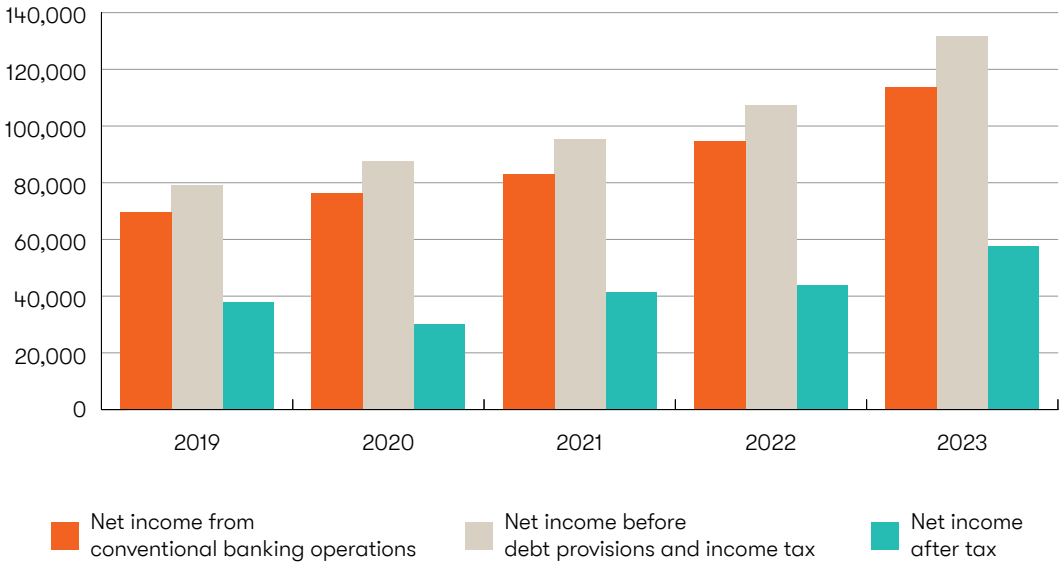
Net Income

Net income from traditional banking operations grew by 20.1%, reaching 113.6 million JOD at the end of 2023, with an annual growth rate of around 10.3% over the past five years. Net income before provisions and income tax rose to 131.9 million JOD, achieving a growth rate of 23.0% by year-end. Consequently, net income after tax was 57.7 million JOD at the end of 2023, reflecting a growth rate of 31.8%.

The table and chart below illustrate the trends in income and expenses over the past five years (2019-2023).

Description	2019	2020	2021	2022	2023
Collected Interest and Fees	279,716	277,050	288,776	351,615	465,706
Paid Interest and Fees	117,288	103,803	105,570	137,197	220,460
Net Interest and Fees	162,429	173,247	183,206	214,418	245,247
Expenses ,Depreciation ,and Amortization	92,863	96,987	100,297	119,750	131,597
Net Income from Traditional Banking Operations	69,566	76,260	82,909	94,668	113,650
Income from Foreign Exchange and Gold	6,965	6,750	6,840	11,440	13,777
Income from Investments	1,351	3,063	3,370	840-	3,076
Other Revenues	1,457	1,462	2,160	2,007	1,405
Net Income before Provisions and Income Tax	79,337	87,535	95,279	107,275	131,907
Provisions	17,991	40,628	30,096	35,540	41,510
Income Tax	23,330	16,863	23,758	27,934	32,660
Net Income after Tax	38,016	30,044	41,425	43,800	57,737

(Values are in thousands of JOD)



(Values are in thousands of JOD)

Governance report for shareholding companies

In line with Bank al Etihad's belief in the importance of corporate governance to strengthen the principles of security and safety in the banking sector, as well as to bolster depositor and investor confidence in the bank, which has a positive impact on the bank's stability and supports our strategic growth plans, the Board of Directors has adopted a Corporate Governance Guide. This guide represents the principles that will be applied in managing our institution and the relationships among all stakeholders involved with the bank, including shareholders, depositors, the Board of Directors, executive management, employees, and various regulatory bodies.

This report has been prepared in compliance with the requirements of the Corporate Governance Instructions for Listed Companies issued in 2017 by the Securities Commission. These instructions mandate the preparation of a corporate governance report to be included in the bank's annual report, disclosing the extent of the bank's adherence to these instructions.

First: Information and Details Regarding the Implementation of the Provisions of the Corporate Governance Instructions for Listed Companies

The bank is committed to implementing all the provisions included in the Corporate Governance Instructions for Listed Companies.

Second: Information Related to the Board of Directors, Its Members, and Its Committees

Board Member Profiles

1. Issam Haleem Jeries Salfiti
Chairman of the Board (Non-Executive, Non-Independent)

Chair of the Facilities Committee and Corporate Governance Committee

Year of Birth: 1944

Education: Bachelor's in Economics, 1967, American University of Beirut

Work Experience:

- Chairman of the Board, Bank al Etihad (June 1997-present).
- General Manager, Bank al Etihad (July 1989-July 2008).
- Chairman, Union Brokerage Company (February 2006-present).
- Deputy General Manager, Arab Finance Corporation (Jordan) (October 1986-June 1989).
- Member of the Board of Trustees, University of Jordan (2012-2016).
- Chairman, Jordan Hotels & Tourism Company (Public Shareholding) (1999-present).
- Member of the Board, Zara Investment Company (Public Shareholding) (1994-present).
- Member of the Board of Trustees, King Hussein Foundation (1999-present).
- Member of the Board of Trustees, Jubilee School (2005-2010).
- Member of the Board of Trustees, Baccalaureate School (1992-2023).

2. Bassem Issam Haleem Salfiti
Vice-Chairman of the Board (Non-Executive, Non-Independent)

Chair of the IT Governance Committee, Member of the Facilities and Risk Committees

Year of Birth: 1972

Education:

- Bachelor's in Electrical Engineering, Brown University, USA, 1993.
- Master's in Finance and Strategic Corporate Planning, Columbia University, USA, 2000.

Work Experience:

- Chairman of the Board of Trustees, Hussein Technical University (HTU) (2019-present).
- Board Member, National Society for the Preservation of Petra (2019-present).
- Board Member, Jordanian Entrepreneurship Fund (ISSF) (2020-present).
- Board Member, Delta Insurance Company (Public Shareholding) (2017-present).
- Representative, Islamic Union Company on the Board of Safwa Islamic Bank (Public Shareholding) (2017-present).
- Board Member, Arab Center for Engineering Studies (2022-present).
- General Partner and Co-Director, Hummingbird Ventures, London, UK (2012-2016).
- Head, European Technology Investment Unit, Perella Weinberg Partners, London, UK (2007-2012).
- Executive Director, Technology Investment Unit, Morgan Stanley & Co., London, UK (2000-2006).
- Chief Operating Officer, Best Laboratories Inc., Sunnyvale, California (1994-1998).
- Social Security Corporation - A Jordanian government institution

3. Social Security Corporation - a Jordanian government institution (Non-Executive member, Non-Independent)

Represented by:
Shaden Ziad Nabih Darwish Al-Hajji - October 1, 2023
Member of the Audit Committee and Compliance Committee

Year of Birth: 1984

Academic Qualifications:

- Bachelor's in Financial and Banking Sciences from the University of Jordan (1999–2003)
- CFA designation obtained in 2010 from CFA Institute, Charlottesville, VA

Work Experience:

- Head of Private Equity Portfolio Management, Social Security Investment Fund (2019–Present)
- Head of Public Equity Portfolio Management in the Equity Investment Department, Social Security Investment Fund (2010–2019)
- Senior Financial Analyst in the Equity Investment Department, Social Security Investment Fund (2007–2010)
- Financial Analyst in the Equity Investment Department, Social Security Investment Fund (2003–2007)
- Board Representative for the Social Security Corporation on the Board of Capital Bank (2019–2023)
- Board Representative for the Social Security Corporation on the Board of Jordan Commercial Bank (2016–2019)

4. Imad Mohammad Ali Abdel Khaleq
Non-Executive, Non-Independent

Member of the Facilities and Nominations & Remuneration Committees

Year of Birth: 1963

Education: Bachelor's in Mathematics, University of Wisconsin, USA, 1987

Work Experience:

- CEO, Arab War Risks Insurance Syndicate (AWRIS) (since June 2022).
- General Manager, Jordan Insurance Company (2005-2022).
- Vice President, Jordan Insurance Federation (2009-2010).
- Held several positions at Munich Re, Germany, including Senior Regional Manager (1990-2005).
- Board Member, Asia Insurance, Kurdistan-Iraq (2011-2022).
- Board Member, National Insurance Company, Yemen (2005-2022).
- Vice Chairman, Executive Committee, AWRIS, Bahrain (2017-2022).
- Member, Chief Executive Insurance Club in the MENA region (2007-2012).
- Board Member, Jordan Insurance Federation (2009-2011).
- Member, Royal Committee for Economic Modernization Vision, Health Sector, Jordan (2022).

5. Mughith Ghiath Munir Sakhtian
Non-Executive, Non-Independent

Member of the Facilities and IT Governance Committees

Year of Birth: 1973

Education:

- Bachelor's and Master's in Industrial Systems Engineering, Rensselaer Polytechnic Institute, Troy, New York, 1994
- MBA, Columbia University, New York, 2001

Work Experience:

- Managing Director, GMS Specialized Services (2013-present).
- Associate Director, Mergers & Acquisitions for Financial Institutions, JP Morgan, USA (2000-2003).

Board Memberships:

- Board Member, GMS Holdings (2008-present).
- Board Member, Palestine Telecommunications (2022-present).
- Board Member, Munir Sakhtian International Group (2016-present).
- Board Member, VTEL Holdings and subsidiaries (2006-present).
- Trustee, Columbia University Middle East Research Center (2018-present).
- Trustee, Jordan Media Institute (2022-present).

6. Jabra "Raja" Yaqoub Jabra Ghandour
Non-Executive, Independent

Chair of the Risk Committee, Member of the Audit and Nominations & Remuneration Committees

Year of Birth: 1962

Education: Master's in Architecture, University of Texas, USA; Bachelor's in Civil Engineering, University of Arlington, USA

Work Experience:

- Wealth Management and Global Investments, Boubyan Bank, Kuwait (2022-present).
- CEO, Boubyan Capital Investment Company, Kuwait (2018-2022).
- Board Member, Bank of London and the Middle East (2015-present).
- Executive Director, Bank of London and the Middle East (2015-2016).
- Executive Director and Board Member, Qatar International Bank (2012-2015).
- General Manager, National Bank of Kuwait (Jordan) until 2012.

7. Libyan Foreign Investment Company

Non-Executive, Non-Independent

Date of establishment: Established under Law No. (6) of 1981 as a Libyan joint-stock company wholly owned by the Libyan state. The company has legal personality and financial independence, and its supervision was transferred to the Libyan Investment Authority under Decision No. 205 of 2006 and Law No. 13 of 2010.

Company capital: 3.5 billion Libyan dinars.

Company's nature of activity: Engaged in establishing or contributing to the establishment and full or partial ownership of companies and investment projects in various economic sectors, and lending or borrowing funds.

Representatives:

Moussa Al-Hassan Ateeg Ali
Non-Executive, Non-Independent

Member of the Facilities and IT Governance Committees

Date of Birth: 1986

Academic Qualifications: Master's in Law, Bournemouth University, United Kingdom

Work Experience:

- Current Board Member, International Hotel Investment Company.
- Current Board Member, Sahara and Sahel Bank.
- Current Chairman, Financial Brokerage Company.
- Current Vice Chairman, Arab Petroleum Investments Corporation.
- Current General Manager, Libyan Foreign Investment Company.
- General Manager, Libya Africa Investment Portfolio (until 2021).
- Legal Advisor, Libyan Company (until 2019).
- Secretary of the Board, Libya Africa Portfolio (until 2021).

Ali Mahmoud Hassan Mohamed
Non-Executive, Non-Independent (from 21/09/2023)

Member of the Audit and Compliance Committees

Date of Birth: 1973

Academic Qualifications:

- PhD in Financial Management (2009), Arab Academy for Financial Sciences, Jordan.
- Master's in Financial Planning (2002), Institute of Planning for Graduate Studies, Tripoli.
- Bachelor's in Business Administration (1998), University of Tripoli, Libya.

Work Experience:

- Chairman and CEO, Libyan Investment Corporation (2017-present).
- Board Member, Arab Mining Company (2022-present).
- Chairman, LIA Advisory, Malta (2017-present).
- Board Member, SAYA Corp, Bahrain (2017-present).
- Board Member, Libyan Telecommunications and Information Technology Company (until 2019).
- General Manager, Libyan Finance and Leasing Company (2013-2018).
- Former Board Member, LIA (until 2016).
- Former Member, Libyan Stock Exchange (until 2018).

8. Nadia Ahmed Abdel Mohsen Al-Anani
Non-Executive, Independent (since 05/02/2023)

Chair of the Compliance Committee, Member of the Audit and Risk Committees

Year of Birth: 1966

Education:

- PhD in Law (2009), Durham University.
- Master's in Commercial Law (1990), University of Bristol.
- Bachelor's in Law (1988), University of Jordan.

Work Experience:

- Legal Consultant, Central Bank of Jordan (until 2005).
- Legal Trainer, Marwan Al-Hasan & Sons Law Firm (until 2006).
- Founder, Al-Anani Law Firm (since 2010).
- Assistant Professor, Princess Nourah University (until 2012).
- Senior Associate at Hani Qorsha Law Firm in collaboration with Kilpatrick Townsend (until 2013).
- Head of Women's Sector, Al-Anezi Company in Saudi Arabia (until 2016).
- General Counsel, McKinsey & Company (until 2018).
- Legal Advisor, Public Investment Fund (until 2020).
- Current Founder and Manager, Al-Anani Law Firm.

9. Lana Yousef Ibrahim Ghanem
Non-Executive, Independent (since 04/05/2023)

Chair of the Nominations and Remuneration Committee, Member of the Corporate Governance and IT Governance Committees

Year of Birth: 1966

Education:
- Bachelor's in Commerce, McGill University, Canada, 2006.
- MBA, Harvard University, USA, 2012.

Work Experience:
- Current CEO, Hikma Ventures.
- Vice President of Investments and Digital Partnerships (currently).
- Assistant Executive Director and Head of Strategy and Corporate Development, Hikma Pharmaceuticals (2012-2020).
- Financial Analyst, Mergers and Acquisitions Division, Dresdner Kleinwort Investment Bank, London (2003-2007).
- Board Memberships:
- Board Member, Siniora Food Industries (2018-present).
- Board Member, Arab Palestinian Investment Company (2022-present).
- Member of Investment Committee, Arab Bank Ventures (AP Ventures) (2018-2023).

Board Members Who Resigned During 2023

1. Mohammad Nabeel Abdul Hadi Mohammad Hamouda (until 15/01/2023)
Non-Executive, Non-Independent

Chair of the Management Committee, Member of the Nominations & Remuneration and Facilities Committees

Year of Birth: 1949

Education: Bachelor's in Business Administration, England, 1974

Work Experience:
- Chairman and CEO, Hamouda Group of Companies (present).
- Businessman in industry, commerce, and investment (since 1975-present).
- Employee, Grindleys Bank (until 1974).
- Board Member, Middle East Insurance Company (Public Shareholding) (until 1997).
- Chairman, Jordan Poultry Processing and Marketing Company (Public Shareholding) (currently).

2. Riyadh Abdul Mohsen Taher Al-Dajani (until 23/04/2023)
Non-Executive, Independent (lost independence status on 23/04/2023)

Chair of the Nominations & Remuneration Committee, Member of the Corporate Governance and Audit Committees

Year of Birth: 1940

Education:

- Master's in Accounting, DePaul University, Chicago, USA, 1973.
- CPA certification, American Institute of CPAs, 1975.
- Founder and Member, Jordanian Association of Certified Public Accountants (JCPA), 1987.

Work Experience:

- Senior Partner, Arthur Andersen & Co. (1980-2002).
- Senior Partner, Dajani & Aladdin - Jordan (1978-1984).
- Chairman, Al-Mashreq Insurance Company - Ramallah (2002-2004).
- Chairman, Jericho Tourism Village - Jericho (2002-present).
- Trustee, St. John Eye Hospital - Jerusalem (2002-2006).
- Trustee, St. Joseph Hospital - Jerusalem (2002-2008).
- Member, Palestinian Small Enterprises Fund - Jerusalem (2004-2008).

3. Jalal Anwar Mousa Al-Ajlouni
Representative of the Social Security Corporation (until 01/10/2023)
Non-Executive, Non-Independent

Member of the Audit and Compliance Committees

Year of Birth: 1981

Education:

- Master's in Finance and Banking, Yarmouk University, 2006.
- Bachelor's in Finance and Banking, Yarmouk University, 2003.
- Certified Project Manager (CPM), 2011.
- Certified Credit Analyst (CCA), 2008.

Work Experience:

- Head of Treasury, Social Security Investment Fund (2018-present).
- Vice Chairman, Social Security Leasing Company (previously).
- Board Member, Jordan Woolen Mills Company (until 2019).

4. Mohammad Altayeb Ali Al Ajdal
Representative of the Libyan Foreign Investment Company (until 20/08/2023)
Non-Executive, Non-Independent

Member of the Compliance and Facilities Committees

Year of Birth: 1974

Education: Education: Bachelor's in Economics, University of Tripoli, 1997

Work Experience:

- Office Manager for the Chairman and CEO, Libyan Investment Authority (2019).
- Board Member, 6th October Agricultural Projects (2021).
- Member of the Board of Directors, Housing and Tourism Investment Company (2016-2018).
- Investment Advisor to the Prime Minister (2015-2016).
- Investment Advisor to the Chairman of the Libyan Investment Authority (2015-2018).
- Member of the Investment Committee, Savings and Urban Development Company (2012-present).
- Director, Contributions and Evaluation Department, Libyan Investment Authority (2019-present).

5. Rana Jamil Saeed Abadi (until 29/12/2023)
Non-Executive, Independent (lost independence on 28/12/2023)

Bachelor's in Accounting and Business Administration, University of Jordan, 1998

Year of Birth: 1966

Education: Education: Bachelor's in Economics, University of Tripoli, 1997

Work Experience:

- Financial and Digital Transformation Advisor, Azza Al-Arab Group (2018-present).
- Board Member and Chair of the Audit Committee, Orascom Financial Holding (2021-present).
- Various roles at Orascom and Orange Group:
  - Executive Vice President, Government Relations and Wholesale Sales (2012-2017).
  - Executive Vice President, Quality and Corporate Support (2009-2011).
  - Executive Vice President, Development (2007-2009).
  - CFO (2002-2006).
- Financial Manager, Jordan Mobile Services (Fastlink) (1995-1997).
- Senior Auditor, Saba & Co. (1988-1995).
- Board Member, International Leasing Company - Egypt (2019-present).
- Board Member, International Finance Company - Egypt (2019-present).
- Member of the Board, Technology Industry Chamber - Ministry of Industry and Trade, Egypt (2017-2021).

Third: Committees Emerging from the Board of Directors

- Audit Committee
- Corporate Governance Committee
- Risk Committee
- Compliance Committee
- Nominations and Remuneration Committee
- IT Governance Committee
- Facilities Committee
- Management Committee (dissolved on 01/06/2023)

Frequency of Board and Committee Meetings in 2023

1. Board Meetings: 7 meetings

Member Name	Meeting Attendance Information						
	26/02	18/04	18/06	13/08	08/10	26/11	17/12
Issam Haleem Jeries Salfiti	Present	Present	Present	Present	Present	Present	Present
Bassem Issam Haleem Salfiti	Present	Present	Present	Present	Present	Present	Present
Jabra "Raja" Yaqoub Jabra Ghandour	Absent	Present	Present	Present	Present	Present	Present
Muath Ghaith Munir Sakhtian	Present	Present	Present	Present	Present	Present	Present
Riyadh Abdul Mohsen Taher Al-Dajani (until 23/04/2023)	Present	Present	-	-	-	-	-
Social Security Corporation / Jalal Anwar Mousa Al-Ajlouni (until 01/10/2023)	Present	Present	Present	Present	-	-	-
Social Security Corporation / Shaden Ziad Nabih Darwish Al-Hajji (from 01/10/2023)	-	-	-	-	Present	Present	Present
Rana Jamil Saeed Abadi (until 29/12/2023)	Present	Present	Present	Present	Present	Present	Present
Imad Mohammad Ali Abdel Khaleq	Present	Present	Present	Present	Present	Present	Present
Libyan Foreign Investment Company / Moussa Al-Hassan Ateeg	Present	Present	Present	Present	Present	Present	Present
Libyan Foreign Investment Company / Mohammad Altayeb Ali Al Ajdal (until 20/08/2023)	Present	Present	Present	Present	-	-	-
Libyan Foreign Investment Company / Ali Mahmoud Hassan Mohamed (from 21/09/2023)	-	-	-	-	Present	Present	Present
Nadia Al-Anani (from 05/02/2023)	Present	Present	Present	Present	Present	Present	Present
Lana Ghanem (from 04/05/2023)	-	-	Present	Present	Present	Present	Present

2. Audit Committee: (8) Meetings

Member Name	Meeting Attendance Information							
	14/2	30/03	19/04	20/6	27/07	17/9	29/10	21/12
Rana Jamil Saeed Abadi	Present	Present	Present	Present	Present	Present	Present	Present
Riyadh Abdul Mohsen Taher Al-Dajani (until 23/04/2023)	Present	Present	Present	-	-	-	-	-
Jabra "Raja" Yaqoub Jabra Ghandour	Present	Present	Present	Present	Present	Present	Present	Present
Jalal Anwar Mousa Al-Ajlouni (until 01/10/2023)	Present	Present	Present	Present	Present	Present	-	-
Moussa Al-Hassan Ateeg Ali	Present	Present	Present	Present	Present	Present	-	-
Ali Mahmoud Hassan Mohamed (from 21/09/2023)	-	-	-	-	-	-	Present	Present
Shaden Al-Hajji (from 01/10/2023)	-	-	-	-	-	-	Present	Present
Nadia Al-Anani (from 18/06/2023)	-	-	-	Present	Present	Present	Present	Present

3. Corporate Governance Committee: (2) Meetings

Member Name	Attendance Information	
	13/6	17/12
Issam Haleem Jeries Salfiti	Present	Present
Lana Ghanem	Present	Present
Rana Jamil Saeed Abadi	Present	Present

4. Risk Management Committee: (5) Meetings

Member Name	Meeting Attendance Information				
	29/03	17/04	14/06	17/09	13/12
Bassem Issam Haleem Salfiti	Present	Present	Present	Present	Present
Jabra "Raja" Yaqoub Jabra Ghandour	Present	Present	Present	Present	Present
Nadia Al-Anani	Present	Present	Present	Present	Present
Rana Abadi	Present	Present	Present	Present	Present

5. Compliance Committee: (4) Meetings

Member Name	Meeting Attendance Information			
	15/02	10/04	09/08	11/09
Riyadh Al-Dajani (until 26/02/2023, resigned 23/04/2023)	Present	-	-	-
Rana Jamil Saeed Abadi (until 29/12/2023)	Present	-	-	-
Nadia Al-Anani (from 05/02/2023)	-	Present	Present	Present
Mohammad Altayeb Ali Al Ajdal (until 20/08/2023)	Present	Present	Present	-
Jalal Al-Ajlouni (until 01/10/2023)	-	Present	Present	-
Shaden Al-Hajji (from 01/10/2023)	-	-	-	Present
Ali Hassan	-	-	-	Present

6. Nominations and Remuneration Committee: (4) Meetings

Member Name	Meeting Attendance Information			
	10/01	15/02	18/09	23/11
Lana Yousef Ibrahim Ghanem (from 04/05/2023)	-	-	Present	Present
Riyadh Abdul Mohsen Taher Al-Dajani (until 23/04/2023)	Present	Present	-	-
Jabra "Raja" Yaqoub Jabra Ghandour	Present	Present	Present	Present
Mohammad Nabeel Abdul Hadi Hamouda (until 15/01/2023)	Absent	-	-	-
Imad Abdul Khaleq	-	Present	Present	Present

7. IT Governance Committee: (4) Meetings

Member Name	Meeting Attendance Information			
	20/03/2023	18/07/2023	02/08/2023	18/10/2023
Bassem Issam Haleem Salfiti	Present	Present	Present	Present
Moussa Al-Hassan Ateeg Ali	Present	Present	Present	Present
Muath Ghaith Munir Sakhtian	Present	Present	Present	Present
Lana Yousef Ibrahim Ghanem (from 10/05/2023)	-	Present	Present	Present

8. Management Committee: (11) Meetings

Member Name		Mohammad Nabeel Abdul Hadi Hamouda	Mugith Ghaith Munir Sakhtian (from 20/02/2020)	Bassem Issam Haleem Salfiti	Imad Abdul Khaleq
Meeting Attendance Information	05/01/2023	Present	Present	Present	-
	26/01/2023	Present	Present	Present	-
	02/02/2023	-	Present	Present	-
	09/02/2023	-	Present	Present	Present
	02/03/2023	-	Present	Present	Present
	23/03/2023	-	Present	Present	Present
	30/03/2023	-	Present	Present	Present
	06/04/2023	-	Present	Present	Present
	20/04/2023	-	Present	Present	Present
	18/05/2023	-	Present	Present	Present
	31/05/2023	-	Present	Present	Present

9. Facilities Committee: (40) Meetings

		Issam Haleem Jeries Salfiti	Mohammad Nabeel Abdul Hadi Hamouda (until 15/01/2023)	Muath Ghaith Munir Sakhtian	Bassem Issam Haleem Salfiti	Mohammad Altayeb Ali Al Ajdal (until 20/08/2023)	Imad Abdul Khaleq	Moussa Al-Hassan Ateeg Ali (from 08/10/2023)
Meeting Date	05/01/2023	Present	Present	Present	Present	Present	-	-
	12/01/2023	Present	-	Present	Present	Present	-	-
	26/01/2023	Present	-	Present	Present	Present	-	-
	02/02/2023	Present	-	Present	Present	Present	-	-
	09/02/2023	Present	-	Present	Present	Present	Present	-
	02/03/2023	Present	-	Present	Present	Present	Present	-
	09/03/2023	Present	-	Present	Present	Present	Present	-
	16/03/2023	Present	-	Present	Present	Present	Present	-
	23/03/2023	Present	-	Present	Present	Present	Present	-
	30/03/2023	Present	-	Absent	Present	Present	Present	-
	06/04/2023	Present	-	Present	Present	Present	Present	-
	20/04/2023	Present	-	Present	Present	Present	Present	-
	04/05/2023	Present	-	Present	Present	Present	Present	-
	18/05/2023	Present	-	Present	Present	Present	Present	-
	31/05/2023	Present	-	Absent	Present	Present	Present	-
	11/06/2023	Present	-	Absent	Present	Present	Present	-
	19/06/2023	Present	-	Present	Present	Present	Present	-
	06/07/2023	Present	-	Present	Present	Present	Present	-
	13/07/2023	Present	-	Absent	Present	Present	Present	-
	27/07/2023	Absent	-	Present	Present	Present	Present	-
	03/08/2023	Present	-	Present	Absent	Present	Present	-
	10/08/2023	Present	-	Present	Present	Present	Present	-
	20/08/2023	Present	-	Present	Present	Present	Present	-
	24/08/2023	Present	-	Present	Present	Present	Present	-
	03/09/2023	Absent	-	Present	Present	Present	Present	-
	07/09/2023	Absent	-	Present	Present	Present	Present	-
	14/09/2023	Present	-	Present	Present	Present	Present	-
	24/09/2023	Present	-	Present	Present	-	Present	-
	02/10/2023	Present	-	Present	Present	-	Present	-
	05/10/2023	Present	-	Present	Present	-	Present	-
	15/10/2023	Present	-	Present	Absent	-	Present	Present
	19/10/2023	Present	-	Present	Present	-	Present	Present
	26/10/2023	Present	-	Present	Present	-	Present	Present
	02/11/2023	Present	-	Present	Present	-	Present	Present
	09/11/2023	Present	-	Absent	Present	-	Present	Present
	16/11/2023	Present	-	Present	Present	-	Present	Present
	23/11/2023	Present	-	Present	Present	-	Present	Absent
	30/11/2023	Present	-	Present	Absent	-	Present	Present
	14/12/2023	Present	-	Absent	Present	-	Present	Present
	24/12/2023	Absent	-	Present	Present	-	Present	Present

- The Audit Committee held a total of four meetings with the external auditor in 2023. In one of these meetings, the requirement to meet with the external auditor without the attendance of the executive management was fulfilled.
- The Executive Director of the Compliance Department serves as the bank's Governance Liaison Officer.
- The committees carry out their assigned tasks in accordance with the Corporate Governance Manual.

Fourth: Information on the Bank's Executive Positions and the Names of Position Holders

Executive Position	Name
Chief Executive Officer	Nadia Helmi Hafez Al-Saeed
Deputy CEO for Special Projects	Dima Mufleh Mohammad Aqel*
Chief Corporate Banking Services	Mohammad Ghasib Abdullah Abdelmajid Hatamleh
Chief of Credit and Credit Management	Tarek Mohammad Saeed Hasan Badawi
Chief of Central and Administrative Operations	Mohammad Mahmoud Ahmed Burjak
Chief of Financial Officer	Zeid Eyad Akram Kamal
Chief of Human Resources and Customer Experience Development	Daniel Fawaz Odeh Al-Shareiha
Chief of Audit	Bashar Mohammad Khair Awad Ababneh
Chief of Retail Banking Services	Mahmoud Tayseer Ahmed Badwan
Chief of Small and Medium Enterprise Banking Services	Mahmoud Tayseer Ahmed Badwan
Chief of Treasury ,Investment ,and External Relations	Fadi Ahmad Kamal Marei
Chief of Technology	Amer Mohammad Khair Zaki Abu Leila**
Chief of Risk Management	Khaled Abdelmalek Mohammad Abdelmalek
Chief of Corporate Communications and Marketing	Natalie Mazen Yousef Alnaber
Chief of Compliance	Tamer Wasfi Mohammad Musa Barakat

* Dima Mufleh Mohammad Aqel, Deputy CEO for Special Projects, submitted her resignation on 31/12/2023.

** Amer Mohammad Khair Zaki Abu Leila, Head of Technology, submitted his resignation on 01/01/2024.

Disclosures required by the Securities Commission and Corporate Governance Manual

Main Activities of the Company:

The bank provides a full range of banking, credit, and financial services and financing operations to individual, SME, and large corporate sectors. Services include the issuance of documentary credits (incoming and outgoing) and local and international guarantees for all clients. Additionally, the bank accepts all types of deposits (demand, savings, time deposits, and certificates of deposit).

Geographical Locations and Employee Distribution:

In 2023, the bank operates 59 branches across the Kingdom, along with the Central Exchange Unit, the Boulevard Exchange Unit, bonded warehouses, and subsidiary companies: Etihad Leasing Company, Etihad Brokerage Company, Etihad Islamic Investment Company, and Etihad Fintech Company.

Detailed addresses for each are provided in the final section of the report under (Branch Network, Subsidiaries, and Cash Offices in the Hashemite Kingdom of Jordan) on page ( ).

Branch / Location	Number of Employees	Branch / Location	Number of Employees
Main Office - Shmeisani	712	Shmeisani Branch	23
Jabal Amman Branch	6	Dabouq Branch	11
Gardens Branch	18	Sweifieh Branch	10
Mecca Street Branch	14	Jubeiha Branch	9
City Mall Branch	21	Yasmeen District Branch	7
Marj Al Hamam Branch	8	Downtown Branch	5
Wihdat Branch	7	Marka Branch	12
Taj Mall Branch	15	Abdoun Branch	15
North Abdoun Branch	5	Um Uthaina Branch	13
Go Park Branch	8	Jabal Al Hussein Branch	7
Rainbow Street Branch	5	Irbid University Branch	7
Bayedar Branch	7	Rabieh Branch	4
Karak Branch	8	Khalda Branch	12
Sahab Branch	7	Tabrbour Branch	7
North Hashmi Branch	5	Madaba Branch	7
Zarqa Branch	7	New Zarqa Branch	8
Ramtha Branch	6	Irbid Branch	7
Huson Branch	8	Aqaba Branch	7
Fuheis Branch	5	Abdali Mall Branch	13
Mafraq Branch	7	New Amman Complex / Irbid Branch	12
Moqablein Branch	9	Jerash Branch	6
Rashid District Branch	8	Sweileh Branch	5
Abu Alanda Branch	7	Sports City Branch	6
Business Center Branch	4	Salt Branch	6
Shafa Badran Branch	9	Dabouq 2 Branch	5
Sweileh Village Branch	6	Free Zone Zarqa Branch	7
Mecca Mall Branch	16	Russeifa Branch	6
City Gate Market - Zarqa	15	Vegetable Market	6
Ajloun Branch	6	Luweibdeh Branch	4
Nakheel District Branch	7	Nafoura Mall Branch - Aqaba	8
Bonded Warehouses	5	Direct Sales Unit	49
Central Exchange Unit / Shmeisani	22	Contact Center	113
Etihad Brokerage Company (Subsidiary)	3	Boulevard Exchange Unit	2
Etihad Fintech Company (Subsidiary)	4	Etihad Leasing Company (Subsidiary)	11
Etihad Islamic Investment Company (Subsidiary)	-	Total	1,430

The bank has no branches outside the Kingdom as of 2023.

Capital Investment

The capital investment amounted to 104.744 million JOD as of 31/12/2023, which includes:

- "Property and Equipment" balance of 76.211 million JOD
- Intangible Assets balance of 28.533 million JOD

Bank Subsidiaries:

Etihad Brokerage Company

Company Type: Limited Liability Company, established in 2006.

Primary Activity: Offers financial brokerage services, acting as a broker on its own account and in trust, along with investment advisory, investment management, and margin finance services.

Capital: 5,000,000 JOD

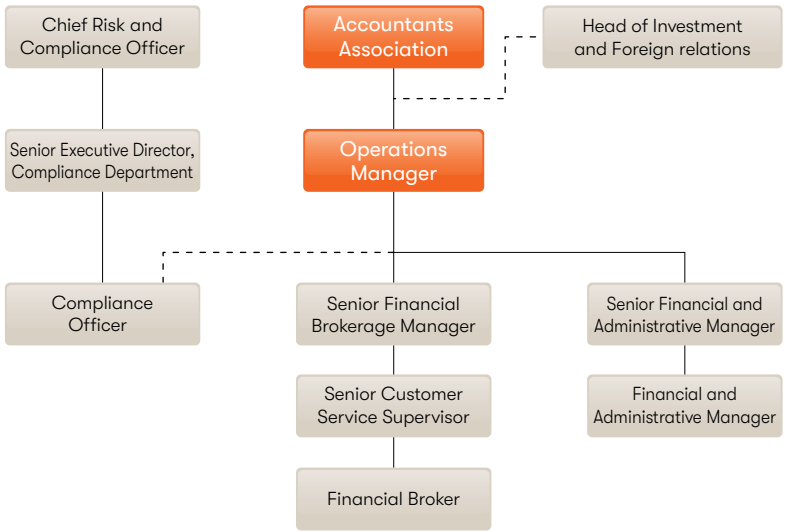
Bank Ownership: Wholly owned by the bank (100%).

Company Address and Number of Employees: Shmeisani - Housing Bank Complex. Employees: (3)

Company Branches and Number of Employees: No branches.

Company-Owned Projects and Their Capital: No projects owned by the company.

Company Organizational Structure:



Etihad Leasing Company

Company Type: Limited Liability Company, established in 2015.

Primary Activity: Financial leasing of vehicles and equipment for ownership purposes; leasing, owning, and managing movable and immovable assets necessary for leasing activities; borrowing funds from banks, mortgaging properties for leasing purposes, and buying, selling, trading, importing, and exporting fixed goods like machinery, equipment, and devices either for cash, installment sales, or leasing. The company also opens accounts in financial institutions within and outside Jordan to fulfill leasing objectives and partners with individuals, commercial, industrial, financial companies, and financing institutions inside and outside the Kingdom.

Capital: 12,000,000 JOD

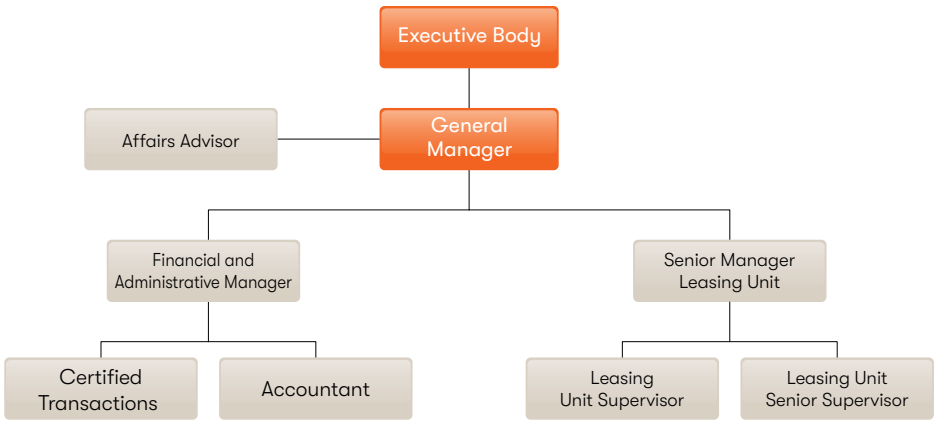
Bank Ownership: Fully owned by the bank (100%).

Company Address and Number of Employees: Mecca Street - Al Ghaith Complex. Employees: (11)

Company Branches and Number of Employees: No branches.

Company-Owned Projects and Their Capital: No projects owned by the company.

Company Organizational Structure:



Etihad Islamic Investment Company

Company Type: Private Shareholding Company, established in 2016.

Primary Activity: Owning shares, bonds, and equity in companies and borrowing necessary funds from banks.

Capital: 113,039,028 JOD

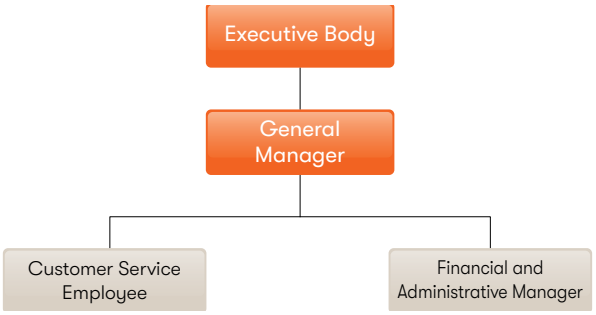
Bank Ownership: The bank owns 58% of the company's capital.

Company Address and Number of Employees: Shmeisani - Abdel Rahim Al-Waked Street. No employees in the company.

Company Branches and Number of Employees: No branches.

Company-Owned Projects and Their Capital: The company has acquired a controlling stake of 62.4% in Safwa Islamic Bank, with a capital of 100 million JOD.

Company Organizational Structure:



Etihad Financial Technology Company

Company Type: Private Shareholding Company, established in 2019.

Primary Activity: Investment in financial technology, financial education, and financial inclusion sectors; manufacturing and selling electronic and electrical communication devices related to financial technology; developing, programming, and supplying financial technology systems, applications, and related requirements.

Capital: 100,000 JOD

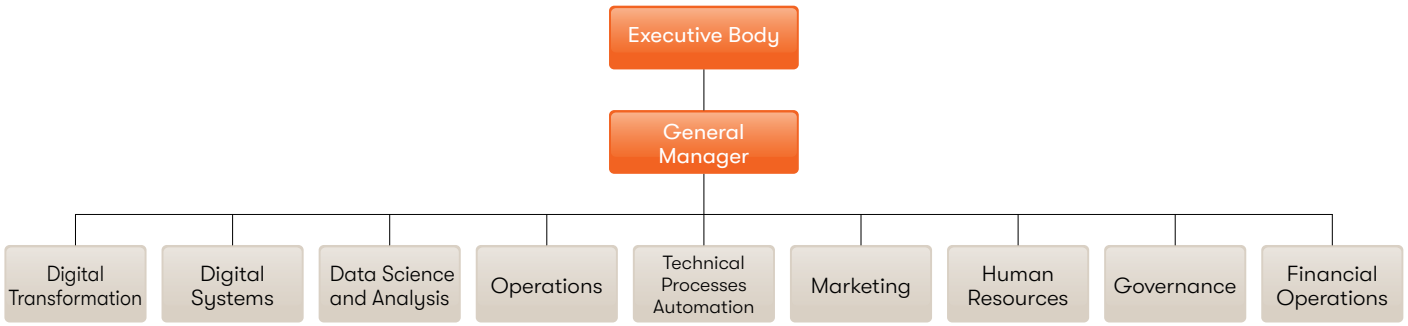
Bank Ownership: Wholly owned by the bank (100%).

Company Address and Number of Employees: Medical City Street - King Hussein Business Park. Employees: (4)

Company Branches and Number of Employees: No branches.

Company-Owned Projects and Their Capital: No projects owned by the company.

Company Organizational Structure:



List of Current and Former Board Members and Brief Introduction of Each:

This section is included within the Corporate Governance Report for Public Shareholding Companies, with detailed information provided on page ().

Disclosure of Executive Management Positions and Brief Biographies:

Nadia Hilmi Hafez Al-Saeed

Chief Executive Officer

Year of Birth: 1965

Education:

- Bachelor's degree in Economics and Business Administration from the University of Jordan, Cairo, 1992.
- Diploma in Governance, Risk, and Compliance (GRC) from the International Compliance Association (ICA).
- Digital Transformation Strategies Program – INSEAD Executive Program.

Work Experience:

- CEO of Bank al Etihad (2008–Present)
- Strategic Development Advisor at Bank al Etihad (2007–2008)
- CEO of the Dead Sea Development Company (2006–2007)
- Minister of Information and Communications Technology (2004–2006)
- Secretary-General of the Ministry of Information and Communications Technology (2003–2004)
- Economic Advisor to the Minister of Information and Communications Technology (2002–2003)
- Ten years of experience at Bank al Etihad in various roles, most recently as Director of Corporate Banking Services (1992–2002)

Memberships:

- Vice Chairperson of the Board, Etihad Leasing Company (January 22, 2015 – Present)
- Vice Chairperson of the Board, Etihad Fintech Company (2019 – Present)
- Board Member, Etihad Islamic Investment Company (2016 – Present)
- Board Member, Association of Banks in Jordan (March 20, 2021 – Present)
- Chairperson of the Board, Endeavor Jordan (December 9, 2020 – Present)
- Board Member, Jordan Loan Guarantee Corporation (March 28, 2018 – Present)
- Board Member, Jordan Capital and Investment Fund (March 28, 2021 – Present)
- Board Member, EDAMA Association for Energy, Water, and Environment (April 20, 2022 – Present)
- Board Member, Jordan Strategy Forum (May 16, 2023 – Present)
- Board Member, Financial Alliance for Women (June 10, 2021 – Present)

Deema Mufleh Mohammed Aqel (Resigned as of 31/12/2023)

Deputy CEO

Year of Birth: 1968

Education:
- Master's degree in Business Administration from Imperial College, University of London, UK, 2001
- Master's degree in Financial Markets, 1998
- Bachelor's degree in Electrical Engineering, 1990

Work Experience:
- Deputy General Manager, Bank al Etihad (since January 2012)
- Assistant General Manager for Risk and Compliance at Bank al Etihad until January 2012
- Assistant General Manager/Head of Risk and Compliance at Jordan National Bank (2005–2007)
- Head of Risk Management and Credit Policy at Housing Bank (2004–2005)
- Credit Risk Manager at Arab Bank (1990–2004)
- Board Member, Union Financial Brokerage Company (November 19, 2009 – February 28, 2022)
- Board Member, Union Leasing Company (January 22, 2015 – February 14, 2023)
- Board Member, Safwa Islamic Bank (January 4, 2017 – Present)

Mohammad Ghasib Abdullah Abdul Majeed Hatamleh

Chief of Corporate Banking Services

Year of Birth: 1971

Education:
- Master's degree in Business Administration (Finance) from NYIT (Jordan), 2007
- Bachelor's degree in Economics from Damascus University, 1993

Work Experience:
- Employed at Bank al Etihad since June 1999
- Previously worked at Cairo Amman Bank (1994–1999)
- Board Member, Commercial Bank Companies for Corporate Investments (August 15, 2017-Present)
- Board Member, Commercial Bank Companies for Investment (July 1, 2018 - Present)
- Board Member, National Company for Infrastructure Project Investment (February 29, 2020-Present)

Bashar Mohammad Khair Awad Ababneh

Chief of Internal Audit

Year of Birth: 1970

Education:

- Master's degree in Business Administration/Finance from Birmingham City University, UK, 1999
- Bachelor's degree in Accounting from the University of Jordan, 1994
- Holder of several professional certifications: ACPA (1997), Passed Level I of CFA (2003), CBA (2008)

Work Experience:

- Employed at Bank al Etihad since August 2008
- Executive Director of Internal Audit at Arab Banking Corporation (2005–2008)
- Assistant Executive Director - Senior Financial Analyst at the Deposit Insurance Corporation (2002–2005)
- Bank Inspector and Financial Analyst at the Central Bank of Jordan (1994–2002)
- Vice Chairperson, Chair of the Executive Committee, Chair of the Audit Committee, Member of the Governance Committee, and Member of the Compensation and Nomination Committee during his representation of Bank al Etihad on the Board of the Jordan Investment Guarantee Company (May 11, 2010 – October 5, 2021)
- Chair of the Audit Committee, Member of the Audit Committee at the King Hussein Foundation (March 17, 2016 – April 20, 2022)

Tareq Mohammad Saeed Hassan Badawi

Chief of Credit and Credit Admin

Year of Birth: 1966

Education:

- Master's degree in Business Administration/Accounting from the University of Jordan, 1995
- Bachelor's degree in Accounting with a minor in Economics and Statistics from the University of Jordan, 1987

Work Experience:

- Employed at Bank al Etihad since October 2008
- Board Member representing Bank al Etihad in Jordan Investment Guarantee Company (October 5, 2021 – Present)
- Board Member of Etihad Leasing Company (February 14, 2023 – Present)
- Credit Manager for the Eastern Region at Bank AlJazira, Saudi Arabia (2007–2008)
- Credit Supervisor, Credit Facilities Department for Jordan and Palestine branches, Arab Bank (2005–2007)
- Credit Supervisor at Bank Audi, Amman, Jordan (2004–2005)
- Credit Supervisor, Credit Facilities Department for Jordan and Palestine branches, Arab Bank (1991–2004)

Mohammad Mahmoud Ahmad Barjaq

Chief of Operations and Administratation

Year of Birth: 1972

Education:

- Bachelor's degree in Accounting from Amman Al-Ahliyya University, Jordan, 1994
- Certified Business Process Re-Engineering Practitioner from The Mountain Home Institute for Innovative Management, USA, 2005

Work Experience:

- Employed at Bank al Etihad since August 2008
- Specialist in international trade operations with over 25 years of experience in trade finance and banking operations
- Commercial Operations Manager at Jordan Commercial Bank, Jordan (2005–2008)
- Previous experience with Arab Bank (Jordan), Riyad Bank (Saudi Arabia), and Jordan Capital Bank (Jordan) (1994–2005)
- Chairperson, National Banking Committee, International Chamber of Commerce – Jordan (November 19, 2011 – Present)
- Member, Banking Committee, International Chamber of Commerce – Paris (2001 – Present)
- Member, Guarantees Task Force, International Chamber of Commerce – Paris (2003 – Present)
- Advisory Committee Member on Uniform Customs and Practice for Documentary Credits (UCP 600), International Chamber of Commerce – Paris (2004 – 2007)
- Served as an arbitrator in numerous international trade documentation disputes (2005 – Present)

Daniel Fawaz Odeh Al-Sharaiha

Chief of Human Resources and Customer Experience

Year of Birth: 1977

Education:

- Bachelor's degree in Electrical Engineering from Al-Balqa Applied University, 2000
- Certified Lead Assessor in Quality Management Systems, 2005
- Project Management Certificate, 2007
- Conflict Resolution Management Certification from Eastern Mennonite University, USA, 2009
- Executive Certificate in Human Resources Management from Human Resources Management Academy, Bahrain/Kenya, 2010
- Certified Trainer and Specialist in Educational Dialogue from Global Learning Partners, Canada, 2012
- Specialized Certificate in Strategic HR Management from London Business School, UK, 2014
- Strategic Business Development Certificate from INSEAD, Singapore, 2017
- Institutional Change Management and Human Resources, University of London, 2018
- Advanced Business Management Certificate from IE University and AUB, 2019

Work Experience:

- Employed at Bank al Etihad since September 2010
- Advisor and certified trainer in human resources and customer experience management for various private, governmental, and non-governmental organizations globally (2005–2010)
- Executive Director of Customer Experience, HR Development, Training, and Talent Management at Zain (2002–2010)
- Electrical Engineer at Setelcom (France Telecom Group) (2000–2002)

Fadi "Ahmad Kamal" Marie Marie

Chief of Treasury, Investment, and External Relations

Year of Birth: 1978

Education:

- Master's degree in Business Administration from the University of Liverpool, UK, 2016
- Bachelor's degree in Financial and Banking Sciences from Yarmouk University, 2001
- Issuer Manager License from the Securities Commission, 2013
- Investment Manager License from the Securities Commission, 2015
- Financial Advisor License from the Securities Commission, 2015

Work Experience:

- Employed at Bank al Etihad since August 2002
- Vice Chairman of the Board, Union Financial Brokerage Company (March 20, 2022 – Present)
- Chairman of the Board, Tajamouat for Touristic Projects Co. (since December 2022)
- Board Member, Union Industries for Metal and Engineering Co. LLC (August 6, 2022 – Present)
- Board Member, MadfooatCom for Electronic Payments (November 22, 2022 – Present)

Zeid Eyad Akram Kamal

Chief of Finance

Year of Birth: 1980

Education:

- Chief Financial Officer Program from Columbia Business School Executive Education, 2022
- Certified Public Accountant (CPA), American Institute of Certified Public Accountants, 2016
- Bachelor's degree in Business Administration with a minor in Finance and Banking from Yarmouk University, 2001

Work Experience:

- Employed at Bank al Etihad since April 2014
- Financial Manager, Military Credit Fund (2011–2014)
- Financial Controller, Standard Chartered Bank – Jordan (2007–2011)
- Senior Accountant, Capital Bank of Jordan (2004–2007)
- Assistant Head of Department, Cairo Amman Bank (2001–2004)

Amer Mohammad Khair Zaki Abu Laila (Resigned effective January 1, 2024)

Head of Technology

Year of Birth: 1982

Education:

- Bachelor's degree in Business Systems and Network Management, Philadelphia University, 2005

Work Experience:

- Employed at Bank al Etihad since November 2016
- Founder and Chief Technology Officer, MarkaVIP (2010–2016)
- Chief Technology Officer, Erem Creative Production (2007–2010)
- Head of Technological Development, Quality Management Systems, Resourcing Services LTD (2006–2007)

Mahmoud Tayseer Ahmad Badwan

Chief of Retail Banking and Head of Small and Medium Enterprises (SME) Banking

Year of Birth: 1982

Education:
- Master's degree in Accounting and Finance from the Hashemite University, 2008
- Bachelor's degree in Accounting from Yarmouk University, 2004

Work Experience:
- Employed at Bank al Etihad since July 2013
- Financial Manager, Al-Rashid Hospital (2012–2013)
- Head of SME Department, Jordan National Bank (2007–2012)
- Client Relations Manager, Housing Bank for Trade and Finance (2004–2007)

Natalie Mazen Youssef Al-Naber

Senior Director of Corporate Communications and Marketing

Year of Birth: 1985

Education:
- Bachelor's degree in Marketing from Franklin University, Switzerland, 2007
- Currently pursuing a Master's degree at Columbia University, New York (2022 – Present)
- Certified Board Member from the Jordan Institute of Directors (JIoD) and the International Finance Corporation (IFC), 2022

Work Experience:
- Employed at Bank al Etihad since March 2013
- Corporate Communications Manager, Saraya Aqaba (2011–2013)
- Market Research Analyst, Saraya Real Estate Development (2010–2011)
- Corporate Communications Officer, Saraya Real Estate Development (2007–2010)

Khalid Abdul Malik Mohammad Abdul Malik

Chief of Risk Management

Year of Birth: 1982

Education:
- Master's degree in Corporate Risk Management from the University of Salford, UK, 2007
- Bachelor's degree in Finance from the University of Jordan, 2003

Work Experience:
- Board Member, Union Financial Brokerage Company (2022 – Present)
- Senior Executive Director of Credit Risk (2011–2018)
- Risk Modeling and Management Information Systems Manager, Bank al Etihad (2010–2011)
- Market Risk Officer, Cairo Amman Bank (2007–2010)
- Credit Officer, Cairo Amman Bank (2003–2006)

Tamer Wasif Mohammad Mousa Barakat

Senior Director of Compliance

Year of Birth:

- 1986

Education:

- Master's degree in Business Administration (MBA) from the German Jordanian University, 2012
- Bachelor's degree in Finance from the University of Jordan, 2008
- Certified Anti-Money Laundering Specialist (CAMS), 2013
- Certified Financial Crime Specialist (CFCS), 2019
- Certified Fraud Examiner (CFE), 2019
- Advanced Certificate in Managing Sanctions Risks (ICA), 2019
- COBIT 5 Foundation Certificate in IT Governance, 2017
- COBIT 5 Implementation Certificate in IT Governance, 2018
- Certificate on the Common Reporting Standards (CCRS), 2022
- Professional Post Graduate Diploma in Governance, Risk, and Compliance from the International Compliance Association (ICA), UK, 2023

Work Experience:

- Employed at Bank al Etihad since 2018
- Compliance Manager, Arab Banking Corporation - Jordan (March 2016 – September 2018)
- Assistant Compliance Manager, Arab Bank - Jordan (August 2012 – February 2016)
- Trade Services Officer (Letters of Credit), Jordan National Bank (April 2008 – July 2012)
- Board Member, Middle East and North Africa Association of Anti-Money Laundering and Counter-Terrorism Financing Professionals (September 2019 – Present)

Statement of Major Shareholders with Contributions Exceeding 5%

"Shareholder Name"	Number of Shares as of 31/12/2023	Percentage (%)	Pledged Shares	Beneficiary	Number of Shares as of 31/12/2022	Percentage (%)	Pledged Shares	Beneficiary
Libyan Foreign Investments Company	40,517,203	20.25%	-	-	32,413,763	20.30%	-	-
RS Finance	30,026,998	15.01%	26,640,383	Jordan Kuwait Bank	24,021,599	15.01%	21,312,307	Housing Bank
Social Security Corporation	22,056,697	11.02%	-	-	17,645,358	11.02%	-	-
Issam Halim Jreis Salfiti	14,000,000	7.00%	6,973,313	Jordan Commercial Bank	15,057,886	9.41%	8,127,223	Jordan Commercial Bank
Sout Al Kanar Investment Company	12,471,304	6.23%	3,600,000	Jordan Kuwait Bank	3,719,158	2.32%	-	-
Banque Banorient France	11,294,958	5.64%	-	-	14,635,967	9.14%	-	-
Horiat Al Mouhit Investment Company	11,062,476	5.53%	3,600,000	Jordan Kuwait Bank	6,449,981	4.03%	-	-

The Bank's Competitive Position within its Sector and Market Share:

This section is included within the analysis of the financial position and operating results for 2023 on page ().

Reliance on Specific Suppliers or Major Clients Locally and Internationally

There is no reliance on specific suppliers or major clients (locally or internationally) that constitute 10% or more of the total purchases and/or revenues (sales).

Governmental Protection or Privileges for the Bank or Any of Its Products or Services under Laws, Regulations, or Otherwise

- The bank does not benefit from any governmental protection or privileges for any of its products or services under laws, regulations, or otherwise.
- There are no patents or licenses obtained by the bank.

Decisions by the Government or International Organizations that Have a Material Impact on the Bank's Operations, Products, or Competitiveness

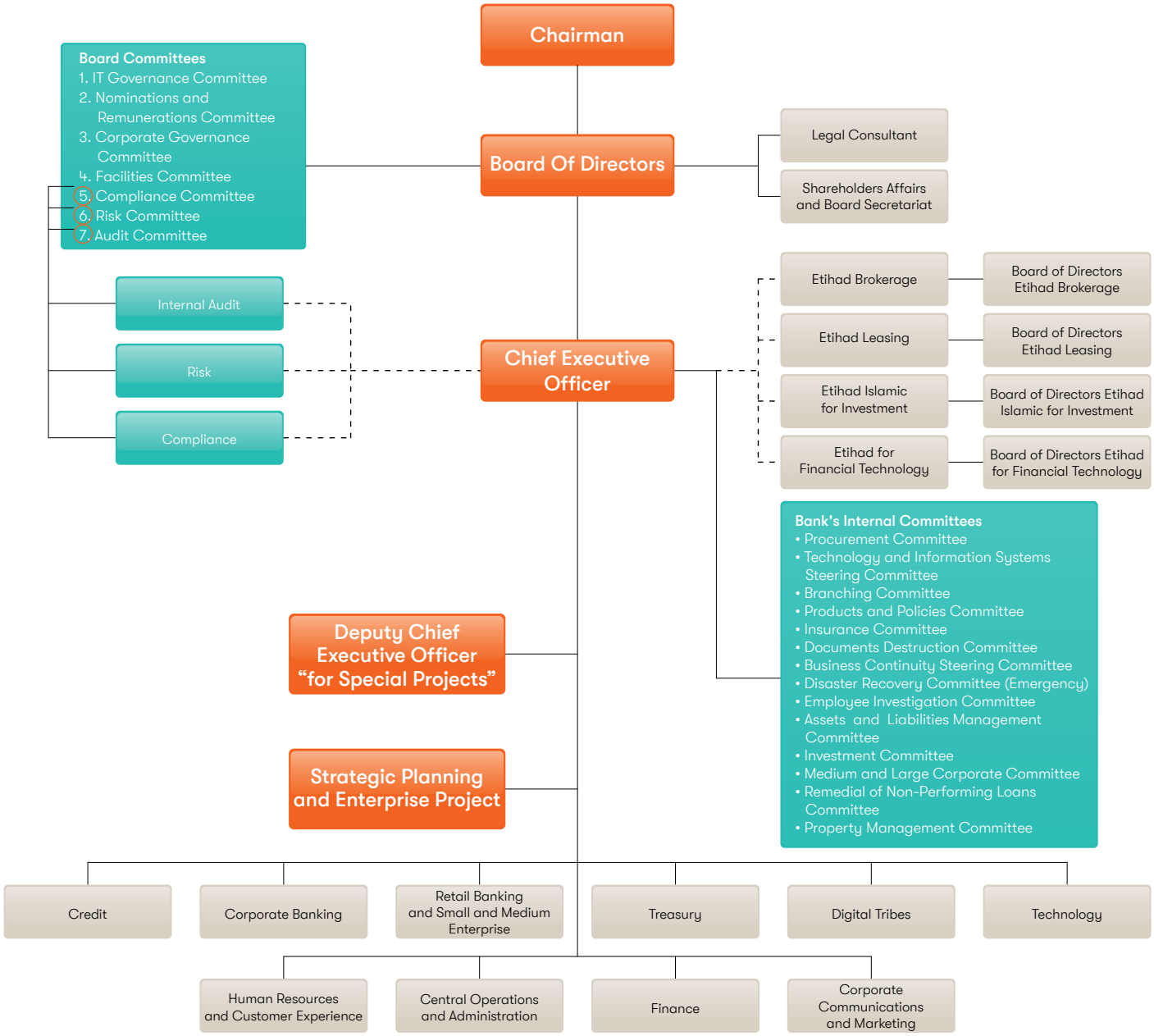
There are no decisions by the government or international organizations that have a material impact on the bank's operations, products, or competitiveness.

Application of International Quality Standards:

The bank has obtained the following certifications:

- Payment Cards Industry Data Security Standard (PCI DSS) certification.
- ISO/IEC 27001 Information Security Management certification (quality standards).
- ISO/IEC 27017 Cloud Security Controls certification (quality standards).

The Bank's Organizational Structure



The organizational structures of the bank's subsidiary companies are included in the section on the bank's subsidiaries on page ().

Number of Employees

As of the end of 2023, the total number of bank employees was (1,430), distributed as follows:

- (1,412) employees in the main administration and branches in Jordan.
- (3) employees in Al-Etihad Brokerage Company.
- (11) employees in Al-Etihad Leasing Company.
- (4) employees in Al-Etihad Financial Technology Company.
- There are no employees in Al-Etihad Islamic Investment Company.

Employees according to their academic qualifications

Qualification	Main Administration and Local Branches	Al-Etihad Brokerage Company	Al-Etihad Leasing Company	Al-Etihad Financial Technology Company	Al-Etihad Islamic Investment
Doctorate	2	-	-	-	-
Master's Degree	113	-	1	1	-
Postgraduate Diploma	27	-	-	-	-
Bachelor's Degree	1,207	3	9	3	-
Diploma	13	-	-	-	-
High School	19	-	-	-	-
Below High School (Messengers, Drivers, Guards)	31	-	1	-	-
Total	1,412	3	11	4	-

Qualification and Training Programs:

Believing in the importance of developing and refining the skills of its employees, Bank al-Etihad continued to achieve planned milestones in training for 2023. This was accomplished by enhancing the academic and professional capabilities of employees in the banking and financial sector, both locally and internationally, through a variety of academic, scientific, and training programs.

The following table provides detailed information on the number and types of training programs provided by the bank for 2023:

Description	Number for Participants		Branches		General Management	
	Amount	%	Amount	%	Amount	%
Local Trainings	2,531	17.50%	1689	19.50%	842	14.60%
External Trainings	18	0.10%	1	0.01%	17	0.30%
In-House Training Centre	1,060	7.40%	751	8.70%	309	5.30%
E-learning	10,690	74%	6181	71.30%	4509	78.10%
Professional Certifications	138	1%	42	0.50%	96	1.70%
Total	14,437	100%	8,664	100%	5773	100.00%

The courses mentioned above include the following key programs: professional certifications in banking credit, specialized professional diplomas in compliance and anti-money laundering, sustainability and green finance, risk management and cybersecurity, compliance, banking fundamentals, and other courses.

In an effort to stay updated with the latest advancements in specialized professional programs and certifications, 138 employees from various departments earned professional certifications.

Additionally, 251 training opportunities were provided for school and university students as well as recent graduates, reflecting the bank's commitment to serving the local community and utilizing these individuals to fill various vacancies within the bank as needed.

Universities and Institutions	Number of Trainees
Universities	122
Schools	102
Shorouq Program	20
Training for Employment	7
Total	251

Risks Faced by the Bank:

Credit Risk

Credit risk arises from the borrower's inability or unwillingness to repay the principal, interest, or associated fees. To mitigate and control credit risk, Bank al Etihad employs a variety of techniques to ensure stability and security, such as a portfolio diversification strategy. The Concentration Risk Management Department sets credit limits across economic sectors, geographic regions, credit ratings, and products. Additionally, the bank uses tools to measure credit risk, ensuring it avoids uncalculated exposure and enabling early detection of potential risks in the portfolio. To assess future risk levels, the bank regularly conducts stress tests based on hypothetical scenarios and negative economic forecasts to develop measures to avoid or mitigate these risks.

Market Risk

Market risk involves fluctuations in profit and loss values, equity value, or liquidity levels due to changes in interest rates, currency exchange rates, asset prices, or adverse economic conditions. To manage this risk, the bank follows a conservative policy through a central office and independent market risk management team, adhering to global best practices approved by the Board of Directors. Key market risks include:

1. Interest Rate Risk

This involves potential losses from fluctuations in interest rates, impacting product and asset values, and ultimately affecting the bank's revenue and equity value. These risks also arise from mismatched repricing dates of assets and liabilities, which the Assets and Liabilities Management Committee regularly manages through gap reports and set limits.

2. Liquidity Risk

Liquidity risk is the bank's potential inability to meet its short-term financial obligations, particularly to depositors, on time and at acceptable cost, due to concentrations or long-term investments. To prevent this risk, the bank engages in liquidity planning by managing legal and internal reserves to meet regulatory and internal requirements, as well as strategically managing future funding needs. The liquidity management strategy also diversifies funding sources and includes a contingency plan, updated regularly.

Operational Risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people, systems, or external events. This includes legal and regulatory risks. Operational risk management is part of the overall risk management framework, aiming to strengthen internal controls. Operational risks are identified, measured, monitored, and managed across all operations and products to achieve effective control. The bank monitors exposure levels against acceptable limits as outlined in its risk acceptance document. The bank uses various mechanisms, including Control Risk Self-Assessment (CRSA), to evaluate the effectiveness and efficiency of these controls.

The bank also builds key risk indicators, providing an early warning system for decision-makers to identify and mitigate unwanted events and potential losses. Additionally, the bank maintains a database of monetary losses due to operational risks to evaluate its exposure and control measures. Operational risk management does not aim to eliminate all potential risks but rather to understand the financial and other impacts and implement systems and controls to keep potential losses within acceptable levels.

Compliance Risk

Also known as integrity and reputation risk, compliance risk includes the risk of legal or regulatory penalties, financial losses, or reputation damage due to non-compliance with laws, regulations, orders, codes of conduct, and sound banking practices. Executive management is responsible for implementing a compliance policy, approved by the Board of Directors and communicated to all departments and employees. The management team is also responsible for ensuring proper procedures are followed if violations occur, including maintaining a qualified compliance unit.

To ensure the highest level of integrity and transparency, the bank relies on policies and internal procedures within a strong internal control framework, reviewed periodically.

Information Security and Cybersecurity Risk

The bank's information security and cybersecurity risk management relies on international standards to protect information, networks, and devices from internal and external threats. This safeguards data confidentiality and integrity, ensuring data availability and continuity of supporting systems. The department develops information security and cybersecurity policies and standards based on best practices to protect the bank's assets. It also updates and improves business continuity plans during disasters and crises to ensure uninterrupted services. Compliance with information security standards is monitored using the latest technologies and systems.

Organizational Structure of the Risk Management Department



Bank Activities and Achievements

The bank's achievements are detailed in the sections "(Financial Position Analysis and Business Results for 2023)" and "(Achievements for 2023)" on page (). Additionally, significant events affecting the bank in 2023 are outlined on page ().

The Financial Impact of Non-Recurring Operations and Activities Outside the Bank's Core Business

There is no financial impact from non-recurring operations or activities outside of the bank's main business activities.

Time Series of Realized Profits, Distributed Profits, and Net Shareholders' Equity (2019 - 2023):

Year	2023	2022	2021	2020	2019
Realized Profits	57,737,275	43,800,423	41,425,295	30,044,044	38,016,223
Cash Dividends Distributed	-	16,000,000	16,000,000	16,000,000	-
Proposed Dividends	20,000,000	-	-	-	-
Equity - Bank Shareholders	478,812,313	453,046,660	428,011,954	407,955,721	387,273,066

Bank Stock Prices (2019 - 2023)

Year	2023	2022	2021	2020	2019
Price	1.830 JOD	1.950 JOD	1.750 JOD	1.560 JOD	1.608 JOD

Financial Position Analysis of the Bank and Its Operations Results During 2023

This item has been detailed in full within the (Financial Position Analysis and Business Results for 2022) on page ().

Significant Future Developments for the Bank

Future developments and the Board of Directors' expectations for the bank's business results are outlined in our Business Model and Strategy section on page ().

Amount of Auditor Fees for the Bank and Subsidiaries

The auditor fees for the year 2023, including sales tax, are as follows:

Description	Audit Fees	Fees for Anti-Money Laundering and Counter-Terrorism Financing Services
Etihad Bank	149,060	-
Etihad Brokerage Company	4,640	2,320
Etihad Leasing Company	5,220	2,320
Etihad Islamic Investment Company	3,480	-
Etihad Financial Technology Company	6,960	-
Total	169,360	4,640

Statement of the Number of Bank Shares Owned by Board Members and Their Relatives

Name	Date of appointment	Nationality	As of 2023				As of 2022			
			Board Member	Representative Member	Relatives	Total	Board Member	Representative Member	Relatives	Total
Isam Jaris Halim Salfiti	20/02/2020	Jordanian	14,000,000				15,057,886			
Samia Suleiman Yousef Sukkar (his wife)	-	Jordanian			3,755,156	17,755,156			3,004,125	18,062,011
Basem Isam Salfiti	20/02/2020	Jordanian	1,094,056	-	-	1,094,056	875,245	-	-	875,245
Libyan Arab Foreign Investment Company	20/02/2020	Libyan	40,517,203	-	-	40,517,203	32,413,763	-	-	
"Represented by: Musa Al-Hassan Ateeq Ali in the first seat Mr. Ali Mahmoud Hassan Mohammed in the second seat From Date: 21/09/2023 Mohammad Al-Tibani, Ali Al-Ajdal To Date: 20/08/2023"	-	Libyan	-	-	-	40,517,203	-	-	-	32.413.763
Social Security Corporation	20/02/2020	Jordanian	22,056,697	-	-		17,645,358	-	-	
Represented by: Shaden Al-Hajji from Date: 01/10/2023 Jalal Anwar Mousa Al-Ajlouni to Date: 01/10/2023		Jordanian Jordanian				22,056,697				17.645.358
Imad Mohammad Ali Abdel Khaleq	20/02/2020	German	5,367			5,367	4,294			4,294
Mughith Ghiath Mounir Sukhtian	20/02/2020	Jordanian	20,821			20,821	16,657			16,657
Rana Jameel Saeed Abadi until Date: 29/12/2023	20/02/2020	Jordanian	6,400	-	-	6,400	5,120	-	-	5,120
Riyad Abdulmohsen Taher Al-Dajani until Date: 23/04/2023	20/02/2020	Jordanian	35,050	-	-	35,050	28,040	-	-	28,040
Jabra "Rajai Ya'qub" Jabra Ghandour	20/02/2020	Jordanian	63,900	-	-	63,900	51,120	-	-	51,120
Nadia Ahmad Abdul Mohsen Al-Anani from Date: 05/02/2023	05/02/2023	Jordanian	5,000	-	-	5,000	-	-	-	-
Lana Youssef Ibrahim Ghanem from Date: 04/05/2023	04/05/2023	Jordanian	5000	-	-	5000	-	-	-	-
Mohammad Nabil Abdulhadi Hammoudeh until Date: 15/01/2023	20/02/2020	Jordanian	1,271,578	-	-	1,271,578	1,158,907	-	-	1,158,907

- None of the board members or their relatives hold any shares in the bank other than those listed in the table above.
- There is no control by any company owned by board members.
- There is no control by any company owned by relatives of board members.

Statement of the number of shares held by senior executive management employees and their relatives.

Name	Nationality	As of2023			As of2022		
		Employee	Relative	Total	Total	Relatives	Total
Nadia Helmi Hafez Al-Saeed	Jordanian	1,000,632	-	1,000,632	760,973	-	760,973
Daniel Fawaz Oudah Al-Shara'irah	Jordanian	183,085	-	183,085	127,150	-	127,150
* Amer "Mohammed Khair" Zaki Abu Laila (up to 31/12/2023)	Jordanian	564,342	-	564,342	433,786	-	433,786
** Dima Mufleh Mohammed Aqel (up to 31/12/2023)	Jordanian	70,802	-	70,802	48,506	-	48,506
"Mohammed Ghasib" Abdullah Abdul Majid Hatamleh	Jordanian	61,489	-	61,489	40,000	-	40,000
Bashar "Mohammed Khair" Awad Ababneh	Jordanian	35,102	-	35,102	22,776	-	22,776
Tariq "Mohammed Said" Hassan Badawi	Jordanian	34,577	-	34,577	22,558	-	22,558
Mohammed Mahmoud Ahmed Burjak	Jordanian	35,907	-		23,420	-	
Yasmin Ahmed Mohammed Al-Safadi (wife)	Jordanian		1,763	37,670			23,420
Fadi "Ahmed Kamal" Marie Marie	Jordanian	104,667	-	104,667	76,639	-	76,639
Zeid Eyad Akram Kamal	Jordanian	29,650	-	29,650	18,539	-	18,539
Natalie Mazen Yousef Alnaber	Jordanian	20,973	-	20,973	13,261	-	13,261
Mahmoud Tayseer Ahmad Badwan	Jordanian	37,061	-	37,061	22,769	-	22,769
Khaled Abdelmalek Mohammad Abdelmalek	Jordanian	20,426	-	20,426	11,035	-	11,035
Tamer Wasfi "Mohammed Mousa" Barakat	Jordanian	14,288	-	14,288	7,966	-	7,966

* Amer "Mohammed Khair" Zaki Abu Leila, "Head of Technology," submitted his resignation on 01/01/2024.

** Mrs. Dima Mufleh Mohammed Aql, "Deputy CEO for Special Projects," submitted her resignation on 31/12/2023.

- None of the senior executive management employees or their relatives own any shares in the bank other than those listed in the table above.
- No company owned by senior executive management employees has any controlling interest.
- No company owned by relatives of senior executive management employees has any controlling interest.

The benefits and rewards enjoyed by the Chairman and Board Members for the year 2023.

Name	Position	Fixed Contract	Annual Transportation Allowance	Annual Bonuses	Annual Travel Expenses	Total Annual Benefits
Mr. Issam Halim Jaris Salfiti	Chairman of the Board	515,135	36,000	525,000	-	1,076,135
Mr. Bassem Issam Halim Salfiti	Vice Chairman of the Board	-	89,500	5,000	-	94,500
Mr. "Mohammad Nabeel" Abdel Hadi Mohammad Hammoudeh until 15/01/2023	Board Member	-	4,000	5,000	-	9,000
The Social Security Corporation	Board Member	-	41,750	5,000	-	46,750
Mr. Mughith Ghiath Munir Sakhtian	Board Member	-	54,500	5,000	-	59,500
Mr. Imad Mohammad Ali Abdel Khaleq	Board Member	-	57,000	5,000	6,380	68,380
Mr. Riad Abdul Mohsen Taher Al-Dajani until 23/04/2023	Board Member	-	16,500	5,000	-	21,500
Ms. Rana Jameel Saeed Abbadi until 29/12/2023	Board Member	-	46,750	5,000	8,532	60,282
Mr. Jabra "Raja Yaqub" Jabra Ghandoor	Board Member	-	47,250	5,000	13,812	66,062
Mr. Amjad Samir Mohammad Abu Rawi until 20/11/2022	Board Member	-	-	5,000	-	5,000
Mr. Fawzi Misbah Ali Abu Khzam until 20/11/2022	Board Member	-	-	5,000	-	5,000
Mr. Moussa Al-Hassan Atiq Ali	Board Member	-	41,000	-	3,700	44,700
Mr. Mohammad Al-Tibani Ali Al-Ajdal until 20/08/2023	Board Member	-	39,000	-	4,771	43,771
Ms. Nadia Ahmed Abdul Mohsen Al-Anani as of 05/02/2023	Board Member	-	36,750	-	-	36,750
Ms. Lana Youssef Ibrahim Ghanem as of 04/05/2023	Board Member	-	27,500	-	-	27,500
Mr. Ali Mahmoud Hassan Mohammad as of 21/09/2023	Board Member	-	9,500	-	3,000	12,500
Total		515,135	547,000	575,000	40,195	1,677,330

- There are no financial or non-financial rewards granted to the Board members other than those mentioned above.

Benefits and Rewards for the Executive Management for the Year 2023

Name	Position	Total Annual Salaries	Annual Transportation Allowance	2022 Financial Bonuses Paid in 2023	2022 Non-Financial Bonuses (Shares) Paid in 2023	Travel and Accommodation	Total Annual Benefits
Ms .Nadia Hilmi Hafez Al-Saeed	CEO	336,000	-	300,000	75,000	-	711,000
Deema Mufleh Muhammad Aqel	Deputy CEO	184,884	-	92,000	23,000	-	299,884
"Muhammad Ghasib" Abdullah Abdul-Majid Hatamleh	Chief of Corporate Banking Services	184,000	-	79,520	19,880	-	283,400
Bashar" Mohammad Khair "Awad Ababneh	Chief of Internal Audit	155,200	-	60,000	15,000	-	230,200
Tarek" Mohammad Said "Hasan Badawi	Chief of Credit and Credit Management	160,000	-	57,720	14,430	-	232,150
Mohammad Mahmoud Ahmed Burjak	Chief of Central and Administrative Operations	171,200	-	60,000	15,000	-	246,200
Fadi" Ahmad Kamal" Mar'i	Chief of Treasury, Investment ,and External Relations	172,000	-	74,840	18,710	-	265,550
Daniel Fawaz Odeh Al-Sharayha	Chief of HR and Customer Experience Development	228,350	-	58,500	14,625	-	301,475
Zeid Eyad Akram Kamal	Chief of Financial Operations	144,000	-	58,590	14,648	-	217,238
Mahmoud Tayseer Ahmed Badwan	Chief of Retail and SME Banking Services	172,000	-	77,800	19,450	-	269,250
Natalie Mazen Yousef Alnaber	Senior Director of Corporate Communications and Marketing	124,000	-	39,780	9,945	-	173,725
Amer" Mohammad Khair "Zaki Abu Laila	Chief of Technology	248,000	-	200,000	50,000	-	498,000
Khaled Abdul Malik Muhammad Abdul Malik	Chief of Risk Management	124,000	-	60,000	15,000	-	199,000
Tamer Wasif "Mohammad Mousa" Barakat	Senior Director of Compliance	112,000	-	39,180	9,795	-	160,975
Total		2,515,634	-	1,257,930	314,483	-	4,088,047

- The bank has established a provision of JOD 4,390,000 for bonuses for all bank employees, including executive management, for the year 2023. These bonuses will be paid in 2024 upon the Board of Directors' approval and once employee performance evaluations are completed.
- Additionally, the bank provides the following benefits to executive management members (Chairman, CEO, and Deputy CEOs):
  - A vehicle for personal use, inclusive of all expenses.
  - A mobile phone line, including the device.
- No other financial or non-financial bonuses have been granted to the senior executive management beyond what is stated above.

Donations, Grants, and Community Service Contribution

This section is covered under our social responsibility for 2023 on page ().

Contracts, Projects, and Commitments with Subsidiaries, Affiliates, the Chairman of the Board, Board Members, the CEO (General Manager), or Any Employee or Their Relatives

There are no contracts, projects, or commitments established by the bank with subsidiaries, affiliates, the Chairman of the Board, board members, the CEO (General Manager), or any employee or their relatives, except for regular banking transactions disclosed in Note (43) of the financial statements, which follow commercial interest rates and fees.

Bank's Contribution to Environmental Protection and Community Service

This item is detailed under our social responsibility for 2023 on page ().

Additional Data as per Disclosure Instructions

List of Major Shareholders Holding More Than 1% of Shares

Shareholder Name	Nationality	Number of Shares as of 31/12/2023	Capital Contribution (%)	Ultimate Beneficiary	Pledged Shares	Percentage of Total Contribution	Pledge Institution
Libyan Foreign Investment Company	Libyan	40,517,203	20	LIA Libyan Investment Authority & Libyan Government	-	-	-
RS Finance	Cayman Islands	30,026,998	15	- Raja'I Salfiti Holding 100% - TRHS Holding (Tareq Rajai Salfiti) 25% - ZRS Holding (Zaid Rajai Salfiti) 25% - FRS Holding (Faisal Rajai Salfiti) 25% - DRS Holding (Dina Rajai Salfiti) 12.5% - SRHS Holding (Samia Farah Issa Fraih) 12.5%	26,640,383	88.72%	Jordan Kuwait Bank
Social Security Corporation	Jordanian	22,056,697	11	Self	-	-	-
Isam Halim Jiries Salfiti	Jordanian	14,000,000	7	Self	6,973,313	49.80%	Jordan Commercial Bank
Sawt Al-Kana'ar Investment Company	Jordanian	12,471,304	6	- Issam Halim Salfiti 20% - Nadim Issam Salfiti 20% - Basim Issam Salfiti 20% - Wasim Issam Salfiti 20% - Samia Suleiman Sukkar 20%	3,600,000	28.86%	Jordan Kuwait Bank
Banque Banorient France	French	11,294,958	6	A branch of Bank of Lebanon & Outer Lebanon, France. Main shareholders in Bank of Lebanon: - Bank of New York 34.37% - Rest Shareholders 26.19% - Banorabe S.A SPF 18.73% - Azhari Family 7.53% - Chaker Family 4.83% - Others	-	-	-

Shareholder Name	Nationality	Number of Shares as of 31/12/2023	Capital Contribution (%)	Ultimate Beneficiary	Pledged Shares	Percentage of Total Contribution	Pledge Institution
Horizon Ocean Investment Company	Jordanian	11,062,476	6	- Tareq Rajai Halim Salfiti 25% - Faisal Rajai Halim Salfiti 25% - Zaid Rajai Halim Salfiti 25% - Dina Rajai Halim Salfiti 12.5% - Samia Farah Issa Fraih 12.5%	3,600,000	32.54%	Jordan Kuwait Bank
Widad Ayoub Odeh Allah Khoury	Jordanian	5,590,375	3	Self	-	-	-
Bank al Etihad Employee Provident Fund	Jordanian	4,824,268	2	Union Bank employees	-	-	-
Central Trading and Vehicle Company	Jordanian	4,402,458	2	- Ibrahim Emil Haddad 20% - Omar Moatasem Ismail Albabi 7.5% - Tareq Moatasem Ismail Albabi 7.5% - Nabil Emil Haddad 20% - Nihad Emil Haddad 20% - George Emil Haddad 25%	-	-	-
Samia Suleiman Yousef Sukkar	Jordanian	3,755,156	2	Self	-	-	-
Samia Halim Jeries Salfiti	Jordanian	2,359,703	1	Self	-	-	-
Ramzi Raouf Jeries Salfiti	Jordanian	2,209,508	1	Self	-	-	-

Direct and Indirect Credit Facilities Granted to Board Members and Related Parties

Member/Group Name	Direct Facilities	Indirect Facilities	Total Credit Facilities
Group of Issam Halim Salfiti & Bassem Issam Halim Salfiti:			
Abu Alanda Real Estate Project Management Co.	31,500	10,000	41,500
Amman Shops Real Estate Project Management Co.	45,175	10,000	55,175
Tariq Rajai Halim Salfiti	5,409	-	5,409
Faisal Rajai Halim Salfiti	206	-	206
Zaid Rajai Halim Salfiti	25,616	-	25,616
Omar Bolous Yousef Al-Za'amat ,Faisal Rajai Halim Salfiti & ,Osama Issam Jaber	-	1,914,300	1,914,300
Omar Osama Halim Salfiti	91	-	91
Al Kasra for Trading & Marketing Co.	276,560	76,212	352,772
Al-Raees Co .for Import & Export	-	2,375,150	2,375,150
Samia Farah Issa Freih	146,804	-	146,804
Union Marketing Co.	1,713,894	53,849	1,767,743
Faisal Rajai Salfiti & Omar Bolous Al-Za'amat	1,312,832	-	1,312,832
Isabel George Nicola Abu Khader	1,616	-	1,616
Comprehensive Land Development & Investment Co.	-	3,760	3,760
George Nicola George Abu Khader	5,115	-	5,115
Nasco Automotive FZE	-	20,000	20,000
Jordan Turkey Investment Co .Free Zone) under liquidation(	238,584	-	238,584
Munich Telecommunication Services	277,750	-	277,750
Gulf Car Trading Co.	24	351,269	351,293

Member/Group Name	Direct Facilities	Indirect Facilities	Total Credit Facilities
Jordan River Motors	293,784	108,556	402,340
Yousef Al-Za'amat & Omar Salfiti Co.	480,075	-	480,075
Global Brands Co.	591,816	4,729	596,545
Fantastic Foods for Management of Touristic Projects	744,845	8,500	753,345
Samia Halim Issam Salfiti	1,680,162	-	1,680,162
Motor Vehicle Trading Co.	1,513,744	932,857	2,446,601
Arab Group for Chemical Products Co .LTD	2,810,500	-	2,810,500
The Leading Vehicles Co.	3,696,109	4,198,504	7,894,613
Nicola George Nicola Abu Khader	9,608,301	-	9,608,301
Group of Mu'ayath Ghyath Sakhtian:			
Microfund for Women	602,550	-	602,550
Group of Imad Abdul Khaleq:			
Alia Mohammed Ali Abdul Khaleq	107,703	-	107,703
Ali Mohammed Ali Abdul Khaleq	17,047	-	17,047
Eskadenia Software	2,595,695	24,665	2,620,360
Group of Jabra Raja Ya'qub Ghandour:			
Raja Jabra Raja Ya'qub Ghandour	50	-	50
Rola Raja Jabra Ghandour	741	-	741
Zeina Jabra Raja Ya'qub Ghandour	1,341	-	1,341

Rewards Policy

The rewards and annual raises policy outlines the Bank's approach to ensuring internal fairness, retaining high-performing employees and executive management, rewarding them appropriately, and attracting the best talent available in the banking market.

Annual raises and bonuses apply to employees appointed on or before June 30 of the assessment year, with bonuses and raises calculated pro-rata from the date of hiring for those who have not completed a full year at the Bank. Employees hired after June 30 are excluded from bonuses and raises.

Annual raise percentages for employees (if applicable) are linked to the Bank's annual profits, performance against budget, inflation rate, employee performance evaluations, market salary surveys, and the annual survey comparing raise rates for bank employees. These percentages are approved by the Nomination and Remuneration Committee.

Annual bonuses for each employee are determined based on productivity, job performance, goal achievement, and interactions with colleagues and clients. The general guidelines established by the Nomination and Remuneration Committee take into account Bank, market, and employee performance, with bonuses structured as a percentage or multiple of monthly total salaries or as lump sums.

Annual raises and bonuses are granted upon completing the annual performance evaluation process. Employee performance is reviewed and assessed at year-end, with raises or adjustments effective from April or as determined by senior management.

Additionally, performance-linked bonuses for executive management members (including the CEO) are distributed as deferred bonuses in compliance with corporate governance guidelines regarding financial incentives for executives.

Recruitment Policy

- No employee is hired outside the approved organizational structure, staffing plans, and budget endorsed by the Board, which specifies staffing numbers, vacancies, and qualifications for each department. Any exceptions require necessary approvals.
- The Bank complies with Jordanian labor law, banking laws, and the provisions in Bank al Etihad's employee system (including any amendments) for recruitment procedures and any relevant legislation.
- The Bank also follows corporate governance guidelines in banking (including any updates) regarding appointments, resignations, and succession planning.

- When recruiting any employee, the Human Resources Department - Recruitment and Sourcing Section adheres to the following requirements:
  - Must be Jordanian.
  - For non-Jordanians, the Bank complies with labor law, Central Bank requirements, and approval from the Ministry of Labor.
  - Candidates must be at least 18 years old.
  - Candidates should have good character, no criminal record, and no convictions for offenses affecting honor.
  - Candidates must be medically fit based on a medical exam approved by the Bank.
  - Must hold a university degree from a Ministry of Higher Education and Scientific Research-recognized university, except for some non-classified roles where secondary and diploma holders may be hired.
  - Candidates must pass the recruitment phases, including entrance exams and interviews, per the job and its level.
  - New hires undergo a probation period per the Jordanian Labor Law, during which their performance is monitored and evaluated based on established criteria to make a proper determination regarding permanent employment.
  - Bank al Etihad actively enforces its policy on hiring relatives and adopts the latest techniques for sourcing and hiring skilled and experienced individuals.

Customer Complaint Management Unit

Customer complaints offer us an opportunity to improve service performance. While we are pleased to resolve a customer's complaint effectively, we also view these complaints as a valuable source of information that enables us to enhance our services. Bank al Etihad is committed to achieving excellence in managing customer complaints to establish and foster general concepts of complaint service by educating customers about banking policies and laws, helping them understand their rights if they wish to submit a complaint, and guiding them on the required procedures to make their complaint easily and quickly addressed.

Based on the "Fair and Transparent Customer Dealings" regulations No. 56/2012 issued by the Central Bank of Jordan on October 31, 2012, a Customer Complaint Management Unit has been established, staffed with qualified personnel and automated systems, reporting administratively to the Compliance Department.

The responsibility for handling customer complaints lies with unit employees, where the designated officer allocates time to listen attentively to the customer, contributes effectively to resolving the issue, and explains the Bank's perspective, aiming to reach a satisfactory and objective outcome for both parties. The main tasks of the Customer Complaint Management Unit include:

1. Receiving, analyzing, and recording customer complaints in the complaints system/electronic log and following up on them.
2. Responding to customer complaints within the specified timeframe.
3. Preparing reports on customer complaints, including consolidated statistics on submitted complaints, actions taken, and a qualitative analysis of complaint types. These reports outline action plans to prevent or reduce repeat complaints and are forwarded to relevant departments.
4. Submitting monthly reports to the Bank's senior management and department heads detailing submitted complaints.
5. Submitting quarterly reports to the Central Bank of Jordan, including consolidated statistics on complaints, actions taken, and qualitative analysis.
6. Establishing and circulating an approved mechanism for managing and handling customer complaints to all Bank employees.
7. The Bank provides multiple channels for customers to submit complaints, including:
   - Phone: +(962) 6 5600444
   - Email: customerscomplaint@bankaletihad.com
   - Fax: +(962) 6 562 4231
   - Mail: Customer Complaints Management Unit - General Administration, P.O. Box: 35104, Postal Code: 11180, Amman - Jordan
   - In-person visits
   - Branch complaint boxes

Below is a statistical summary of complaints received from customers during 2023 through various channels as follows:

Category	Total Number of Complaints
Contracts and Terms of Engagement	55
Professional Conduct	258
Work Environment	32
Electronic Services	35
Transfers	20
Payment Cards	29
Commissions and Fees	14
Credit Inquiries	4
Interest Rates/Returns	20
Accounts	56
Fraudulent Transactions	6
Total	529

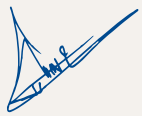
The complaints were handled within the following framework:

- Assigning reference numbers to complaints and providing them to customers for follow-up.
- Reviewing and analyzing complaints, and responding to them within the designated timeframe based on the classification and nature of each complaint.
- Recommending proposed actions to prevent the recurrence of similar complaints in the future, including:
  - Adjusting work procedures if needed.
  - Implementing corrective actions.
  - Modifying the infrastructure of electronic services.
  - Training staff.
  - Sending circulars to service departments within the bank.

Board of Directors' Declaration

1. The Bank's Board of Directors confirms that there are no material issues that may affect the bank's continuity in the upcoming financial year, 2024.
2. The Board of Directors acknowledges its responsibility for preparing the financial statements and for establishing an effective control system within the bank.
3. The Board of Directors accepts its responsibility for the accuracy and adequacy of the bank's financial statements and the information presented in this report, as well as the adequacy of the internal control and compliance systems.

4. The Board of Directors confirms that no board member has received any undisclosed benefits, whether material or in-kind, through their position at the bank, either for personal gain or for any related party, for the past year.

Name	Position	Signature
Isam Halim Jaris Salfiti	Chairman	
Basim Isam Halim Salfiti	Deputy Chairman	
Social Security Corporation Shaden Ziad Nabih Darwish Al-Hajji	Board Member	
Nadia Ahmad Abdul Mohsen Al-Anani	Board Member	
Lana Yousef Ibrahim Ghanem	Board Member	
Mughith Ghiath Munir Sukhtian	Board Member	
Libyan Foreign Investment Company Moussa Al-Hassan Ateeq Ali - in the first seat Ali Mahmoud Hassan Mohammed - in the second seat	Board Member	
Emad Mohammed Ali Abed Al Khaleq	Board Member	
Jabra “Raja Yaqoub” Jabra Ghandour	Board Member	

5. We, the undersigned, certify the accuracy and completeness of the information and data contained in the annual report.

Name	Position	Signature
Isam Halim Jaris Salfiti	Chairman	
Nadia Helmi Hafiz Al-Saeed	Chief Executive Officer	
Zaid Eyad Akram Kamal	Chief Financial Officer	

Corporate governance
policy

Section One: Introduction

In line with Bank al Etihad's commitment to corporate governance as a foundation for security and stability in the banking sector, and to strengthen depositor and investor confidence in the bank, the Board of Directors has approved this Corporate Governance Manual. This manual establishes the guiding principles for the management of our institution and for maintaining relationships among all stakeholders, including shareholders, depositors, the Board of Directors, the executive management, employees, and regulatory authorities.

This manual has been developed in accordance with the corporate governance directives issued by the Central Bank of Jordan on August 23, 2007, alongside further directives under Banking Corporate Governance No. 58/2014 issued on September 30, 2014, and the amendments of September 1 and 25, 2016. It also reflects relevant laws and international best practices in corporate governance.

This guide is based on four guiding principles:

- Fair Treatment of all stakeholders, such as shareholders, depositors, creditors, employees, and regulatory authorities.
- Transparency and Disclosure, ensuring that all financial, organizational, and managerial information is available to enable depositors and shareholders to assess the bank's performance, with adherence to the bank's full disclosure policy.
- Accountability in relationships between the executive management and the Board of Directors, between the Board and shareholders, and between the Board and other relevant parties.
- Responsibility, with a clear delineation of responsibilities and delegation of authorities as per bank-approved policies and procedures.

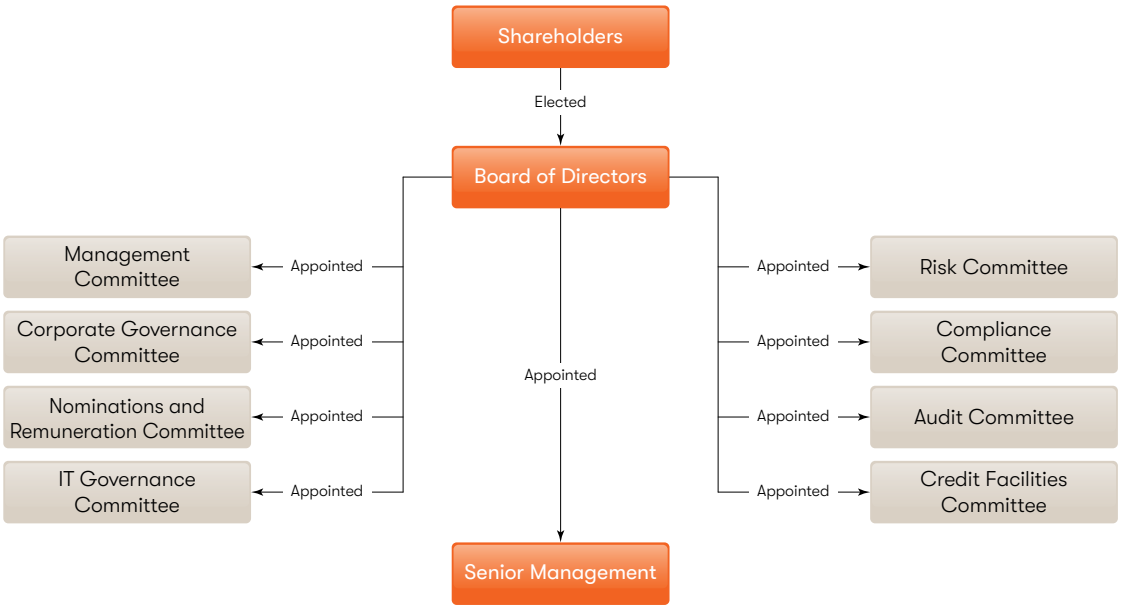
This manual, adopted by the Board of Directors, is updated annually by the Governance Committee to reflect both internal and external developments. The Board, through the Governance Committee, ensures the implementation of all provisions in this manual.

The bank publishes this manual in its annual report and on its website, with a copy available to any shareholder upon request. At Bank al Etihad, we believe that a proactive approach to corporate governance includes:

- Structuring relationships among all bank stakeholders.
- Implementing an organizational framework that ensures efficiency, accountability, responsibility, and internal control.
- Building a corporate culture that upholds institutional goals and fosters responsibility, competence, and effectiveness.
- Establishing sound, effective foundations for internal control, audit, risk management, and compliance.

Section Two: Corporate Governance Structure

Bank al Etihad is managed according to the guidance of the Board of Directors, which delegates the authority for bank operations to its employees and administrators under the leadership of the CEO. This manual defines the composition and responsibilities of the Board of Directors, along with its relationships with executive management, employees, and minor shareholders.



Section Three: Board of Directors Composition

- The Board of Directors consists of 11 members.
- The board appoints a chairperson from among its members.
- The Nomination and Remuneration Committee nominates board members, considering the candidates' capabilities, qualifications, and previous performance as board members.
- The board's term lasts four years from the election date, and any member seeking to renew their membership must stand for election during the bank's annual general assembly.
- The roles of the Chairperson and the CEO are separate, and the Chairperson must not be related to the CEO within the fourth degree. This separation of responsibilities is documented in written instructions approved by the board and reviewed as needed.
- The CEO must be chosen based on high professional and technical expertise, as well as integrity, honesty, and decision-making skills.
- The board's composition should reflect a diversity of practical experience and specialized skills, and all board members should be non-executive.
- At least four members of the board must be independent.
- The Chairperson is a non-executive role.

An independent member is defined as a board member (whether individually or representing a legal entity) with no other relationship with the bank apart from their board membership, ensuring that their judgment remains unaffected by any internal or external considerations. The minimum requirements for an independent member include:

1. Holding high financial or banking qualifications or expertise.
2. No direct or indirect interest for the member or any first-degree relatives in contracts, projects, or commitments with the bank or any affiliated companies valued at or exceeding 50,000 JD.
3. Not serving on the bank's board, its subsidiaries' boards, or as a board member for more than eight consecutive years.
4. Not having or being associated with any company or holding shares where bank credit exceeds 5% of the bank's subscribed capital, and not guaranteeing credit with the bank exceeding the same percentage.

5. Not being a major shareholder, representative of a major shareholder, or affiliated with a major shareholder in the bank or its affiliates.
6. Not related up to the second degree to any other board members, subsidiary board members, or major shareholders.
7. Not having worked on the bank's board or in executive management for the bank or affiliates in the last three years before election.
8. Not being or having been employed by the bank or affiliates in the last three years before election.
9. Not being a first-degree relative of the bank's external auditor or a partner or employee of the external auditor within the last three years before election.

Section four: board member qualifications and responsibilities

In addition to legal requirements under company law regarding board members' qualifications, the following conditions must be met to ensure the board's effectiveness.

First: Personal Qualities

(Additional personal qualities requirements follow this section).

1. Independence in judgment and making sound decisions,
2. Integrity and objectivity,
3. Credibility and honesty,
4. Transparency,
5. Avoiding conflicts of interest or exploitation of position and information available due to board membership,
6. Leadership qualities.

Second: Qualifications and Technical Expertise

1. Ability to understand and evaluate the bank's financial performance through reviewing various reports and financial statements.
2. Must possess academic qualifications and/or practical experience in fields such as accounting, finance, or banking.
3. A reasonable understanding and knowledge of banking operations and the risks associated with banking activities.
4. Awareness of the laws, regulations, and instructions the bank must comply with.
5. Thorough knowledge of the instructions from the Central Bank of Jordan and other relevant regulatory bodies, with continuous monitoring of any updates or additions.
6. Keeping up with emerging topics in the financial services sector.
7. Familiarity with the bank's operations and awareness of any amendments or additions that may impact the bank, including requirements for senior executive management positions.
8. Ability to handle and manage crises in the short and long term.
9. Capability for strategic planning with a clear future vision.

Third: Duties and Responsibilities

1. Commitment to personally attend board meetings, preparing in advance, and performing all duties required by board membership. In case personal attendance is not possible, a board member may participate via video or phone with the board chair's approval and retain voting rights. The board chair and secretary must confirm the meeting's minutes and its quorum.
2. Adherence to the required board committee memberships and attendance of their meetings.
3. Attendance at general assembly meetings.
4. Seeking all necessary information to ensure all decisions are made in the best interest of the bank.
5. Obtaining objective advice from external parties if needed.
6. Prioritizing the bank's interests in all transactions involving any company in which the board member holds a personal interest, refraining from taking business opportunities intended for the bank, avoiding conflicts of interest, and fully disclosing any conflicts to the board.
7. Regular, written disclosure of any personal interest in any dealings or contracts with the bank that involve the member, their spouse, or close relatives (up to the second degree) or companies where they have significant interest. The member must not participate in meetings or vote on decisions related to such dealings, and this disclosure should be recorded in the board meeting minutes.
8. Maintaining the confidentiality of the bank's information, refraining from using it for personal or external benefit.
9. Assessing how other board members' activities may impact their independence as board members.
10. Ensuring no board member influences executive management decisions outside of official board or committee discussions.
11. Dedicating adequate time and effort to the bank.
12. Keeping updated on banking sector developments locally and internationally.
13. Allocating sufficient time to fulfill board responsibilities.
14. Familiarity with banking laws, principles, and the bank's operational environment, staying informed on internal and external developments impacting the bank, including senior executive appointments.

Fifth Section: Board of Directors Responsibilities

General framework

1. The board is responsible for supervising executive management, monitoring its performance, ensuring the bank's financial stability and solvency, and must adopt appropriate policies and procedures for supervising and monitoring the bank's performance.
2. The board should define the bank's institutional values, establish clear lines of responsibility and accountability across all bank activities, and instill a strong culture of ethical standards, integrity, and professional conduct among bank administrators.
3. The board assumes full responsibility for managing the bank, ensuring the safety, efficiency, and profitability of its various operations, while also meeting the requirements of the Central Bank and other regulatory and supervisory bodies, as well as considering the interests of shareholders, depositors, creditors, and employees.
4. To fulfill these responsibilities effectively and achieve the bank's strategic objectives, the board grants the General Manager and executive management the necessary authorities.
5. The board must ensure that the bank is managed prudently within the framework of existing laws, regulations, and internal policies, with continuous effective oversight over the bank's activities, including those outsourced to external parties. Therefore, the board is accountable for overseeing the bank's executive management.
6. The board must instill a commitment from each board member towards the bank and all its shareholders, not just any particular shareholder.
7. The board must ensure that no board member, executive manager, or bank employee derives personal benefits at the expense of the bank's interests.
8. The board should specify banking operations that require its approval, avoiding extensive involvement that could impair the board's supervisory role. It should not grant any executive authority, including credit-granting authority, solely to any individual board member, including the chairman.

9. The board should verify that the bank's credit policy includes an assessment of the corporate governance quality of its corporate clients, especially public companies, evaluating clients' strengths and weaknesses based on their governance practices.
10. The board should ensure that the bank adopts suitable social initiatives in environmental protection, health, and education and considers providing financing to small and medium-sized enterprises at fair rates and terms.

In the area of risk management and regulatory requirements:

1. The board approves a risk management strategy and oversees its implementation, including acceptable risk levels to ensure the bank is not exposed to high risks. The board must be knowledgeable of the bank's operational environment and its inherent high risks, ensuring the existence of risk management tools and infrastructure capable of identifying, measuring, controlling, and monitoring all types of risks the bank may face.
2. Ensuring the bank's compliance across all activities with legislative laws issued by governmental and regulatory authorities and verifying that all bank employees at all administrative levels adhere to them.
3. Verifying through the board's various committees the accuracy of information provided to regulatory authorities.
4. Ensuring that all of the bank's risks are managed appropriately by regularly reviewing both qualitative and quantitative risk reports and statistics.
5. Ensuring the regular rotation of the external auditor between audit firms every seven years at a maximum from the election date, with the new firm conducting its first audit jointly with the former firm. Re-election of the previous audit firm is not allowed until at least two years after its last appointment, except for a joint audit engagement.
6. Ensuring that the bank discloses information in accordance with international financial reporting standards (IFRS+IAS), the current instructions from the Central Bank of Jordan issued under the prevailing Banking Law, and other related regulations.
7. Ensuring full compliance with any amendments to the International Financial Reporting Standards (IFRS).
8. Ensuring that the bank is aware of changes in international financial reporting practices and the level of transparency required from financial institutions.

In the Area of Appointments and Succession Planning:

1. Based on the recommendation of the relevant committee, the Board of Directors appoints a General Manager with integrity, technical competence, and banking experience, as well as accepts their resignation or terminates their services. Approval from the Central Bank of Jordan is required for resignation or termination.
2. The appointed General Manager must not have a family relationship with the Chairman of the Board within the fourth degree.
3. The Board approves the appointment of executive managers and ensures they have the required expertise.
4. Based on the recommendation of the relevant committee, the Board appoints the heads of Internal Audit, Risk Management, and Compliance, accepts their resignations, or terminates their services. Approval from the Central Bank of Jordan is required for the resignation or termination of any of these individuals.
5. The Board approves succession plans for the bank's executive managers, including the qualifications and requirements needed for these positions.
6. Ensures the independence and objectivity of internal auditing, granting auditors a suitable status within the bank's hierarchy and ensuring they are qualified to fulfill their duties.

In the Area of Self-Evaluation and Performance Evaluation of the General Manager:

1. The Board, through the Nominations and Remuneration Committee, must evaluate the performance of the Board as a whole at least once annually.
2. The Nominations and Remuneration Committee reviews and evaluates each Board member's performance annually.
3. The Board conducts an annual evaluation of the General Manager's performance.
4. The Board must adopt a policy to monitor and review the performance of the executive management by establishing key performance indicators (KPIs) to identify, measure, and monitor performance and progress toward achieving corporate goals.

In the Area of Planning, Code of Ethics, and Conflict of Interest:

1. The Board sets the bank's strategic objectives, guiding the executive management to prepare a strategy to achieve these goals, approving this strategy, and aligning action plans with it.
2. Executive management devises necessary action plans to implement the bank's strategy through a planning process that involves all departments of the bank, with budgets prepared as part of short-term planning and performance measurement.
3. Quarterly reports are submitted to the Board, highlighting achievements, necessary plan reviews, budget adjustments, and corrective actions as needed. These reviews are used as a basis for evaluating the executive management's performance.
4. The Board ensures that the bank conducts its business with high integrity by providing policies and a code of ethics, including a definition of conflicts of interest and transactions conducted by bank employees for their personal benefit based on internal bank information acquired through their assigned authority. These policies and the code of ethics are communicated to all bank employees and Board members, obtaining Board approval and making them public.
5. The Board adopts a disclosure policy covering all matters that should be disclosed to the public through the bank's annual report, press, or bank website, etc.
6. The Board takes measures to ensure a clear separation of powers between shareholders with a significant influence and the executive management to enhance sound corporate governance, creating mechanisms to limit the influence of shareholders with significant interests, including:
   - Ensuring that none of the significant shareholders hold any position in the executive management.
   - Ensuring that the executive management derives its authority solely from the Board and operates within the framework of delegated authority provided by the Board.

In the Area of Control and Supervision Systems:

1. The Board of Directors approves the bank's policies, procedures, internal regulations, and systems, defining the authority, responsibilities, and communication channels across all administrative levels to ensure administrative and financial control over the bank's operations.
2. The Board ensures that the bank has comprehensive policies, plans, and operational procedures covering all activities in compliance with relevant legislation, that these are communicated across all administrative levels, and that they are regularly reviewed.
3. The Board ensures there are procedures in place for continuous review of these policies and procedures to incorporate any amendments or changes in laws, regulations, economic conditions, or other matters affecting the bank.
4. The Board approves and annually reviews the bank's internal control and oversight systems, ensuring that both internal and external auditors review the structure of these systems at least once per year.
5. The Board takes appropriate actions to address any weaknesses in the internal control and oversight systems or other points raised by the external auditor.
6. The Board ensures the initial and ongoing independence of the external auditor.
7. The Board ensures that adequate and reliable Management Information Systems (MIS) cover all the bank's activities.
8. The Board verifies compliance with approved policies and procedures by the bank's management and staff through various reports submitted to it.
9. The Board takes necessary actions to enhance the effectiveness of internal auditing by emphasizing the importance of the auditing process within the bank and by monitoring the correction of audit observations.

Section Six: Responsibilities of the Bank's Chairman of the Board of Directors

1. Establish a constructive relationship between the Board and the executive management of the bank.
2. Foster a culture during board meetings that encourages constructive criticism on general issues, especially those with differing opinions among members, while promoting discussion and voting on such issues.
3. Ensure timely and adequate provision of information to board members and shareholders.
4. Provide each member with a sufficient summary of the bank's operations upon appointment or upon request.
5. Supply each newly elected board member with the relevant legal texts governing banking, the Central Bank's regulations, and a handbook outlining member rights, responsibilities, duties, and tasks of the Board's Secretary.
6. Discuss roles and responsibilities with any new member, with assistance from the bank's legal advisor, covering the legal and regulatory requirements of membership, term duration, meeting schedules, committee duties, compensation, and access to independent expert advice if necessary.
7. Meet the board members' needs for skill development and continuous learning, allowing new members to attend an orientation program tailored to their banking background. At a minimum, this program should cover the following topics:
   - The bank's organizational structure, corporate governance, and code of conduct.
   - The bank's institutional goals, strategic plan, and approved policies.
   - The bank's financial status.
   - The bank's risk structure and risk management framework.
8. Ensure the existence of a charter governing the Board's work.
9. Conduct in-depth discussions of strategic and critical issues at Board meetings.
10. Ensure high standards of corporate control within the bank.
11. Call for board meetings and committee meetings in adherence to this guideline's provisions, ensuring committee effectiveness.
12. Confirm that all board members receive previous meeting minutes, signed, and agendas for upcoming meetings well in advance, with sufficient written information on agenda topics, delivered by the Board's Secretary.
13. Invite the Central Bank to attend general assembly meetings with ample notice to designate a representative.
14. Provide the Central Bank with minutes of general assembly meetings within five days of approval by the Companies Controller or their representative.

Section Seven: Organization of Board Operations

1. The Board meets at least six times a year.
2. To ensure comprehensive discussions, the executive management suggests key topics for inclusion in each board meeting agenda.
3. At least one week before a board meeting, executive management must provide board members with agenda items and comprehensive, accurate information on the agenda topics to facilitate informed decision-making; the Chairman verifies this.
4. Board members should remain updated on developments within the bank and the local and international banking sectors. The bank regularly provides members with updates on its operations and essential sector developments as needed or upon request.
5. Board members and committees have direct access to executive management and the Board's Secretary as needed.
6. If necessary, Board members and committees may seek external resources to assist in fulfilling their duties in coordination with the Chairman.
7. Board and committee meetings are documented in formal minutes, recording all actions and decisions as legal evidence of the proceedings. Minutes must accurately capture all votes, any dissenting opinions, and reference any documents reviewed, with appropriate retention of these records by the bank.

Section Eight: Board Secretary

1. The appointment or removal of the Board Secretary is decided unanimously by the Board.
2. The Board should select a secretary known for precision and commitment to their work.
3. The Board formally defines the Secretary's duties and responsibilities in writing in line with the responsibilities outlined in this guide.
4. The responsibilities of the Board Secretary include at least the following:
   - Providing each board member with a document outlining their rights, responsibilities, and duties upon election.
   - Ensuring adherence to board procedures, facilitating communication between the board members, committees, and executive management.
   - Attending all board meetings, recording all deliberations, proposals, objections, and voting outcomes on board resolutions.
   - Ensuring board members sign meeting minutes and resolutions.
   - Monitoring the implementation of board resolutions and revisiting postponed topics.
   - Coordinating board meeting dates with the Chairman and drafting meeting minutes as specified above.
   - Preparing board meeting agendas and distributing all related documents to members well in advance.
   - Maintaining records of board meeting documents.
   - Ensuring board resolutions comply with regulations.
   - Preparing for general assembly meetings and coordinating with board committees.
   - Submitting declarations of fitness signed by board members to the Central Bank.
   - Facilitating board members' access to necessary information.
   - Managing shareholder relations, ensuring they have access to necessary information to follow and assess the bank's operations.

Section Nine: Relationship with Shareholders

1. The bank takes necessary actions to ensure effective communication with shareholders through the department dedicated to this task.
2. A department is established to handle shareholder affairs, ensuring effective communication and providing relevant information through the bank's website and other channels.
3. The bank discloses all required information to shareholders, facilitating access to such information.
4. The bank encourages shareholders, particularly smaller ones, to attend the annual general assembly meeting and vote, either in person or through a proxy if absent.
5. Representatives from the external auditors must attend the annual general assembly meeting to address questions about auditing and the auditor's report.
6. Each issue raised during the general assembly is voted on individually.
7. Board members are elected or re-elected during the general assembly meeting, as is the external auditor.
8. After the annual general assembly, a report is prepared for shareholders summarizing meeting remarks, results, including voting outcomes, questions raised by shareholders, and responses from executive management.

Section Ten: Fitness

Board members and senior executive management should exhibit high levels of credibility, integrity, expertise, and commitment, dedicating time to the bank's operations. The Board and the Nominations and Remunerations Committee ensure this.

Fitness of Board Members

1. The Board adopts a policy to ensure board member fitness, which includes minimum standards and requirements for candidates. This policy is reviewed as needed, with sufficient systems in place to verify ongoing compliance with fitness standards, and is shared with the Central Bank upon approval by the Board.
2. The qualifications for Board members include:
   - Minimum age of 25.
   - Not serving as a board member or executive in another bank within the Kingdom unless it is a subsidiary.
   - Not being a legal advisor or auditor for the bank.
   - Possession of a bachelor's degree or equivalent in economics, finance, accounting, business administration, or similar fields, with the Nominations and Remunerations Committee able to consider other relevant disciplines if they bring banking-related experience.
   - Not employed by the government or any public institution unless representing it.
   - Not being a member of, or representing a member in, the board of another competing or similar bank, nor serving on more than five public companies' boards within the Kingdom, whether personally or as a representative.
   - At least five years of experience in banking, finance, or related fields.
   - Being of good character and reputation.
3. Each Board member signs the declaration as specified by Corporate Governance Instructions for Banks No. (63/2016), retained by the bank, with a copy sent to the Central Bank alongside the member's CV.
4. The Chairman ensures the Central Bank is informed of any material information that could negatively impact a member's fitness.

Fitness of Senior Executive Management Members

1. The Board adopts a policy to ensure the fitness of senior executive management members, specifying minimum standards and requirements. The Board periodically reviews this policy and ensures appropriate systems for verifying compliance. A copy is provided to the Central Bank upon Board approval.
2. The Board appoints a General Manager with integrity, technical expertise, and banking experience, with prior approval from the Central Bank for the appointment.
3. The Board's approval is required when appointing, accepting the resignation, or terminating the services of any senior executive management member.
4. The Board approves a succession plan for senior executive management, reviewed annually.
5. The Board must inform the Central Bank of any material information that could negatively impact the fitness of any senior executive management member.

6. Requirements for Senior Executive Management Members
   - They must not serve on the board of any other bank within the Kingdom unless it is a subsidiary.
   - They must be fully dedicated to managing the bank's operations.
   - They must hold at least a bachelor's degree in economics, finance, accounting, business administration, or a similar field related to the bank's activities.
   - They must have a minimum of five years' experience in banking or related fields, with ten years of banking experience required for the General Manager or Regional Manager.
   - They must be of good character and reputation.
   - Their appointment must not present a conflict of interest, such as a close relationship with the Board Chairman or a Board member, extending to third-degree relatives for the General Manager and first-degree relatives for senior management.
7. Central Bank approval is required for any senior executive management appointment.

Section Eleven: Evaluation of Executives' Performance

1. The Board must establish a system for evaluating its work and the work of its members. This system should include at least the following:
   - Setting specific goals and defining the Board's role in achieving these measurable goals.
   - Establishing Key Performance Indicators (KPIs) derived from strategic plans and objectives to measure the Board's performance.
   - The frequency and effectiveness of communication between the Board and shareholders.
   - Regularity of Board meetings with senior executive management.
   - Evaluating each member's role in Board meetings, comparing their performance with that of other members, and obtaining feedback from the concerned member to improve the evaluation process.
2. The Board is responsible for evaluating the performance of the General Manager annually, using an evaluation system developed by the Nominations and Remunerations Committee. This evaluation system should include KPIs and consider criteria such as the financial and administrative performance of the bank, the achievement of the bank's medium- and long-term plans and strategies, and the committee should inform the Central Bank of the evaluation results.
3. The Board should adopt a system for measuring the performance of the bank's executives, excluding Board members and the General Manager. At a minimum, this system should include:
   - Assigning an appropriate weight to measure adherence to the risk management framework, application of internal controls, and regulatory requirements.
   - Ensuring that total income or profit is not the sole criterion for performance measurement; other elements should also be considered, such as operational risks and customer satisfaction, where applicable.
   - Avoiding misuse of power and conflicts of interest.

Section Twelve: Financial Rewards for Executives

1. The Board is responsible for establishing procedures to determine the rewards for its members, based on the approved evaluation system.
2. The Bank's Nominations and Remunerations Committee must develop a policy for granting financial rewards, benefits, incentives, and salaries within the Bank, including for executives, ensuring objectivity and transparency. A copy of this policy must be submitted to the Central Bank within a maximum of seven business days from the date of its approval by the Board, with an annual review.
3. The financial rewards policy must include, at a minimum, the following elements:
   - Designed to retain and attract executives with the necessary competencies, skills, and experience, motivate them, and enhance their performance.
   - Structured to ensure that it does not compromise the Bank's solvency and reputation.
   - Considering risks, liquidity, profits, and their timing.
   - Not based solely on the current year's performance but also on medium- and long-term performance (3-5 years).
   - Reflecting the Bank's objectives, values, and strategy.
   - Specifying the form of rewards, such as fees, salaries, allowances, bonuses, stock options, or other benefits.
   - Including the option to defer a reasonable percentage of rewards, with the deferral percentage and period determined by the nature of the work, associated risks, and activities of the relevant executive.
   - Ensuring that financial rewards for executives in regulatory departments (e.g., Risk Management, Audit, Compliance) are not based on the performance of the departments they oversee.

Section Thirteen: Conflict of Interest

1. Executives must avoid conflicts of interest.
2. The board shall adopt policies and procedures for transactions with related parties, including defining these parties, considering relevant regulations, transaction terms, approval procedures, and monitoring mechanisms, ensuring compliance with these policies and procedures.
3. Regulatory departments of the bank must verify that transactions with related parties comply with the approved policies and procedures. The Audit Committee shall review all transactions with related parties, monitor them, and inform the board accordingly.
4. The board shall ensure that senior management implements the approved policies and procedures.
5. The board shall approve regulations for information transfer between different departments to prevent misuse for personal gain.
6. The board shall adopt policies and a code of professional conduct, which include at a minimum:
   - Preventing executives from using internal bank information for personal gain.
   - Rules and procedures governing transactions with related parties.
   - Situations that may lead to conflicts of interest.
7. The board shall ensure that senior management operates with high integrity and avoids conflicts of interest.

Section Fourteen: General Provisions

1. Transparency is adopted when appointing members to board committees, and the names of committee members, along with a summary of their roles and responsibilities, are disclosed in the bank's annual report.
2. Committees may be merged when necessary, provided it does not affect committee responsibilities. However, no committee's work may be merged with that of the Audit Committee.
3. The bank shall inform the Central Bank at least thirty days before the general assembly meeting of its intention to nominate or re-elect the external auditor.
4. The bank shall provide the Central Bank with information on pledged shares by shareholders owning 1% or more of the bank's capital and the entity holding the pledge.
5. The bank shall provide the Central Bank with information about the board members, their committees, and the senior management of its subsidiaries inside and outside the Kingdom every six months and whenever there is a change.

Section Fifteen: Control Environment and Internal Audit First: Organizational Structure

First: organisational structure

1. The bank's organizational structure is periodically developed and reviewed by executive management and the board to ensure it:
   - Aligns with the bank's operational needs and strategic plans.
   - Ensures effective communication channels.
   - Provides the level of internal control and segregation of duties necessary for governance.
2. The board shall approve an organizational structure for the bank, detailing administrative levels, including board committees and executive management.
3. The board shall ensure that the organizational structure clearly reflects lines of responsibility and authority, including at least the following oversight levels:
   - Board of Directors.
   - Separate departments for risk, compliance, and auditing that do not engage in day-to-day operations.
   - Units/employees not involved in daily operations (e.g., credit review staff and Middle Office).
4. The board shall establish clear limits for accountability and commitment at all management levels within the bank.
5. The board shall ensure that senior management fulfills its responsibilities in managing the bank's daily operations, contributes to applying corporate governance, delegates appropriate authority to employees, and establishes an effective administrative structure to promote accountability and implement tasks as per the board's approved policies and procedures.
6. The board shall adopt appropriate regulatory controls to enable the accountability of senior management.
7. Notwithstanding provisions of corporate law, the roles of board chairman and general manager cannot be combined. The chairman, board members, or major shareholders should not be closely related (beyond fourth degree) to the general manager.

Second: Internal Control and Audit Systems

1. Internal control systems are reviewed by internal and external auditors at least once a year.
2. The bank has established procedures allowing employees to confidentially report any potential violations in a timely manner, ensuring that such reports are independently investigated and monitored by the Audit Committee.

Third: Activation of Risk Management and Internal Oversight Includes the following departments:

Internal Audit

For the efficiency and effectiveness of internal audit activities, this department is linked directly to the board/Audit Committee, and it is not assigned any executive tasks to ensure full independence. The internal audit department submits reports to the Audit Committee.

The board ensures and enhances the independence of internal auditors, provides them with an appropriate level in the bank's hierarchy, and ensures they are qualified to carry out their duties, including having access to all records, information, and communication with any employee to perform their tasks and prepare reports without external interference.

The board takes necessary measures to enhance the effectiveness of internal audits by emphasizing their importance and ensuring corrective actions are taken.

The internal audit department develops its strategy and determines an audit plan for the Audit Committee to approve, along with proposing the internal audit structure and scope.

The Audit Committee ensures that the internal audit department has adequate resources and qualified personnel, providing necessary training.

The internal audit department has the right to obtain information and contact any employee within the bank and is given all the powers required to fulfill its responsibilities as required.

The bank documents the tasks, powers, and responsibilities of the internal audit department in an Internal Audit Charter approved by the board and circulated within the bank.

The internal audit department is responsible for notifying the Audit Committee of any potential conflicts of interest.

The internal audit department performs its duties and prepares reports without any external interference and has the right to discuss its reports with the audited departments.

Compliance Department

The board shall ensure the independence of the Compliance Department and shall not assign it any executive tasks, ensuring it is consistently staffed with sufficient trained personnel who are adequately compensated.

The tasks, powers, and responsibilities of the Compliance Department shall be documented and disseminated within the bank after approval by the board.

The Compliance Department is responsible for developing effective methodologies to ensure the bank complies with all applicable laws, regulations, and related guidelines and manuals.

The Compliance Department bears the responsibility of developing anti-money laundering policies and procedures, taking necessary actions to detect any suspicious activities and reporting them to the relevant regulatory authorities.

The board approves and monitors the compliance policy through the Compliance Committee, which reviews this policy periodically and verifies its implementation. The preparation and development of this policy fall under the authority of the Compliance Department.

The Compliance Department submits reports on its activities and compliance monitoring to the board through the Compliance Committee, with a copy sent to executive management, in line with the instructions issued by the Central Bank in this regard.

Fourth: Activating the Role of External Auditors

1. The board shall ensure a regular rotation of external auditors among auditing firms and their affiliates or related companies every seven years at most, with the first seven-year period starting from 2010.
2. The first year of rotation to a new firm shall be a joint engagement with the previous firm.
3. The previous firm cannot be re-elected until at least two years have passed since its last election at the bank, except for joint auditing tasks.
4. The external auditor shall provide the Audit Committee with a copy of their report.
5. The external auditor shall meet with the Audit Committee without the presence of executive management at least once a year.

Fifth: Policies and Procedures

1. To ensure the safety of the bank's operations, policies and procedures are developed to cover all banking activities. These policies and procedures are disseminated across all management levels within the bank.
2. All policies and procedures are reviewed regularly to ensure they incorporate any amendments or changes that may arise from laws, regulations, economic conditions, or other matters related to the bank, in addition to issuing any new policies as needed.
3. The executive management of the bank must ensure that the bank's policies define the basis for dealings with related parties regarding lending controls, purchasing equipment and services from them, or any other transactions, including identifying the authority responsible for each of these matters.
4. The bank's relevant departments overseeing internal control and supervision must ensure that transactions with related parties are conducted in accordance with these policies.
5. The bank's written policies define all operational processes that require board approval, and the board internally establishes the mechanism by which these operations are approved.

Sixth: Disclosure

1. The board must ensure the dissemination and availability of meaningful financial and non-financial information that is relevant to stakeholders regarding its activities to the Central Bank, shareholders, depositors, other banks, and the public at large, with a focus on issues that concern shareholders.
2. The Board of Directors adopts a disclosure policy that clearly outlines all matters requiring disclosure by the bank, as well as the frequency of disclosure and the methods used for it.
3. The board must ensure the bank's compliance with the disclosures specified by International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), Central Bank regulations, and other relevant legislation, while ensuring that executive management is aware of any changes to international financial reporting standards.
4. The bank's management is responsible for ensuring full compliance with all amendments to the International Financial Reporting Standards (IFRS).
5. The bank should be aware of changes in international financial reporting practices and the level of transparency required from financial institutions.
6. The executive management submits reports on disclosure developments to the board, along with recommendations on ways to enhance the bank's disclosure practices beyond the requirements set by the Central Bank of Jordan.
7. The bank must publish its governance guide on its website and in any other appropriate manner to inform the public, and it should disclose in its annual report the existence of its corporate governance guide, as well as information pertinent to stakeholders, including the guide and its compliance with its provisions.
8. The bank's annual report must include a statement indicating that the board is responsible for the accuracy and adequacy of the bank's financial data and the information contained in that report, as well as the sufficiency of internal control and supervision systems.
9. The board must ensure that the bank's annual and quarterly reports include disclosures that allow current and potential shareholders to review the results of operations and the bank's financial position.

10. The Board of Directors must ensure that the annual report includes, at a minimum:
    - A summary of the bank's organizational structure.
    - A summary of the tasks and responsibilities of the board's committees and any authorities delegated by the board to these committees.
    - Information relevant to stakeholders as outlined in the bank's corporate governance guide and the extent of its compliance with the guide.
    - Information about each board member regarding their qualifications, experience, their contribution to the bank's capital, whether they are independent or not, their membership in board committees, their appointment date, any memberships held in other companies' boards, and any forms of compensation received from the bank in the past year, as well as any loans granted to them by the bank and any other transactions between the bank and the member or related parties.
    - Information about the risk management department, including its structure, the nature of its operations, and any developments that have occurred.
    - The number of times the board of directors and its committees have met and the attendance of each member at these meetings.
    - Names of any board members and senior executive management who resigned during the year.
    - A summary of the bank's compensation policy, disclosing all forms of compensation for board members individually, and compensation in all its forms granted to senior executive management individually, for the past year.
    - Names of shareholders owning 1% or more of the bank's capital, identifying the ultimate beneficial owners of these shares or any part thereof, and clarifying whether any of these shares are fully or partially pledged.
    - Declarations from all board members stating that they have not received any benefits from their work at the bank that have not been disclosed, whether those benefits are financial or in kind, and whether they are personal or related to any of their associates for the past year.

Seventh: Rights of Stakeholders

The principles of corporate governance require fair and transparent treatment of all stakeholders, enabling them to assess the bank's status, including its financial performance. This necessitates that the relationship between management and stakeholders is governed by accountability principles, and the following commitments must be upheld:

1. The board must provide a specific mechanism to ensure communication with stakeholders through disclosure and the provision of meaningful information about the bank's activities via the following:
    - General assembly meetings,
    - Annual report,
    - Quarterly reports containing financial information, along with the board's report on the trading of the bank's shares and its financial position during the year,
    - The bank's website,
    - The Investor Relations section.
2. The board must ensure that a section of the bank's website is dedicated to clarifying shareholders' rights and encouraging them to attend and vote at general assembly meetings, as well as publishing relevant documents related to these meetings, including the full text of the invitations and meeting minutes.

Section Sixteen: Board Committees

The Board of Directors establishes the following committees or any other committees deemed necessary by the board to guide, monitor, and supervise the bank's operations, and to submit periodic reports and recommendations to the board:

- Audit Committee
- Management Committee
- Risk Committee
- Corporate Governance Committee
- Nomination and Remuneration Committee
- Compliance Committee
- Information Technology Governance Committee
- Facilities Committee

It is prohibited for any board member to serve as the chair of more than one of the key committees (Audit Committee/Risk Committee/Corporate Governance Committee/Nomination and Remuneration Committee). Additionally, a member is also prohibited from chairing more than two committees from all committees derived from the board.

The following outlines the roles, powers, and memberships of each of these committees:

Audit Committee

Objective:

To assist the Board of Directors in fulfilling its responsibilities regarding the oversight and monitoring of the preparation of financial reports, the internal control systems, the audit process, and compliance with the regulations governing the bank's operations, as well as to activate the role of the external auditor.

The committee's charter is approved by the Board of Directors and is considered an integral part of the bank's corporate governance guide. It defines the powers and supervisory responsibilities that the committee is required to exercise and implement within the bank and its subsidiaries.

Formation:

- The committee is formed by a decision of the Board of Directors, and the Secretary of the Board acts as the committee's secretary. The functions of any other committee cannot be merged with those of this committee.
- The committee consists of at least three members from the Board of Directors, with a majority of its members, including the chair, being independent members. The committee elects one of its members as its chair, who must not be the chair of the board or the chair of any other committee derived from the board.
- All members must possess academic qualifications and relevant practical experience in accounting, finance, or any related disciplines pertinent to the bank's operations.

Meetings:

- The committee meets at least once every three months, called by its chair, or as needed based on a decision from the bank's Board of Directors or at the request of other committee members. The committee also convenes at the request of the external auditor or the head of the internal audit department if deemed necessary.
- The head of the internal audit department attends the committee meetings.
- A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person, but if personal attendance is not possible, a committee member may participate via any visual communication means to discuss the meeting agenda, subject to the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be endorsed by the board chair and the secretary regarding the quorum.

Powers:

- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations regarding its activities to the board. The committee's recommendations or decisions are made by a majority of those present, and in the event of a tie, the side that the committee chair voted for prevails.
- The Audit Committee has the authority to request any information from executive management, consult external sources, and invite any bank official to attend its meetings.
- The committee is responsible for reviewing any matters presented to it by the Board of Directors or any issues it deems necessary to investigate and provide its opinion on. It also addresses disputes between executive management and internal and external auditors, as well as regulatory authorities concerning financial reports and internal audit observations and scope.

Tasks and Responsibilities:

The responsibilities of the Audit Committee do not relieve the board or executive management of their responsibilities concerning the adequacy of internal control systems. Moreover, this does not affect the board's ability to communicate directly with executive management, internal auditors, or external auditors.

The following outlines the committee's responsibilities:

Financial Reports and Disclosure Requirements:

- Review of Financial Statements:
  - The committee reviews the annual, semi-annual, and quarterly financial statements for Jordan branches and the consolidated bank before presenting them to the Board of Directors. It assesses their compliance with regulations and international standards, providing recommendations accordingly while considering the following:
  - Obtaining a certificate from the external auditor regarding the adequacy of provisions/expected credit losses for facilities and investments, potential liabilities, the need for any additional provisions, the accuracy of interest calculations, and accrued profits, as well as the accuracy of calculating provisions for acquired properties, any shortfall in provisions, and the correctness of impairment calculations for goodwill.
  - Offering an opinion on non-performing loans or those proposed to be classified as bad debts.
  - Addressing significant accounting issues affecting the financial statements, such as changes in accounting policies, any unusual transactions, and any matters requiring high degrees of professional judgment. This includes reviewing the accuracy and integrity of accounting and control procedures, compliance with them, and obtaining the external auditor's opinion on the correctness of accounting treatments for any adjustments to the financial statements.
- Ensuring the bank's compliance with International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), required disclosures, and regulations set forth by the Central Bank, the Securities Commission, and other relevant legislation. The committee must also ensure that executive management is aware of any changes to these standards and that reports are submitted to the Board of Directors regarding them.

Internal Audit:

- Reviewing the internal audit management charter and recommending its approval to the board, ensuring it includes the tasks, powers, and responsibilities of the audit department, and confirming its dissemination throughout the bank.
- Reviewing and studying the internal audit plan prepared based on significant risks, including the information systems audit plan, ensuring its comprehensiveness regarding scope, the absence of any limitations, its findings, adequacy, and alignment with the bank's strategic objectives, as well as its adoption and monitoring, approving any substantial amendments.
- Reviewing the organizational structure and budget of the internal audit department with the head of internal audit, ensuring the provision of qualified personnel, including information systems audit staff and any other necessary resources, along with their training to effectively and efficiently carry out internal audit functions.
- Verifying that internal audit staff rotate across the bank's activities every three years at most.
- Reviewing the quarterly audit report, which includes significant internal audit observations, key recommendations resulting from internal audit memorandums or investigation results, crucial recommendations from the Audit Committee, and emerging risks. This report serves as the internal control system report required by the Central Bank but is provided quarterly instead of annually, being updated annually with compliance results related to corporate governance. The committee should also review the progress of the approved audit plan, advisory tasks, regulatory requirements, any deviations, or significant changes to these plans, if any, and identify the reasons for such changes, such as resource limitations and their impact on plan execution, as well as any external circumstances or causes. The committee must inform the board of any significant observations it deems necessary.
- Ensuring Compliance and Effectiveness of Internal Audit:

- Ensuring that the Central Bank receives a report on information and technology audits conducted by internal audit during the first quarter of each year, including the executive management's response and the Board of Directors' recommendations, in accordance with the directives on governance and management of information and technology.
- Ensuring that the internal audit plans incorporate the requirements of the Central Bank and regulatory authorities, such as reviewing stress testing and the internal assessment of capital adequacy, and submitting reports to the Board of Directors.
- Meeting with the head of internal audit at least once a year without the presence of executive management.
- Ensuring the independence and objectivity of internal audit, prohibiting it from being assigned any executive tasks, providing staff with appropriate status within the bank's organizational hierarchy, and ensuring they are qualified to perform their duties, with reports submitted to the Board of Directors.
- Taking necessary measures to enhance the effectiveness of internal audit by prioritizing the auditing process and embedding this importance within the bank, while following up on the rectification of audit observations and submitting reports to the Board of Directors.
- Reviewing observations included in the Central Bank reports and external auditor reports, and monitoring the actions taken regarding them.
- Recommending to the Board of Directors the appointment, acceptance of resignation, or termination of the head of internal audit, ensuring that the Central Bank's approval is obtained for their resignation or termination.
- Conducting an annual performance evaluation of the head of internal audit, determining their salary, annual increase, bonuses, and any other benefits they receive.
- Evaluating the performance of internal audit staff and determining their bonuses and annual increases, ensuring their ability to verify the adequacy of internal control systems and audit financial and administrative matters, and adherence to internal policies, international standards, and relevant regulations.
- Reviewing the results of the internal audit department's performance evaluation and its compliance with internal auditing standards, professional ethics principles, and the definition of internal auditing.

External Auditor:

- Ensuring the independence of the external auditor, their regular rotation, and their nomination after confirming that they meet the requirements for the nomination and engagement of the auditing firm in accordance with the Central Bank's external auditing directives for banks. The committee also recommends the auditor's fees to the Board of Directors and the termination of their services if necessary.
- Monitoring the effectiveness of the external auditor throughout all stages of the audit, verifying their compliance with the audit scope and work plan, and providing semi-annual reports to the Board of Directors, which should be discussed with the board.
- Ensuring that the external auditor provides the Central Bank with a report on information and technology audits during the first quarter, which includes the executive management's response and recommendations related to it, in accordance with the directives on governance and management of information and technology.
- Inviting the responsible partner from the external auditing firm to attend meetings related to external audit activities, excluding meetings that involve discussing the evaluation of the external auditor's effectiveness. The committee facilitates their attendance at other committee meetings that are relevant to audit activities if it deems it necessary.
- Discussing any reservations and obstacles with the responsible partner from the auditing firm without the presence of executive management at least once a year, and informing the Board of Directors of any significant observations they deem necessary.
- Recommending to the Board of Directors whether to approve or disapprove additional services requested from the auditing firm that fall outside the scope of the audit, after confirming the impact on the auditor's independence. If additional services are requested through another auditing firm or any specialized entity, it must be ensured that there is no conflict with the auditor's independence and objectivity.
- Carrying out the tasks of the Audit Committee as specified in the approved external auditing policy.

Compliance:

- Meeting with the Compliance Officer at least once a year without the presence of executive management to ensure the bank's adherence to laws, policies, and procedures, and to inform the Board of Directors of any significant observations deemed necessary.
- Receiving continuous updates from the Compliance Department, executive management, and the bank's legal advisor on any compliance-related issues.
- Ensuring that no conflicts of interest arise from conducting transactions, entering into contracts, or engaging in projects

with related parties. The committee is responsible for reviewing and monitoring all dealings with related parties and keeping the board informed in accordance with the policies approved by the Board of Directors, in coordination with the Compliance Department.

- Reviewing and monitoring the policy and procedures for reporting misconduct, enabling employees to confidentially report any inaccuracies in financial reports or other matters. The committee must ensure that adequate arrangements are in place for independent investigations and verify that the results of such investigations are addressed objectively in coordination with the Compliance Department.
- Monitoring adherence to the Code of Conduct and work ethics.

Internal Control and Supervision System:

- Ensuring that internal audit conducts an annual review of the internal control and supervision system, as well as the corporate governance framework, and informs the Board of Directors of any significant observations deemed necessary.
- Ensuring that the external auditor conducts an annual review of the internal control and supervision system by examining the observations in their reports and correspondence. This review includes the protection and security of information and the corrective actions taken by executive management regarding these issues. The committee must also inform the Board of Directors of any significant observations they deem necessary.

Other Responsibilities:

- Reviewing the results of formal investigations involving internal audit and assessing the corrective actions taken by executive management when necessary, while informing the Board of Directors of any significant observations deemed necessary.
- Ensuring that all bank activities, including those outsourced, are subject to audit to confirm that an independent, neutral party conducts an annual review. This review must ensure the existence of business continuity plans with relied-upon third parties, guaranteeing the availability and confidentiality of banking data and operations in the event of an emergency.
- Ensuring that internal audit aligns with best practices in the event of any emergencies requiring action through emergency bulletins and other communications issued by professional or specialized auditing bodies.
- Conducting an annual review of the committee's charter and submitting any proposed amendments to the Board of Directors for approval.
- Annually verifying that all responsibilities outlined in the charter are being adhered to.

Responsibilities of the Secretary:

- Providing each committee member with the approved charter of the Audit Committee as sanctioned by the Board of Directors.
- Coordinating with the chair, committee members, and the head of internal audit to schedule committee meetings.
- Facilitating communication among committee members, board committees, and management, ensuring that members have access to all necessary information.
- Preparing the meeting agenda and all relevant documents and information as requested by the committee chair, sending them to the members, the chair of the Audit Committee, and invited executive management personnel well in advance of the meeting.
- Documenting committee meetings in official minutes that detail the actions taken, tracking the recommendations made, and following up on any topics deferred from previous meetings. This includes ensuring accuracy in writing, precise recording of any votes, reservations, or suggestions, and attaching or referencing any documents referred to during meetings, as well as properly maintaining the records and documents of committee meetings.
- Drafting the official minutes and ensuring they are signed by the chair and committee members.

Management Committee:

- The charter of the Management Committee is approved by the Board of Directors and is considered an integral part of the bank's corporate governance guide.
- This charter is reviewed annually by the committee in collaboration with the bank's executive management, and any proposed amendments are submitted to the Board of Directors for approval.
- The names of committee members and the committee's activities are disclosed in the bank's annual report.

Committee Membership:

- The committee is formed by a decision of the bank's Board of Directors.
- It consists of at least three members from the Board of Directors.
- Committee members must possess sufficient banking knowledge and experience to make sound decisions.

Committee Leadership:

One of the committee members shall serve as the chair.

Quorum:

A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; however, if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The committee's decisions are made by a majority of the members present.

Secretary of the Committee:

The Manager of Credit Administration and Supervision serves as the committee secretary.

Committee Meetings:

- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations regarding its activities.
- The committee meets at the invitation of its chair whenever necessary or based on a decision from the Board of Directors or at the request of one of its members.
- Members of senior executive management may participate in committee meetings to present their recommendations.

Committee Tasks and Responsibilities:

In the Field of Investment:

- Reviewing recommendations from the Treasury and Investment Department regarding buying and selling operations of investments and approving them within the committee's authority.
- Reviewing recommendations from the Treasury and Investment Department regarding the classification or reclassification of shares in the bank's portfolios for trading, held for sale, or held to maturity, and approving them within the committee's authority.
- Reviewing recommendations from the Treasury and Investment Department regarding underwriting commitments for securities offered to the public in the primary market and approving them within the committee's authority.

In the Field of Expenses and Purchases:

- Reviewing recommendations from the Expenses and Purchases Committee regarding the purchase of supplies, equipment, and supportive services, ensuring compliance with the correct procedures according to the expenses and purchases system, including the invitation for proposals, their review and analysis, and the selection of the best options for approval within the committee's authority.
- Evaluating studies prepared for purchasing properties for the bank's use and making decisions regarding them.
- Any other related matters deemed appropriate by the General Manager for presentation to the committee.

In the Field of Administration:

- Amending the internal regulations and the articles of incorporation to align with the legal requirements in the Hashemite Kingdom of Jordan, and submitting recommendations regarding this to the Board of Directors.
- Any other administrative matters deemed appropriate by the General Manager for presentation to the committee.

Risk Management Committee:

The charter of the Risk Management Committee is approved by the Board of Directors and is considered an integral part of the bank's corporate governance guide.

This charter is reviewed annually by the committee in collaboration with the bank's Risk Management Department, and any proposed amendments are submitted to the Board of Directors for approval.

The names of committee members and the committee's activities are disclosed in the bank's annual report.

Committee Membership:

- The committee consists of at least three members from the Board of Directors, with at least one being independent, along with the head of the bank's Risk Management Department.
- Committee members must possess sufficient knowledge and understanding of the fundamentals of risk management in banking.
- They should have thorough knowledge of the directives from the Central Bank of Jordan and regulatory authorities.
- Members must hold relevant academic qualifications and/or practical experience in financial management and banking.

Committee Leadership:

The chair of the committee must be one of the independent members of the Board of Directors.

Quorum:

A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; however, if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The committee's decisions are made by consensus, and the head of Risk Management does not have voting rights.

Secretary of the Committee:

The head of Risk Management serves as the committee secretary.

Committee Meetings:

- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations regarding its activities.
- The Risk Management Committee meets at the invitation of its chair at least four times a year or whenever necessary, based on a decision from the Board of Directors or at the request of one of its members.

Committee Tasks and Responsibilities:

1. Reviewing and approving the risk management framework, which includes the governance of risk management, risk appetite, risk profile, as well as the risk management strategy and the overall reporting framework.
2. Approving the annual risk management plan.
3. Approving risk management policies, which include credit, operational, market, liquidity, and interest rate risk management policies, in addition to the investment policy, business continuity plan, and emergency plan, ensuring they are reviewed annually by the committee.
4. Monitoring and evaluating various types of risks that the bank may face.
5. Creating suitable conditions to ensure the identification of material risks and any activities undertaken by the bank that may expose it to risks greater than the accepted risk levels, reporting these to the board and following up on their mitigation.
6. Verifying that there is no discrepancy between the actual risks taken by the bank and the acceptable risk levels approved by the board.
7. Reviewing observations in the reports from the Central Bank and the external auditor regarding risk management in the bank, and monitoring the actions taken in response to these observations.

8. Studying any matter presented by the Board of Directors or any issue the committee deems necessary to investigate and provide its opinion on.
9. Approving the internal assessment methodology for capital adequacy, considering the bank's strategic plan and capital plan, and periodically reviewing this methodology to ensure that the bank maintains sufficient capital to meet all risks it faces.
10. Approving the stress testing policy and discussing the results of these tests regularly, as well as approving the actions to be taken based on these results.
11. The committee must provide periodic reports to the Board of Directors outlining the alignment of existing risks with the policies and acceptable risk levels to enable the board to make informed decisions and monitor their mitigation.
12. Approving the information security policy, including cybersecurity policies.
13. Approving the cybersecurity program.

Corporate Governance Committee

- The committee is formed by a decision of the Board of Directors and consists of at least three members, with a majority of its members being independent, including the chair of the board.
- The members of the committee are elected by the Board of Directors, and the committee continues to operate for the duration of the board members' terms.
- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations regarding its activities.

Committee Leadership:

The chair of the committee is the chair of the board.

Quorum:

A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The committee's decisions are made by a majority.

Secretary:

The Compliance Department Manager serves as the committee secretary.

Committee Meetings:

The committee meets at the invitation of its chair at least twice a year or as needed based on a decision from the Board of Directors or at the request of one of its members.

Responsibilities of the Committee:

1. Recommending to the Board of Directors the approval of the bank's corporate governance policies and reviewing them annually, ensuring compliance with Central Bank instructions and the Companies Law and Banking Law.
2. Ensuring that these policies are made available to all shareholders, especially minority shareholders.
3. Conducting an annual review of the disclosure policy and the Code of Conduct, recommending any amendments to the Board of Directors.
4. Ensuring compliance with the approved corporate governance policy and the Code of Conduct by all relevant parties, from the Board of Directors to executive management.
5. Ensuring the bank's adherence to corporate governance policies in all its operations and activities.
6. Ensuring the effectiveness of internal control systems related to monitoring corporate governance in the bank.

Nomination and Remuneration Committee:

Committee Composition:

The committee consists of at least three members, with a majority, including the chair, being independent members.

Committee Leadership:

The committee elects a chair from among its members, ensuring that the chair is independent.

Quorum:

A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The Nomination and Remuneration Committee makes its decisions and recommendations by a simple majority of the members, and in the event of a tie, the side that the chair voted for prevails.

Secretary:

The head of Human Resources serves as the committee secretary or as determined by the committee.

Committee Meetings:

The committee meets at the invitation of its chair or as needed based on a decision from the Board of Directors or at the request of one of its members, with a minimum of two meetings per year. Minutes of these meetings are recorded appropriately.

Committee Tasks:

1. Ensuring the composition of the Board of Directors complies with applicable regulations and laws, including:
   - The board must have no fewer than eleven members and no more than thirteen, as determined by the bank's internal regulations.
   - None of the board members may be executive members.
   - The number of independent board members must not be less than one-third of the board members, rounding up to the nearest whole number, and must not exceed half of the board members.
2. Ensuring the independence of board members, including:
   - Members must have high financial or banking qualifications or experience.
   - No member or their immediate relatives may have a direct or indirect interest in contracts or projects with the bank exceeding 50,000 JDs.
   - No member should have served on the board of directors for more than eight consecutive years.
   - Members must not be indebted to the bank for more than 5% of the bank's subscribed capital or guarantee such indebtedness.
   - Members must not be major shareholders or representatives of major shareholders in the bank.
   - Members must not be related to other board members within the second degree.
   - Members must not have worked for the bank or any related entity within the last three years before their election.
   - Members must not be related to the bank's external auditor or have had any partnership with them within the last three years.

3. Ensuring that members of the Board of Directors meet the following criteria:
   - Be at least twenty-five years old.
   - Not be a member of the board of any other bank in the kingdom unless it is a subsidiary.
   - Not be a lawyer or legal advisor to the bank.
   - Hold at least a bachelor's degree in economics, finance, accounting, business administration, or a similar field.
   - Have at least five years of experience in banking or related fields, with ten years for executive or regional director roles.
   - Be of good reputation and standing.
   - Sign a declaration in accordance with the corporate governance instructions.
4. Determining the independent status of members continuously and reviewing it annually, notifying the Central Bank and the Securities Commission if a member loses their independence.
5. Identifying qualified individuals for board membership based on their capabilities and qualifications, considering their attendance and participation in board meetings for re-nomination, and obtaining Central Bank approval prior to the shareholders' general assembly meeting.
6. Ensuring that all board members dedicate sufficient time to their duties and attend relevant training sessions on banking topics.
7. Evaluating the performance of the board and its members annually, with results reported to the Central Bank and the Securities Commission.
8. Identifying the bank's talent needs at the executive level and recommending qualified candidates for appointments or promotions.
9. Establishing human resources policies for the bank, including succession planning and training policies, reviewing their implementation annually.
10. Conducting a performance evaluation of the general manager, including key performance indicators.
11. Ensuring the existence of a remuneration policy for bank executives, reviewing it periodically, and recommending salaries and benefits for the general manager and other senior executives.

Compliance Committee:

- The charter of the Compliance Committee is approved by the Board of Directors and is considered an integral part of the bank's corporate governance guide.
- This charter is reviewed annually by the committee in collaboration with the Compliance Department, and any proposed amendments are submitted to the Board of Directors for approval.
- The names of committee members and the committee's activities are disclosed in the bank's annual report.

Committee Membership:

- The committee consists of three members, including the chair, from the Board of Directors, with a majority being independent members, along with the Compliance Department Manager serving as the committee's secretary.
- Members must have general banking experience, and a complete understanding of the Central Bank's instructions and those from various regulatory bodies governing the bank's operations.
- All members must have academic qualifications and relevant practical experience in financial management and banking or related fields.
- The Compliance Committee chair must attend the bank's annual general assembly meeting.

Committee Leadership:

The committee elects one of its members as chair, ensuring that the chair is independent.

Quorum:

A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The committee's decisions are made by a majority, and the Compliance Department Manager does not have voting rights.

Committee Meetings:

The Compliance Committee meets at the invitation of its chair at least four times a year or as needed based on a decision from the Board of Directors or at the request of one of its members.

Committee Secretary Responsibilities:

- The Compliance Department Manager prepares draft minutes for signature by the chair and committee members.
- Providing each committee member with the approved Compliance Committee charter.
- Facilitating communication among committee members, board committees, and executive management, ensuring members have access to necessary information.
- Documenting committee meetings in official minutes, including actions taken and follow-ups on recommendations, ensuring accuracy in writing and precise recording of votes, reservations, or suggestions.
- Preparing the meeting agenda and related documents as requested by the committee chair, and sending them to members and invited executive management personnel in advance of the meeting.
- Properly maintaining records and documents from committee meetings.

Committee Tasks and Responsibilities:

1. Reviewing observations in compliance reports, Central Bank reports, external auditor reports, and internal audit reports related to compliance monitoring and anti-money laundering measures, and following up on actions taken.
2. Recommending the Board of Directors to approve compliance management policies or any amendments to them.
3. Ensuring the accuracy and compliance of monitoring procedures.
4. Receiving annual review reports from the Compliance Unit regarding adherence to policies and procedures related to the bank's operations.
5. Ensuring complete compliance with applicable laws and regulations governing the bank's operations.
6. Receiving statistical reports of suspicious transactions reported to the Anti-Money Laundering and Terrorist Financing Unit.
7. Providing reports to the Board of Directors on the results of compliance activities at the bank.
8. Studying any matter presented to the committee by the Board of Directors or any issue the committee deems necessary to investigate and provide its opinion on.
9. Approving the implementation of any recommendations from any board committees or executive management related to compliance matters.

Emphasizing that the Compliance Committee's responsibilities do not relieve the board or executive management of their obligations to comply with regulatory instructions and do not affect the board's ability to communicate directly with executive management.

IT Governance Committee:

Committee Formation:

The committee is formed by a decision of the Board of Directors and consists of at least three members from the Board, preferably including individuals with strategic knowledge or expertise in information technology.

The committee elects one of its members as chair.

The board specifies the committee's objectives and delegates authority to it through a charter.

Committee Powers:

The committee may engage external experts at the bank's expense when necessary, coordinating with the board chair as needed for IT governance and strategic knowledge, ensuring objectivity in recommendations.

The committee may invite any bank officials to attend its meetings for their input, including internal audit personnel and members of senior executive management (such as the risk and compliance managers).

Committee Meetings:

- The committee operates under the supervision of the Board of Directors and submits periodic reports and recommendations regarding its activities.
- The committee meets at the invitation of its chair at least quarterly or as needed based on a decision from the Board of Directors or at the request of any of its members.
- A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.
- The committee makes its recommendations or decisions by a majority of those present, and in the event of a tie, the side that the chair voted for prevails, keeping documented minutes of all meetings.

Committee Secretary:

The Chief Technology Officer (CTO) serves as the committee secretary.

Committee Tasks and Responsibilities:

The delegation of authority to the committee or any other committee does not absolve the board of its overall responsibilities. The committee is tasked with the following:

1. Approving the strategic objectives for information technology and appropriate organizational structures, including steering committees at the senior executive level (specifically the IT Steering Committee), ensuring alignment with the bank's strategic goals and optimizing value from IT projects and investments.
2. Using necessary tools and standards to monitor and ensure compliance, such as implementing IT Balanced Scorecards and calculating return on investment (ROI) while measuring contributions to improving financial and operational efficiency.
3. Approving a framework for managing, controlling, and monitoring IT resources and projects that aligns with internationally accepted best practices (specifically COBIT), ensuring compliance with the Central Bank's directives on governance and management of accompanying information and technology.
4. Approving the matrix of institutional objectives, information objectives, and detailing the necessary sub-goals to achieve them.
5. Approving a RACI Chart for major IT governance operations and related sub-operations, identifying responsible, accountable, consulted, and informed parties for all operations.
6. Ensuring that a comprehensive framework for managing IT risks is in place, aligned with the bank's overall risk management framework.
7. Approving the budget for IT resources and projects in line with the bank's strategic objectives.
8. Overseeing the operations, resources, and projects of information technology to ensure their adequacy and effective contribution to meeting the bank's requirements.
9. Reviewing IT audit reports and taking necessary actions to address deviations.
10. Recommending corrective actions to the board for any identified deviations.

Facilities Committee:

The charter of the Facilities Committee is approved by the Board of Directors and is considered an integral part of the bank's corporate governance guide. This charter is reviewed by the committee in collaboration with the bank's executive management whenever necessary, and any proposed amendments are submitted to the Board of Directors for approval. The names of committee members and the committee's activities are disclosed in the bank's annual report.

Committee Membership:

- The committee is formed by a decision of the Board of Directors.
- The committee consists of at least five members from the Board of Directors, and one of its members may be independent, provided they are not a member of the Audit Committee.
- Members must have sufficient banking knowledge and experience to make sound decisions.
- The board may delegate some or all of the committee's powers regarding the terms or structuring of facilities to the relevant credit committees (the highest committee in executive management as per the directives), with the requirement to inform the Facilities Committee of any decisions taken under these powers. Additionally, the structure of authorities must be adjusted accordingly.

Committee Leadership:

The chair of the committee is the chair of the Board of Directors.

Quorum:

A meeting of the committee is legally valid if at least four members are present. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.

Voting:

The committee's decisions are made by a majority of the members, regardless of the number present, and in the event of a tie, the chair's vote prevails.

Secretary of the Committee:

The Manager of Credit Administration and Supervision serves as the committee secretary.

Committee Meetings:

- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations regarding its activities.
- The committee meets at the invitation of its chair whenever necessary.
- Members of senior executive management may participate in committee meetings to present their recommendations.

Committee Tasks and Responsibilities:

1. Reviewing recommendations from the relevant credit committees to make appropriate decisions regarding the granting, renewing, modifying, or canceling of credit facilities, approving them within the committee's authority or recommending them to the Board of Directors. Upper limits for the committee's authority regarding the granting, modifying, renewing, or restructuring of credit facilities should be clearly defined, ensuring that the Board has clear powers in this regard.
2. Approving special credit programs and any exceptions raised regarding these programs.
3. Reviewing reports prepared by the Monitoring Department and the Legal Department regarding the management of non-performing loans and loans subject to litigation, and making appropriate decisions within the committee's authority or recommending them to the Board of Directors.
4. Approving any amendments to policies regarding the granting of facilities to employees.
5. Approving the granting of any facilities to employees outside the authority of the Chief Executive Officer.
6. Any other credit-related matters deemed appropriate for presentation by the General Manager.
7. Periodically reporting to the Board details of the facilities approved by the committee.
8. Reviewing the credit policy and any amendments, which must include, at a minimum:
   - Various credit limits
   - Risk-based pricing policy
   - Various granting authorities
   - Risk acceptance policy
   - Various credit products

This ensures compliance at all levels.

Decisions Related to Board Members and Related Parties:

Necessary approvals for decisions regarding board members and related parties are obtained via email, sent to all board members except those with conflicts of interest.

Statement on Compliance with Corporate Governance Guide:

The bank commits to complying with the corporate governance guide issued by the Board of Directors.

Control objectives for information and related technologies manual **(COBIT)**

Section One: Introduction

Information governance and the management of accompanying technology is defined as the process of distributing roles and responsibilities and describing relationships among various parties and stakeholders (such as the Board of Directors and executive management) with the aim of maximizing the added value for the bank. This is achieved by adopting the optimal approach that ensures a balance between risks and expected returns through the establishment of the necessary rules, foundations, and mechanisms for decision-making, as well as determining strategic directions and objectives for the bank and mechanisms for monitoring and assessing compliance to ensure the sustainability and development of the bank.

Given that IT resources are a crucial element in terms of relative size and their impact on the bank's ability to conduct operations and achieve its goals, along with their critical role in influencing the competitiveness of the bank's products and services, as well as decision-making and risk management processes, this justifies the substantial investments made by banking institutions in the IT sector.

Therefore, it is essential for the bank, in particular, to adhere to the appropriate principles and standards in managing IT resources according to internationally accepted practices in order to mitigate risks and avoid unproductive investments and unjustifiable expenses that translate into significant losses over the years, which may sometimes affect the bank's reputation.

The topic of IT governance has witnessed positive developments globally, resulting in general frameworks of fundamental principles at a high level of maturity, the most prominent of which is the COBIT (Control Objectives for Information and Related Technologies) framework. The overall framework for the governance and management of information and accompanying technology consists of a set of foundational principles, the first of which is strategic alignment. This alignment is required to achieve the strategic objectives of information technology that should contribute to achieving the bank's strategic goals. Additionally, the bank should optimize its IT resources within the available options to maximize the added value, primarily measured by the contribution of IT to achieving the bank's strategic goals, while also managing IT risks in a comprehensive manner that aligns with the bank's overall risk management processes.

It is essential for the bank to adopt sound practices that lead to effective decision-making based on risk, ensuring the realization of added value at the lowest costs while mitigating anticipated losses and risks. This reflects the bank's vision in this regard, adhering to acceptable risk limits whenever possible. Moreover, the senior management (the Board of Directors and executive management) must undertake planning and organizational tasks by formulating strategies, policies, and action plans, and build and adapt hierarchical and circular organizational structures (in the form of committees) to achieve strategic objectives.

They must also develop mechanisms, tools, and standards capable of measuring the added value of information technology, enabling the board and senior executive management to monitor the bank's operations and ensure the integrity of planning, organizing, and employing IT resources, aiming to gather feedback for continuous improvement and development. This should be done while adhering to the principle of separation of duties and roles, distributing them appropriately between the board and executive management.

Believing in the importance of information governance and the management of accompanying technology and its positive impact on the bank's integrity, the Board of Directors has decided to adopt this guide (the Guide to the Governance and Management of Information and Accompanying Technology). This guide has been developed based on the Central Bank of Jordan's guidelines regarding information governance and management, which align with and complement the corporate governance guide adopted in the bank and the Central Bank's guidelines on institutional governance for banks. This guide will be reviewed and updated as needed by the IT Governance Committee established by the Board of Directors.

Section Two: Definitions

The words and phrases contained in this guide shall have the meanings specified below unless the context indicates otherwise. Reference should be made to the Banking Law for any definitions not included in this guide:

1. Information Governance and Accompanying Technology: The distribution of roles and responsibilities and the description of relationships among various parties and stakeholders (such as the Board of Directors and executive management) aimed at maximizing the added value of the bank by adopting the optimal approach that ensures a balance between risks and expected returns, through the establishment of the necessary rules, foundations, and mechanisms for decision-making and determining strategic directions and objectives in the bank, along with mechanisms for monitoring and assessing compliance to ensure the sustainability and development of the bank.
2. Management of Information and Accompanying Technology: A set of ongoing activities that fall under the responsibility of executive management, including planning to achieve strategic objectives, which encompasses alignment and organization, activities related to construction and development, including procurement and implementation, operational activities, including service delivery and support, monitoring activities, including measurement and evaluation, ensuring the continuous achievement of the bank's objectives and strategic directions.
3. Governance and Management Objectives: A collection of practices and activities derived from the bank's policies necessary to achieve the objectives of information and accompanying technology.
4. Objectives of Information and Accompanying Technology: A set of primary and secondary objectives related to governance and management activities for information and accompanying technology necessary to achieve institutional objectives.
5. Institutional Objectives: A collection of objectives related to governance and institutional management necessary to meet the needs of stakeholders and the objectives of this guide.
6. The Board: The Board of Directors of the bank.
7. Executive Management: Includes the General Manager, Deputy General Manager, Assistant General Manager, Chief Financial Officer, Chief Operating Officer, Risk Manager, Treasury Manager, and Compliance Manager.
8. Stakeholders: Any party with an interest in the bank, such as shareholders, employees, creditors, customers, external suppliers, or relevant regulatory authorities.
9. Auditor: The individual (natural or legal) or entity specialized in examining the bank's operations based on information technology, in line with the requirements of the relevant instructions agreed upon with the bank's management for a period of no less than three consecutive years and no more than six consecutive years.

Section Three: Institutional Control Structure

The institutional control structure is detailed in the Corporate Governance Manual.

Section Four: Objectives of Information Governance and Management

To meet stakeholders' needs and achieve the bank's objectives, this is done by realizing the objectives of information and accompanying technology, ensuring:

1. Providing high-quality information as a basis for supporting decision-making mechanisms within the bank.
2. Prudent management of information technology resources and projects, maximizing the benefits from these resources while minimizing waste.
3. Offering distinguished and supportive technological infrastructure that enables the bank to achieve its goals.
4. Enhancing various bank operations through the deployment of an efficient and reliable technology system.
5. Prudent management of information technology risks that ensure the necessary protection for the bank's assets.

6. Assisting in achieving compliance with legal requirements, regulations, and directives, in addition to adherence to internal work strategies, policies, and procedures.
7. Improving the internal control system.
8. Maximizing user satisfaction with information technology by efficiently and effectively meeting business needs.
9. Managing external services tasked with executing operations and service products.

2. Achieving comprehensiveness in information governance and management

This involves considering not only the technology itself but also providing seven enabling elements that accompany and complement information technology services:

1. Principles, policies, and frameworks.
2. Governance and management objectives.
3. Organizational structures.
4. Information and reports.
5. Services, programs, and information technology infrastructure.
6. Knowledge, skills, and expertise.
7. A system of values, ethics, and behaviors, ensuring these elements are provided with specific standards and dimensions to meet the requirements and objectives of information and accompanying technology, not only in IT operations but across all bank operations based on information and technology.

3. Adopting Best Practices and Organizational Rules

This should be based on the best international standards as a starting point for building governance and management practices for IT operations and projects.

Separation of Operations and Responsibilities

This involves clearly delineating the operations and responsibilities of the board regarding governance from those within the executive management's responsibilities concerning information and accompanying technology.

Enhancing Self-Control and Independent Oversight Mechanisms

This includes strengthening self-control, independent oversight, and compliance assessment mechanisms in the fields of information governance and management, contributing to continuous performance improvement.

Section Five: Governance and Management Objectives

1. The objectives of governance and management, along with their requirements, represent a minimum standard that the bank's executive management must continuously comply with and achieve. The IT Steering Committee is primarily responsible for ensuring compliance with these requirements, while the IT Governance Committee and the board as a whole bear ultimate responsibility in this regard.
2. All departments of the bank, particularly the Information Technology Department, Information Security Management, and Project Management, are required to define and reshape their operations to align with and cover the requirements of all governance and management objectives.
3. The board holds direct responsibility for evaluation, guidance, and oversight operations.
4. The board and the Risk Management Department are directly responsible for the processes of "ensuring prudent management of information technology risks" and "risk management."

Section Eight: Committees

IT Governance Committee

Formation of the Committee:

- The committee is established by a decision of the Board of Directors.
- It consists of at least three members from the Board of Directors, preferably including individuals with strategic knowledge or expertise in information technology.
- The committee elects one of its members as chair.
- The board defines the committee's objectives and delegates authority through a charter that clarifies this.

Committee Powers:

- The committee may engage external experts at the bank's expense when necessary, coordinating with the board chair to enhance objective opinions regarding IT governance and knowledge.
- The committee may invite any bank officials to attend its meetings to provide their opinions, including those involved in internal audit and senior executive management (such as the Risk Manager and Compliance Manager).

Committee Meetings:

- The committee operates under the supervision of the Board of Directors and submits its periodic reports and recommendations regarding its activities.
- The committee meets at the invitation of its chair at least quarterly or as needed based on a decision from the Board of Directors or at the request of any of its members.
- A meeting of the committee is legally valid if a majority of its members are present, provided that the chair is also in attendance. Members must attend in person; if personal attendance is not possible, a committee member may attend the meeting using any form of visual communication, with the chair's approval. Such members have the right to vote and sign the meeting minutes, which must be validated by the board chair and the secretary regarding the quorum.
- The committee makes its recommendations or decisions by a majority of those present, and in the event of a tie, the side that the chair voted for prevails, maintaining documented minutes of all meetings.

Committee Secretary:

The Chief Technology Officer (CTO) serves as the committee secretary.

Committee Tasks and Responsibilities:

The committee, in particular, is responsible for the following tasks:

1. Developing annual plans that ensure the achievement of the strategic objectives approved by the board and overseeing their implementation to ensure their realization while monitoring internal and external factors affecting them continuously.
2. Linking the matrix of institutional objectives to the matrix of information and accompanying technology objectives, approving and reviewing it continuously to ensure the achievement of the bank's strategic objectives, defining a set of measurement standards, reviewing them, and assigning executive management to monitor them continuously, keeping the committee informed.
3. Recommending the allocation of necessary financial and non-financial resources to achieve governance and management objectives and utilizing competent human resources in suitable positions through organizational structures that support all necessary operations to support the objectives while considering the separation of duties and avoiding conflicts of interest.
4. Supervising the execution of governance and management projects and objectives.
5. Prioritizing information technology projects and programs.
6. Monitoring the level of technical and technological services, continuously improving and enhancing them.

7. Submitting necessary recommendations to the IT Governance Committee regarding:
   - Allocation of necessary resources and mechanisms to achieve the tasks of the IT Governance Committee.
   - Any deviations that may negatively affect the achievement of strategic objectives.
   - Any unacceptable risks related to technology, information security, and protection.
   - Performance and compliance reports with the requirements of the overall framework for managing, controlling, and monitoring information technology resources and projects.
8. Providing the IT Governance Committee with its meeting minutes promptly and ensuring their review.

IT Steering Committee

The committee ensures the strategic alignment of information technology, optimal resource utilization, benefit realization, and risk reduction to achieve the bank's strategic objectives sustainably.

Formation of the Committee:

- The committee is established by a decision of senior executive management.
- The committee is chaired by the General Manager and includes executive management directors, including the CTO, Risk Manager, and Information Security Manager.
- The board elects one of its members to serve as a monitoring member of this committee in addition to the Internal Audit Manager.

Committee Powers:

The committee may invite others to attend its meetings for their opinions.

Committee Meetings:

- The committee meets periodically, with meetings occurring at least every three months or as needed.
- The committee makes its recommendations or decisions by a majority of those present, and in the event of a tie, the side that the chair voted for prevails. The committee documents its meetings with official minutes.

Quorum:

A meeting of the committee is legally valid if at least three members from classification (A) and two members from classification (B) are present. The total number of committee members is 15, with the General Manager, Deputy General Manager, CTO, and Risk Manager classified as (A) and the remaining members classified as (B). The Internal Audit Manager and a board member serve as observer members.

Committee Secretary:

The Chief Technology Officer (CTO) serves as the committee secretary.

Committee Tasks and Responsibilities:

The committee is particularly responsible for the following tasks:

1. Developing annual plans to achieve the strategic objectives approved by the board and overseeing their implementation to ensure their realization while monitoring internal and external factors affecting them continuously.
2. Linking the matrix of institutional objectives to the matrix of information and accompanying technology objectives, approving and reviewing it continuously to ensure the achievement of the bank's strategic objectives, defining a set of measurement standards, reviewing them, and assigning executive management to monitor them continuously, keeping the committee informed.
3. Recommending the allocation of necessary financial and non-financial resources to achieve governance and management objectives and utilizing competent human resources in suitable positions through organizational structures that support all necessary operations to support the objectives while considering the separation of duties and avoiding conflicts of interest.
4. Supervising the execution of governance and management projects and objectives.
5. Prioritizing information technology projects and programs.
6. Monitoring the level of technical and technological services, continuously improving and enhancing them.

7. Submitting necessary recommendations to the IT Governance Committee regarding:
   - Allocation of necessary resources and mechanisms to achieve the tasks of the IT Governance Committee.
   - Any deviations that may negatively affect the achievement of strategic objectives.
   - Any unacceptable risks related to technology, information security, and protection.
   - Performance and compliance reports with the requirements of the overall framework for managing, controlling, and monitoring information technology resources and projects.
8. Providing the IT Governance Committee with its meeting minutes promptly and ensuring their review.

Section Nine: Internal and External Audit

A. The board is responsible for allocating sufficient budgets and providing the necessary tools and resources, including qualified human resources, through specialized IT audit departments. It must ensure that both the bank's internal audit department and the external auditor are capable of reviewing and auditing the employment and management of information technology resources and projects, as well as bank operations, through specialized technical reviews (IT Audit) conducted by qualified and internationally certified professionals in this field, holding valid professional certifications such as CISA from qualified international certification bodies and/or any equivalent standards.

B. The Audit Committee, on behalf of the board, along with the external auditor, must provide the Central Bank of Jordan with an annual report on the internal audit and another for the external audit, respectively, including responses from executive management and the board's recommendations regarding the matter, as stipulated in item (d/2) of this section, and according to the approved model during the first quarter of each year.

C. The Audit Committee must include the responsibilities, powers, and scope of IT audits in its Audit Charter and in procedures agreed upon with the external auditor.

D. The board must ensure, through the Audit Committee, that both the internal and external auditors adhere to the following when performing specialized audits of information and accompanying technology:

   1. **IT Audit Standards:** Following the latest updates of the International Auditing Standard (ITAF) issued by ISACA, which includes:
      - Executing audit tasks according to an approved plan that considers the relative importance of operations, risk levels, and the impact on the bank's objectives and interests.
      - Providing and adhering to training and continuous education plans for the specialized staff.
      - Commitment to professional independence and avoiding conflicts of interest, both current and future.
      - Adherence to standards of objectivity, exercising professional diligence, and maintaining a high level of competitiveness and professionalism in knowledge and skills, along with a deep understanding of the various operations and processes of the bank based on information technology, including audit and review reports (financial, operational, legal), with the capability to provide suitable evidence for the case and a general sensitivity to identify unacceptable practices that violate laws, regulations, and directives.
   2. **Examination and Evaluation:** Conducting examinations and evaluations of the employment and management of information technology resources and the bank's related operations and providing reasonable overall audit assurance regarding the total risk level of information and accompanying technology within an audit program that covers at least the areas outlined in the guide issued by the Central Bank. The frequency of auditing all areas or parts thereof should be at least once a year if assessed at risk levels (5 or 4), at least once every two years for risk level (3), and at least once every three years for risk levels (2 or 1), considering the continuous change in risk levels and significant changes in the information environment and accompanying technology during the specified audit periods. Additionally, the Central Bank of Jordan should be provided with audit reports for the first time regardless of the risk assessment level. The evaluations of the mentioned areas should include the bank's mechanisms regarding strategic planning, policy formulation, written and approved procedures, resource employment mechanisms, including information technology and human resources, and monitoring and improvement tools, documenting audit findings and evaluating them based on the significance of the deficiencies and weaknesses (observations), as well as the activated controls and evaluating the remaining risk level associated with each one using a systematic approach to risk analysis and measurement. This includes agreed-upon corrective actions to be followed by the bank's management by specific correction dates, indicating the rank of the responsible party within the bank for each observation in a specific table.

3. **Regular Procedures:** Establishing regular procedures for following up on audit results to ensure the timely resolution of observations and deficiencies mentioned in the auditors' reports. If there is no response, the importance and risks should be gradually escalated, and the board should be informed as necessary.
4. **Annual Performance Evaluation:** Implementing an annual performance evaluation for IT audit staff based on objective measurement standards that consider everything mentioned in point (D) above. The evaluation should be conducted by the board, represented by the Audit Committee, following the organizational administrative hierarchy of audit departments.
5. **Outsourcing Internal Audit Services:** Internal audit services for information and accompanying technology may be outsourced to an independent external entity, provided all requirements of the Central Bank's directives and any other relevant instructions are met, while maintaining the roles of the Audit Committee and the board in examining compliance and ensuring these requirements are fulfilled at a minimum.
6. **Acceptance of Audit Reports:** The reports of the internal and external auditors may be approved by the IT Governance Committee or the committee acting in its place, and the board should be informed of these reports.

Section Ten: Principles, Policies, and Frameworks

- The board, or those delegated by its committees, shall approve a system of principles, policies, and frameworks necessary to achieve the overall framework for managing, controlling, and monitoring information technology resources and projects, in a manner that meets the requirements of governance and management objectives.
- The board, or those delegated by its committees, shall adopt principles, policies, and frameworks, particularly those related to managing information technology risks, information security, and human resource management that meet governance and management objectives.
- The board, or those delegated by its committees, shall approve the necessary policies for managing resources and governance objectives. Each policy shall specify the owning authority, scope of application, review and update frequency, access and distribution authority, objectives, responsibilities, relevant work procedures, penalties for non-compliance, and compliance inspection mechanisms.
- In establishing policies, the contributions of all internal and external stakeholders should be considered, along with adopting the best international practices and their updates as references for drafting these policies.

Section Eleven: Organizational Structures

- The board shall approve hierarchical organizational structures and committees, particularly those related to the management of resources, operations, projects in information technology, information technology risk management, information security, and human resource management that meet governance and management objectives, ensuring the efficient and effective achievement of the bank's goals.
- Care must be taken to ensure the separation of conflicting duties and the requirements for organizational protection related to dual controls at a minimum, as well as the adequacy and updating of job descriptions when approving and modifying the bank's organizational structures.

Section Twelve: Information and Reports

- The board and senior executive management shall develop the necessary infrastructure and information systems to provide information and reports to their users as a basis for decision-making operations in the bank. The requirements for information quality must be met, which include credibility, confidentiality according to data classification policies, availability, and compliance with those information and reports, in addition to other requirements outlined in the COBIT 5 standard - Enabling Information.
- The board, or those delegated by its committees, shall approve the information and reporting system, ensuring that owners of that information and reports are identified, determining their access and usage authority as necessary for work and relevant stakeholders. Continuous review and development of these systems must be conducted to keep pace with the evolving objectives and operations of the bank, in accordance with the best internationally accepted practices in this regard.

Section Thirteen: Services, Tools, Programs, and IT Infrastructure

- The board, or those delegated by its committees and senior executive management, shall approve a system of services, tools, programs, and supporting IT infrastructure necessary to achieve governance and management objectives, as well as the objectives of information and accompanying technology, ultimately supporting the institutional goals.
- The board, or those delegated by its committees and senior executive management, shall ensure that these services, tools, programs, and IT infrastructure are continuously provided and developed to keep pace with the evolving objectives and operations of the bank, in line with the best internationally accepted practices in this regard.

Section Fourteen: Knowledge, Skills, and Expertise

- The board, or those delegated by its committees, shall adopt a competency matrix (HR Competencies) and human resource management policies necessary to achieve governance and management objectives and the requirements of the Central Bank of Jordan's directives in general, ensuring that the right person is placed in the right position.
- The bank's management should employ qualified and trained human resources with experience in information technology resource management, risk management, information security management, and IT auditing, based on recognized academic and professional knowledge standards and practical experience recognized by qualified international associations according to international accreditation standards for professional certification bodies and/or any equivalent standards applicable to their fields.
- The bank's executive management should continuously enroll its employees in training and continuing education programs to maintain a level of knowledge and skills that meet and achieve governance and management objectives.
- The bank's executive management should establish annual performance evaluation mechanisms for its staff based on objective measurement standards, considering their contributions through their job positions in achieving the bank's objectives.

Section Fifteen: Values, Ethics, and Behaviors

- The board, or those delegated by its committees, shall adopt a professional ethical framework that reflects internationally accepted professional conduct standards regarding the handling of information and accompanying technology, clearly defining desired and undesired behaviors and their consequences.
- Both the internal and external auditors must comply with the ethical and professional practices framework approved by the board, which at a minimum includes the ethical standards mentioned in the International Standard (ITAF) issued by ISACA, along with its updates.
- The board and senior executive management should employ various mechanisms to encourage the application of desired behaviors and to avoid undesired behaviors through the implementation of incentive and penalty methods, among other approaches.

Section Sixteen: Outsourcing Agreements

When entering into outsourcing agreements to provide human resources, services, programs, and IT infrastructure to facilitate the bank's operations, the bank must ensure that the external parties comply with the provisions of the directives related to the governance and management of information and accompanying technology, either wholly or partially, in a manner commensurate with the significance and nature of the bank's operations, services, programs, and infrastructure provided before and during the contract period. This does not exempt the board and senior executive management from their ultimate responsibility for meeting the directives' requirements, including auditing requirements.

Statement of Compliance with the Governance and Management Guide for Information and Accompanying Technology (COBIT)

Bank al Etihad is committed to the directives of the Central Bank of Jordan concerning information technology governance.

Consolidated financial statements for the Year ended December 31, 2023

Independent Auditor Report

AM/009498

To the Shareholders

Bank al Etihad

(A Public Shareholding Limited Company)

Amman – The Hashemite Kingdom of Jordan

Report on the Consolidated Financial Statements

Independent Auditor's Report

Opinion

We have audited the consolidated financial statements of Bank Al Etihad (A Public Shareholding Limited Company) (the "Bank") and its subsidiaries and foreign branches (the "Group"), which comprise the consolidated statement of financial position as at December 31, 2023, and the consolidated statement of income, consolidated statement of comprehensive income, consolidated statement of changes in owners' equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of Bank Al Etihad as of December 31, 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS Accounting Standards) (IFRSs) as adopted by the Central Bank of Jordan.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards, are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants together with the ethical requirements that are relevant to our audit of the Bank's consolidated financial statements in Jordan, and we have fulfilled our other ethical responsibilities. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matters	How our audit addressed the key audit matter

1. Allowance for Credit Losses on Credit Facilities

As described in note 9 to the consolidated financial statements, the Bank had direct credit facilities of JD 4,2 billion as at 31 December 2023 representing 57% of total assets. The total allowance for expected credit losses relating to these facilities were JD 194 million. The determination of the Banks's expected credit losses for credit facilities is a material and complex estimate requiring significant management judgement in the evaluation of the credit quality and the estimation of inherent losses in the portfolio.

The financial statement risk arises from several aspects requiring substantial judgement of management, such as the estimation of probabilities of default and loss given defaults for various stages, the determination of significant increase in credit risk (SICR) and credit-impairment status (default), the use of different modelling techniques and consideration of manual adjustments. In calculating expected credit losses, the bank considered credit quality indicators for each loan and portfolio, stratifies loans and advances by risk grade and estimates losses for each loan based upon their nature and risk profile.

Post-model adjustments are applied to address risks that are not specifically considered by the ECL models. The basis and calculation of the post-model adjustments require significant auditor judgement, including the consideration of the risk of management override.

In calculating expected credit losses, the Bank considered credit quality indicators for each loan and portfolio, stratified credit facilities by risk grades and estimated losses for each facility based upon their nature and risk profile.

The Bank's expected credit losses are calculated against credit exposures, according to the requirements of International Financial Reporting Standard 9 Financial Instruments (IFRS 9) as adopted by the Central Bank of Jordan (CBJ). Credit exposures granted directly to the Jordanian Government as well as credit exposures guaranteed by the Jordanian Government are excluded from the determination of the allowance for expected credit losses. In addition, expected credit losses are also adjusted to take into consideration any special arrangements with the Central Bank of Jordan.

We established an audit approach, which includes both testing the design and assessed the operating effectiveness of certain relevant internal controls, over the determination of expected credit losses and risk-based substantive audit procedures. Our procedures over internal controls focused on obtaining an understanding and testing the design and implementation over the process controls around the ECL methodology governance, completeness and accuracy of loan data used in the expected loss models, management review of outcomes, the assignment of borrowers' risk classification, consistency of application of accounting policies and the process for calculating allowances.

The primary procedures which we performed to address this key audit matter included, but were not limited to, the following:

- For a risk-based sample of individual loans, we performed a detailed credit review, assessed the appropriateness of information for evaluating the creditworthiness and staging classification of individual borrowers and challenged the assumptions underlying the expected credit loss allowance calculations, such as estimated future cash flows, collateral valuations and estimates of recovery. We assessed the consistency of the bank's application of its impairment allowances and governance controls, including assessing key management and committee meetings that form part of the approval process for loan impairment allowances.
- For loans not tested individually, with the assistance of our subject matter experts, we assessed the methodology used to determine the expected credit losses, tested the inputs by agreeing these to supporting documentation, and reperformed the mathematical accuracy of the expected credit loss model. We also challenged key assumptions, evaluated the calculation methodology and traced a sample back to source data;

Key audit matters	How our audit addressed the key audit matter
The recognition of specific allowances on impaired facilities under the CBJ instructions is based on the rules prescribed by the CBJ on the minimum allowances to be recognized together with any additional allowances to be recognized based on management's estimate of expected cash flows related to those credit facilities. Auditing these complex judgements and assumptions involves especially challenging auditor judgement due to the nature and extent of audit evidence and effort required to address these matters and therefore this item is considered to be a key audit matter.	• We evaluated key assumptions such as thresholds used to determine SICR and forward-looking macroeconomic scenarios including the related weighting; • We evaluated post-model adjustments and management overlays in the context of key model and data limitations identified by the Bank in order to assess these adjustments, and challenged their rationale; • We assessed the forward-looking information incorporated into the impairment calculations by involving our specialist to challenge the multiple economic scenarios chosen including the related weighting applied and reconciled the macroeconomic indicators with the respective sources used; • We determined if the amount recorded as the allowance for expected credit losses was determined in accordance with the instructions of the Central Bank of Jordan; and We assessed the disclosure in the consolidated financial statements relating to this matter against the requirements of IFRSs and CBJ requirements.
2. IT systems and controls over financial reporting We identified IT systems and controls over the Bank's financial reporting as an area of focus due to the extensive volume and variety of transactions which are processed daily by the Bank and rely on the effective operation of automated and IT dependent manual controls. There is a risk that automated accounting procedures and related internal controls are not accurately designed and operating effectively. In particular, the incorporated relevant controls are essential to limit the potential for fraud and error as a result of change to an application or underlying data.	Our audit approach relies on automated controls and therefore the following procedures were designed to test access and control over IT systems: We obtained an understanding of the applications relevant to financial reporting and the infrastructure supporting these applications. We tested IT general controls relevant to automated controls and computer-generated information covering access security, program changes, data center and network operations. We examined computer generated information used in financial reports from relevant applications and key controls over their report logics. We performed testing on the key automated controls on significant IT systems relevant to business processes.

Other Matter

The accompanying consolidated financial statements are a translation of the original consolidated financial statements, which are in the Arabic language, to which reference should be made.

Other Information

Management is responsible for other information. The other information comprises the other information in the annual report, excluding the consolidated financial statements and the independent auditors' report thereon. We expect that the annual report will be made available to us after the date of our audit report. Our opinion on the consolidated financial statements does not cover the other information, and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted by the Central Bank of Jordan, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exist. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability

to continue as a going concern. If we conclude that a material uncertainty exist, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Obtain Sufficient and appropriate audit evidence regarding the consolidated financial information of the entities or business activities within the Group ("The Bank and its subsidiaries and foreign branches") to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and implementation of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards procedures.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonable be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Bank maintains proper books of accounts which are in agreement with the consolidated financial statements. We recommend that the General Assembly of the Shareholders approve these consolidated financial statements.

Amman – The Hashemite Kingdom of Jordan

February 28, 2024

Deloitte & Touche (M.E.) – Jordan

Deloitte & Touche (M.E.)
ديلويت آند توش (الشرق الأوسط)
010105

List (A)

	Note	December 31,	
		2023	2022
		JD	JD
Assets:			
Cash and balances at the Central Banks	5	736,205,982	761,806,411
Balances at banks and financial institutions - net	6	371,943,707	207,342,608
Deposits at banks and financial institutions - net	7	14,082,419	14,013,824
Financial assets at fair value through statement of profit or loss	8	26,229,319	18,423,896
Direct credit facilities and financing - net	9	4,244,911,424	3,991,118,781
Financial assets at fair value through other comprehensive income	10	66,658,121	61,301,069
Financial assets at amortized cost - net	11	1,633,814,826	1,325,766,644
Investments in associates	12	349,622	345,954
Property and equipment - net	13	76,211,079	68,516,377
Deferred tax assets	21/b	37,416,374	32,820,280
Right of use assets - net	44	30,438,070	29,461,656
Intangible assets - net	14	28,532,909	26,893,693
Other assets - net	15	153,225,585	153,079,760
TOTAL ASSETS		7,420,019,437	6,690,890,953
LIABILITIES AND OWNERS' EQUITY:			
LIABILITIES:			
Banks' and financial institutions' deposits	16	311,250,220	337,850,140
Customers' deposits	17	5,651,353,018	5,186,344,444
Cash margins	18	329,660,434	257,368,027
Borrowed funds	19/a	190,406,392	141,707,946
Subordinated loans	19/b	60,295,000	46,115,000
Sundry provisions	20	525,787	631,897
Leasing liabilities	44	31,098,416	29,680,581
Income tax provision	21/a	30,872,484	28,930,915
Deferred tax liability	21/b	20,282	844,854
Other liabilities	22	150,936,220	101,380,499
TOTAL LIABILITIES		6,756,418,253	6,130,854,303
OWNERS' EQUITY:			
BANK'S SHAREHOLDERS' EQUITY:			
Authorized and paid-up capital	23	200,000,000	160,000,000
Share premium	23	68,213,173	80,213,173
Statutory reserve	25	85,321,596	76,227,974
Voluntary reserve	25	57,172,423	51,192,173
Fair value reserve - net	27	2,693,754	6,482,816
Retained earnings	28	65,411,367	78,930,524
TOTAL BANK'S SHAREHOLDERS' EQUITY		478,812,313	453,046,660
Non-controlling interests		113,888,871	106,989,990
Perpetual bonds	24	70,900,000	-
TOTAL OWNERS' EQUITY		663,601,184	560,036,650
TOTAL LIABILITIES AND OWNERS' EQUITY		7,420,019,437	6,690,890,953

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (B)

	Note	For the Year Ended December 31,	
		2023	2022
		JD	JD
Interest income and returns	31	430,386,583	315,768,650
Interest and debit expenses	32	217,487,350	135,119,493
Net Interest Income and Returns		212,899,233	180,649,157
Net commission income	33	32,347,286	33,768,587
Net interest, returns and commission income		245,246,519	214,417,744
Gain from foreign currencies	34	13,776,586	11,440,002
Gain (loss) from financial assets at fair value through statement of profit or loss	35	1,915,615	(1,484,919)
(Loss) from financial assets at amortized costs	11	(2,125)	(45,933)
Dividends from financial assets at fair value through other comprehensive income	10 & 36	1,162,153	690,867
Other income	37	1,401,394	1,998,383
Total Income		263,500,142	227,016,144
Employees' expenses	38	62,943,873	57,467,355
Depreciation and amortization	13 & 14	15,059,445	15,563,353
Other expenses	39	46,966,839	40,802,634
Right-of-use assets depreciation	44	4,575,570	4,187,342
Rent expense	44	810,851	558,065
Financing costs	44	1,240,261	1,171,165
Provision for expected credit loss	29	41,920,695	34,237,331
(Surplus) Provision for impairment of seized assets	15	(581,164)	895,181
Sundry provisions	20	170,171	407,782
Total Expenses		173,106,541	155,290,208
Profit from operations		90,393,601	71,725,936
Bank's share from associates profits - net	12	3,668	8,496
Profit for the year before tax		90,397,269	71,734,432
Income tax	21/a	(32,659,994)	(27,934,009)
Profit for the Year		57,737,275	43,800,423
Attributable to:			
Bank's Shareholders		47,137,256	34,327,652
Non-Controlling Interests		10,600,019	9,472,771
		57,737,275	43,800,423
		JD/ FILS	JD/ FILS
Basic and diluted earnings per share for the year attributable to the Bank's Shareholders	40	0.236	0.172

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (C)

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Profit for the Year	57,737,275	43,800,423
Comprehensive income items		
Items that will not be reclassifiable to the consolidated statement profit or loss in the subsequent period		
Net change in fair value reserve after tax	(3,391,569)	6,766,050
Total Comprehensive Income for the Year	54,345,706	50,566,473
Comprehensive income Attributable to:		
Bank's Shareholders	43,748,909	41,084,617
Non-Controlling Interests	10,596,797	9,481,856
	54,345,706	50,566,473

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (D)

For the Year Ended December 31, 2023	Notes	Authorized paid-up Capital	Share Premium	Reserves			Retained Earnings*	Total Shareholder's Equity	Perpetual Bonds	Non-Controlling Interests	Total Owners'Equity
				Statutory	Voluntary	Fair Value					
		JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Beginning balance for the year		160,000,000	80,213,173	76,227,974	51,192,173	6,482,816	78,930,524	453,046,660	-	106,989,990	560,036,650
Total comprehensive income for the year		-	-	-	-	(3,388,347)	47,137,256	43,748,909	-	10,596,797	54,345,706
Transferred to reserve		-	-	9,093,622	5,980,250	-	(15,073,872)	-	-	-	-
Dividends distributed		-	-	-	-	-	(16,000,000)	(16,000,000)	-	-	(16,000,000)
Increase in the capital		40,000,000	(12,000,000)	-	-	-	(28,000,000)	-	-	-	-
Net change in non-controlling interests as a result of the increase in shares of a subsidiary	2	-	-	-	-	-	(435,765)	(435,765)	-	(3,697,916)	(4,133,681)
Realized gain from sale financial assets at fair value through other comprehensive income	10	-	-	-	-	(400,715)	400,715	-	-	-	-
Capital increase fees		-	-	-	-	-	(250,150)	(250,150)	-	-	(250,150)
Perpetual bonds and their related expenses after excluding the tax effect		-	-	-	-	-	(363,234)	(363,234)	70,900,000	-	70,536,766
Perpetual bond interest after excluding the tax effect		-	-	-	-	-	(934,107)	(934,107)	-	-	(934,107)
Ending Balance for the Year		200,000,000	68,213,173	85,321,596	57,172,423	2,693,754	65,411,367	478,812,313	70,900,000	113,888,871	663,601,184
For the Year Ended December 31, 2022											
Beginning balance for the year		160,000,000	80,213,173	68,169,340	46,167,117	1,741,270	71,721,054	428,011,954	-	101,455,563	529,467,517
Total comprehensive income for the year		-	-	-	-	6,756,965	34,327,652	41,084,617	-	9,481,856	50,566,473
Transferred to reserve		-	-	8,058,634	5,025,056	-	(13,083,690)	-	-	-	-
Dividends distributed		-	-	-	-	-	(16,000,000)	(16,000,000)	-	(3,583,201)	(19,583,201)
Net change in non-controlling interests as a result of the increase in shares of a subsidiary	2	-	-	-	-	-	(49,911)	(49,911)	-	(364,228)	(414,139)
(Loss) realized from sale financial assets at fair value through other comprehensive income	10	-	-	-	-	(2,015,419)	2,015,419	-	-	-	-
Ending Balance for the Year		160,000,000	80,213,173	76,227,974	51,192,173	6,482,816	78,930,524	453,046,660	-	106,989,990	560,036,650

* A restricted balance from the retained earnings which amounted to JD 37,180,506 as of December 31, 2023 (JD 32,820,280 as of December 31, 2022), represents deferred tax asset after deducting deferred tax liability and according to the Central Bank of Jordan, these amounts cannot be used unless a prior approval is obtained.

* Retained earnings balance includes an amount of JD 2,174,784 which represents unrealized gain from revaluation of financial assets at fair value through profit or loss.

- It is forbidden to use the excess from the general banking risk reserve balance of JD 108,397 transferred to retained earnings as of December 31, 2023 and 2022 that belongs to Safwa Islamic Bank without the Central Bank of Jordan's prior approval.

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (E)

	Note	For the Year Ended December 31,	
		2023	2022
		JD	JD
Operating Activities			
Profit before tax		90,397,269	71,734,432
Adjustments for non-cash items			
Depreciation and amortization	14 & 13	15,059,445	15,563,353
Provision for expected credit loss	29	41,920,695	34,237,331
Right-of-use assets depreciation	44	4,575,570	4,187,342
Interest on lease liabilities	44	1,240,261	1,171,165
Gain from the derecognition of right-of-use assets	44	(4,566)	-
Loss from sale of financial assets at amortized cost	11	2,125	45,933
(Surplus) provision for impairment on seized assets	15	(581,164)	895,181
Unrealized (gains) loss from financial assets	35	(1,031,495)	1,466,882
Loss from sale of property and equipment	39	32,116	115,477
Loss (gain) from the valuation of convertable loans		23,276	(262)
Sundry provisions - net	20	170,171	407,782
Bank's share (gain) from associate company	12	(3,668)	(8,496)
Loss (gain) from sale of seized assets	39 & 37	11,489	(898,236)
Effect of exchange rate fluctuations on cash and cash equivalents	34	(4,238,001)	(1,521,470)
Profit before changes in assets and liabilities		147,573,523	127,396,414
Changes in Assets and Liabilities			
(Increase) in restricted cash balances		(5,735,244)	(2,243,232)
(Increase) in financial assets at fair value through of profit or loss		(6,773,928)	(1,594,412)
(Increase) in banks and financial institutions' deposits with maturity exceeding 3 months		(69,003)	(5,248,639)
Increase (decrease) in deposits at banks and financial institutions with maturity exceeding 3 months		7,495,474	(11,585,474)
(Increase) in direct credit facilities and financing		(296,082,279)	(675,077,583)
Decrease (increase) in other assets		400,574	(37,433,232)
Increase in customers' deposits		465,008,574	275,970,342
Increase in cash margins		72,292,407	12,540,241
Increase in other liabilities		49,668,401	21,190,378
Net Cash Flows from (used in) Operating Activities Before Tax and Provisions settlements		433,778,499	(296,085,198)
Income tax paid	21/a	(35,092,191)	(26,590,128)
Sundry provisions paid	20	(276,281)	(634,788)
Net Cash Flows from (used in) Operating Activities		398,410,027	(323,310,114)
Investing Activities			
(Purchase) of financial assets at fair value through other comprehensive income		(9,795,521)	(9,110,181)
Matured financial assets at amortized cost	11	398,947,836	275,613,794
(Purchase) of financial assets at amortized cost	11	(706,960,536)	(502,351,600)
(Purchase) of property and equipment and payments for purchase of property and equipment	13	(15,987,004)	(10,996,926)
Proceeds from sale of property and equipment	13	98,232	188,870
(Increase) in intangible assets	14	(8,536,707)	(6,404,113)
Cash dividends collected from an associate company	12	-	6,250
Net Cash flows (used in) Investing Activities		(342,233,700)	(253,053,906)
Financing Activities			
Dividends distributed to shareholders		(15,993,410)	(19,682,947)
Increase in borrowed funds	19/a	48,698,446	33,141,415
Increase in subordinated loans	19/b	14,180,000	24,815,000
Capital increase fees		(250,150)	-
Perpetual bonds and their related expenses after excluding the tax effect		(363,234)	-
Perpetual bond interest after excluding the tax effect		(934,107)	-
Issuance of Perpetual bonds	24	70,900,000	-
Payments of principal lease liability	44	(5,032,119)	(4,588,409)
Repayment of part of lease liability interest	44	(337,725)	(361,996)
Net change in non-controlling interests as a result of the increase in the ownership of a subsidiary		(4,133,681)	(414,139)
Net Cash Flows from Financing Activities		106,734,020	32,908,924
Net increase (decrease) in cash and cash equivalent		162,910,347	(543,455,096)
Effect of the change in exchange rates on cash and cash equivalents	34	4,238,001	1,521,470
Cash and cash equivalents - Beginning of the year		663,792,609	1,205,726,235
Cash and Cash Equivalents - End of the Year	41	830,940,957	663,792,609
Non cash items:			
(Increase) in right of use assets		(6,097,366)	(6,316,819)
Increase in leasing liabilities		6,097,366	6,316,819

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

1. General Information

- Bank Al Etihad is a public shareholding company incorporated in Jordan during 1978, in accordance with the Companies Law No (12) of (1964). Its main branch is located in Amman, and the Company was transformed into a bank during the year 1991.
- The Bank provides all of its financial and banking services through its main branch located in Amman and through its Fifty-nine branches and its subsidiaries in Jordan, and the number of Safwa Bank branches inside the Kingdom reached forty-two branches and its subsidiary.
- The Bank's shares are listed and traded on Amman Stock Exchange - Jordan.
- The consolidated financial statements were approved by the audit committee on February 14, 2024, as authorized by the Board of Directors and are subject to approval by the General Assembly of Shareholders and the central Bank of Jordan.

2. Summary Of Significant Accounting Policies

Basis of Preparation of the Consolidated Financial Statement

- The accompanying consolidated financial statement of the Bank and its subsidiaries have been prepared in accordance with the standards issued by the International Accounting Standards Board, and interpretations of the International Financial Reporting Interpertation Committee arising from the International Accounting Standrads Board, as adopted by Central Bank of Jordan.
  a. The main differences between IFRSs as they should be applied and what has been adopted by the Central Bank of Jordan are as follows:
     - Expected credit losses allowances are calculated in accordance with the Central Bank of Jordan (CBJ) instructions international financial reporting standard No. 9 and in accordance with the central bank of jordan instructions whichever is more strict, the main significant differences are as follows:
     - Debt instruments issued or guaranteed by the Jordanian government are excluded, so that credit exposures issued or guaranteed by the Jordanian government are treated with no credit losses.
     - When calculating credit losses against credit exposures, the results of the calculation are compared in accordance with IFRS no. (9) with the instructions of the Central Bank of Jordan no. (47/2009) dated December 10,2009 for each stage separately and considering the extreme outcome.
     - In some special cases, the Central Bank of Jordan agrees to special arrangements for calculating and recording an allowance for expected credit losses for clients of direct credit facilities over a specified period.
     - Facilities related to government project extracts (transfer of government dues) are excluded from the classification when calculating allocations.
  b. Interest and commissions on non-performing credit facilities granted to clients are suspended, in accordance with the instructions of the Central Bank of Jordan.
  c. Assets seized by the Bank in fulfillment of debts are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the Interim consolidated financial statements separately, and any decrease in value is recorded in the consolidated statement of profit or loss while any increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the statement of profit or loss to the extent of not exceeding the previously recorded value. A gradual provision has been taken according to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021, (5%) annually of the total book values of that real estate starting from the year 2022, so that the required percentage of (50%) of that real estate is reached, by the end of 2030, . In accordance to the instructions of the Central Bank of Jordan no.10/3/16234 dated October 10,2022, no further calculation for a gradual provision is recorded against real estate that is seized by the bank against debts provided keeping the balance of provisions for seized real estate which violate banks instructions, the provisions should be released against seized real estates that have been disposed.
- The consolidated financial statements are prepared under the historical cost convention, except for financial assets and liabilities at fair value through profit or loss, financial assets at fair value through other comprehensive income and financial derivatives stated at fair value as of the date of the consolidated financial statements. Furthermore, hedged financial assets and financial liabilities are stated at fair value.
- The reporting currency of the consolidated financial statements is the Jordanian Dinar, which is the functional currency of the Bank.
- The accounting policies adopted in preparing the consolidated financial statements are consistent with those applied in the year ended December 31, 2022, except for the effect of what is stated in Note 3 – (a) and (b).

Basis of Consolidation

The accompanying consolidated financial statements include the financial statements of the Bank and the subsidiaries under its control. Moreover, control is achieved when the Bank has the ability to control the investee company, the company is exposed to variable returns or has rights to participate in the investee company, and the Bank is able to use its authority over the investee company and affects its revenue.

- Transactions, balances, revenue and expenses are eliminated between the Bank and its subsidiaries.
- The financial statements of the subsidiaries are prepared for the same financial year using the same accounting policies adopted by the Bank. If the accounting policies adopted by a subsidiary are different from those used by the Bank, the necessary adjustments to the financial statements of the subsidiary are made to comply with the accounting policies followed by the Bank.
- The results of the subsidiaries' operations are consolidated within the consolidated statement of profit or loss effective from their acquisition date, which is the date on which control over subsidiaries is effectively transferred to the Bank. Furthermore, the results of the disposed of subsidiaries are consolidated in the consolidated statement of profit or loss up to the date of their disposal, which is the date on which the Bank loses control over the subsidiaries.
- Non-controlling interests represent that part of equity that is not owned by the Bank. Non-controlling interests in the net assets of the subsidiary are presented separately in the Bank's consolidated statement of changes in owner's equity.

The Bank owns the following subsidiaries:

Company's Name	Ownership of the Bank	December 31, 2023		Nature of Operation	Established year	Location	For the year ended December 31, 2023			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JD	JD				JD	JD	JD	JD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	11,115,265	861,025	814,954	(346,317)
Al-Etihad for Financial Leasing Company L.L.C	100	12,000,000	12,000,000	Finance leasing	2015	Jordan	57,907,582	41,059,419	5,230,751	(3,676,307)
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	114,576,198	34,116	-	(7,820)
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programming, development and supplying of programs	2019	Jordan	446,522	716,432	616,524	(859,003)
Bank al Etihad – Iraq Branch	100	35,450,000	35,450,000	Commercial bank	2023	Iraq	36,219,163	1,044,051	-	(274,888)
TOTAL		165,589,028	118,112,636							

The Bank owns the following subsidiaries as of December 31, 2022:

Company's Name	Ownership of the Bank	December 31, 2022		Nature of Operation	Established year	Location	For the year ended December 31, 2023			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JD	JD				JD	JD	JD	JD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	10,689,988	904,385	804,347	(385,498)
Al-Etihad for Financial Leasing Company L.L.C	100	12,000,000	12,000,000	Finance leasing	2015	Jordan	46,654,874	31,361,155	3,177,359	(2,106,604)
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	114,583,584	33,732	3,742,215	(10,359)
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing, development and supplying of programs	2019	Jordan	552,686	580,117	2,544,882	(2,658,214)
TOTAL		130,139,028	82,662,636							

* Al-Etihad Islamic Investment Company owned a percentage of 62.4% in Safwa Islamic Bank where the total asset amounted to JD 2,928,983,476, total liability amounted to JD 543,517,108, total revenue amounted to JD 60,638,287 and total expenses amounted to JD 32,314,406.

- Al-Etihad Bank owns shares in Safwa Islamic Bank directly, amounting to around 3.67% of the total shares of Safwa Islamic Bank.

Control is achieved when the Bank:

- Has power over the investee.
- Is exposed, or has rights, to variable returns from its involvement with the investee; and
- Has the ability to use its power to affect the investee's returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.

When the Bank has less than the majority of the voting rights of an investee, it considers that it has control over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it control, including:

- The size of the Company's holding of voting rights relative to the size and dispersion of other voting rights;
- Potential voting rights held by the Company, other vote holders or other parties;
- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be taken, including voting patterns at previous shareholders' meetings.

When it loses control of a subsidiary, the Bank performs the following;

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the book value of any non-controlling interests.
- Derecognizes transfer differences restricted in Owners' Equity.
- Derecognizes the fair value to the next controlling party.
- Derecognizes the fair value of any investment retained.
- Derecognizes any gain or loss in the profit or loss statement.
- Reclassifies owners' equity already booked in other comprehensive income to the consolidated profit or loss statement or retained earnings as appropriate.

The subsidiaries' financial statements are prepared under the same accounting policies adopted by the Bank. If the subsidiaries apply different accounting policies than those used by the Bank, the necessary modifications shall be made to the subsidiaries' financial statements to make them comply with the accounting policies used by the Bank.

The non-controlling interests represent the portion not owned by the Bank relating to ownership of the subsidiaries.

Segment Information

- Business segments represent a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business sectors measured in accordance with the reports sent to the executive management and main decision makers of the Bank.
- The geographical sector relates to providing products or services in a specific economic environment subject to risks and returns different from those of sectors functioning in other economic environments.

Net Interest Income

Interest income and expense for all financial instruments, except for those classified as held for trading, or those measured or designated as at fair value through the consolidated statement of profit or loss, are recognized in "Net interest income" as "Interest income" and "Interest Expense" in the statement of profit or loss using the effective interest method. In Addition, the interest on financial instruments measured as at fair value through the statement of profit or loss is included within the fair value movement during the year.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument.

The interest income/ interest expense is calculated by applying the EIR to the gross carrying amount of non-credit impaired financial assets (i.e. at the amortized cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortized cost of financial liabilities. For credit-impaired financial assets, interest income is calculated by applying the EIR to the amortized cost of the credit-impaired financial assets (i.e. the gross carrying amount less the allowance for expected credit losses (ECLs)). For financial assets purchased or originated credit-impaired (POCI), EIR reflects the ECLs in determining the future cash flows expected to be received from the financial asset.

Interest income and expense in the Banks's consolidated statement of profit or loss also includes the effective portion of the fair value changes of derivatives designated as hedging instruments in the cash flow hedges of interest rate risk. For fair value hedges of interest rate risk related to interest income and expense, the effective portion of the fair value changes of the designated derivatives, as well as the fair value changes of the designated risk of the hedged item, are also included in interest income and expense.

Commission Income

Commission income and expense include fees other than those that are an integral part of EIR. The commission included in this part of the Bank's consolidated statement of profit or loss include, among other things, commission charged for servicing a loan, non-utilization fees relating to loan commitments when it is unlikely that these will result in a specific lending arrangement, and loan syndication commission.

Fee and commission expenses concerning services are accounted for as the services are received.

Part of the contracts with clients that result from the recognition of financial instruments could be related to IFRS (9) or (15). In this case, IFRS 9-related part of the commission is recognized, and the remaining part is recognized according to IFRS (15).

Net Trading Income

Net trading income includes all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading. The Bank has elected to present the full fair value movement of trading assets and liabilities in trading income, including any related interest income, expense, and dividends.

Net Income from Other Financial Instruments at Fair Value through the Statement of Profit or Loss:

Net income from other financial instruments at fair value through the statement of profit or loss includes all gains and losses from changes in the fair value of financial assets and financial liabilities at fair value through the statement of profit or loss except those that are held for trading. The Bank has elected to present the full fair value movement of assets and liabilities at fair value through the statement of profit or loss in this line, including the related interest income, expense, and dividends.

The fair value movement on derivatives held for economic hedging where hedge accounting is not applied is presented in "Net income from other financial instruments at fair value through the statement of profit or loss". However, for designated and effective fair value hedge accounting relationships, the gains and losses on the hedging instrument are presented in the same line in the statement of profit or losses as a hedged item. For designated and effective cash flow and net investment hedge accounting relationships, the gains and losses of the hedging instrument, including any hedging ineffectiveness included in the statement of profit or loss, are presented in the same line as the hedged item that affects the consolidated statement of profit or loss.

Dividend Income

Dividend income is recognized when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

The presentation of dividend income in the consolidated statement of profit or loss depends on the classification and measurement of the equity investment, i.e.:

- For equity instruments which are held for trading, dividend income is presented as gain of financial assets at fair value through the statement of profit or loss, in the consolidated statement of profit or loss;
- For equity instruments designated at fair value through other comprehensive income, dividend income is presented in the statement of profit or loss as dividends revenue from financial assets at fair value through other comprehensive income; and

- For equity instruments not designated at fair value through other comprehensive income and not held for trading, dividend income is presented as net income from other instruments at fair value through the consolidated statement of profit or loss.

Financial Instruments

Initial recognition and measurement:

Financial assets and financial liabilities are recognized in the Bank's consolidated statement of financial position when the Bank becomes a party to the contractual provisions of the instrument.

Recognized financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through the statement of income) are added to or deducted from the fair value of the financial assets or financial liabilities on initial recognition, as appropriate. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through the statement of profit or loss are recognized immediately in the statement of profit or loss.

If the transaction price differs from the fair value at initial recognition, the Bank will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognized in the consolidated statement of profit or loss' initial recognition (i.e. day 1 profit or loss);
- In all other cases, fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to the consolidated statement of profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability or when derecognizing the instrument.

Financial Assets

Initial Recognition

All financial assets are recognized on the trading date when the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned. They are initially measured at fair value plus transaction costs, except for those financial assets classified as at fair value through the statement of profit or loss. Transaction costs directly attributable to the acquisition of financial assets classified as at fair value through the statement of profit or loss are recognized immediately in the consolidated statement of profit or loss.

Subsequent Measurement

All recognized financial assets that are within the scope of IFRS (9) are required to be subsequently measured at amortized cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Specifically:

- Debt instruments held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortized cost.
- Debt instruments held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income;
- All other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at fair value through the statement of profit or loss.

However, the Bank may irrevocably make the following selection / designation at initial recognition of a financial asset on an asset- by-asset basis:

- The Bank may irrevocably select to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognized by an acquirer in a business combination to which IFRS (3) applies, in other comprehensive income.
- The Bank may irrevocably designate a debt instrument that meets the amortized cost or fair value through other comprehensive income criteria as measured at fair value through the statement of profit or loss if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

Debt Instruments at Amortized Cost or at Fair Value Through Other Comprehensive Income

The Bank assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Bank's business model for managing the asset.

For an asset to be classified and measured at amortized cost or at fair value through other comprehensive income, its contractual terms should give rise to cash flows that are solely payments of principal and interest on the principal outstanding (SPPI).

For the purpose of (SPPI) test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period, and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

Assessment of Business Models

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The Bank determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Bank's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Bank has more than one business model for managing its financial instruments that reflect how the Bank manages its financial assets in order to generate cash flows. The Bank's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Bank considers all relevant information available when making the business model assessment. However, this assessment is not performed based on scenarios that the Bank does not reasonably expect to occur, such as so-called "worst case" or "stress case" scenarios. The Bank takes into account all relevant evidence available such as:

- The stated policies and objectives of the portfolio and application of those policies concerning if the management strategy focuses on obtaining contractual revenues, maintaining a specific profit rate, and matching the maturity period of financial assets with that of the financial liabilities that finance those assets.
- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way in which those risks are managed; and
- How the business managers are compensated (e.g. whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

At initial recognition of a financial asset, the Bank determines whether newly recognized financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The Bank reassess its business models each reporting period to determine whether the business models have changed since the preceding period.

When a debt instrument measured at fair value through other comprehensive income is derecognized, the cumulative gain/loss previously recognized in other comprehensive income is reclassified from equity to the statement of income. In contrast, for an equity investment designated as measured at fair value through other comprehensive income, the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss but transferred within the owners' equity.

Debt instruments that are subsequently measured at amortized cost or at fair value through other comprehensive income are subject to impairment.

Financial Assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss are:

- Assets with contractual cash flows that are not SPPI;
- Assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell.
- Assets designated at fair value through profit or loss using the fair value option.

These assets are measured at fair value, with any gains/losses arising on re-measurement recognized in the consolidated statement of income or loss.

Reclassifications

If the business model under which the Bank holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model, which results in reclassifying the Bank's financial assets. During the current financial year and previous accounting period, there was no change in the business model under which the Bank holds financial assets, and therefore, no reclassifications were made. The changes in the contractual cash flows are considered under the accounting policy on the modification and de-recognition of financial assets described below.

Foreign Exchange Gains and Losses

The carrying amount of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically:

- For financial assets measured at amortized cost that are not part of a designated hedging relationship, exchange differences are recognized in the consolidated statement of profit or loss.
- For debt instruments measured at fair value through other comprehensive income that are not part of a designated hedging relationship, exchange differences on the amortized cost of the debt instrument are recognized in the statement of income. Other exchange differences are recognized in other comprehensive income in the investment's revaluation reserve.
- For financial assets measured at fair value through profit or loss that are not part of a designated hedge accounting relationship, exchange differences are recognized in the statement of profit or loss either in 'net trading income', if the asset is held for trading, or in 'net income from other financial instruments at fair value through the statement of profit or loss if otherwise held at fair value through the statement of profit or loss.
- For equity instruments measured at fair value through other comprehensive income, exchange differences are recognized in other comprehensive income in the investments revaluation reserve.

Fair Value Option

A financial instrument with a fair value that can be reliably measured at fair value through profit or loss (fair value option) may be classified at initial recognition even if the financial instruments are not acquired or incurred principally for the purpose of selling or repurchasing. The fair value option may be used for financial assets if it significantly eliminates or significantly reduces the measurement or recognition inconsistency that would otherwise have resulted in the measurement of the asset or liability or recognized the related gain or loss on a different basis ("accounting mismatch"). The fair value option for financial liabilities can be chosen in the following cases:

- If the selection leads to a significant cancellation or reduction of the accounting mismatch;
- If the financial liabilities are part of a portfolio managed on a fair value basis, in accordance with a documented risk management or investment strategy; or

- If a derivative is included in the underlying financial or non-financial contract and the derivative is not closely related to the underlying contract.

These instruments cannot be reclassified from the fair value category through profit or loss while retained or issued. Financial assets at fair value through the income statement are recognized at fair value with any unrealized gain or loss arising from changes in fair value recognized in investment income.

Impairment

The Bank recognizes loss allowances for expected credit losses on the following financial instruments that are not measured at fair value through the statement of income:

- Balances and deposits at banks and financial institutions;
- Direct credit facilities (loans and advances to customers);
- Financial assets at amortized cost (debt investment securities);
- Financial assets at fair value through statement of other comprehensive income;
- Off-statement of financial position exposure subject to credit risk (financial guarantee contracts issued).

No impairment loss is recognized on equity investments.

With the exception of purchased or originated credit-impaired (POCI) financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECLs, i.e. lifetime ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- Full lifetime ECLs, i.e. lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL.

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR.

For unutilized loan limits, the ECL is the difference between the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is utilized; and

For financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Bank expects to receive from the holder, the client, or any other party.

The Bank measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Credit-impaired Financial Assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- Significant financial difficulties facing the borrower or issuer;

- A breach of contract such as a default or past due event;
- The lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- The disappearance of an active market for a security because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

If it may not be possible to identify a single discrete event. Instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Bank assesses whether debt instruments that are financial assets measured at amortized cost or fair value through other comprehensive income are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Bank considers factors such as bond yields, credit ratings, and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly, and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit-impaired when there is observable evidence of credit-impairment, including meeting the definition of default. The definition of default includes unlikeliness to pay indicators and a back- stop if amounts are overdue for 90 days or more. However, cases where the assets impairment is not recognized after 90 days of their becoming due are supported by reasonable information.

Purchased or Originated Credit-impaired (POCI) Financial Assets

POCI financial assets are treated differently because the asset is credit-impaired at initial recognition. For these assets, the Bank recognizes all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognized in the statement of profit or loss. A favorable change for such assets creates an impairment gain.

Definition of Default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in determining whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in the credit risk below.

The Bank considers the following as constituting an event of default:

- The borrower is past due for more than 90 days on any material credit obligation to the Bank; or
- The borrower is unlikely to pay its credit obligations to the Bank in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding.

When assessing if the borrower is unlikely to pay its credit obligation, the Bank takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset. For example, in corporate lending, a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty are key inputs in this analysis. The Bank uses a variety of sources of information to assess default that is either developed internally or obtained from external sources.

Significant Increase in Credit Risk

The Bank monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Bank measures the loss allowance based on lifetime rather than 12-month ECL.

The Bank's accounting policy is not to use the practical expedient that financial assets with 'low' credit risk at the reporting date are deemed not to have had a significant increase in credit risk. As a result, the Group monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to impairment for significant increase in credit risk.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Bank compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognized. In making this assessment, the Bank considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Bank's historical experience and expert credit assessment including forward-looking information.

Multiple economic scenarios form the basis of determining the probability of default at initial recognition and at subsequent reporting dates. Different economic scenarios will lead to a different probability of default. It is the weighting of these different scenarios that forms the basis of a weighted average probability of default that is used to determine whether credit risk has significantly increased.

For corporate lending, forward-looking information includes the future prospects of the industries in which the Bank's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think tanks and other similar organizations, as well as consideration of various internal and external sources of actual and forecast economic information. For retail, lending forward-looking information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behavior. The Bank allocates its counterparties to a relevant internal credit risk grade depending on their credit quality. The quantitative information is a primary indicator of a significant increase in credit risk and is based on the change in lifetime PD by comparing:

- The remaining lifetime PD at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated based on facts and circumstances at the time of initial recognition of the exposure.

The PDs used are forward looking, and the Bank uses the same methodologies and data used to measure the loss allowance for ECL.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the Bank still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending, there is particular focus on assets included in the 'watch list', as exposure is watch-listed once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending, the Bank considers the expectation of forbearance and payment holidays, credit scores and events such as unemployment, bankruptcy, divorce, or death.

Given that a significant increase in credit risk since initial recognition is a relative measure, a given change, in absolute terms, in the PD will be more significant for a financial instrument with a lower initial PD compared to a financial instrument with a higher PD.

As a back-stop when an asset becomes more than (30) days past due, the Bank considers that a significant increase in credit risk has occurred and the asset is in Stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

Modification and Derecognition of Financial Assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Bank renegotiates loans to customers in financial difficulty to maximize collection and minimize the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default, or default has already happened, and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants. The Bank has an established forbearance policy, which applies for corporate and retail lending.

When a financial asset is modified, the Bank assesses whether this modification results in derecognition. In accordance with the Bank's policy, a modification results in derecognition when it gives rise to substantially different terms.

- Qualitative factors, such as contractual cash flows after modification are no longer (SPPI), change in currency or change of counterparty, the extent of change in interest rates, maturity, and covenants. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original effective interest.

In the case where the financial asset is derecognized, the loss allowance for ECL is re-measured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated- credit impaired. This applies only in the case where the fair value of the new loan is recognized at a significant discount to its revised par amount because there remains a high risk of default that has not been reduced by the modification. The Bank monitors the credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Bank determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms; with
- The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified as part of the Bank's forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the Bank's ability to collect the modified cash flows taking into account the Bank's previous experience of similar forbearance action, as well as various behavioral indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behavior following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the Bank calculates the modification gain/loss, comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Bank measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in the calculation of the expected cash shortfalls from the original asset.

The Bank derecognizes a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Bank recognizes its retained interest in the asset and an associated liability for the amounts it may have to pay. If the Bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the Bank continues to recognize the financial asset and recognizes a collateralized borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognized in other comprehensive income and accumulated in equity is recognized in profit or loss, with the exception of equity investment designated as measured at fair value through other comprehensive income, where the cumulative gain/loss previously recognized in other comprehensive income is not subsequently reclassified to profit or loss.

Write-off

Financial assets are written off when there is no reasonable expectation of recovery, eg the customer has not entered into a payment plan with the bank. The bank classifies the funds or amounts due to be written off after exhausting all possible payment methods. But if the financing or the receivable is written off, the bank continues with the enforcement activity to try to recover the outstanding receivable, which is recognized in the consolidated statement of profit or loss when redeemed.

Presentation of Allowance for ECL in the Consolidated Statement of Financial Position

Loss allowances for ECL are presented in the statement of financial position as follows:

- For financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- For debt instruments measured at fair value through other comprehensive income: no loss allowance is recognized in the statement of financial position as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the investments revaluation reserve.
- For loan commitments and financial guarantee contracts: as a provision; and
- Where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Financial Liabilities and Equity

Debt and equity instruments issued are classified either as financial liabilities or as equity in accordance with the substance of the contractual arrangement.

A financial liability is a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Bank; or a contract that will or may be settled in the Bank's own equity instruments and is a non-derivative contract for which the Bank is or may be obliged to deliver a variable number of its own equity instruments; or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Banks own equity instruments.

Equity Instruments

Paid-up Capital

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Bank are recognized at the proceeds received, net of direct issue costs.

Treasury Shares

Repurchase of the Bank's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in the consolidated statement of profit or loss when purchasing, selling, issuing, or cancelling the Bank's own equity instruments.

Compound instruments

The component parts of compound instruments (e.g. convertible notes) issued by the Bank are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. In the case where there are non-closed related embedded derivatives, these are separated first with the remainder of the financial liability being recorded on an amortized cost basis, using the effective interest method until extinguished upon conversion, or at the instrument's maturity date.

Perpetual bonds

The aforementioned bonds are subordinated, unsecured and are classified as equity items in accordance with International Accounting Standard 32: Financial instruments – presentation. Interest payments related to these bonds may be canceled (wholly or partially) based on the Group's discretion. Interest is noncumulative. Whereas, any cancellation will not be considered as a late payment. Interest payments are treated as a reduction of equity and are shown among other changes in equity. These bonds do not have a maturity date and can be called (wholly or partially) at the nominal value based on the Group's discretion on the call date and on each interest payment date thereafter.

Issuance costs are deducted as expenses, and these bonds are shown at the value on the day of issuance with no amendments recognized until called (wholly or partially) where the value is reduced by the amounts paid

Financial Liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss or 'other financial liabilities'.

Perpetual bonds

The aforementioned bonds are subordinated, unsecured and are classified as equity items in accordance with International Accounting Standard 32: Financial instruments - presentation. Interest payments related to these bonds may be canceled (wholly or partially) based on the Group's discretion. Interest is noncumulative. Whereas, any cancellation will not be considered as a late payment. Interest payments are treated as a reduction of equity and are shown among other changes in equity. These bonds do not have a maturity date and can be called (wholly or partially) at the nominal value based on the Group's discretion on the call date and on each interest payment date thereafter.

Issuance costs are deducted as expenses, and these bonds are shown at the value on the day of issuance with no amendments recognized until called (wholly or partially) where the value is reduced by the amounts paid.

Financial Liabilities at Fair Value through Profit or Loss

Financial liabilities are classified as at fair value through the statement of profit or loss when the financial liability is (i) held for trading, or (ii) it is designated as at fair value through the statement of income. A financial liability is classified as held for trading if:

- It has been incurred principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may be designated as at fair value through profit or loss upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- It forms part of a contract containing one or more embedded derivatives, and IFRS (9) permits the entire hybrid (combined) contract to be designated as at fair value through the statement of profit and loss.

Financial liabilities at fair value through the statement of profit or loss are stated at fair value, with any gains/losses arising on re-measurement recognized in the statement of profit or loss to the extent that they are not part of a designated hedging relationship. The net gain/loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at fair value through profit or loss.

However, for non-derivative financial liabilities designated as at fair value through the statement of income, the amount of change in the fair value of the financial liability attributable to changes in the credit risk of that liability is recognized in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognized in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognized in other comprehensive income are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

For issued loan commitments and financial guarantee contracts designated as at fair value through the consolidated statement of profit or loss, all gains and losses are recognized in consolidated profit or loss.

In determining whether recognizing changes in the liability's credit risk in other comprehensive income will create or enlarge an accounting mismatch in profit or loss, the Bank assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through profit or loss.

Other Financial Liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. For details on EIR, see the "net interest income section" above.

Derecognition of Financial Liabilities

The Bank derecognizes financial liabilities when, and only when, the Bank's obligations are discharged, canceled or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in the consolidated statement of profit or loss.

When the Bank exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Bank accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate, is at least (10) per cent different from the discounted present value of the remaining cash flows of the original financial liability.

Derivative Financial Instruments

The Bank enters into a variety of derivative financial instruments some of which are held for trading while others are held to manage the Bank's exposure to interest rate risk, credit risk, and foreign exchange rate risk. Derivatives held include foreign exchange forward contracts, interest rate swaps, cross currency interest rate swaps, and credit default swaps.

Derivatives are initially recognized at fair value at the date a derivative contract is entered into, and are subsequently re-measured to their fair value at each balance sheet date. The resulting gain/loss is recognized in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The Bank designates certain derivatives as hedges of the fair value of recognized assets or liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions, hedges of foreign currency risk of firm commitments (cash flow hedges), or hedges of net investments in foreign operations (net investment hedges).

A derivative with a positive fair value is recognized as a financial asset whereas a derivative with a negative fair value is recognized as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than (12) months, and it is not expected to be realized or settled within (12) months. Other derivatives are presented as current assets or current liabilities.

Embedded Derivatives

Derivatives embedded in financial liabilities or other non-financial asset host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts, and the host contracts are not measured at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realized or settled within 12 months. Other embedded derivatives are presented as current assets or current liabilities.

Financial Guarantee Contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values and, if not designated as at fair value through profit or loss and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Financial guarantee contracts not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any financial guarantee contracts as at fair value through profit or loss.

Commitments to Provide a Loan at a Below-Market Interest Rate

Commitments to provide a loan at a below-market interest rate are initially measured at their fair values and, if not designated as at fair value through profit or loss, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Commitments to provide a loan below market rate not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any commitments to provide a loan below market rate designated at fair value through profit or loss.

Hedge Accounting

The Bank designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. The Bank does not apply fair value hedge accounting of portfolio hedges of interest rate risk. In addition, the Bank does not use the exemption to continue using IAS (39) hedge accounting rules, i.e. the Bank applies IFRS (9) hedge accounting rules in full.

At the inception of the hedge relationship, the Bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- There is an economic relationship between the hedged item and the hedging instrument;
- The effect of credit risk does not dominate the value changes that result from that economic relationship; and

- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Bank actually hedges and the quantity of the hedging instrument that the Bank actually uses to hedge that quantity of the hedged item.

The Bank rebalances a hedging relationship in order to comply with the hedge ratio requirements, when necessary. In such cases, discontinuation may apply to only part of the hedging relationship. For example, the hedge ratio might be adjusted in such a way that some of the volume of the hedged item is no longer part of a hedging relationship; hence, hedge accounting is discontinued only for the volume of the hedged item that is no longer part of the hedging relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio, but the risk management objective for that designated hedging relationship remains the same, the Bank adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

In some hedge relationships, the Bank designates only the intrinsic value of options. In this case, the fair value change of the time value component of the option contract is deferred in other comprehensive income, over the term of the hedge, to the extent that it relates to the hedged item and is reclassified from equity to profit or loss when the hedged item does not result in the recognition of a non-financial item. The Bank's risk management policy does not include hedges of items that result in the recognition of non-financial items, because the Bank's risk exposures relate to financial items only.

The hedged items designated by the Bank are time-period related hedged items, which means that the amount of the original time value of the option that relates to the hedged item is amortized from equity to profit or loss on a rational basis (e.g. straight- line) over the term of the hedging relationship.

In some hedge relationships, the Bank excludes from the designation the forward element of forward contracts or the currency basis spread of cross currency hedging instruments. In this case, a treatment is applied similar to the one applied for the time value of options. The treatment for the forward element of a forward and the currency basis element is optional, and the option is applied on a hedge-by-hedge basis, unlike the treatment for the time value of the options, which is mandatory. For hedge relationships with forwards or foreign currency derivatives such as cross currency interest rate swaps, where the forward element or the currency basis spread is excluded from the designation, the Bank generally recognizes the excluded element in other comprehensive income.

The fair values of the derivative instruments used for hedging purposes and movements in the hedging reserve are determined in equity.

Fair Value Hedges

The fair value change on qualifying hedging instruments is recognized in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognized in other comprehensive income. The Bank has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognized in profit or loss instead of other comprehensive income. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain/loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains/losses are recognized in profit or loss, they are recognized in the same line as the hedged item.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortized cost or at fair value through other comprehensive income) arising from the hedged risk is amortized to profit or loss commencing no later than the date when hedge accounting is discontinued.

Cash Flow Hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognized in the cash flow hedging reserve, a separate component of other comprehensive income, limited to the cumulative change in fair value of the hedged item from inception of the hedge less any amounts transferred to profit or loss.

Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognized hedged item. If the Bank no longer expects the transaction to occur, that amount is immediately reclassified to profit or loss.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognized in other comprehensive income and accumulated in equity at that time remains in equity and is recognized when the forecast transaction is ultimately recognized in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognized immediately in consolidated profit or loss.

Hedges of Net Investments in Foreign Operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain/loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated in the foreign currency translation reserve.

Gains and losses on the hedging instrument relating to the effective portion of the hedge accumulated in the foreign currency translation reserve are reclassified to profit or loss in the same way as exchange differences relating to the foreign operation as described above.

Property and Equipment

- Property and equipment are measured at cost less accumulated depreciation and any impairment. Property and equipment (except land) are depreciated when ready for use using the straight-line method over their expected useful life using the following percentages:

	%
Buildings	2- 4
Equipment, furniture and fixtures	7- 15
Vehicles	15
Computer	20

- When the recoverable amount of any property and equipment is less than its net book value, the assets are written down to their recoverable amount, and the impairment is charged to the consolidated statement of profit or loss.
- The useful life of property and equipment is reviewed at each year-end, and changes in the expected useful life are treated as changes in accounting estimates.
- An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Fair Value

Fair value is defined as the price at which an asset is to be sold or paid to convert any of the liabilities in a structured transaction between the market participants on the measurement date, irrespective of whether the price can be realized directly or whether it is estimated using another valuation technique. When estimating the fair value of an asset or liability, the Bank takes into consideration, when determining the price of any asset or liability, whether market participants are required to take these factors into account at the measurement date. Fair value for the purposes of measurement and / or disclosure in these financial statements is determined on the same basis, except for measurement procedures that are similar to the fair value procedures and are not fair value such as fair value as used in IAS (36).

In addition, fair value measurements are classified, for the purposes of financial reporting to level (1), (2) or (3), based on the extent to which the inputs are clear concerning the fair value measurements and the importance of inputs to the full fair value measurements. The details are as follows:

Level (1) Inputs: Inputs derived from quoted (unadjusted) prices of identical assets or liabilities in active markets that an enterprise can obtain on the measurement date;

Level (2) Inputs: Inputs derived from data other than quoted prices used at level 1 and observable for assets or liabilities, either directly or indirectly;

Level (3) Inputs: Inputs to assets or liabilities that are not based on observable market prices.

Provisions

Provisions are recognized when the Bank has an obligation at the date of the consolidated statement of financial position arising from a past event, and the costs to settle the obligation are both probable and can be reliably measured.

Income Tax

- Tax expense comprises accrued and deferred taxes.
- Accrued tax is based on taxable profits, which may differ from accounting profits published in the financial statements. Accounting profits may include non-taxable profits or tax non- deductible expenses which may be exempted in the current or subsequent financial years, or accumulatted losses that are tax acceptable or items not subject to deduction for tax purposes.
- Tax is calculated based on tax rates and laws that are applicable in Jordan.
- Deferred tax is the tax expected to be paid or recovered due to temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets and liabilities are measured at the tax rates expected to be applied in the period when the asset is realized or the liability is settled, based on the laws enacted or substantially enacted at the date of the consolidated statement of financial position.
- The carrying values of deferred tax assets are reviewed at the date of the consolidated financial statement and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position, when there is a legally enforceable right to offset the recognized amounts and the Bank intends to either settle them on a net basis, or to realize the asset and settle the liability simultaneously.

Revenue and Expense Recognition

- Interest income is recorded using the effective interest rate method except for fees and interest on non-performing facilities and financing, on which interest is transferred to the interest in suspense account and not recognized in the consolidated statement of profit or loss.
- Expenses are recognized on an accrual basis.
- Commission income is recognized upon the rendering of services. Dividend income is recognized (when approved by the General Assembly).

Date of Recognition of Financial Assets

Purchase or sale of financial assets is recognized on the trade date, (the date that the Bank commits to purchase or sell the asset).

Financial Derivatives and Hedge Accounting

Derivatives for Trading

The fair value of derivative financial instruments held for trading (such as future foreign exchange contracts, future interest contracts, swaps contracts, foreign exchange rate option rights) is recognized in the consolidated statement of financial position. Moreover, fair value is determined at the prevailing market prices. If these prices are not available, the assessment method should be mentioned, and the amount of changes in fair value should be recognized in the consolidated statement of profit or loss.

Repurchase and Resale Agreements

- Assets sold with a simultaneous commitment to repurchase them at a specified future date will continue to be recognized in the Bank's consolidated financial statements due to the Bank's control of these assets and the fact that continuing exposure to the risks and rewards of these assets remains with the Bank and continue to be evaluated in accordance with the applied accounting policies. The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and the repurchase price is recognized as an interest expense over the agreement term using the effective interest rate method.
- Assets purchased with a corresponding commitment to resell at a specified future date are not recognized in the Bank's consolidated financial statements since the Bank is not able to control these assets or the associated risks and benefits. The related payments are recognized as part of deposits at banks and financial institutions or direct credit facilities as applicable, and the difference between purchase and resale price is recognized as interest income over the agreement term using the effective interest rate method.

Assets Repossesed by the Bank

Assets seized by the Bank are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the consolidated financial statements, and any decrease in value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income and the increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the consolidated statement of profit or loss and comprehensive income to the extent that it does not exceed the previously recorded impairment value. A decleartion was issued later for this circulation dated to September 2, 2021 No. 10/3/13246 to postponed the activiation of this cirucaltion for a year, in order to complete the deduction of the required provisions against the assets seized in violation of Article No.(48) of the Banking Law No. 28 for the year 2000 by (5%) of the total book values of these assets as of the year 2022 to reach the required percentage of (50%) of these assets by the end of the year 2030. In accordance to the instructions of the Central Bank of Jordan no.10/3/16234 dated October 10,2022, no further calculation for a gradual provision is recorded against real estate that is seized by the bank against debts provided keeping the balance of provisions for seized real estate which violate banks instructions, the provisions should be released against seized real estates that have been disposed.

Intangible Assets

- Intangible assets are measured on initial recognition at cost.
- Intangible assets are classified as indefinite or with definite useful life. Intangible assets with finite lives are amortized over the useful economic life, and amortization is recorded in the consolidated statement of profit or loss, using the straight-line metthod during a period not exceeding 5 years from the date of the purchase transaction. Meanwhile, intangible assets with indefinite useful lives are assessed for impairment at each reporting date, and impairment losses are recorded in the consolidated statement of profit or loss.
- Internally generated intangible assets are not capitalized and are expensed in the consolidated statement of profit or loss.
- Intangible assets include computer software, programs, Safwa Islamic Bank's license and customers' deposits. The Bank's management estimates the useful life for each intangible asset, where the assets are amortized using the straight-line method from 3 to 7 years. As for Safwa Bank's license, its useful life is indefinite and it is not amortized, rather it is assessed for impairment by the Group's subsidiary.

Impairment of non-financial asset

The carrying amount of the bank's non-financial asset is reviewed at the end of each fiscal year except for the deferred tax assets, to determine if there is an indication of impairment, and if there is an indication of impairment, the amount recoverable from these assets will be estimated.

If the carrying amount of the assets exceeds the recoverable amount from those assets, the impairment loss is recorded in these assets.

The recoverable amount is the fair value of the asset – less cost of sale – or the value of its use, whichever is greater.

All impairment losses are recognized in the consolidated statement of profit or loss and other comprehensive income.

The impairment loss for goodwill is not reversed, for other assets, the impairment loss is reversed only if the value of the carrying amount of the assets does not exceed the book value that was determined after the depreciation or amortization has been reduced if the impairment loss is not recognized in value.

Owership of subsidiaries and Goodwill

- A business combination is registered using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree.
- For each business combination, the Bank elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses in the consolidated profit or loss statement.
- Goodwill is measured at cost, which represents the excess of the amounts granted in addition to the amount of non-controlling interests over the net fair value of the assets and liabilities owned after deducting the impairment amount.
- When the Bank acquires a business, it reviews the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances, and pertinent conditions as at the acquisition date.

Investment in Associates

- Associates are those companies in which the Bank exerts an effective influence on their financial and operational policy decisions, and that are not retained for trading. In this regard, investments in associates are stated according to the equity method.
- Investments in affiliates appear in the statement of financial position under the equity method, in addition to the bank's share of changes in the net assets of the affiliate. Goodwill resulting from investing in associate is recorded as part of the associate's investment account and is not amortized. The Bank's share of the associate Profits is recorded in the consolidated statement of profits or loss. In the event of a change in the equity of the associate the changes will be reflected in the Bank's statement of change in owners' equity . Profits and losses resulting from transactions between the Bank and associates are eliminated to the Bank's share in associate.

Foreign Currencies

For the purpose of the consolidated financial statements, the results and financial position of each entity of the Group are presented in the functional currency unit of the Bank and the presentation currency of the consolidated financial statements.

The standalone financial statements of the Bank's subsidiaries are prepared and presented in the functional currency in which it operates. Transactions in currencies other than the functional currency of the Bank are recorded at the rates of exchange prevailing at the dates of those transactions. At the balance sheet date, financial assets and liabilities denominated in foreign currencies are translated at the rates of exchange prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the exchange rates at the date when the fair value is determined. Non-monetary items measured at historical cost in a foreign currency are not reclassified.

Exchange differences are recognized in the consolidated statement of profit or loss in the period in which they arise except for:

- Foreign exchange differences on transactions made in order to hedge foreign exchange risk.

- Foreign exchange differences on monetary items required to / from a foreign operation that are not planned to be settled, are unlikely to be settled in the near future (and therefore, these differences form part of the net investment in the foreign operation), and are initially recognized in the comprehensive income statement and reclassified from equity to the income statement when selling or partially disposing of the net investment.

In order to present the consolidated financial statements, the assets and liabilities of the Bank's foreign operations are translated at the rates of exchange prevailing at the statement of financial position date. Income is also translated at the average exchange rates for the period, unless exchange rates change significantly during that period, in which case the exchange rates are used on the date of the transactions. Exchange differences arising, if any, are recognized in other consolidated statement of comprehensive income under a separate line item of equity.

When foreign operations are disposed of (i.e. disposal of the entire share of the Bank from foreign operations, or resulting from loss of control of a subsidiary in foreign operations, or partial exclusion by its share in a joint arrangement, or an associate company of a foreign nature in which the share held is a financial asset), all foreign exchange differences accumulated in a separate item under equity in respect of that transaction attributable to the Bank's owners are reclassified to the consolidated statement of profit or loss.

In respect of the partial disposal of a subsidiary involving foreign operations that do not result in the Bank losing control of the subsidiary, its share of the accumulated exchange differences is credited to net comprehensive income at a rate that is derecognized and not recognized in the consolidated statement of income. For all other partial liquidation (such as partial liquidation of associates or joint ventures that do not result in the Bank losing significant influence or joint control), the share of accumulated exchange differences is reclassified to the consolidated statement of profit or loss.

Leases

The Bank as a Lessee

The Bank assesses whether the contract contains lease when starting the contract. Moreover, the Bank recognizes the right-of-use assets and the corresponding lease obligations in relation to all lease arrangements to which the lessee is a party, except for short-term lease contracts (defined as leases of 12 months or less) and low-value asset leases. For these contracts, the Bank recognizes the lease payments as an operating expense on a straight-line basis over the period of the lease, unless another regular basis is more representative of the time pattern in which the economic benefits from the leased assets are utilized.

The lease obligation is initially measured at the present value of the lease payments that were not paid on the start date of the lease, and is discounted by using the price implicit in the lease. If this rate cannot be easily determined, the Bank uses its expected incremental borrowing rate.

The lease payments included in the rental obligation measurement include:

- Fixed rental payments (essentially including fixed payments), minus rental incentives receivable;
- Variable rental payments that depend on an index or a rate, initially measured using the index or the rate at the date the contract begins.
- The amount expected to be paid by the lessee under the residual value guarantees.
- The price of the exercise of purchase options, if the lessee is reasonably certain of the exercise of the options; and
- Payment of the contract termination fines, if the lease reflects the exercise of the lease termination option.

Rental obligations are presented as a separate note to the consolidated statement of financial position.

Subsecuently, lease obligations are subsequently measured by increasing the book value to reflect the interest in the rental obligations (using the effective interest method) and by reducing the book value to reflect the rental payments paid.

The lease obligations (and a similar adjustment to the related right-of-use assets) are re-measured whenever:

- The lease term has changed or there is an event or important change in the conditions that lead to a change in the exercise of the purchase option assessment, in which case the lease obligations are re-measured by deducting the adjusted lease payment using the adjusted discount rate.

- Lease payments change due to changes in an index, rate, or change in expected payments under the guaranteed residual value, in which cases the lease obligation is re-measured by deducting the modified rental payments using a non-variable discount rate (unless the rental payments change due to a change in the floating interest rate, in this case the adjusted discount rate is used.
- The lease contract is adjusted, and the lease amendment is not accounted for as a separate lease, in which case the lease obligation is re-measured based on the duration of the adjusted lease contract by deducting the adjusted rental payments using the adjusted discount rate at the actual price at the date of the amendment.

The Bank has not made any of these adjustments during the periods presented.

The right-of-use assets are depreciated over the life of the lease or the useful life of the asset (whichever is shorter). If the lease contract transfers the ownership of the underlying asset or the cost of the right to use, which reflects that the company expects to exercise the purchase option, then the relevant value of the right to use is depreciated over the useful life of the asset. Depreciation begins on the lease commencement date.

The right-of-use assets are presented as a separate note in the consolidated statement of financial position.

The Bank applies International Accounting Standard (36) to determine whether the value of the right to use has decreased, and calculates any impairment losses as described in the policy of "property and equipment".

Variable rents that are not dependent on an index or rate are not included in the measurement of lease obligations and right-of-use assets. Related payments are recognized as an expense in the period in which the event or condition that leads to these payments occurs, and are included in "Other Expenditures" in the statement of profit or loss.

The Bank as a Lessor

The Bank enters into lease contracts as a lessor regarding some investment properties.

Leases in which the Bank is the lessor are classified as operating or finance leases. In the event that the terms of the lease contract transfer all risks and rewards of ownership to the lessee, the contract is classified as a finance lease, and all other leases are classified as operating leases.

When the Bank is an intermediary lessor, it represents the main lease and sub-contract as two separate contracts. The sublease contract is classified as finance or operating lease by reference to the original right of use arising from the main lease.

Rental income from operating leases is recognized on a straight-line basis over the period of the relevant lease. The primary direct costs incurred in negotiating and arranging an operating lease are added to the book value of the leased asset and are recognized on a straight-line basis over the lease term.

The amounts due from the lessee under finance leases are recognized as receivables with the amount of the company's net investment in the rental contracts. Finance lease income is allocated to the accounting periods to reflect a constant periodic rate of return on the Bank's existing net investment with respect to lease contracts.

When the contract includes leasing components and components other than leasing, the Bank applies IFRS 15 to distribute the amounts received or to be received under the contract for each component.

Cash and Cash Equivalents

Cash and cash equivalents comprise cash on hand and balances at central bank's and financial institutions that mature within three months, net of banks' and financial institutions' deposits that mature within three months and restricted balances.

3. Adoption of New and Revised Standards

a. New and amended IFRS Standards that are effective for the current year

The following new and revised IFRSs, which became effective for annual periods beginning on or after January 1, 2023, have been adopted in these consolidated financial statements for the group. The application of these revised IFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

IFRS (17) Insurance Contracts (including the June 2020 and December 2021 amendments to IFRS (17))

IFRS 17 sets out principles for the recognition, measurement, presentation and disclosure of insurance contracts and replaces IFRS 4 Insurance Contracts.

IFRS 17 specifies a general model, modified for insurance contracts with direct participation features, described as a variable fee approach. The general model is simplified if certain criteria are met by measuring the remaining coverage obligation using a premium allocation approach.

The general model uses current assumptions to estimate the amount, timing, and uncertainty of future cash flows and explicitly measures the cost of uncertainty. It takes into account market interest rates and the effect of policyholders' options and guarantees.

The Group does not have any contracts that meet the definition of an insurance contract under IFRS 17.

Amendments to IAS (1) Presentation of Financial Statements and Statement of Practice for IFRS (2) Relative Judgments - Disclosure of Accounting Policies

The amendments change the requirements of IAS 1 regarding disclosure of accounting policies. The amendments replace the term "significant accounting policy information" with the term "significant accounting policies".

Accounting policy information is important if, when considered together with other information included in an entity's financial statements, it could reasonably be expected to influence decisions taken by the primary users of the general purpose financial statements on the basis of those financial statements.

The supporting paragraphs in IAS No. (1) have also been amended to clarify that accounting policy information relating to immaterial transactions or other events or conditions is immaterial and does not need to be disclosed. Accounting policy information may be material because of the nature of the relevant transactions, other events or circumstances, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is material in itself.

The Standards Board has also developed guidance and examples to explain and demonstrate the application of the "four-step materiality process" described in the IFRS Practice Statement (2).

Amendments to IAS 12 Taxes - Deferred taxes relating to assets and liabilities arising from a single transaction

The amendments provide another exception to the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption to transactions that give rise to equal taxable and deductible temporary differences. Depending on applicable tax law, equal taxable and deductible temporary differences may arise on the initial recognition of an asset and a liability in a transaction that is not a business combination and does not affect accounting profit or taxable profit.

Following the amendments to IAS 12, an entity must recognize the relevant deferred tax assets and liabilities, with the recognition of any deferred tax asset subject to the recoverability criteria contained in IAS No. (12).

Amendments to IAS 12 Income Taxes - International Tax Reform - Pillar Two Model Rules

The International Accounting Standards Board has amended the scope of IAS 12 to clarify that the standard applies to income taxes arising from tax law that has been promulgated or promulgated substantially to implement the rules of the Pillar Two model published by the OECD, including tax law that applies the minimum of the additional eligible local taxes described in those rules.

The amendments provide a temporary exception to the deferred tax accounting requirements in IAS 12, such that an entity does not recognize or disclose information about deferred tax assets and liabilities relating to Pillar 2 income taxes.

Amendments to IAS 8 - Accounting policies, changes in accounting estimates and errors - Definition of accounting estimates

The amendments replace the definition of change in accounting estimates with the definition of accounting estimates. Under the new definition, accounting estimates are "cash amounts in the financial statements that are subject to measurement uncertainty." The definition of change in accounting estimates has been omitted.

b. New and Revised Standards in issue but not yet effective

As at the date of approval of these consolidated financial statements, the Group has not applied the following new and amended IFRSs issued but not yet effective. Management expects to apply these new standards, interpretations and amendments in the Group's consolidated financial statements when they are applicable and to adopt these standards and interpretations. The new amendments may not have any material impact on the group's consolidated financial statements in the period of initial application:

Amendments to International Financial Reporting Standard No. (10) and International Accounting Standard No. (28): Sale or sharing of assets between an investor and its associate or joint venture.

The amendments made to IAS No. (10) and to IFRS No. (28) address situations in which there is a sale or contribution of assets between the investor and its associate or joint venture. The amendments specifically provide that gains or losses arising from a loss of control of a subsidiary that do not involve a business activity in a transaction with an associate or joint venture and that are accounted for using the equity method, It is recognized in the profit or loss of the parent company only to the extent of the shares of unrelated investors in that associate or joint venture. Likewise, gains and losses resulting

from the remeasurement of investments held in any former subsidiary (which becomes an associate or joint venture and is accounted for using the equity method) are recognized in the profit or loss of the former parent only to the extent of the interests of non-investors. Related stakeholders in the new associate or joint venture.

Effective date has not yet been determined. Early application is permitted.

Amendments to International Accounting Standard No. (1) - Presentation of Financial Statements - Classification of liabilities as current or non-current

The amendments made to International Accounting Standard No. (1) only affect the presentation of liabilities in the statement of financial position as current or non-current and not the amount or timing of recognition of any asset, liability, revenue or expense, or the information disclosed about those items.

The amendments clarify that the classification of obligations as current or non-current is based on the rights existing at the end of the reporting period, and specify that the classification is not affected by expectations about whether the entity will exercise its right to postpone the settlement of the obligation. They also clarify that rights are considered existing if the obligations are complied with at the end of the reporting period. It provides a definition of "settlement" to explain that it refers to the transfer of cash, equity instruments, other assets or services to the counterparty.

The amendments apply retrospectively for annual periods beginning on or after January 1, 2024, with early adoption permitted.

Amendments to IAS (1) Presentation of Financial Statements - Non-Current Liabilities with Pledges

The amendments specify that only covenants that an entity is required to comply with at or before the end of the reporting period affect the entity's right to defer settlement of the liability for at least twelve months after the reporting date (and therefore should be taken into account when assessing whether the liability is classified as current or current). Uncirculated). These covenants affect whether the right exists at the end of the financial reporting period, Even if compliance with the covenants is assessed only after the financial reporting date (for example, a covenant based on the entity's financial position at the financial reporting date for which compliance is only assessed after the financial reporting date).

The IASB also specifies that the right to defer settlement of an obligation for at least twelve months after the reporting date is not affected if the entity only has to comply with an obligation after the reporting period. However, if an entity's right to defer settlement of a liability is subject to the entity's compliance with covenants within twelve months after the reporting period, the entity discloses information that enables users of financial statements to understand the risks of obligations becoming due within twelve months after the reporting period.

This may include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the carrying amount of the relevant liabilities and facts and circumstances, if any, that indicate that the entity may encounter difficulties in complying with the covenants.

The amendments apply retrospectively for annual reporting periods beginning on or after January 1, 2024, and early adoption is permitted.

Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures - Supplier Financing Arrangements

The amendments add a disclosure objective to IAS 7 that states that an entity is required to disclose information about its supplier financing arrangements that enables users of financial statements to evaluate the effects of those arrangements on the entity's obligations and cash flows. In addition, IFRS 7 has been amended to add supplier financing arrangements as an example of the requirement to disclose information about an entity's exposure to liquidity risk concentration risks.

The term "supplier financing arrangements" is not defined. Instead, the amendments describe the characteristics of the arrangement for which the entity will be required to provide information.

To achieve the disclosure objective, the entity will be required to disclose in aggregate its supplier financing arrangements:

- Terms and conditions of arrangements
- The carrying amount and associated items presented in the entity's statement of financial position of the liabilities that form part of the arrangements
- The book value and associated items for which suppliers have already received payments from finance providers
- The range of payment due dates for both financial liabilities that form part of supplier financing arrangements and similar trade payables that do not form part of supplier financing arrangements
- Liquidity risk information

Amendments that contain specific transitional exemptions for the first annual reporting period in which the entity applies the amendments apply to annual reporting periods beginning on or after January 1, 2024, and early adoption is permitted.

Amendment to IFRS 16 Leases - Lease Obligations on Sale and Leaseback

The amendments to IFRS 16 add subsequent measurement requirements for sale and leaseback transactions that meet the requirements of IFRS 15 to be accounted for as a sale. The amendments require the tenant seller to determine "lease payments" or "adjusted lease payments" such that the tenant seller does not recognize gain or loss relating to the right of use held by the tenant seller, after the commencement date.

The amendments do not affect the profit or loss recognized by the tenant seller in connection with the partial or complete termination of the lease. Without these new requirements, the lease seller may have recognized a gain on the right-of-use it retains solely because of a remeasurement of the lease liability (for example, following a lease amendment or change in the lease term) Without applying the general requirements in IFRS 16. This may be particularly the case in the case of a leaseback involving variable lease payments that are not based on an index or rate.

As part of the amendments, the IASB amended an illustrative example in IFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and a lease liability in a sale and leaseback transaction with variable lease payments that are not dependent on an index or rate. The illustrative examples also show that a liability arising from a sale and leaseback transaction that qualifies as a sale applying IFRS 15 is a lease liability.

The amendments apply to annual reporting periods beginning on or after January 1, 2024, and early adoption is permitted.

IFRS S1 – General requirements for the disclosure of sustainability-related financial information.

The amendments apply to annual reporting periods beginning on or after January 1, 2024, and early adoption is permitted.

IFRS S2 – Climate-related disclosures.

The amendments apply to annual reporting periods beginning on or after January 1, 2024, and early adoption is permitted.

Management expects to apply these new standards, interpretations and amendments to the Group's consolidated financial statements when they are applicable, and the adoption of these new standards, interpretations and amendments may not have any material impact on the Group's consolidated financial statements in the period of initial application.

4. Significant Accounting Judgments and key Sources of Uncertainty Estimates

Preparation of the consolidated financial statements and application of accounting policies require management to make judgments, estimates, and assumptions that affect the amounts of financial assets and financial liabilities, and to disclose potential liabilities. Moreover, these estimates and judgments affect revenues, expenses, and provisions, in general; as well as expected credit losses and changes in fair value that appear in the consolidated statement of comprehensive income and within shareholders' equity. In particular, the Bank's management requires judgments to be made to estimate the amounts and timing of future cash flows. These estimates are necessarily based on multiple hypotheses and factors with varying degrees of estimation and uncertainty. Meanwhile, the actual results may differ from estimates due to the changes arising from the conditions and circumstances of those estimates in the future.

Judgments, estimates, and assumptions are reviewed periodically. Moreover, the effect of the change in estimates is recognized in the financial period in which the change occurs if the change affects only the financial period. On the other hand, the effect of the change in estimates is recognized in the financial period in which the change occurs and in future periods if the change affects the financial period and future financial periods.

We believes that its estimates in the consolidated financial statements are reasonable. The details are as follows:

Impairment of Property Acquired

Impairment in the value of properties acquired is recognized based on recent real estate valuations by qualified independent evaluators for calculating the asset impairment, which is reviewed periodically. Any decrease in its value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income, and the increase is not recorded as revenue.

A gradual provision is calculated for the property according to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021 at a rate of (5%) of the total book value of these properties from the year 2022 until the required percentage is reached (50%) of these properties by the end of the year 2030. In accordance with the Central Bank of Jordan Circular No. 10/3/16234 dated October 10, 2022, the calculation of the gradual provision for expropriated real estate for debts was stopped, provided that the allocations for expropriated real estate in violation of the provisions of the Banking Law are maintained, and that only the provision for any of the infringing real estate is released that are discarded.

Useful life tangible and intangible assets

The Bank's management periodically assesses the useful lives of tangible and intangible assets for calculating annual depreciation and amortization based on the general condition of those assets and estimated future useful lives. The impairment loss is recognized in the consolidated statement of profit or loss for the year.

Income tax

The fiscal year is charged with income tax expense in accordance with accounting regulations, laws, and standards. Moreover, deferred tax assets, liabilities, and provision are recognized.

Provision for lawsuits

A provision for lawsuits is taken to meet any legal obligations that might arise based on the legal study prepared by the Bank's legal advisor. The study identifies risks that might occur in the future, and is reviewed periodically.

Provision for end- of- service indemnity

The provision for end- of- service indemnity, representing the Bank's obligations to employees, is calculated in accordance with the Bank's internal regulations.

Assets and liabilities at cost

Management reviews the assets and liabilities at cost for estimating any impairment in value, which is recognized in the consolidated statement of profit or loss for the year.

Provision for expected credit losses

Management is required to use significant judgments and estimates to estimate the amounts and timing of future cash flows and assess the risks of a significant increase in credit risk for financial assets after initial recognition and future measurement information for the expected credit losses. The most important policies and estimates used by the Bank's management are detailed in Note (45).

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation. In accordance with the Central Bank of Jordan Circular No. 10/3/16234 dated October 10, 2022, the calculation of the gradual provision for expropriated real estate for debts was stopped, provided that the allocations for expropriated real estate in violation of the provisions of the Banking Law are maintained, and that only the provision for any of the infringing real estate is released that are discarded.

Evaluation of business model

The classification and measurement of financial assets depends on the results of the principal and interest payments test results and business model testing. The Bank defines a business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment that reflects all relevant evidence including how the asset's performance is evaluated and measured, the risks that affect the performance of the assets and how they are managed and how asset managers are compensated. The Bank monitors financial assets measured at amortized cost or fair value through other comprehensive income that are derecognized prior to maturity to understand why they have been derecognized and whether the reasons are consistent with the objective of the business being retained. Monitoring is part of the Group's ongoing assessment of whether the business model under which the remaining financial assets are held is appropriate and, if not, whether there has been a change in the business model and therefore a future change to the classification of those assets is introduced.

Significant increase in credit risk

The expected credit loss is measured as an allowance equivalent to the expected credit loss of (12) months for the assets of the first stage, or the credit loss over the life of the assets of the second or third stage. The asset moves to the second stage if credit risk increases significantly since initial recognition. IFRS (9) does not specify what constitutes a significant increase in credit risk. In assessing whether the credit risk of any asset has increased significantly, the Bank takes into account reasonable and reliable quantitative and qualitative information. The estimates and uses by the Bank's management relating to the significant change in credit risk that result in a change in classification within the three stages (1, 2 and 3) are shown in details in Note (45).

Establishment of groups of assets with similar credit risk characteristics

When the expected credit losses are measured on a collective basis, the financial instruments are grouped on the basis of common risk characteristics (e.g. instrument type, credit risk, collateral type, initial recognition date, remaining maturity period, industry, borrower's geographic location, etc.). The Bank monitors the appropriateness of credit risk characteristics on an ongoing basis to assess whether they are still similar. This is required to ensure that, in the event of a change in the credit risk characteristics, the asset is properly reallocated. This may result in the creation of new portfolios or the transfer of assets to an existing portfolio that better reflects the credit risk characteristics of that group of assets.

Re-division of portfolios and movements between portfolios

The re-division of portfolios and movements between portfolios is more common when credit risk increases significantly (or when such a large increase is reflected). Therefore, assets are transferred from expected credit losses of between (12) months to another portfolio or vice versa. However, this may happen within the portfolios that continue to be measured on the same basis as expected credit losses for a period of (12) months or a lifetime, but the amount of credit loss changes are expected due to the varying credit risk of portfolios.

Models and assumptions used

The Bank uses various models and assumptions in measuring the fair value of financial assets as well as in assessing the expected credit loss described in the Note (45) to the consolidated financial statements. The judgment is applied when determining the best models for each type of asset as well as for the assumptions used in those models, which include assumptions regarding the main drivers of credit risk.

a. Classification and measurement of financial assets and liabilities:

The Bank classifies financial instruments or components of financial assets at initial recognition either as a financial asset or a financial liability, or as an equity instrument in accordance with the substance of the contractual agreements and the definition of the instrument. The reclassification of a financial instrument is subject to the substance of the consolidated financial statements and not to its legal form.

The Bank shall determine the classification at initial recognition and reassess such determination, if possible and appropriate, at each date of the consolidated statement of financial position.

When measuring financial assets and liabilities, certain assets and liabilities of the Bank are re-measured at fair value for financial reporting purposes. In assessing the fair value of any assets or liabilities, the Bank uses available observable market data. In the absence of Level 1 inputs, the Bank conducts evaluations using professionally qualified independent evaluators. The Bank works closely with qualified external evaluators to develop appropriate valuation and data valuation techniques.

b. Fair value measurement:

If the fair values of financial assets and financial liabilities included in the consolidated statement of financial position cannot be obtained from active markets, these fair values are determined using a range of valuation techniques involving the use of accounting models. If possible, the entered data for those models will be extracted from the market data. In the absence of such market data, fair values are determined by making judgments. These provisions include liquidity considerations and model data such as derivative volatility, longer-term discount rates, pre-payment ratios and default rates on asset-backed securities. Management believes that the valuation techniques used are appropriate to determine the fair value of financial instruments.

c. Derivative financial instruments:

The fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and, where appropriate, recognized pricing models. In the absence of prices, fair values are determined using valuation techniques that reflect observable market data. These techniques include comparison with similar instruments at observable market prices, discounted cash flow analysis, pricing option models and other valuation techniques commonly used by market participants. The main factors that Management takes into consideration when applying the model are:

- The expected timing and probability of future cash flows on the instrument where such cash flows are generally subject to the terms of the instrument, although Management's judgment may be required where the counterparty's ability to repay the instrument in accordance with contractual terms is in doubt; and
- An appropriate discount rate for the instrument. Management determines the instrument discount rate at a rate higher than the non-risk rate. In assessing the instrument by reference to comparative instruments, Management considers the maturity, structure, and degree of classification of the instrument based on the system in which the existing position is compared. When evaluating tools on a model basis using the fair value of the main components, Management also considers the need to make adjustments for a number of factors, such as bid differences, credit status, portfolio service costs, and uncertainty about the model.

Lease Extension and Termination Options

Extension and termination options are included in a number of leases. These conditions are used to increase operational flexibility in terms of contract management. Most of the held extension and termination options are renewable by both the Bank and the lessor.

Determination the Lease Term

When determining the duration of the lease, management takes into account all the facts and circumstances that create an economic incentive for the extension option, or no termination option. Extension options (or periods following termination options) are included only in the lease term if the lease is reasonably certain to be extended (or not terminated). The evaluation is reviewed in the event of a significant event or significant change in the circumstances affecting this assessment that are under the control of the tenant.

Key Sources of Uncertainty Estimates

The main principal estimates used by management in applying the Bank's accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are as follows:

Determining the number and relative weight of scenarios of the outlook for each type of product / market and the identification of future information relevant to each scenario

When measuring the expected credit loss, the Bank uses reasonable and supported future information based on the assumptions of the future movement of the various economic engines and how these affect each other.

Probability of default

The potential for default is a key input in measuring the expected credit loss. The probability of default is an estimate of the probability of default over a given period of time, which includes the calculation of historical data, assumptions and expectations relating to future circumstances.

Loss given default

Loss on the assumption of default is an estimate of the loss arising from default. It is based on the difference between the contractual cash flows due and those that the financer expects to collect, taking into account cash flows from collateral and integrated credit adjustments.

Fair value measurement and valuation procedures

When estimating the fair value of financial assets and financial liabilities, the Bank uses available observable market data. In the absence of level (1) inputs, the Bank conducts evaluations using appropriate valuation models to determine the fair value of financial instruments.

Discounting rental payments

Lease payments are discounted using the Bank's incremental borrowing rate ("IBR"). Management applied the judgments and estimates to determine the incremental borrowing rate at the start of the lease.

5. Cash and Balances at the Central Banks

	December 31,	
	2023	2022
	JD	JD
Cash in treasury	134,884,779	130,128,294
Balances at central banks:		
Current accounts and demand deposits	171,981,428	90,036,171
Term and notice deposits	172,500,000	303,200,000
Statutory cash reserve	256,839,775	238,441,946
Total balances at the central banks	601,321,203	631,678,117
Total	736,205,982	761,806,411

- Except for the statutory cash reserve , there are no restricted balances as of December 31, 2023 and December 31, 2022.
- There are no amounts maturing during a period exceeding three months as of December 31, 2023 and December 31, 2022.
- All balances at the Central Banks are classified within stage 1 based on the requirements of IFRS (9) as adopted by the Central Bank of Jordan . There are also no transfers between Stages (1,2,3) or written-off balances during the year ended December 31, 2023 and December 31, 2022.

- Disclosure on the movements at the Central Banks balances:

	December 31,	
	2023	2022
	JD	JD
Balance - beginning of the year	631,678,117	809,253,935
New balances during the year	272,843,086	311,340,186
Settled balances	(303,200,000)	(488,916,004)
Balance - end of the year	601,321,203	631,678,117

6. Balances at Banks and Financial Institutions - net

The details of this item are as follows:

Description	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	December 31,		December 31,		December 31,	
	2023	2022	2023	2022	2023	2022
	JD	JD	JD	JD	JD	JD
Current accounts and demand deposits	289,028	571,944	176,748,357	115,927,270	177,037,385	116,499,214
Deposits maturing within 3 months or less	30,000,000	13,000,000	164,974,500	78,124,044	194,974,500	91,124,044
Total	30,289,028	13,571,944	341,722,857	194,051,314	372,011,885	207,623,258
Provision for expected credit losses	-	-	(68,178)	(280,650)	(68,178)	(280,650)
Balance at Bank and financial institutions - net	30,289,028	13,571,944	341,654,679	193,770,664	371,943,707	207,342,608

- Non-interest bearing balances at banks and financial institutions amounted to JD 57,400,238 as of December 31, 2023 (JD 41,462,493 as of December 31, 2022).
- Restricted balances at banks and financial institutions amounted to JD 15,526,690 as of December 31, 2023 (JD 9,791,446 as of December 31, 2022).

- The movement on balances at banks and financial institutions is as follows:

	December 31, 2023			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	207,623,258	-	-	207,623,258
New balances during the year	357,007,710	-	-	357,007,710
Settled balances	(192,619,083)	-	-	(192,619,083)
Balance - End of the Year	372,011,885	-	-	372,011,885

	December 31, 2022			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	542,036,819	-	-	542,036,819
New balances during the year	163,721,553	-	-	163,721,553
Settled balances	(498,135,114)	-	-	(498,135,114)
Balance - End of the Year	207,623,258	-	-	207,623,258

- The movement on the provision for impairment loss:

	December 31, 2023			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance – beginning of the year	280,650	-	-	280,650
Impairment on new balances during the year	68,178	-	-	68,178
Recovered from impairment loss on settled balances	(280,650)	-	-	(280,650)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance - End of the Year	68,178	-	-	68,178

	December 31, 2022			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance – beginning of the year	560,112	-	-	560,112
Impairment on new balances during the year	280,650	-	-	280,650
Recovered from impairment loss on settled balances	(560,112)	-	-	(560,112)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance - End of the Year	280,650	-	-	280,650

7. Deposits at Banks and Financial Institutions - net

The details of this item are as follows:

	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	December 31,		December 31,		December 31,	
	2023	2022	2023	2022	2023	2022
	JD	JD	JD	JD	JD	JD
Deposits maturing during the period from 3 months to 6 months:	-	-	8,089,578	2,127,000	8,089,578	2,127,000
More than 6 months to 9 months	-	6,000,000	-	2,127,000	-	8,127,000
More than 9 months to 12 months	-	-	-	3,766,575	-	3,766,575
More than a year	6,000,000	-		-	6,000,000	-
Total Balances	6,000,000	6,000,000	8,089,578	8,020,575	14,089,578	14,020,575
Provision for expected credit losses	-	-	(7,159)	(6,751)	(7,159)	(6,751)
Net Deposits at bank and financial institutions	6,000,000	6,000,000	8,082,419	8,013,824	14,082,419	14,013,824

- There are no restricted deposits as of 31 December 2023 and 2022.

- The movement on deposits at banks and financial institutions:

	December 31, 2023			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	14,020,575	-	-	14,020,575
New deposits during the year	14,089,578	-	-	14,089,578
Settled balances during the year	(14,020,575)	-	-	(14,020,575)
Balance - End of the Year	14,089,578	-	-	14,089,578

	December 31, 2022			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	8,771,936	-	-	8,771,936
New deposits during the year	14,020,575	-	-	14,020,575
Settled balances during the year	(8,771,936)	-	-	(8,771,936)
Balance - End of the Year	14,020,575	-	-	14,020,575

- The movement on the provision for impairment loss:

	December 31, 2023			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance – beginning of the year	6,751	-	-	6,751
Impairment loss on new balances during the year	7,159	-	-	7,159
Recovered from impairment on the settled balances	(6,751)	-	-	(6,751)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance – End of the Year	7,159	-	-	7,159

	December 31, 2022			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance – beginning of the year	1,251	-	-	1,251
Impairment loss on new balances during the year	6,751	-	-	6,751
Recovered from impairment on the settled balances	(1,251)	-	-	(1,251)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	-
Changes resulting from adjustments	-	-	-	-
Balance – End of the Year	6,751	-	-	6,751

8. Financial Assets at Fair Value through Profit or Loss

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Government bonds listed in financial markets	2,795,239	649,405
Corporate bonds listed in financial markets	1,022,642	105,388
Corporate shares listed in financial markets	9,965,008	4,813,576
Investment funds	12,446,430	12,855,527
Total	26,229,319	18,423,896

9. Direct Credit Facilities and Financing - Net

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Individuals (retail):		
Overdraft accounts	1,971,029	3,184,269
Loans and bills *	1,078,707,595	942,769,009
Credit cards	46,515,963	32,826,520
Real estate loans	1,116,094,786	1,020,109,367
Large Corporates		
Overdraft accounts	71,128,650	59,792,215
Loans and bills *	1,256,219,953	1,269,222,605
Small and Medium sized entities		
Overdraft accounts	29,898,877	26,032,619
Loans and bills *	256,477,274	226,258,176
Government and public sector	599,833,607	599,215,519
Total	4,456,847,734	4,179,410,299
Less: Interest and returns in suspense	17,846,427	16,346,736
Less: Provision of expected credit losses	194,089,883	171,944,782
Net Direct Credit Facilities and Financing	4,244,911,424	3,991,118,781

* Net after deducting interest and commission received in advance of JD 12,077,413 as of December 31, 2023 (JD 9,567,287 as of December 31, 2022).

- Direct credit facilities and financing included in stage (3) amounted to JD 199,435,150 which is represent 4.47% of total direct credit facilities and financing as of December 31, 2023 (JD 153,168,123 which is represent to 3.66% of total direct credit facilities and financing as of December 31, 2022).
- Direct credit facilities and financing included in stage (3) amounted to JD 181,588,723 which is represent 4.09% of total direct credit facilities and financing balance after deducting interest and revenue in suspense as of December 31, 2023 (JD 136,821,387, which is represent 3.29% of total credit facilities and financing balance after deducting interest and revenue in suspense as of December 31, 2022).
- Direct credit facilities and financing granted to and guaranteed by the Jordanian Government amounted to JD 581,623,355 which is represent to 13.05% of total direct credit facilities and financing as of December 31, 2023 (JD 597,310,735 which is represent to 14.29% as of December 31, 2022).
- Financing in accordance with Islamic Share'a which belongs to Safwa Islamic Bank amounted to JD 2,069,832,005 which is represent 46.44% of total direct credit facilities and financing as of December 31, 2023 (JD 1,988,082,241 which is equivalent to 47.57% as of December 31, 2022).

Disclosure of the movement on facilities and financing:

For the Year ended December 31, 2023	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Total exposures – beginning of the year	978,779,798	1,020,109,367	1,329,014,820	252,290,795	599,215,519	4,179,410,299
New exposures during the year	366,658,186	259,948,665	294,252,775	86,208,940	54,270,916	1,061,339,482
Exposures settled	(108,908,132)	(104,226,561)	(168,101,165)	(38,798,711)	(14,367,980)	(434,402,549)
The total impact on the volume of exposures as a result of changing the classification between stages	(7,771,717)	(4,262,328)	(1,916,188)	(3,024,596)	-	(16,974,829)
Changes resulted from adjustments	(100,016,406)	(55,474,357)	(107,544,368)	(7,665,547)	(39,284,848)	(309,985,526)
Written off or transferred to off statemnts of financial position debts	(1,547,142)	-	(18,357,271)	(2,634,730)	-	(22,539,143)
Total balance at the end of the year	1,127,194,587	1,116,094,786	1,327,348,603	286,376,151	599,833,607	4,456,847,734

For the Year ended December 31, 2022	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Total exposures – beginning of the year	841,027,872	897,926,656	1,112,870,717	226,516,619	431,243,828	3,509,585,692
New exposures during the year	316,780,780	248,463,020	401,708,269	85,547,179	185,448,254	1,237,947,502
Exposures settled during the year	(106,427,232)	(63,331,521)	(177,939,359)	(40,714,123)	(7,518,897)	(395,931,132)
The total impact on the volume of exposures as a result of changing the classification between stages	(3,648,710)	(5,292,565)	975,370	(2,743,189)	-	(10,709,094)
Changes resulted from adjustments	(68,150,031)	(57,648,570)	(4,719,386)	(12,139,376)	(9,957,666)	(152,615,029)
Written off or transferred to off statemnts of financial position debts	(802,881)	(7,653)	(3,880,791)	(4,176,315)	-	(8,867,640)
Total balance at the end of the year	978,779,798	1,020,109,367	1,329,014,820	252,290,795	599,215,519	4,179,410,299

- During the year ended on December 31, 2023, direct credit facilities and financing amounting to JD 22,019,975 were transferred to off-balance items (JD 6,924,913 as on December 31, 2022) and direct credit facilities and financing in the amount of JD 519,168 were written off, in accordance with the decisions of the Board of Directors in this regard (JD 1,942,727 as of December 31, 2022).

The movement on the expected credit loss for credit facilities was as follows:

For the Year ended December 31, 2023	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	33,601,233	11,614,714	110,154,001	16,574,834	-	171,944,782
Impairment on new credit facilities during the year	5,715,781	1,358,122	8,645,596	2,232,783	-	17,952,282
Recovered from Impairment on settkem credit facilities	(1,814,166)	(1,066,271)	(10,009,539)	(204,559)	-	(13,094,535)
Transferred to stage (1)	78,897	(8,660)	161,972	(148,079)	-	84,130
Transferred to stage (2)	2,982,531	(41,669)	(19,644,919)	136,005	-	(16,568,052)
Transferred to stage (3)	(3,061,428)	50,329	19,482,947	12,074	-	16,483,922
Effect on impairment losses due to changes in the classifications between stages	10,250,482	3,927,164	(275,455)	1,101,285	-	15,003,476
Changes resulted from adjustments	3,643,395	2,055,571	14,505,215	2,224,232	-	22,428,413
Written off or transferred to off statemnts of financial position debts	(1,040,907)	-	(17,025,911)	(2,077,717)	-	(20,144,535)
Balance - End of the Year	50,355,818	17,889,300	105,993,907	19,850,858	-	194,089,883
Redistribution:						
Provision on an Individual basis	41,316,968	17,883,447	105,993,907	19,330,259	-	184,524,581
Provision on a collective basis	9,038,850	5,853	-	520,599	-	9,565,302
	50,355,818	17,889,300	105,993,907	19,850,858	-	194,089,883

For the Year ended December 31, 2022	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	29,479,940	12,703,958	85,512,145	13,844,955	-	141,540,998
Impairment on new Credit facilities during the year	4,753,678	1,720,420	18,462,315	2,767,331	-	27,703,744
Recovered from Impairment on paid credit facilities	(2,728,178)	(1,878,967)	(6,089,828)	(1,377,776)	-	(12,074,749)
Transferred to stage (1)	2,049,575	244,990	(547,367)	62,925	-	1,810,123
Transferred to stage (2)	(740,042)	(517,527)	(345,844)	(1,231,760)	-	(2,835,173)
Transferred to stage (3)	(1,309,533)	272,537	893,211	1,168,835	-	1,025,050
Effect on impairment losses due to changes in the classifications between stages	3,122,664	930,459	7,765,372	4,167,866	-	15,986,361
Changes resulted from adjustments	(588,018)	(1,861,156)	5,341,033	575,915	-	3,467,774
Written off or transferred to off statemnts of financial position debts	(438,853)	-	(837,036)	(3,403,457)	-	(4,679,346)
Balance - End of the Year	33,601,233	11,614,714	110,154,001	16,574,834	-	171,944,782
Redistribution:						
Provision on an Individual basis	31,004,301	11,609,978	110,154,001	16,139,066	-	168,907,346
Provision on a collective basis	2,596,932	4,736	-	435,768	-	3,037,436
	33,601,233	11,614,714	110,154,001	16,574,834	-	171,944,782

- The value of the provisions that were no longer needed as a result of debt settlements and transferred to other debts amounted to JD 13,094,535 as of December 31, 2023 (JD 12,074,749 as of December 31, 2022).

Interest and returns in suspense

The movement on the Interest and returns in suspense was as follows:

For the Year ended December 31, 2023	Individual	Real estate loans	Corporations		Banks and financial institutions	Total
			Corporate	SMEs		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	5,570,164	2,709,063	5,436,609	2,630,900	-	16,346,736
Add: Interest and returns suspended during the year	3,029,724	239,542	1,254,684	1,015,538	-	5,539,488
Less: Interest and returns transferred to revenue	(626,638)	(138,647)	(649,511)	(230,393)	-	(1,645,189)
Written off suspended Interest and returned	(506,235)	-	(1,331,360)	(557,013)	-	(2,394,608)
Balance - End of the Year	7,467,015	2,809,958	4,710,422	2,859,032	-	17,846,427

For the Year ended December 31, 2022	Individual	Real estate loans	Corporations		Banks and financial institutions	Total
			Corporate	SMEs		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	4,102,597	2,471,153	7,707,710	2,638,906	-	16,920,366
Add: Interest and returns suspended during the year	2,571,842	270,601	1,539,725	908,266	-	5,290,434
Less: Interest and returns transferred to revenue	(740,249)	(25,038)	(767,070)	(143,413)	-	(1,675,770)
Written off suspended Interest and returned	(364,026)	(7,653)	(3,043,756)	(772,859)	-	(4,188,294)
Balance - End of the Year	5,570,164	2,709,063	5,436,609	2,630,900	-	16,346,736

The following are the credit exposures according to IFRS (9) as adopted by central Bank of Jordan:

As of December 31, 2023

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Individual	1,003,099,217	7,755,128	-	73,330,777	5,735,630	-	50,764,593	36,865,060	7,467,015	1,127,194,587	50,355,818	7,467,015
Real estate loans	869,042,211	445,152	-	219,122,371	5,912,750	-	27,930,204	11,531,398	2,809,958	1,116,094,786	17,889,300	2,809,958
Corporate	954,397,586	9,647,306	-	280,380,006	39,846,885	-	92,571,011	56,499,716	4,710,422	1,327,348,603	105,993,907	4,710,422
SME's	204,406,685	1,975,222	-	53,800,124	2,394,762	-	28,169,342	15,480,874	2,859,032	286,376,151	19,850,858	2,859,032
Government and Public Sector	599,833,607	-	-	-	-	-	-	-	-	599,833,607	-	-
	3,630,779,306	19,822,808	-	626,633,278	53,890,027	-	199,435,150	120,377,048	17,846,427	4,456,847,734	194,089,883	17,846,427

As of December 31, 2022

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Individual	922,069,122	4,163,637	-	19,419,787	1,245,673	-	37,290,889	28,191,923	5,570,164	978,779,798	33,601,233	5,570,164
Real estate loans	834,776,421	439,083	-	162,491,965	3,791,138	-	22,840,981	7,384,493	2,709,063	1,020,109,367	11,614,714	2,709,063
Corporate	955,650,437	12,699,994	-	304,983,705	46,028,615	-	68,380,678	51,425,392	5,436,609	1,329,014,820	110,154,001	5,436,609
SME's	182,000,253	1,357,846	-	45,634,967	1,668,355	-	24,655,575	13,548,633	2,630,900	252,290,795	16,574,834	2,630,900
Government and Public Sector	599,215,519	-	-	-	-	-	-	-	-	599,215,519	-	-
	3,493,711,752	18,660,560	-	532,530,424	52,733,781	-	153,168,123	100,550,441	16,346,736	4,179,410,299	171,944,782	16,346,736

The movement on the gross credit facilities and finanicng as of the year-end:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures – beginning of the year	2,683,829,394	809,882,358	479,606,976	52,923,448	153,168,123	4,179,410,299
New exposures during the year	694,711,508	250,376,329	82,191,644	21,303,214	12,756,787	1,061,339,482
Exposures settled during the year	(286,524,220)	(70,752,761)	(54,126,805)	(8,783,667)	(14,215,096)	(434,402,549)
Transferred to stage (1)	33,502,183	9,310,649	(33,089,643)	(9,279,804)	(443,385)	-
Transferred to stage (2)	(109,566,761)	(70,921,185)	116,384,370	73,780,611	(9,677,035)	-
Transferred to stage (3)	(13,865,517)	(4,561,201)	(59,818,367)	(2,144,661)	80,389,746	-
Total impact on volume of exposures as a result of changing the classification between stages	(2,082,440)	928,191	(11,044,904)	(5,555,451)	779,775	(16,974,829)
Changes resulting from adjustments	(210,827,933)	(82,659,288)	(12,679,966)	(3,033,717)	(784,622)	(309,985,526)
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(22,539,143)	(22,539,143)
Total balance at the end of the year	2,789,176,214	841,603,092	507,423,305	119,209,973	199,435,150	4,456,847,734

December31,2022	Stage(1)		Stage(2)		Stage(3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures – beginning of the year	2,236,721,529	671,650,120	405,064,033	65,230,476	130,919,534	3,509,585,692
New exposures during the year	873,192,344	248,803,782	91,188,989	13,149,999	11,612,388	1,237,947,502
Exposures paid during the year	(278,403,995)	(58,381,601)	(40,054,005)	(8,245,413)	(10,846,118)	(395,931,132)
Transferred to stage (1)	39,922,235	22,390,672	(39,080,246)	(22,361,845)	(870,816)	-
Transferred to stage (2)	(95,708,692)	(9,412,106)	98,578,866	11,081,587	(4,539,655)	-
Transferred to stage (3)	(8,850,386)	(3,007,140)	(30,105,610)	(4,400,701)	46,363,837	-
Total impact on volume of exposures as a result of changing the classification between stages	(5,161,410)	(1,404,834)	2,413,745	(636,335)	(5,920,260)	(10,709,094)
Changes resulting from adjustments	(77,882,231)	(60,756,535)	(8,398,796)	(894,320)	(4,683,147)	(152,615,029)
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(8,867,640)	(8,867,640)
Total balance at the end of the year	2,683,829,394	809,882,358	479,606,976	52,923,448	153,168,123	4,179,410,299

The movement of the provision for impairment losses as for the year-end:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance – beginning of the year	16,130,900	2,529,660	52,226,005	507,776	100,550,441	171,944,782
Impairment losses on new exposures during the year	3,761,076	624,194	4,332,435	324,835	8,909,742	17,952,282
Recovered from impairment of the settled exposures during the year	(4,185,885)	(118,627)	(2,698,247)	(19,409)	(6,072,367)	(13,094,535)
Transferred to stage (1)	1,213,818	72,853	(922,740)	(68,209)	(295,722)	-
Transferred to stage (2)	(752,935)	(135,066)	4,465,857	1,818,103	(5,395,959)	-
Transferred to stage (3)	(294,817)	(19,723)	(21,823,401)	(37,662)	22,175,603	-
Total impact on volume of exposures as a result of changing the classification between stages	(715,586)	(41,354)	(2,085,337)	782,474	17,063,279	15,003,476
Effect on the provision resulting from adjustments	(1,436,798)	3,191,098	16,933,188	154,359	3,586,566	22,428,413
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(20,144,535)	(20,144,535)
Total ECL balance at the end of the year	13,719,773	6,103,035	50,427,760	3,462,267	120,377,048	194,089,883

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance – beginning of the year	16,142,002	1,208,679	37,818,316	1,944,421	84,427,580	141,540,998
Impairment losses on the new exposures during the year	6,220,521	1,469,139	9,240,217	17,325	10,756,542	27,703,744
Recovered from impairment of the paid exposures during the year	(3,025,518)	(102,871)	(2,565,700)	(239,502)	(6,141,158)	(12,074,749)
Transferred to stage (1)	2,022,230	844,592	(1,410,570)	(837,941)	(618,311)	-
Transferred to stage (2)	(963,864)	(12,446)	2,709,358	842,624	(2,575,672)	-
Transferred to stage (3)	(68,616)	(11,773)	(3,959,179)	(179,465)	4,219,033	-
Total impact on volume of exposures as a result of changing the classification between stages	(1,610,546)	(821,440)	5,176,876	(759,792)	14,001,263	15,986,361
Effect on the provision resulting from adjustments	(2,585,309)	(44,220)	5,216,687	(279,894)	1,160,510	3,467,774
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(4,679,346)	(4,679,346)
Total ECL balance at the end of the year	16,130,900	2,529,660	52,226,005	507,776	100,550,441	171,944,782

The distribution of total credit and financing facilities by the internal credit rating for Individuals is as follows:

December 31, 2023	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	2022
	Individual	Collective	Individual	Collective	Individual		Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	105,400	-	-	-	-	105,400	106,713
2	2,899,152	-	51,150	-	-	2,950,302	1,824,765
3	3,828,960	-	288,413	-	-	4,117,373	3,798,731
4	8,165,427	-	283,585	-	-	8,449,012	5,177,192
5	3,496,382	-	158,484	-	-	3,654,866	3,987,456
6	299,496	-	2,168,663	-	-	2,468,159	3,692,990
7	195,195	-	267,640	-	-	462,835	2,732,436
8	-	-	-	-	2,843,208	2,843,208	1,864,529
Not rated	629,217,683	354,891,522	38,120,511	31,992,331	47,921,385	1,102,143,432	955,594,986
Total	648,207,695	354,891,522	41,338,446	31,992,331	50,764,593	1,127,194,587	978,779,798

The movement on credit facilities and financing for Individuals is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	577,702,192	344,366,930	13,206,878	6,212,909	37,290,889	978,779,798
New exposures during the year	224,550,116	124,100,204	10,618,167	2,282,844	5,106,855	366,658,186
Settled exposures during the year	(76,908,510)	(28,147,175)	(1,930,882)	(422,971)	(1,498,594)	(108,908,132)
Transferred to stage (1)	2,961,072	88,382	(2,623,206)	(88,382)	(337,866)	-
Transferred to stage (2)	(27,474,384)	(27,797,795)	29,656,709	29,611,235	(3,995,765)	-
Transferred to stage (3)	(8,950,118)	(3,539,378)	(1,932,098)	(1,333,719)	15,755,313	-
Total impact on volume of exposures as a result of changing the classification between stages	(267,600)	(9,900)	(3,613,206)	(3,770,369)	(110,642)	(7,771,717)
Changes resulting from adjustments	(43,405,073)	(54,169,746)	(2,043,916)	(499,216)	101,545	(100,016,406)
Written off or transferred to off statements of financial position debts	-	-	-	-	(1,547,142)	(1,547,142)
Balance - End of the Year	648,207,695	354,891,522	41,338,446	31,992,331	50,764,593	1,127,194,587

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	501,149,300	278,416,032	14,263,466	16,676,575	30,522,499	841,027,872
New exposures during the year	183,575,517	126,568,710	3,503,498	154,328	2,978,727	316,780,780
Settled exposures during the year	(74,572,408)	(26,787,546)	(1,326,168)	(1,427,678)	(2,313,432)	(106,427,232)
Transferred to stage (1)	8,824,627	9,089,428	(8,010,971)	(9,076,150)	(826,934)	-
Transferred to stage (2)	(6,816,773)	(1,843,613)	7,776,644	2,923,645	(2,039,903)	-
Transferred to stage (3)	(3,773,855)	(1,825,274)	(2,270,800)	(1,929,432)	9,799,361	-
Total impact on volume of exposures as a result of changing the classification between stages	(1,076,621)	(1,667,640)	(391,904)	(427,712)	(84,833)	(3,648,710)
Changes resulting from adjustments	(29,607,595)	(37,583,167)	(336,887)	(680,667)	58,285	(68,150,031)
Written off or transferred to off statements of financial position debts	-	-	-	-	(802,881)	(802,881)
Balance - End of the Year	577,702,192	344,366,930	13,206,878	6,212,909	37,290,889	978,779,798

The movement on the provision for impairment loss for Individuals credit facilities is as follows:

December 31, 2023	Stage (1)		Stage (2)			
	Individual	Collective	Individual	Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	1,682,528	2,481,109	1,129,850	115,823	28,191,923	33,601,233
Impairment loss on new exposures during the year	808,888	597,855	754,919	305,492	3,248,627	5,715,781
Recovered from impairment of the settled exposures during the year	(263,165)	(109,294)	(94,641)	(6,063)	(1,341,003)	(1,814,166)
Transferred to stage (1)	434,507	2,675	(164,390)	(2,675)	(270,117)	-
Transferred to stage (2)	(176,102)	(113,335)	1,682,370	1,670,525	(3,063,458)	-
Transferred to stage (3)	(51,460)	(17,388)	(174,680)	(28,619)	272,147	-
Effect on impairment loss due to the changes in the classifications between stages	(423,490)	(1,889)	(376,403)	857,449	10,194,815	10,250,482
Effect on the provision resulting from adjustment	(249,387)	3,153,076	(67,436)	134,109	673,033	3,643,395
Written off or transferred to off statements of financial position debts	-	-	-	-	(1,040,907)	(1,040,907)
Total ECL balance - end of the year	1,762,319	5,992,809	2,689,589	3,046,041	36,865,060	50,355,818

December 31, 2022	Stage (1)		Stage (2)			
	Individual	Collective	Individual	Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	2,836,186	1,180,768	1,695,245	1,295,118	22,472,623	29,479,940
Impairment loss on new exposures during the year	601,043	1,435,166	307,775	7,023	2,402,671	4,753,678
Recovered from impairment of the settled exposures during the year	(398,433)	(95,944)	(80,045)	(65,826)	(2,087,930)	(2,728,178)
Transferred to stage (1)	1,374,294	807,027	(770,116)	(800,376)	(610,829)	-
Transferred to stage (2)	(72,763)	(7,359)	732,494	820,717	(1,473,089)	-
Transferred to stage (3)	(43,081)	(8,543)	(543,795)	(178,966)	774,385	-
Effect on impairment loss due to the changes in the classifications between stages	(1,312,289)	(788,333)	(63,671)	(767,866)	6,054,823	3,122,664
Effect on the provision resulting from adjustment	(1,302,429)	(41,673)	(148,037)	(194,001)	1,098,122	(588,018)
Written off or transferred to off statements of financial position debts	-	-	-	-	(438,853)	(438,853)
Total ECL balance - end of the year	1,682,528	2,481,109	1,129,850	115,823	28,191,923	33,601,233

The distribution of total credit and financing facilities by internal credit rating for Real Estate Loans is as follows:

December 31, 2023	Stage (1) Individual	Stage (1) Collective	Stage (2) Individual	Stage (2) Collective	Stage (3)	Total	2022 Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	131,561	-	83,185	-	-	214,746	244,502
2	6,008,191	-	92	-	-	6,008,283	6,288,843
3	21,012,137	-	1,241,532	-	-	22,253,669	28,128,446
4	23,902,836	-	13,740,480	-	-	37,643,316	25,993,670
5	64,505,195	-	33,308,656	-	-	97,813,851	100,249,461
6	26,602,916	-	45,474,566	-	-	72,077,482	37,663,049
7	496,313	-	30,132,463	-	-	30,628,776	37,473,841
8	-	-	-	-	14,033,821	14,033,821	9,007,175
Not rated	279,230,065	447,152,997	23,906,708	71,234,689	13,896,383	835,420,842	775,060,380
Total	421,889,214	447,152,997	147,887,682	71,234,689	27,930,204	1,116,094,786	1,020,109,367

The movement on credit facilities and financing for Real Estate is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	398,537,703	436,238,718	134,343,010	28,148,955	22,840,981	1,020,109,367
New exposures during the year	114,602,086	113,632,194	14,698,527	15,490,354	1,525,504	259,948,665
Settled exposures during the year	(41,840,660)	(36,488,306)	(16,987,077)	(4,248,377)	(4,662,141)	(104,226,561)
Transferred to stage (1)	4,667,742	1,379,239	(4,667,742)	(1,379,239)	-	-
Transferred to stage (2)	(32,136,296)	(36,160,623)	33,314,567	37,098,989	(2,116,637)	-
Transferred to stage (3)	(947,078)	(321,277)	(8,437,576)	(626,504)	10,332,435	-
Effect on the volume of exposures due to the changes between stages	(590,440)	(516,198)	(1,660,711)	(1,604,501)	109,522	(4,262,328)
Changes resulting from adjustments	(20,403,843)	(30,610,750)	(2,715,316)	(1,644,988)	(99,460)	(55,474,357)
Written off or transferred to off statements of financial position debts	-	-	-	-	-	-
Total exposures - End of the Year	421,889,214	447,152,997	147,887,682	71,234,689	27,930,204	1,116,094,786

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	376,384,835	372,174,409	105,409,058	27,063,550	16,894,804	897,926,656
New exposures during the year	117,691,695	108,465,081	11,667,697	9,426,144	1,212,403	248,463,020
Settled exposures during the year	(26,367,311)	(27,351,688)	(4,439,858)	(1,935,652)	(3,237,012)	(63,331,521)
Transferred to stage (1)	11,023,616	9,386,685	(10,995,283)	(9,386,685)	(28,333)	-
Transferred to stage (2)	(43,334,250)	(4,013,633)	43,589,362	4,563,678	(805,157)	-
Transferred to stage (3)	(2,888,117)	(598,839)	(4,445,266)	(1,164,483)	9,096,705	-
Effect on the volume of exposures due to the changes between stages	(1,004,644)	(97,819)	(4,336,638)	130,158	16,378	(5,292,565)
Changes resulting from adjustments	(32,968,121)	(21,725,478)	(2,106,062)	(547,755)	(301,154)	(57,648,570)
Written off or transferred to off statements of financial position debts	-	-	-	-	(7,653)	(7,653)
Total exposures - End of the Year	398,537,703	436,238,718	134,343,010	28,148,955	22,840,981	1,020,109,367

The movement on the provision for impairment for Real Estate credit facilities is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	434,347	4,736	3,791,138	-	7,384,493	11,614,714
Impairment loss on new exposures during the year	142,812	567	11,585	-	1,203,158	1,358,122
Recovered from impairment on the settled exposures during the year	(27,012)	(3)	(9,659)	-	(1,029,597)	(1,066,271)
Transferred to stage (1)	40,643	-	(40,643)	-	-	-
Transferred to stage (2)	(46,318)	(258)	266,650	89,514	(309,588)	-
Transferred to stage (3)	(2,727)	-	(357,190)	-	359,917	-
Effect on impairment losses due to the changes in the classifications between stages	(33,906)	39	151,884	(86,950)	3,896,097	3,927,164
Effect on the provision resulting from adjustment	(65,976)	(1,792)	2,096,421	-	26,918	2,055,571
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance - end of the year	441,863	3,289	5,910,186	2,564	11,531,398	17,889,300

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	1,236,869	174	5,508,400	-	5,958,515	12,703,958
Impairment loss on new exposures during the year	82,237	4,328	347,657	-	1,286,198	1,720,420
Recovered from impairment on the settled exposures during the year	(51,923)	(13)	(502,988)	-	(1,324,043)	(1,878,967)
Transferred to stage (1)	345,027	-	(337,545)	-	(7,482)	-
Transferred to stage (2)	(94,079)	-	198,508	-	(104,429)	-
Transferred to stage (3)	(5,958)	-	(378,490)	-	384,448	-
Effect on impairment losses due to the changes in the classifications between stages	(330,762)	-	166,565	-	1,094,656	930,459
Effect on the provision resulting from adjustment	(747,064)	247	(1,210,969)	-	96,630	(1,861,156)
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance - end of the year	434,347	4,736	3,791,138	-	7,384,493	11,614,714

The distribution of total credit and financing facilities by internal credit rating for corporates is as follows:

December 31, 2023	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	77,604,180	-	-	-	-	77,604,180	31,283,339
3	165,459,832	-	3,221,785	-	-	168,681,617	118,209,988
4	234,784,085	-	4,895,623	-	-	239,679,708	196,273,101
5	333,764,614	-	50,157,492	-	-	383,922,106	303,659,362
6	116,063,127	-	34,611,244	-	-	150,674,371	387,850,530
7	20,746,982	-	183,711,685	-	-	204,458,667	213,138,548
8	-	-	-	-	84,996,169	84,996,169	60,946,772
Not rated	5,974,766	-	3,782,177	-	7,574,842	17,331,785	17,653,180
Total	954,397,586	-	280,380,006	-	92,571,011	1,327,348,603	1,329,014,820

The movement on credit and financing facilities for corporates is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	955,650,437	-	304,983,705	-	68,380,678	1,329,014,820
New exposures during the year	243,424,110	-	46,434,624	-	4,394,041	294,252,775
Settled exposures during the year	(131,763,043)	-	(29,285,630)	-	(7,052,492)	(168,101,165)
Transferred to stage (1)	20,994,617	-	(20,994,617)	-	-	-
Transferred to stage (2)	(33,470,107)	-	36,129,236	-	(2,659,129)	-
Transferred to stage (3)	(1,029,347)	-	(46,578,129)	-	47,607,476	-
Effect on the volume of exposures due to the changes between stages	(124,043)	-	(2,863,205)	-	1,071,060	(1,916,188)
Changes resulting from adjustments	(99,285,038)	-	(7,445,978)	-	(813,352)	(107,544,368)
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(18,357,271)	(18,357,271)
Total exposures - End of the Year	954,397,586	-	280,380,006	-	92,571,011	1,327,348,603

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	799,254,383	-	251,230,166	-	62,386,168	1,112,870,717
New exposures during the year	326,181,561	-	69,612,168	-	5,914,540	401,708,269
Settled exposures during the year	(145,990,465)	-	(29,139,633)	-	(2,809,261)	(177,939,359)
Transferred to stage (1)	14,911,407	-	(14,911,407)	-	-	-
Transferred to stage (2)	(40,198,521)	-	41,631,691	-	(1,433,170)	-
Transferred to stage (3)	(87,561)	-	(14,995,221)	-	15,082,782	-
Effect on the volume of exposures due to the changes between stages	(2,524,577)	-	6,970,883	-	(3,470,936)	975,370
Changes resulting from adjustments	4,104,210	-	(5,414,942)	-	(3,408,654)	(4,719,386)
Written off or transferred to off statemnts of financial position debts	-	-	-	-	(3,880,791)	(3,880,791)
Total exposures - End of the Year	955,650,437	-	304,983,705	-	68,380,678	1,329,014,820

The movement on the provision for impairment for corporates is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	12,699,994	-	46,028,615	-	51,425,392	110,154,001
Impairment loss on new exposures during the year	2,092,476	-	3,348,379	-	3,204,741	8,645,596
Recovered from impairment of the settled exposures during the year	(3,709,229)	-	(2,459,645)	-	(3,840,665)	(10,009,539)
Transferred to stage (1)	576,449	-	(576,449)	-	-	-
Transferred to stage (2)	(405,365)	-	2,179,492	-	(1,774,127)	-
Transferred to stage (3)	(9,112)	-	(21,247,962)	-	21,257,074	-
Effect on impairment loss due to the changes in the classifications between stages	(161,666)	-	(1,701,447)	-	1,587,658	(275,455)
Effect on the provision resulted from adjustment	(1,436,241)	-	14,275,902	-	1,665,554	14,505,215
Impairment loss on written-off exposures or transferred	-	-	-	-	(17,025,911)	(17,025,911)
Total ECL balance at the end of the year	9,647,306	-	39,846,885	-	56,499,716	105,993,907

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	10,950,904	-	28,714,382	-	45,846,859	85,512,145
Impairment loss on new exposures during the year	5,191,134	-	8,414,615	-	4,856,566	18,462,315
Recovered from impairment of the settled exposures during the year	(2,399,817)	-	(1,909,054)	-	(1,780,957)	(6,089,828)
Transferred to stage (1)	193,817	-	(193,817)	-	-	-
Transferred to stage (2)	(741,184)	-	1,619,856	-	(878,672)	-
Transferred to stage (3)	-	-	(1,771,883)	-	1,771,883	-
Effect on impairment loss due to the changes in the classifications between stages	(110,875)	-	5,134,422	-	2,741,825	7,765,372
Effect on the provision resulted from adjustment	(383,985)	-	6,020,094	-	(295,076)	5,341,033
Impairment loss on written-off exposures or transferred	-	-	-	-	(837,036)	(837,036)
Total ECL balance at the end of the year	12,699,994	-	46,028,615	-	51,425,392	110,154,001

The distribution of total credit and financing facilities by internal credit rating for (SME's) is as follows:

December 31, 2023	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	-
3	26,038,457	-	1,328,006	-	-	27,366,463	28,653,159
4	40,046,119	-	3,777,080	-	-	43,823,199	35,308,559
5	40,743,368	-	2,373,337	-	-	43,116,705	40,806,849
6	50,412,181	-	9,394,274	-	-	59,806,455	43,614,080
7	7,361,916	-	20,268,840	-	-	27,630,756	29,886,819
8	-	-	-	-	22,236,449	22,236,449	19,090,434
Not rated	246,071	39,558,573	675,634	15,982,953	5,932,893	62,396,124	54,930,895
Total	164,848,112	39,558,573	37,817,171	15,982,953	28,169,342	286,376,151	252,290,795

The movement on credit facilities and financing for SME's is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	152,723,543	29,276,710	27,073,383	18,561,584	24,655,575	252,290,795
New exposures during the year	57,864,280	12,643,931	10,440,326	3,530,016	1,730,387	86,208,940
Settled exposures during the year	(21,644,027)	(6,117,280)	(5,923,216)	(4,112,319)	(1,001,869)	(38,798,711)
Transferred to stage (1)	4,878,752	7,843,028	(4,804,078)	(7,812,183)	(105,519)	-
Transferred to stage (2)	(16,485,974)	(6,962,767)	17,283,858	7,070,387	(905,504)	-
Transferred to stage (3)	(2,938,974)	(700,546)	(2,870,564)	(184,438)	6,694,522	-
Effect on impairment loss due to the changes in the classifications between stages	(1,100,357)	1,454,289	(2,907,782)	(180,581)	(290,165)	(3,024,596)
Changes resulting from adjustments	(8,449,131)	2,121,208	(474,756)	(889,513)	26,645	(7,665,547)
Written off or transferred to off statements of financial position debts	-	-	-	-	(2,634,730)	(2,634,730)
Balance - End of the Year	164,848,112	39,558,573	37,817,171	15,982,953	28,169,342	286,376,151

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	128,689,183	21,059,679	34,161,343	21,490,351	21,116,063	226,516,619
New exposures during the year	60,295,317	13,769,991	6,405,626	3,569,527	1,506,718	85,547,179
Settled exposures during the year	(23,954,914)	(4,242,367)	(5,148,346)	(4,882,083)	(2,486,413)	(40,714,123)
Transferred to stage (1)	5,162,585	3,914,559	(5,162,585)	(3,899,010)	(15,549)	-
Transferred to stage (2)	(5,359,148)	(3,554,860)	5,581,169	3,594,264	(261,425)	-
Transferred to stage (3)	(2,100,853)	(583,027)	(8,394,323)	(1,306,786)	12,384,989	-
Effect on impairment loss due to the changes in the classifications between stages	(555,568)	360,625	171,404	(338,781)	(2,380,869)	(2,743,189)
Changes resulting from adjustments	(9,453,059)	(1,447,890)	(540,905)	334,102	(1,031,624)	(12,139,376)
Written off or transferred to off statements of financial position debts	-	-	-	-	(4,176,315)	(4,176,315)
Balance - End of the Year	152,723,543	29,276,710	27,073,383	18,561,584	24,655,575	252,290,795

The movement on the provision for impairment for (SME's) credit facilities is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	1,314,031	43,815	1,276,402	391,953	13,548,633	16,574,834
Impairment loss on new exposures during the year	716,900	25,772	217,552	19,343	1,253,216	2,232,783
Recovered from impairment of the settled exposures during the year	(186,479)	(9,330)	(134,302)	(13,346)	138,898	(204,559)
Transferred to stage (1)	162,219	70,178	(141,258)	(65,534)	(25,605)	-
Transferred to stage (2)	(125,150)	(21,473)	337,345	58,064	(248,786)	-
Transferred to stage (3)	(231,518)	(2,335)	(43,569)	(9,043)	286,465	-
Effect on impairment losses due to the changes in the classifications between stages	(96,524)	(39,504)	(159,371)	11,975	1,384,709	1,101,285
Effect on the provision resulted from adjustment	314,806	39,814	628,301	20,250	1,221,061	2,224,232
Impairment loss on written-off exposures or transferred	-	-	-	-	(2,077,717)	(2,077,717)
Total ECL balance at the end of the year	1,868,285	106,937	1,981,100	413,662	15,480,874	19,850,858

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	1,118,043	27,737	1,900,289	649,303	10,149,583	13,844,955
Impairment loss on new exposures during the year	346,107	29,645	170,170	10,302	2,211,107	2,767,331
Recovered from impairment of the settled exposures during the year	(175,345)	(6,914)	(73,613)	(173,676)	(948,228)	(1,377,776)
Transferred to stage (1)	109,092	37,565	(109,092)	(37,565)	-	-
Transferred to stage (2)	(55,838)	(5,087)	158,500	21,907	(119,482)	-
Transferred to stage (3)	(19,577)	(3,230)	(1,265,011)	(499)	1,288,317	-
Effect on impairment losses due to the changes in the classifications between stages	143,380	(33,107)	(60,440)	8,074	4,109,959	4,167,866
Effect on the provision resulting from adjustment	(151,831)	(2,794)	555,599	(85,893)	260,834	575,915
Impairment loss on written-off exposures or transferred	-	-	-	-	(3,403,457)	(3,403,457)
Total ECL balance at the end of the year	1,314,031	43,815	1,276,402	391,953	13,548,633	16,574,834

The distribution of total credit and financing facilities by internal credit rating for Government and Public Sector is as follows:

December 31, 2023	Stage (1) Individual	Stage (1) Collective	Stage (2) Individual	Stage (2) Collective	Stage (3)	Total	2022 Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	471,509,426	-	-	-	-	471,509,426	454,956,137
2	7,950	-	-	-	-	7,950	61,377
3	17,676,583	-	-	-	-	17,676,583	21,971,084
4	-	-	-	-	-	-	26,168,489
5	84,194,219	-	-	-	-	84,194,219	68,996,106
6	-	-	-	-	-	-	-
7	1,445,429	-	-	-	-	1,445,429	2,062,326
8	-	-	-	-	-	-	-
Not rated	25,000,000	-	-	-	-	25,000,000	25,000,000
Total	599,833,607	-	-	-	-	599,833,607	599,215,519

The movement on credit facilities and financing for the Government and Public Sector is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	599,215,519	-	-	-	-	599,215,519
New exposures during the year	54,270,916	-	-	-	-	54,270,916
Settled exposures during the year	(14,367,980)	-	-	-	-	(14,367,980)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulting from adjustments	(39,284,848)	-	-	-	-	(39,284,848)
Total exposures - End of the Year	599,833,607	-	-	-	-	599,833,607

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposures - beginning of the year	431,243,828	-	-	-	-	431,243,828
New exposures during the year	185,448,254	-	-	-	-	185,448,254
Settled exposures during the year	(7,518,897)	-	-	-	-	(7,518,897)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulting from adjustments	(9,957,666)	-	-	-	-	(9,957,666)
Total exposures - End of the Year	599,215,519	-	-	-	-	599,215,519

The movement on the provision for impairment for the Government and Public Sector credit facilities is as follows:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	-	-	-	-	-	-
Impairment loss on new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the classifications between stages	-	-	-	-	-	-
Effect on the provision resulting from adjustments	-	-	-	-	-	-
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	-	-	-	-	-	-

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	-	-	-	-	-	-
Impairment loss on new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the classifications between stages	-	-	-	-	-	-
Effect on the provision resulting from adjustments	-	-	-	-	-	-
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	-	-	-	-	-	-

10. Financial Assets at Fair Value through Other Comprehensive Income

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Quoted shares in active markets	31,866,382	31,168,445
Unquoted shares	15,159,479	15,601,160
Investment funds	19,632,260	14,531,464
Total	66,658,121	61,301,069

- Transferred gains as a result of selling financial assets at fair value through the statement of other comprehensive income amounted to JD 421,659 of which JD 20,944 belongs to non-controlling interest as of December 31, 2023 (JD 2,015,419 transferred gains as of December 31, 2022).
- Cash dividends on the above-mentioned financial assets amounted to JD 1,162,153 for the year ended December 31, 2023 (JD 690,867 for the year ended December 31, 2022).

11. Financial Assets at Amortized Cost - net

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Quoted Financial Assets:		
Foreign treasury bonds	91,696,901	104,144,987
Corporate bonds and debentures	189,613,293	138,050,446
Unquoted Financial Assets:		
Governmental treasury bills	108,877,524	65,623,344
Governmental guaranteed bonds	1,221,607,600	989,915,966
Corporate bonds and debentures	22,652,000	28,702,000
	1,634,447,318	1,326,436,743
Less: Provision for impairment related to financial assets within stage (1)	632,492	670,099
Provision for impairment related to financial assets within stage (2)	-	-
Provision for impairment related to financial assets within stage (3)	-	-
	1,633,814,826	1,325,766,644
Bonds and Bills Analysis		
With Fixed rate	1,634,055,985	1,326,045,700
With Floating rate	391,333	391,043
Total	1,634,447,318	1,326,436,743
Bonds Analysis as per International Financial Reporting Standard (9):		
stage (1)	1,634,447,318	1,326,436,743
stage (2)	-	-
stage (3)	-	-
Total	1,634,447,318	1,326,436,743

- The following is the movement on financial assets at amortized cost before provision:

	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JD	JD	JD	JD
December 31, 2023				
Balance - beginning of the year	1,326,436,743	-	-	1,326,436,743
New investments during the year	706,960,536	-	-	706,960,536
Accrued investment	(385,726,260)	-	-	(385,726,260)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	(13,223,701)	-	-	(13,223,701)
Impairment loss on written off investments	-	-	-	-
Balance - End of the Year	1,634,447,318	-	-	1,634,447,318

	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JD	JD	JD	JD
December 31, 2022				
Balance - beginning of the year	1,099,744,870	-	250,000	1,099,994,870
New investments during the year	488,046,763	-	-	488,046,763
Accrued investment	(275,659,727)	-	-	(275,659,727)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	14,304,837	-	-	14,304,837
Impairment loss on written off investments	-	-	(250,000)	(250,000)
Balance - End of the Year	1,326,436,743	-	-	1,326,436,743

- The following is the movement on the provision for expected credit losses for financial assets at amortized cost:

	December 31, 2023				2022
	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total	Total
	JD	JD	JD	JD	JD
Balance - beginning of the year	670,099	-	-	670,099	898,639
Impairment losses on new investments during the year	159,280	-	-	159,280	134,818
Recovered from impairment losses on accrued investments	(136,581)	-	-	(136,581)	(102,740)
Transferred to Stage (1)	-	-	-	-	-
Transferred to Stage (2)	-	-	-	-	-
Transferred to Stage (3)	-	-	-	-	-
Impact on the provision - for the year ended- due to reclassifications between the three stages during the year	-	-	-	-	-
Change resulted from adjustments	(60,306)	-	-	(60,306)	(10,618)
Written-off investments	-	-	-	-	(250,000)
Adjustments due to changes in exchange rates	-	-	-	-	-
Balance - End of the Year	632,492	-	-	632,492	670,099

- During the year 2023, financial assets at amortized cost were sold with a nominal value amounting to JD 11,414,900 (JD 4,359,930 during the year 2022), the operation resulted in a loss of JD 2,125 during the year 2023 (loss of JD 45,933 during 2022)

12. Investments in Associates

The details of this item are as follows:

Company Name	Country of Residence	Ownership %	Nature of Activity	December 31,	
				2023	2022
				JD	JD
Jordan Blending & Packing of Fertilizers Co.	Jordan	25%	Industrial	349,622	345,954

	December 31,	
	2023	2022
	JD	JD
Balance beginning of the year	345,954	343,708
Group's share from profit of the year - net	3,668	8,496
Collected cash dividends	-	(6,250)
Balance End of the Year	349,622	345,954

The details of the associate's assets and liabilities are as follows:

	December 31,	
	2023	2022
	JD	JD
Total Assets	1,583,562	1,612,013
Total Liabilities	(177,526)	(213,527)
Net Assets	1,406,036	1,383,814

13. Property and Equipment - Net

The details of this item are as follows:

For the year ended December 31, 2023	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JD	JD	JD	JD	JD	JD
Cost:						
Balance - beginning of the year	25,451,167	24,479,357	62,677,201	1,390,840	20,088,750	134,087,315
Additions	5,564,840	223,110	5,506,392	365,801	3,300,401	14,960,544
Disposals	-	(12,138)	(1,748,232)	(187,966)	(2,429,213)	(4,377,549)
Balance - End of the Year	31,016,007	24,690,329	66,435,361	1,568,675	20,959,938	144,670,310
Accumulated Depreciation:						
Balance - beginning of the year	-	8,485,842	43,826,473	923,982	15,392,159	68,628,456
Annual depreciation	-	524,117	5,506,842	197,648	1,933,347	8,161,954
Disposals	-	(10,179)	(1,679,765)	(136,692)	(2,420,565)	(4,247,201)
Balance - End of the Year	-	8,999,780	47,653,550	984,938	14,904,941	72,543,209
Net book value of property and equipment	31,016,007	15,690,549	18,781,811	583,737	6,054,997	72,127,101
Payments to purchase property and equipment	-	2,255,011	1,495,569	-	333,398	4,083,978
Net Book Value – End of the Year	31,016,007	17,945,560	20,277,380	583,737	6,388,395	76,211,079

For the year ended December 31, 2022	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JD	JD	JD	JD	JD	JD
Cost:						
Balance - beginning of the year	22,628,397	24,766,056	60,346,039	1,390,840	19,015,563	128,146,895
Additions	2,822,770	9,425	5,629,137	-	2,326,528	10,787,860
Disposals	-	(296,124)	(3,297,975)	-	(1,253,341)	(4,847,440)
Balance - End of the Year	25,451,167	24,479,357	62,677,201	1,390,840	20,088,750	134,087,315
Accumulated Depreciation:						
Balance - beginning of the year	-	8,269,014	41,061,866	734,608	14,504,812	64,570,300
Annual depreciation	-	511,032	5,933,025	189,374	1,967,818	8,601,249
Disposals	-	(294,204)	(3,168,418)	-	(1,080,471)	(4,543,093)
Balance - End of the Year	-	8,485,842	43,826,473	923,982	15,392,159	68,628,456
Net book value of property and equipment	25,451,167	15,993,515	18,850,728	466,858	4,696,591	65,458,859
Payments to purchase property and equipment	-	1,412,005	1,032,979	-	612,534	3,057,518
Net Book Value – End of the Year	25,451,167	17,405,520	19,883,707	466,858	5,309,125	68,516,377
Annual depreciation rate %	-	2 - 4	7 - 15	15	20	

- Property and equipment include fully depreciated assets of JD 40,096,031 as of December 31, 2023 (JD 34,762,898 as of December 31, 2022), which are still in-use by the Bank.

14. Intangible Assets - net

The details of this item are as follows:

For the year ended December 31, 2023	Computer Software	Bank's License	Customers Deposits	Goodwill*	Total
	JD	JD	JD	JD	JD
Balance - beginning of the year	15,585,181	9,928,000	-	1,380,512	26,893,693
Additions	8,536,707	-	-	-	8,536,707
Amortization for the year	(6,897,491)	-	-	-	(6,897,491)
Balance - End of the Year	17,224,397	9,928,000	-	1,380,512	28,532,909

For the year ended December 31, 2022	Computer Software	Bank's License	Customers Deposits	Goodwill*	Total
	JD	JD	JD	JD	JD
Balance - beginning of the year	15,518,337	9,928,000	624,835	1,380,512	27,451,684
Additions	6,404,113	-	-	-	6,404,113
Amortization for the year	(6,337,269)	-	(624,835)	-	(6,962,104)
Balance - End of the Year	15,585,181	9,928,000	-	1,380,512	26,893,693

* This item represents the intangible assets resulting from the acquisition of Safwa Islamic Bank during the year 2017 and it is subject to fair value impairment tests at the end of each year.

15. Other Assets - Net

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Interests and revenues under collection	27,100,676	21,157,525
Prepaid expenses	7,562,688	5,923,531
Assets seized by Bank in repayment of debts *	78,038,809	52,978,257
Clearing cheques	307,331	168,219
Transfers and cheques under collection	233,915	261,956
Margins on letter of guarantees paid	6,389,990	4,050,439
Discounted commercial papers	17,341,650	55,057,239
Convertible loans to shares	1,004,774	177,250
Other	15,245,752	13,305,344
Total	153,225,585	153,079,760

* The regulations of the Central Bank of Jordan requires the disposal of the assets seized by Bank in repayment of debts during a maximum period of two years from the acquisition date. However, in some exceptional cases, the Central Bank of Jordan has the right to extend the period for a maximum of two subsequent years.

- The following is a summary of the movement on the assets seized by bank in repayment of debts:

	December 31,	
	2023	2022
	JD	JD
Balance - beginning of the year	52,978,257	51,302,874
Additions	28,807,610	6,002,533
Disposals	(4,328,224)	(3,431,969)
Surplus impairment (provision) during the year	581,166	(895,181)
Balance - End of the Year	78,038,809	52,978,257
Below is a summary of the movement on the provision for the assets seized by bank:		
Balance beginning of year	6,070,677	5,175,496
(Surplus) additions during the year	(581,166)	895,181
Balance - End of the year	5,489,511	6,070,677

- The impairment provision against the assets seized by the Bank amounted to JD 1,349,193 as of December 31, 2023 (JD 1,801,256 as of December 31, 2022). Furthermore, the provision for the assets seized by the Bank for a period of more than (4) years amounted to JD 4,140,318 as of December 31, 2023 (JD 4,269,421 as of December 31, 2022).

16. Banks' and Financial Institutions Deposits

The details of this item are as follows:

	December 31, 2023			December 31, 2022		
	Inside Jordan	Outside Jordan	Total	Inside Jordan	Outside Jordan	Total
	JD	JD	JD	JD	JD	JD
Current accounts and demand deposits	44,773,242	133,809,282	178,582,524	35,924,451	69,529,019	105,453,470
Time deposits	6,000,000	126,667,696	132,667,696	9,479,990	222,916,680	232,396,670
Total	50,773,242	260,476,978	311,250,220	45,404,441	292,445,699	337,850,140

17. Customers' Deposits

The details of this item are as follows:

For the year ended December 31, 2023	Individual	Corporate	SMEs	Government and Public Sector	Total
	JD	JD	JD	JD	JD
Current accounts and demand accounts	506,333,549	193,872,804	408,774,306	9,943,945	1,118,924,603
Saving deposits	862,848,432	28,513,684	88,598,277	8,157,365	988,117,758
Time and notice deposits	1,728,339,919	581,973,635	185,300,102	411,903,611	2,907,517,267
Certificates of deposit	531,540,903	25,843,940	35,731,547	43,677,000	636,793,390
Total	3,629,062,803	830,204,063	718,404,231	473,681,921	5,651,353,018

For the year ended December 31, 2022	Individual	Corporate	SMEs	Government and Public Sector	Total
	JD	JD	JD	JD	JD
Current accounts and demand accounts	511,295,365	268,196,672	297,624,686	6,694,002	1,083,810,725
Saving deposits	898,433,383	30,052,609	64,363,067	5,765,644	998,614,703
Time and notice deposits	1,602,562,585	539,777,036	148,271,873	391,872,109	2,682,483,603
Certificates of deposit	368,987,701	6,795,000	16,995,712	28,657,000	421,435,413
Total	3,381,279,034	844,821,317	527,255,338	432,988,755	5,186,344,444

- The Jordanian government and public sector's deposits inside the kingdom reached JD 473,681,921 representing 8.38% of total deposits as of December 31, 2023 (JD 432,988,755 representing 8.35% of total deposits as of December 31, 2022).
- Non-interest bearing deposits reached JD 1,109,911,255 representing 19.64% of total deposits as of December 31, 2023 (JD 1,095,540,368 representing 21.12% of total deposits as of December 31, 2022).
- Restricted deposits amounted to JD 9,838,084 representing 0.17% of total deposits as of December 31, 2023 (JD 6,633,036 representing 0.13% of total deposits as of December 31, 2022).
- Dormant deposits reached JD 39,908,496 representing 0.71% of total deposits as of December 31, 2023 (JD 58,201,707 representing 1.12% of total deposits as of December 31, 2022).
- Customers' deposits include an amount of JD 2,114,530,041 which represents the shared customers' investments related to Safwa Islamic Bank as of December 31, 2023 (1,900,147,848 as of December 31, 2022).

18. Cash Margins

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Margins against direct credit facilities	235,112,411	161,719,676
Margins against indirect credit facilities	78,788,880	81,862,743
Balances against margin receivables	3,594,790	5,841,581
Other margins	12,164,353	7,944,027
Total	329,660,434	257,368,027

19. Borrowed Funds and Subordinated Loans

19. a.Borrowed Funds

The details of this item are as follows:

December 31, 2023	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	52,172,227	13,400	8,287	Monthly	Bank Promissories	% 1.75 -% 0.5
Central Bank of Jordan borrowing *	345,900	37	16	Quarterly	Bank Promissory	1.00%
Central Bank of Jordan borrowing *	3,152,402	37	24	Semi-annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	2,200,645	17	17	Annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	48,237,651	24,212	14,012	Monthly	Bank Promissory	0.00%
International Bank for Reconstruction and Development **	2,400,000	20	8	Semi-annual starting from September 15, 2018	Bank Promissory	1.95%
Arab Fund for Economic and Social Development ***	270,000	15	2	Semi-annual	Bank Promissory	2.5%
Arab Fund for Economic and Social Development ***	7,118,894	34	32	Semi-annual	Bank Promissory	3.00%
European Bank for Reconstruction and Development	2,020,650	7	7	Semi-annual starting from September 1, 2024	-	8.65%
European Bank for Reconstruction and Development	106,350	7	7	Semi-annual starting from September 1, 2024	-	5.88%
European Investment Bank	34,470,000	7	7	Semi-annual starting from December 21, 2024	-	4.45%
Jordan Mortgage Refinance Company (Relating to a subsidiary)	2,000,000	1	1	One instalment	-	7.75%
Jordan Mortgage Refinance Company (Relating to a subsidiary)	2,000,000	1	1	One instalment	-	4.7%
Jordan Mortgage Refinance Company (Relating to a subsidiary)	2,500,000	1	1	One instalment	-	4.6%
Jordan Mortgage Refinance Company (Relating to a subsidiary)	5,000,000	1	1	One instalment	-	7.6%
Local Banks (Relating to a subsidiary)	5,781,250	100	94	Quarterly	-	6.75%
Local Banks (Relating to a subsidiary)	700,000	36	36	Monthly	-	7.25%
Local Banks (Relating to a subsidiary)	14,930,423	828	827	Monthly	-	6.00%
Local Banks (Relating to a subsidiary)	5,000,000	30	30	Monthly	-	6.00%
Total	190,406,392					

December 31, 2022	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	37,065,805	11,124	7,079	Monthly	Bank Promissories	% 1.75-% 0.5
Central Bank of Jordan borrowing *	408,700	37	34	Quarterly	Bank Promissory	1.00%
Central Bank of Jordan borrowing *	3,425,153	36	31	Semi-annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	1,125,104	22	9	Annual	Bank Promissory	0.50% -1.00%
Central Bank of Jordan borrowing *	51,672,440	26,293	16,864	Monthly	Bank Promissory	0.00%
International Bank for Reconstruction and Development **	3,000,000	20	9	Semi-annual starting from September 15, 2018	Bank Promissory	1.95%
Arab Fund for Economic and Social Development ***	690,000	15	4	Semi-annual	Bank Promissory	2.5%
Arab Fund for Economic and Social Development ***	5,327,732	34	34	Semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	One instalment	Bank Promissory	4.4%
The European Bank for Reconstruction and Development	673,550	7	7	Semi-annual starting from September 1, 2024	-	7.45%

December 31, 2022	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	35,450	7	7	Semi-annual starting from September 1, 2024	-	4.85%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	7.75%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.7%
Jordan Mortgage Refinance Company (related to subsidiary)	2,500,000	1	1	One instalment	-	4.6%
Local Banks (related to a subsidiary)	6,000,000	92	92	Quarterly	-	6.5%
Local Banks (related to a subsidiary)	265,012	48	12	One instalment	-	5.9%
Local Banks (related to a subsidiary)	7,971,000	432	432	One instalment	-	6.00%
Local Banks (related to a subsidiary)	4,998,000	288	288	One instalment	-	6.00%
Local Banks (related to a subsidiary)	2,550,000	144	144	One instalment	-	6.00%
Total	141,707,946					

* Funds have been reborrowed from the Central Bank of Jordan to corporates and SMEs sectors at an interest rate ranging from 0% - 12%.

** Funds have been reborrowed from the International Bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 6% - 11.25%.

*** Funds have been reborrowed from the Arab Fund for Economic and Social Development to corporates and SMEs sectors at an interest rate ranging from 4.50% - 10.75%.

19.b. Subordinated Loans

The details of this item are as follows:

December 31, 2023	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	24,815,000	1	1	one installment dated December 6, 2032	-	12.85%
The European Bank for Reconstruction and Development	21,300,000	1	1	one instalment dated April 8, 2027	-	11.75%
Sanad Fund for financing micro, SME's	14,180,000	1	1	one installment dated March 30, 2030	-	10.91%
	60,295,000					

December 31, 2022	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	24,815,000	1	1	One instalment dated December 6, 2032	-	11.85%
The European Bank for Reconstruction and Development	21,300,000	1	1	One instalment dated April 8, 2027	-	9.5%
	46,115,000					

20. Sundry Provisions

The details of this item are as follows:

For the Year Ended December 31, 2023	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JD	JD	JD	JD	JD
Provision for end-of-service indemnity	79,722	52,161	-	8,278	123,605
Provision for lawsuits and contingent liabilities	452,175	131,788	276,281	5,500	302,182
Other provisions	100,000	-	-	-	100,000
Total	631,897	183,949	276,281	13,778	525,787

For the Year Ended December 31, 2022	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JD	JD	JD	JD	JD
Provision for end-of-service indemnity	81,479	28,031	-	29,788	79,722
Provision for lawsuits and contingent liabilities	677,424	711,675	634,788	302,136	452,175
Other provisions	100,000	-	-	-	100,000
Total	858,903	739,706	634,788	331,924	631,897

21. Income Tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

December 31,	2023	2022
	JD	JD
Balance - beginning of the year	28,930,915	21,931,794
Income tax paid	(35,092,191)	(26,590,128)
Accrued income tax	37,020,220	33,457,335
Income tax from profits from financial assets	13,540	-
Provision for prior years income tax	-	131,914
Balance - End of the Year	30,872,484	28,930,915

Income tax appearing in the consolidated statement of profit or loss represents the following:

Year ended December 31,	2023	2022
	JD	JD
Income tax accrued for the current year profit	37,020,220	33,457,335
Income tax for prior years	-	131,914
Deferred tax assets	(4,380,508)	(5,493,471)
Deferred tax liability for the year	20,282	(161,769)
	32,659,994	27,934,009

b. Deferred Tax Assets/Liabilities

The details of this item are as follows:

Deferred Tax Assets	December 31, 2023					2022
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JD	JD	JD	JD	JD	JD
Financial assets at fair value through other comprehensive income*	-	-	2,497,918	2,497,918	215,586	-
Financial assets at fair value through profit or loss	711,192	711,192	-	-	-	150,624
Provision seized assets	5,968,986	581,164	-	5,387,822	2,047,372	2,268,215
Provision for bonuses	5,885,861	5,885,861	6,016,260	6,016,260	2,286,179	2,236,627
Advertising expenses	75,000	75,000	-	-	-	28,500
Provision for lawsuits against the Bank	445,794	149,993	-	295,801	112,404	169,402
Unaccepted provision for credit financing and facilities stage 3	1,459,792	-	7,870,948	9,330,740	3,545,681	554,721
General provision	190,000	-	60,261	250,261	70,073	53,200
Provision for contingent labilities	100,000	-	-	100,000	38,000	38,000
Differences due to the application IFRS 16	773,338	-	115,664	889,002	337,821	293,868
Provision for expected credit losses stage 1 or 2	70,986,477	-	4,500,628	75,487,105	28,685,100	26,974,861
Provision for end-of-service indemnity	79,722	-	43,883	123,605	46,970	30,294
Provision for finance lease awards	72,075	-	32,930	105,005	29,401	20,181
Legal expenses	6,381	-	-	6,381	1,787	1,787
Total	86,754,618	7,403,210	21,138,492	100,489,900	37,416,374	32,820,280

Deferred tax liabilities	December 31, 2023					2022
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JD	JD	JD	JD	JD	JD
Financial assets at fair value through profit or loss	-	-	2,174,784	2,174,784	20,282	-
Financial assets at fair value through comprehensive income *	7,364,272	7,364,272	-	-	-	844,854
Total	7,364,272	7,364,272	2,174,784	2,174,784	20,282	844,854

* Deferred tax assets include an amount of JD 215,586 resulting from the profits of evaluating financial assets at fair value through the statement of other comprehensive income that appears within the fair value reserve in owners' equity as of December 31, 2023. (JD 844,854 deferred tax liabilities as of December 31, 2022).

- The movement on the deferred income tax assets is as follows:

	Assets		Liabilities	
	December 31,		December 31,	
	2023	2022	2023	2022
	JD	JD	JD	JD
Balance - beginning of the year	32,820,280	27,747,673	844,854	161,769
Additions	7,289,685	7,936,382	778,567	844,854
Disposals	(2,693,591)	(2,863,775)	(1,603,139)	(161,769)
Balance - End of the Year	37,416,374	32,820,280	20,282	844,854

c. Reconciliation of the accounting profit with taxable profit

	December 31,	
	2023	2022
	JD	JD
Accounting profit	90,397,269	71,734,432
Non-taxable income	(18,924,243)	(10,298,695)
Non-deductible expenses for tax purposes	27,537,745	27,989,653
Taxable Profit	99,010,771	89,425,390
Effective income tax rate	36.13%	38.95%

- The legal income tax rate for the Bank was 35% in addition to the national contribution of 3%, the legal income tax rate for Al Etihad Leasing Company and AL Etihad Financial Brokerage company has reached 24% in addition to the national contribution of 4% and the income tax rate for Al Etihad Financial Technology has reached to 20% in addition to the national contribution of 1%.
- The Bank submitted the tax return until the year 2022 and a final settlement was reached with Income Tax and sales Department on the results of the bank until end of the year 2020, and The Income and Sales Tax Department has not reviewed the bank's accounting records for the years 2021 and 2022, In the opinion of the managment and the tax advisor, the allocated provition is sufficient as of December 31, 2023.
- A final settlement with the income tax department for Safwa Islamic Bank has been reached up to the year 2020. The tax return for the year 2021 and 2022 was submitted within the legal period, and the income and sales tax department did not review the accounting records until the date of preparing the consolidated financial statements.
- A tax clearance was obtained from the Income and Sales Tax Department on the business results of Misk Financial Brokerage Company (a subsidiary of Safwa Islamic Bank) until the end of 2022, except for the year 2019, when the company submitted tax statements for the year 2019 and it was not reviewed by the Income and Sales Tax Department.
- A final settlement for Al Etihad for Financial Brokerage Company has been reached, with the income tax department up to the year 2022. except for the year 2021 And the Self detection has been submitted for the year 2021 and the income tax and sales department did not review the accounting records until the date of the consolidated financial information.
- A final settlement with the Income Tax Department for Al Etihad for Financial Leasing Company has been reached up to the year 2021. And the Self detection has been submitted for the year 2022 and the income tax and sales department did not review the accounting records until the date of the consolidated financial information.
- A final settlement with the Income Tax Department for Al Etihad for Financial Technology Company has been reached up to the year 2020. The tax return for the year 2021 and 2022 was submitted, and the income tax and sales department did not review the accounting records until the date of preparing the consolidated financial information.
- A final settlement with the Income Tax Department for Etihad Islamic Investment company has been reached up to the year 2022.
- The percentage of deferred tax was 38% for the income from inside Jordan and 13% for the income from outside Jordan and in the Bank's management opinion these deferred taxes will be realized in the future.

22. Other Liabilities

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Accrued interest expenses	61,266,169	40,431,290
Revenue received in advance	2,758,168	2,223,903
Accounts payable	698,706	653,729
Accrued and unpaid expenses	16,357,721	15,165,919
Incoming transfers	453,698	236,318
Defered cheques	18,008,141	13,044,653
Temporary deposits	11,047,146	12,550,904
Provision for expected credit losses for the off-balance sheet items*	4,902,617	5,021,887
Dividends payable	467,693	461,103
Electronic payments system reconciliations	3,196,747	1,980,162
Card settlement accounts	11,398,830	4,777,482
Liabilities payment broker	6,839,593	-
Other liabilities	13,540,991	4,833,149
Total	150,936,220	101,380,499

Below is the movement of the indirect facilities on a collective basis during the year:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,303,196,285	-	106,484,731	-	2,248,572	1,411,929,588
New exposure during the year	904,296,552	-	15,893,999	-	20,012	920,210,563
Accrued exposure	(789,546,331)	-	(52,990,946)	-	(744,646)	(843,281,923)
Transferred to stage (1)	11,438,049	-	(11,371,049)	-	(67,000)	-
Transferred to stage (2)	(2,668,261)	-	2,668,261	-	-	-
Transferred to stage (3)	(1,394,977)	-	(32,500)	-	1,427,477	-
Effect on the exposure results change classification between stages	(737,375)	-	(327,494)	-	(7,867)	(1,072,736)
Changes resulted from adjustments	(29,142,978)	-	(6,396,939)	-	-	(35,539,917)
Balance at the End of the Year	1,395,440,964	-	53,928,063	-	2,876,548	1,452,245,575

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,015,159,013	-	96,577,713	-	2,698,130	1,114,434,856
New exposure during the year	839,452,533	-	85,586,428	-	39,775	925,078,736
Accrued exposure	(570,482,042)	-	(70,422,074)	-	(346,424)	(641,250,540)
Transferred to stage (1)	6,783,501	-	(6,450,661)	-	(332,840)	-
Transferred to stage (2)	(3,727,859)	-	3,788,837	-	(60,978)	-
Transferred to stage (3)	(264,610)	-	(15,000)	-	279,610	-
Total impact on volume of exposures as a result of changing the classification between stages	23,395	-	355,750	-	-	379,145
Changes resulting from adjustments	16,252,354	-	(2,936,262)	-	(28,701)	13,287,391
Balance at the End of the Year	1,303,196,285	-	106,484,731	-	2,248,572	1,411,929,588

Below is the movement on the impairment loss for indirect facilities on a collective bases during the year:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	4,143,411	-	667,307	-	211,169	5,021,887
Impairment loss on new exposures during the year	2,329,572	-	99,315	-	-	2,428,887
Recovered from the impairment loss of the accrued exposures	(1,851,261)	-	(422,806)	-	(147,542)	(2,421,609)
Transferred to stage (1)	94,047	-	(94,047)	-	-	-
Transferred to stage (2)	(11,361)	-	11,361	-	-	-
Transferred to stage (3)	(566)	-	(811)	-	1,377	-
Total impact on volume of exposures as a result of changing the classification between stages	(44,566)	-	18,861	-	47,567	21,862
Changes resulting from adjustments	(166,766)	-	22,356	-	(4,000)	(148,410)
Balance at the End of the Year	4,492,510	-	301,536	-	108,571	4,902,617

Deember 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	4,818,038	-	601,399	-	195,747	5,615,184
Impairment loss on new exposures during the year	1,978,444	-	458,936	-	6,400	2,443,780
Recovered from the impairment loss of the accrued exposures	(2,592,308)	-	(262,070)	-	(10,000)	(2,864,378)
Transferred to stage (1)	78,860	-	(68,860)	-	(10,000)	-
Transferred to stage (2)	(20,800)	-	21,778	-	(978)	-
Transferred to stage (3)	(251)	-	(179)	-	430	-
Total impact on volume of exposures as a result of changing the classification between stages	(54,437)	-	29,899	-	29,570	5,032
Changes resulting from adjustments	(64,135)	-	(113,596)	-	-	(177,731)
Balance at the End of the Year	4,143,411	-	667,307	-	211,169	5,021,887

The distribution of the total indirect facilities (guarantees) according to the Bank's internal credit ratings:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total	2022
	Individual	Collective	Individual	Collective			Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	8,000	-	-	-	-	8,000	8,000
2	27,573,841	-	-	-	-	27,573,841	32,442,360
3	50,936,634	-	-	-	-	50,936,634	34,259,090
4	25,608,870	-	-	-	-	25,608,870	25,100,047
5	42,713,555	-	500,000	-	-	43,213,555	44,838,596
6	21,176,381	-	131,978	-	-	21,308,359	22,112,922
7	13,754,614	-	4,362,603	-	-	18,117,217	20,606,107
8	-	-	-	-	2,595,817	2,595,817	1,972,663
Not rated	26,847,171	-	13,607,015	-	280,731	40,734,917	40,781,608
Total	208,619,066	-	18,601,596	-	2,876,548	230,097,210	222,121,393

Below is the movement on the indirect facilities- guarantees:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	197,996,383	-	21,876,438	-	2,248,572	222,121,393
New exposure during the year	68,500,167	-	4,872,192	-	20,012	73,392,371
Accrued exposure	(57,615,265)	-	(5,557,249)	-	(744,646)	(63,917,160)
Transferred to stage (1)	4,255,784	-	(4,188,784)	-	(67,000)	-
Transferred to stage (2)	(1,400,965)	-	1,400,965	-	-	-
Transferred to stage (3)	(1,394,590)	-	(32,500)	-	1,427,090	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(578,737)	-	(133,740)	-	(7,480)	(719,957)
Changes resulting from adjustments	(1,143,711)	-	364,274	-	-	(779,437)
Balance at the End of the Year	208,619,066	-	18,601,596	-	2,876,548	230,097,210

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	181,700,374	-	22,217,813	-	2,698,130	206,616,317
New exposure during the year	60,686,227	-	7,876,115	-	39,775	68,602,117
Accrued exposure	(46,140,465)	-	(3,798,863)	-	(346,424)	(50,285,752)
Transferred to stage (1)	4,167,813	-	(3,834,973)	-	(332,840)	-
Transferred to stage (2)	(1,734,261)	-	1,795,239	-	(60,978)	-
Transferred to stage (3)	(264,610)	-	(15,000)	-	279,610	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(32,582)	-	246,900	-	-	214,318
Changes resulting from adjustments	(386,113)	-	(2,610,793)	-	(28,701)	(3,025,607)
Balance at the End of the Year	197,996,383	-	21,876,438	-	2,248,572	222,121,393

Below is the movement on the provision for the indirect facilities - guarantees:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	360,763	-	169,336	-	211,169	741,268
Impairment loss on new exposures during the year	61,665	-	22,271	-	-	83,936
Recovered from the impairment loss of the accrued exposures	(54,025)	-	(40,196)	-	(147,542)	(241,763)
Transferred to stage (1)	37,875	-	(37,875)	-	-	-
Transferred to stage (2)	(1,297)	-	1,297	-	-	-
Transferred to stage (3)	(566)	-	(811)	-	1,377	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(30,589)	-	(52)	-	47,567	16,926
Changes resulting from adjustments	(57,394)	-	(57,674)	-	(4,000)	(119,068)
Balance at the End of the Year	316,432	-	56,296	-	108,571	481,299

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	417,381	-	209,603	-	195,747	822,731
Impairment loss on new exposures during the year	93,001	-	49,719	-	6,400	149,120
Recovered from the impairment loss of the accrued exposures	(95,350)	-	(45,740)	-	(10,000)	(151,090)
Transferred to stage (1)	30,537	-	(20,537)	-	(10,000)	-
Transferred to stage (2)	(7,334)	-	8,312	-	(978)	-
Transferred to stage (3)	(251)	-	(179)	-	430	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	(24,165)	-	11,371	-	29,570	16,776
Changes resulting from adjustments	(53,056)	-	(43,213)	-	-	(96,269)
Balance at the End of the Year	360,763	-	169,336	-	211,169	741,268

The distribution of the total indirect facilities (unutilized limits) according to the Bank's internal credit ratings:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)		2022
	Individual	Collective	Individual	Collective		Total	Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	9,609,859	-	-	-	-	9,609,859	2,085,541
2	60,284,829	-	-	-	-	60,284,829	46,843,848
3	138,447,638	-	-	-	-	138,447,638	107,387,713
4	176,543,405	-	-	-	-	176,543,405	161,747,343
5	141,685,824	-	-	-	-	141,685,824	156,493,687
6	69,530,102	-	2,365,444	-	-	71,895,546	62,438,087
7	10,866,123	-	20,829,123	-	-	31,695,246	43,676,426
8	-	-	-	-	-	-	-
Not rated	74,222,402	-	5,111,076	-	-	79,333,478	74,015,738
Total	681,190,182	-	28,305,643	-	-	709,495,825	654,688,383

Below is the movement on the indirect facilities - unutilized limits

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	609,241,051	-	45,447,332	-	-	654,688,383
New exposure during the year	378,575,417	-	6,013,329	-	-	384,588,746
Accrued exposure	(330,613,883)	-	(14,529,605)	-	-	(345,143,488)
Transferred to stage (1)	5,196,419	-	(5,196,419)	-	-	-
Transferred to stage (2)	(1,267,296)	-	1,267,296	-		-
Transferred to stage (3)	(387)	-	-	-	387	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	291,362	-	(193,754)	-	(387)	97,221
Changes resulting from adjustments	19,767,499	-	(4,502,536)	-		15,264,963
Balance at the End of the Year	681,190,182	-	28,305,643	-	-	709,495,825

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	522,328,808	-	46,207,814	-	-	568,536,622
New exposure during the year	347,055,923	-	39,978,874	-	-	387,034,797
Accrued exposure	(279,875,039)	-	(39,570,997)	-	-	(319,446,036)
Transferred to stage (1)	2,615,688	-	(2,615,688)	-	-	-
Transferred to stage (2)	(1,639,098)	-	1,639,098	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	55,977	-	108,850	-	-	164,827
Changes resulting from adjustments	18,698,792	-	(300,619)	-	-	18,398,173
Balance at the End of the Year	609,241,051	-	45,447,332	-	-	654,688,383

Below is the movement on the provition for the indirect facilities - unutilized ceilings:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	3,518,047	-	435,951	-	-	3,953,998
Impairment loss on new exposures during the year	2,083,451	-	75,342	-	-	2,158,793
Recovered from the impairment loss of the accrued exposures	(1,555,596)	-	(323,065)	-	-	(1,878,661)
Transferred to stage (1)	53,731	-	(53,731)	-	-	-
Transferred to stage (2)	(10,064)	-	10,064	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(12,014)	-	18,913	-	-	6,899
Changes resulting from adjustments	(98,304)	-	80,064	-	-	(18,240)
Balance at the End of the Year	3,979,251	-	243,538	-	-	4,222,789

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	4,093,627	-	337,774	-	-	4,431,401
Impairment loss on new exposures during the year	1,650,929	-	349,392	-	-	2,000,321
Recovered from the impairment loss of the accrued exposures	(2,238,544)	-	(164,421)	-	-	(2,402,965)
Transferred to stage (1)	48,323	-	(48,323)	-	-	-
Transferred to stage (2)	(13,133)	-	13,133	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(30,272)	-	18,178	-	-	(12,094)
Changes resulting from adjustments	7,117	-	(69,782)	-	-	(62,665)
Balance at the End of the Year	3,518,047	-	435,951	-	-	3,953,998

The distribution of the total indirect facilities (letter of credits) according to the Bank's internal credit ratings:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total	2022
	Individual	Collective	Individual	Collective			Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	500,314	-	-	-	-	500,314	158,175
2	44,131,211	-	-	-	-	44,131,211	22,353,915
3	57,293,112	-	-	-	-	57,293,112	87,925,225
4	163,681,546	-	-	-	-	163,681,546	101,005,648
5	25,188,372	-	-	-	-	25,188,372	44,180,506
6	9,746,432	-	-	-	-	9,746,432	10,773,949
7	2,048,151	-	69,425	-	-	2,117,576	3,723,647
8	-	-	-	-	-	-	-
Not rated	68,156,513	-	6,951,399	-	-	75,107,912	56,771,887
Total	370,745,651	-	7,020,824	-	-	377,766,475	326,892,952

Below is the movement on the indirect facilities - letters of credit:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	310,326,179	-	16,566,773	-	-	326,892,952
New exposure during the year	338,256,361	-	5,008,478	-	-	343,264,839
Accrued exposure	(277,752,795)	-	(10,309,904)	-	-	(288,062,699)
Transferred to stage (1)	1,985,846	-	(1,985,846)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	(450,000)	-	-	-	-	(450,000)
Changes resulting from adjustments	(1,619,940)	-	(2,258,677)	-	-	(3,878,617)
Balance at the End of the Year	370,745,651	-	7,020,824	-	-	377,766,475

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	261,917,828	-	18,696,491	-	-	280,614,319
New exposure during the year	265,287,703	-	15,137,251	-	-	280,424,954
Accrued exposure	(214,703,156)	-	(17,596,619)	-	-	(232,299,775)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(354,500)	-	354,500	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(1,821,696)	-	(24,850)	-	-	(1,846,546)
Balance at the End of the Year	310,326,179	-	16,566,773	-	-	326,892,952

Below is the movement on the indirect facilities provision - letter of credit:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	171,573	-	13,691	-	-	185,264
Impairment loss on new exposures during the year	118,139	-	1,702	-	-	119,841
Recovered from the impairment loss of the accrued exposures	(154,748)	-	(11,216)	-	-	(165,964)
Transferred to stage (1)	2,441	-	(2,441)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(1,963)	-	-	-	-	(1,963)
Changes resulting from adjustments	(5,590)	-	(34)	-	-	(5,624)
Balance at the End of the Year	129,852	-	1,702	-	-	131,554

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	251,901	-	29,248	-	-	281,149
Impairment loss on new exposures during the year	142,122	-	11,497	-	-	153,619
Recovered from the impairment loss of the accrued exposures	(205,234)	-	(27,136)	-	-	(232,370)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(333)	-	333	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	-	-	350	-	-	350
Changes resulting from adjustments	(16,883)	-	(601)	-	-	(17,484)
Balance at the End of the Year	171,573	-	13,691	-	-	185,264

The distribution of the total indirect facilities (acceptances) according to the Bank's internal credit ratings:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total	2022
	Individual	Collective	Individual	Collective			Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	8,494,300	-	-	-	-	8,494,300	624,955
3	39,030,439	-	-	-	-	39,030,439	41,346,530
4	50,212,562	-	-	-	-	50,212,562	45,243,453
5	11,088,082	-	-	-	-	11,088,082	24,943,861
6	9,008,047	-	-	-	-	9,008,047	11,511,722
7	-	-	-	-	-	-	125,319
8	-	-	-	-	-	-	-
Not rated	17,052,635	-	-	-	-	17,052,635	84,431,020
Total	134,886,065	-	-	-	-	134,886,065	208,226,860

Below is the movement on the indirect facilities acceptances:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	185,632,672	-	22,594,188	-	-	208,226,860
New exposure during the year	118,964,607	-	-	-	-	118,964,607
Accrued exposure	(123,564,388)	-	(22,594,188)	-	-	(146,158,576)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(46,146,826)	-	-	-	-	(46,146,826)
Balance at the End of the Year	134,886,065	-	-	-	-	134,886,065

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	49,212,003	-	9,455,595	-	-	58,667,598
New exposure during the year	166,422,680	-	22,594,188	-	-	189,016,868
Accrued exposure	(29,763,382)	-	(9,455,595)	-	-	(39,218,977)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of						
changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(238,629)	-	-	-	-	(238,629)
Balance at the End of the Year	185,632,672	-	22,594,188	-	-	208,226,860

Below is the movement on the indirect facilities provision - Acceptance:

December 31, 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	93,028	-	48,329	-	-	141,357
Impairment loss on new exposures during the year	66,317	-	-	-	-	66,317
Recovered from the impairment loss of the accrued exposures	(86,892)	-	(48,329)	-	-	(135,221)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(5,478)	-	-	-	-	(5,478)
Balance at the End of the Year	66,975	-	-	-	-	66,975

December 31, 2022	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	55,129	-	24,774	-	-	79,903
Impairment loss on new exposures during the year	92,392	-	48,328	-	-	140,720
Recovered from the impairment loss of the accrued exposures	(53,180)	-	(24,773)	-	-	(77,953)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	-	-	-	-	-	-
Changes resulting from adjustments	(1,313)	-	-	-	-	(1,313)
Balance at the End of the Year	93,028	-	48,329	-	-	141,357

23. Paid-up Capital and Share Premium

Capital:

The authorized and paid-in capital amounted to JD 200 million, divided into JD 200 million shares at a par value of JD 1 per share as of December 31, 2023, and JD 160 Million divided over 160 Million shares, where the par value per share was JD 1 as of December 31, 2022.

The General Assembly decided, in its extraordinary meeting held on April 19, 2023, to increase the bank's capital by an amount of JD 40 million by capitalizing part of the retained earnings at an amount of JD 28 million and capitalizing part of the share premium at an amount of JD 12 million.

Share Premium:

The share premium amounted to JD 68,213,173 as of December 31, 2023 (JD 80,213,173 as of December 31, 2022).

Dividends Paid:

The dividends distributed to shareholders amounted to JD 16 million for the year 2022 (JD 16 million for the year 2021).

24. Perpetual Bonds

On October 3, 2023, the bank issued perpetual non-convertible bonds to shares worth USD 100 million. They were listed on the Amman Stock Exchange, where the nominal value of each bond was USD 10,000, with a total number of 10,000 bonds at a fixed interest rate of 8.5% for the first five years, and then a variable interest rate every three years. It is calculated based on the return on Treasury bonds issued by the United States government for a period of five years, plus a margin of 4.25%. These bonds were classified as an additional Tier 1 of regulatory capital in accordance with Basel III requirements.

The value of interest due on these bonds amounted to JD 934,107 as of December 31, 2023, reduced directly from retained earnings, net of taxes.

25. Reserves

The details of the reserves as of December 31, 2023, and 2022 are as follows:

a. Statutory Reserve

This reserve represents amounts transferred from income before tax at a rate of 10% during the year and the prior years, and according to the Banking law, the statutory reserve is not available for distribution to shareholders.

b. Voluntary reserve

This reserve represents amounts transferred from the pre-tax profits at a rate not exceeding 20% during the year and the prior years. The voluntary reserve shall be utilized for the purposes determined by the Board of Directors and the General Assembly shall have the right to distribute it in whole or in part as dividends to the shareholders.

The value of interest due on these bonds amounted to JD 934,107 as of December 31, 2023, reduced directly from retained earnings, net of taxes.

The restricted reserves are as follows:

Reserve Name	December 31,		Regulation
	2023	2022	
	JD	JD	
Statutory reserve	85,321,596	76,227,974	According to the Bank regulatory authorities' regulations and companies' regulations.
Fair value reserve	2,693,754	6,482,816	According to the regulations of the Central Bank of Jordan and the Jordan Securities Commission.

26. Proposed Dividends and shares

The Board of Directors proposed in its meeting that was held on February 14, 2024, a recommendation to the General assembly of shareholders to approve the distribution of cash dividends amounted to JD 20 million at 10% of paid-in capital and is subject to the approval of the Central Bank of Jordan and the General Assembly of Shareholders.

27. Fair Value Reserve - Net

The details are as follows:

	December 31,	
	2023	2022
	JD	JD
Balance at the beginning of the year	6,482,816	1,741,270
Unrealized (losses) gains	(4,448,787)	8,022,682
Deferred tax assets	215,586	(420,863)
Deferred tax liabilities	844,854	(844,854)
(Gains) from sale of financial assets at fair value through other comprehensive income	(400,715)	(2,015,419)
Balance at the End of the Year	2,693,754	6,482,816

- The fair value reserve appears after netting the balance of deferred tax assets of JD 215,586 as of December 31, 2023 (against the netting of deferred tax assets of JD 844,854 as of December 31, 2022).

28. Retained Earnings

The movement on retained earnings is as follows:

	December 31,	
	2023	2022
	JD	JD
Balance – beginning of the year	78,930,524	71,721,054
Income for the year	47,137,256	34,327,652
Gains from sale of financial assets through comprehensive income	400,715	2,015,419
Transferred to reserves	(15,073,872)	(13,083,690)
Capitalization of capital increase	(28,000,000)	-
Dividends distributed	(16,000,000)	(16,000,000)
Capital increase fees	(250,150)	-
Shares in subsidiaries	(435,765)	(49,911)
Perpetual bonds expenses after excluding the tax effect	(363,234)	-
Perpetual bond interest after excluding the tax effect	(934,107)	-
Balance – End of the Year	65,411,367	78,930,524

- The General Assembly decided, in its extraordinary meeting held on April 19, 2023, to increase the bank's capital by an amount of JD 40 million by capitalizing part of the retained earnings at an amount of JD 28 million and capitalizing part of the share premium at an amount of JD 12 million.
- Retained earnings includes an amount of JD 2,174,784 which represents gains from the differences on the revaluation of the financial assets at fair value through the statement of profit or loss.
- Retained earnings includes a restricted amount of JD 37,180,506 as of December 31, 2023 (JD 32,820,280 as of December 31, 2022), which represents deferred tax assets after deducting part of deferred tax liabilities. According to the Central Bank of Jordan's instructions, this amount should not be used unless prior approval is obtained from the Central Bank of Jordan.

29. Provision for Expected Credit Losses on Financial Assets

The details are follows:

December 31,	2023	2022
	JD	JD
Balances at banks and financial institutions	(212,472)	(279,462)
Deposits with banks and banking institutions	408	5,500
Financial assets at amortized costs	(37,607)	21,460
Direct credit facilities and financing	42,289,636	35,083,130
Contingent liabilities	(119,270)	(593,297)
	41,920,695	34,237,331

30. Subsidiaries with Material Non-controlling Interests

First: Percentage owned by non-controlling interests

December 31, 2023

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions
				JD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	60.16%	Provides all financial, banking and investment services according to Islamic Sharia.	-
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares.	-

December 31, 2022

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions
				JD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	62.26%	Provides all financial, banking and investment services according to Islamic Sharia.	6,000,000
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares.	3,350,000

Second: The following is selected financial information for subsidiaries with material non-controlling interests

a. Condensed statement of financial position before the elimination of inter-company transactions and after reclassification for some items:

	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)
	December 31, 2023	December 31, 2022
	JD	JD
Financial assets	2,838,930,921	2,529,565,317
Other assets	80,410,457	46,341,260
Total assets	2,919,341,378	2,575,906,577
Financial Liabilities	2,634,666,551	2,336,101,720
Other Liabilities	95,365,087	68,000,516
Total Liabilities	2,730,031,638	2,404,102,236
Equity	189,309,740	171,804,341
Total Liabilities and Equity	2,919,341,378	2,575,906,577
Equity attributed to non-controlling interests	113,265,019	106,366,138
Non-Controlling Interest Share at Al Etihad Islamic for Investment Company	623,852	623,852
Total non-controlling interests	113,888,871	106,989,990

b. Condensed statement of income before the elimination of inter-company transactions:

	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)
	December 31, 2023	December 31, 2022
	JD	JD
Gross Income	77,984,186	68,002,662
Profit for the year	17,510,246	15,112,021
Total Comprehensive Income	17,505,399	15,126,614
Attributable to non-controlling interests	10,600,081	9,486,207
Non-controlling interests share in profits (losses) of Al Etihad Islamic for Investment Company	(3,284)	(4,351)
Non-Controlling Interests	10,596,797	9,481,856

31. Interest and Returns Income

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Direct Credit Facilities and Financing		
Individual (retail)		
Overdraft accounts	153,082	136,461
Loans and discounted bills	94,151,682	71,349,409
Credit cards	3,502,304	1,940,405
Real estate Loans	91,318,244	70,000,236
Large corporates		
Overdraft accounts	6,325,218	5,786,525
Loans and discounted bills	89,055,381	68,603,610
SME's		
Overdraft accounts	2,578,506	2,100,006
Loans and discounted bills	16,334,180	12,477,341
Government and Public Sector	28,080,113	21,178,572
Balances at the Central Bank	15,607,450	6,911,290
Balances and deposits at banks and financial institutions	9,358,207	4,457,040
Financial assets at fair value through statement of profit or loss	217,354	21,538
Financial assets at amortized cost	71,562,128	49,135,776
Others	2,142,734	1,670,441
	430,386,583	315,768,650

32. Interest and Debit Expenses

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Banks and financial institutions deposits	9,300,363	4,623,506
Customers' deposits:		
Current accounts and demand deposits	7,668,446	4,478,420
Saving deposits	6,688,041	5,192,547
Time and notice deposits	144,217,464	93,105,635
Certificates of deposit	27,862,637	13,359,983
Cash margins	4,866,706	3,072,617
Borrowed funds	3,586,276	2,456,675
Subordinated loans	6,673,091	1,177,269
Deposits Insurance Corporation's fees	6,624,326	7,652,841
	217,487,350	135,119,493

33. Net Commission Income

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Direct credit facilities and financing commissions	3,653,370	5,871,993
Indirect credit facilities and financing commissions	14,878,771	15,250,347
Other	16,787,345	14,723,654
Less: Commission expense	(2,972,200)	(2,077,407)
Net Commission Income	32,347,286	33,768,587

34. Gains from Foreign Currencies

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Resulting from dealings / tradings	9,538,585	9,918,532
Resulting from valuations	4,238,001	1,521,470
	13,776,586	11,440,002

35. Gains (Loss) from Financial Assets at Fair Value through Profit or Loss

The details of this item are as follows:

December 31, 2023	Gains (Losses) Realized	Gains (Losses) Unrealized	Dividends income Received	Total
	JD	JD	JD	JD
Treasury bills and bonds	299,224	79,409	-	378,633
Corporate shares	539,063	335,184	146,028	1,020,275
Financial derivatives	(83,600)	(19,700)	-	(103,300)
Investment funds	(18,463)	636,602	1,868	620,007
	736,224	1,031,495	147,896	1,915,615

December 31, 2022	Gains (Losses) Realized	Gains (Losses) Unrealized	Dividends income Received	Total
	JD	JD	JD	JD
Treasury bills and bonds	6,166	(10,346)	-	(4,180)
Corporate shares	(253,408)	(563,459)	117,687	(699,180)
Financial derivatives	64,408	-	-	64,408
Investment funds	38,226	(893,077)	8,884	(845,967)
	(144,608)	(1,466,882)	126,571	(1,484,919)

36. Dividends from financial assets at fair value through other comprehensive income

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Dividends from stock investments	1,157,134	689,898
Returns from investment fund distributions	5,019	969
	1,162,153	690,867

37. Other Income

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Safety deposits boxes rental	238,510	200,260
Dormant accounts	115,721	121,492
Bonded revenue	254,165	243,226
Net income from recovered bad debts	544,020	294,536
Income from sale of seized assets	-	898,236
Other income	248,978	240,633
	1,401,394	1,998,383

38. Employees' Expenses

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Salaries, benefits and allowances	46,365,376	42,851,427
Bank's contribution to social security	4,837,288	4,384,455
Bank's contribution to saving fund	1,955,346	1,785,296
Medical expenses	2,360,530	2,155,193
Per diems	533,753	329,302
Training expenses	936,810	833,367
Uniforms	29,454	4,173
Advertising and marketing incentives	5,725,388	4,931,991
Employees' life insurance expense	199,678	190,272
Others	250	1,879
	62,943,873	57,467,355

39. Other Expenses

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Postage, telephone telex and reutters	4,303,832	3,702,405
Stationery and printing	1,569,273	1,200,244
Water, electricity and fuel expense	1,434,214	1,120,662
Maintenance of machines and equipment	15,726,460	14,221,359
Insurance expenses on the Bank's assets and activities	2,709,758	2,813,030
Lawyer, auditing, maintenance, programs and consulting fees	3,089,129	3,301,436
Govermental Fees and professional licenses	1,846,499	1,575,299
Loss from disposal of property and equipment	32,116	115,477
Board of Directors' transportations and allowances	1,601,405	1,579,784
Advertising	7,634,068	6,147,949
Donations and subscriptions	4,649,790	3,022,956
Board of Directors' remuneration	109,996	109,996
Loss from disposal of owned assets	11,489	-
Others	2,248,810	1,892,037
	46,966,839	40,802,634

40. Basic and diluted earings per share for the period attributable to the Bank's shareholders

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Profit for the year	47,137,256	34,327,652
Weighted average number of shares	200,000,000	20,000,000
Earnings per share attributable to the Bank's shareholders:		
Basic and diluted	0.236	0.172

- The weighted average number of shares per share of profit attributable to the bank's shareholders was calculated based on the number of shares as of December 31, 2023 and 2022, the figures for the year ended December 31, 2022 were calculated for the average profit. For the number of shares after taking into account the share dividends being free.

41. Cash and Cash Equivalents

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Cash and balances with CBJ maturing within 3 months	736,205,982	761,806,411
Add: Balances with banks and financial institutions maturing within 3 months	372,011,885	207,623,258
Less: Banks and financial institutions deposits maturing within 3 months	261,750,220	295,845,614
Less: Restricted balances	15,526,690	9,791,446
	830,940,957	663,792,609

42. Derivatives

The following table shows the positive and negative fair value for the financial derivatives along with the distribution of their nominal value based on their maturities.

December 31, 2023	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JD	JD	JD	JD	JD	JD	JD
Customers' commitments against purchased forward agreements	33,935	31,688	9,145,987	7,984,996	1,160,991	-	-
Banks' commitments against purchased forward agreements	116,584	181,052	53,357,562	51,852,717	1,504,845	-	-
	150,519	212,740	62,503,549	59,837,713	2,665,836	-	-

December 31, 2022	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JD	JD	JD	JD	JD	JD	JD
Customers' commitments against purchased forward agreements	284,830	81,018	14,758,091	9,609,047	5,149,044	-	-
Banks' commitments against purchased forward agreements	181,481	320,731	179,020,897	171,837,997	7,182,900	-	-
	466,311	401,749	193,778,988	181,447,044	12,331,944	-	-

- Nominal value represents the value of transactions outstanding at year-end and does not refer to market risks or credit risks.

43. Related Party Transactions and Balances

The accompanying consolidated financial statements include the financial statements of the Bank and the following subsidiaries:

Company's Name	Ownership	The Company's Capital	
		2023	2022
	%	JD	JD
Al Etihad Islamic for Investment Company LLC.	58	113,039,028	113,039,028
Safwa Islamic Bank	39.84	100,000,000	100,000,000
Al- Etihad for Financial Brokerage Co. Ltd	100	5,000,000	5,000,000
Al- Etihad for Financial Leasing Co.	100	12,000,000	12,000,000
Al- Etihad for Financial Technology	100	100,000	100,000
Bank al Etihad - Iraq Branch	100	35,450,000	-

The balances and transactions between the Bank and its subsidiaries and the foreign branch have been eliminated.

The Group entered into transactions with major shareholders, directors, senior management in the ordinary course of business at commercial interest and commission rates. All the credit facilities granted to related parties are performing, and no provisions have been taken except for what is shown below:

The details of this item are as follows:

	Related Party				Total	
	Board of Directors	Executive management members and Major Shareholders	Subsidiaries	Others (Executive Management of the Bank and Related Parties)	2023	2022
	JD	JD	JD	JD	JD	JD
On- Consolidated Statement of Financial Position Items:						
Direct credit facilities and financing	649,551	3,383,140	1,549,498	62,090,833	67,673,022	67,432,161
Deposits	162,191,650	5,325,698	17,624,057	26,182,131	211,323,536	207,100,913
Deposits at banks and financial institutions	-	-	1,636,036	-	1,636,036	354,838
Intangible assets	-	-	2,211,755	-	2,211,755	2,615,855
Off- Consolidated Statement of Financial Position Items:						
Letter of credits	-	-	-	627,513	627,513	4,161,389
Acceptance	-	-	-	4,043,519	4,043,519	-
Letter of guarantee	11,500	-	1,019,670	8,242,300	9,273,470	10,121,834
					For the Year Ended December 31,	
					2023	2022
					JD	JD
Consolidated Statement of Profit or Loss Items						
Interest, returns and commissions income	30,910	58,981	90,729	5,267,983	5,448,603	5,489,263
Interest and expenses and debit interest	7,646,426	153,486	655,412	1,064,661	9,519,985	4,461,156
Software maintenance expenses	-	-	163,081	-	163,081	351,314

- The interest income rates on credit facilities range from 2% to 17%, and interest expense rates on customers' deposits range from 0.5% to 6.85%.

Below is a summary of the remunerations for the Bank's executive management:

	2023	2022
	JD	JD
Salaries and bonuses of the Executive Management	6,545,192	6,442,465
Board of Directors' transportation and allowances	1,633,766	1,619,987
Total	8,178,958	8,062,452

44. Right-of-Use Assets/ Leasing Liabilities

This items includes the following:

1. Right-of-use assets

The Bank leases many assets including land and buildings, and the average lease term is 10 years.

Below is the movement on the right-of-use assets during the year:

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Beginning balance	29,461,656	27,555,989
Add: Additions during the year	6,097,366	6,316,819
less: Disposal during the year	(545,382)	(223,810)
Less: Depreciation for the year	(4,575,570)	(4,187,342)
Balance at the end of the year	30,438,070	29,461,656

Restricted balances in the statement of profit or loss

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Depreciation for the year	(4,575,570)	(4,187,342)
Interest during the year	(1,240,261)	(1,171,165)
Lease expense during the year	(810,851)	(558,065)
Gain from the derecognition of right-of-use assets	4,566	-

2. Lease Liabilities

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Beginning balance	29,680,581	27,366,812
Add: Additions during the year	6,097,366	6,316,819
Interest during the year	1,240,261	1,171,165
Less: Disposal during the year	(549,948)	(223,810)
Paid during the year *	(5,369,844)	(4,950,405)
Balance at the end of the year	31,098,416	29,680,581

* including interest of JD 337,725. (JD 361,996 As of December 31, 2022).

Analysis of the accrual of lease liabilities:

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Less than one year	2,353,829	2,272,581
From 1 year to 5 years	9,687,436	9,546,437
More than 5 years	19,057,151	17,861,563
	31,098,416	29,680,581

The undiscounted lease liabilities amounted to JD 37,779,860 as of December 31, 2023 (JD 35,862,010 as of December 31, 2022). The following is the analysis of the maturity:

Analysis of the maturity of undiscounted lease liabilities:

	For the Year Ended December 31,	
	2023	2022
	JD	JD
Less than one year	3,141,180	3,009,103
From 1 year to 5 years	12,082,566	11,847,582
More than 5 years	22,556,114	21,005,325
	37,779,860	35,862,010

45. Risk Management:

The Bank continuously develops the risk management structure to ensure effective management of all of its operations, the efficiency of the risk management process, and proper application of the regulatory controls across all of the Bank's operations.

The risk management responsibility is allocated across various levels as summarized below :

1. Business Units:

The Business units comprise of employees who, through thier nature of work, manage the various risks associated with the Bank's operations in line with the acceptable risk appetite as determined by the Bank and specified in its policies.

To ensure efficient risk management, the Bank fully separates the functions of the business units from those of risk management. For example, credit underwriting and credit administration function is completely independent from Customer Relations Management (CRM) within the business units. This ensures the integrity of credit decisions, and higher efficiency. In addition, the Middle Office operates under the umbrella of market risk, independent from the treasury.

2. Risk Management

This department operates independently from all business units. It reports to the Board of Directors through the Risk Management Committee to ensure its independence and ability to detect, measure, govern, and monitor risks within acceptable risk appetite as determined by the Bank; as well as submit periodic reports to the Board of Directors in this regard.

3. Internal Audit:

The Internal Audit Department is fully independent and directly reports to the Board Audit Committee. The Department functions as the last line of defense through implementing an audit plan that includes periodic audits of all the Bank's activities to ensure the detection of any violations of systems and noncompliance with the Banks' policies and procedures or the supervisors' regulations

4. Risk Management Committee:

The Board of Directors endorsed the Risk Management Committee as stipulated in it's charter, which has been drafted in accordance with best risk management practices and CBJ requirements. The Committee comprises of Board members and the Chief Risk Officer. All reports prepared by the Risk Management Department are submitted to the Committee periodically to ensure that the Committee's members are well informed of all risks in a timely manner. This enables the committee members to make decisions, and take measures to mitigate risks that are not in line with the established risk appetite, and submit reports to the Board in this regard.

5. Board of Directors:

The Board of Directors has the following responsibilities with regard to risk management:

- Determining the acceptable risk levels for the Bank's various activities.
- Reviewing and approving the various risk policies.
- Monitoring risks and ensuring that necessary controls are in place through the Risk Management Committee.
- Delegating authority related to the approval, amendment, and renewal of credit to the credit committees while reviewing their performance and the validity of their decisions, a matter which would reflect on the quality of the credit portfolio.
- Approving the investments policies and decisions and approving investment transactions and dealing limits.

6. Assets and Liabilities Management Committee:

The Assets and Liabilities Management Committee comprises of the CEO as President and the Head of Business units, Head of Finance and Head of Risk as members. The Committee reviews the statement of financial position and recommends any amendments thereto, in addition to approving the liquidity and market risk management principles. Moreover, the Committee reviews the policies related to these risks, recommends their approval by the Board, and studies the various risk reports in order to take any necessary decisions related to amending the acceptable risks levels by the Bank.

The Committee also recommends to the Board the allocation of capital for the various activities of the Bank in a manner that ensures that the use of capital is optimized.

45/a. Credit risks:

Credit risks are controlled within acceptable risk levels by the Bank through the following:

1. Credit Policy: This policy accurately determines the general guidelines for credit underwriting, levels of acceptable credit risks, and basis used for establishing credit risk pricing and acceptable collateral. In addition, the policy outlines the monitoring activities over creditand ensure early detection of credit quality deterioration of the portfolio.
2. Training and Development: The continuous training and development of all credit staff and managers ensures better understanding of the client's business activity and needs, the fostering of expertise in credit analysis, and a better understanding of risks when taking credit decisions ; as well as ensuring the effective management of portfolios.
3. Authority to Grant Credit: Credit applications are approved by specialized credit committees which are appointed and granted authorities by the Board of Directors.
4. Credit Risk Measurement: The Bank put in place, a credit rating system for corporate and medium-size companies. In addition, the Bank implements a scorecards framework for retail customers as a basis for underwriting and cross-selling of retail products.
5. Internal Valuation for Capital Adequacy: The Bank developed a model to measure capital adequacy based on a 5-year data forecast to calculate the potential capital requirements and the effect of stress testing on the Bank's capital adequacy, profitability, and liquidity.
6. Credit Risk Monitoring: A specialized unit within the Risk Managment Department monitors the credit portfolio and prepares the relevant reports.

   Through the early credit risk warning system, the Risk Management Department examines any indicators that may signal the deterioration of the risk profile of a customer. Such indicators include customer's transactions, financial performance, and the risk of their economic sectors , in addition to indicators related to the performance of the client's account at the Bank. This system allows the bank to detect, early on, any deterioration in the performance of the account and enables to the bank to take necessary measures to reduce any possible losses that may result from that and to ensure the adequacy of the allocations allocated to these accounts.

7. Credit Portfolio Management: All departments concerned with credit continuously review the credit portfolio to maintain a good level of credit exposure quality.

   In managing the portfolio, efforts are made to ensure that the portfolio is diversified to avoid any concentration that could lead to an increase in the risk level of the portfolio. In this regard, the sectoral and the geographical distribution of the portfolio are monitored, in addition single borrower and related parties exposures are monitered and reported in addition to avoiding large credit exposures for a single customer except in exceptional cases and for discerning clients.

8. Credit Risk Mitigation: As a basic step to hedge credit risk, cash flows of financed projects are taken into account when determining the structure of facilities and payment schedules for any facilities granted to clients and the necessary controls to control these cash flows for use for repayment, as well as obtaining collaterals as stipulated in the credit policy, taking into account the quality and liquidity collaterals, in addition to the efficient application of procedures that ensure proper control of these guarantees and control their value and the ease of monetization where necessary.

Stress testing

The objectives of stress testing are to determine the negative stress events that could face the bank and its business, and measure their impact on the bank's solvency, liquidity and reputation.

Also, stress testing will idetify the areas of weaknesses that the bank could face as a result of these negative stress events and allow the board of directors and executive management, to develop a strategic plan to reduce its impact and confronting them when they occur or avoid them. The stress test process aims to improve and enhance the sound management of the bank's risks, in addition to complying with the instructions of the regulatory authorities issued in this regard, and international best practices.

Choosing the stress testing scenarios

Stress scenarios that cover all possible risks encountered by the Bank are selected. The impact of stressful scenarios are assessed on different bank portfolios, and on Profit and Loss, Capital Adequacy Ratio and other regulatory limits , as follows:

1. Measuring the effect of stress scenarios on the Bank's credit portfolio concerning the increase in the percentage of non-performing loans due to many factors, including concentration in granting credits, deterioration of the economic sectors due to financial crises, quality of the credit portfolio, decrease in the value of collaterals, and other factors. The impact of these stress scenarios on income statement, Balance sheet, and capital adequacy ratios.
2. Measuring the effect of stress situations on the Bank's investments in terms of liquidity and change in the market prices such as Interest Rates, Foreign Exhchange rate etc. The impact of these risk scenarios is assessed on the income statement, statement of financial position, and capital adequacy ratios.
3. Measuring the effect of stress scenarios on the Bank's assets and liabilities in the event of depreciation or apperciation of local currency against foreign currencies.
4. Measuring the effect of stress scenarios on the Bank's liquidity due to several factors, including loss of deposits,concentration of the clients' deposits and Banks' deposits and extensive deposit withdrawals. The effect of these risk scenarios is factored into the calculation of the legal liquidity ratio,Liquidity Coverage Ratio and other liquidity ratios.
5. Measuring the effect of stress on the Bank's operational risks. The impact of this risk scenario is assessed on the capital adequacy ratio and Profit and loss.

Based on the results of these tests, contingency and recovery plans are established to face financial and economic crises should they arise. Furthermore, risk mitigation tools are implemented, such as hedging and risk transfer strategies and minimum accepted collaterals limits, and what corresponds to the results of stress tests.

Governance of the Application of Stress-testing Situations:

Responsibility of the Board of Directors:

1. Reviewing the results of the stress tests of the bank on a semi-annual basis (every six months), in order to direct the bank to take measures and/or enforce controls accordingly.
2. Ensuring that the executive management complies by the plans and policies prepared to face any stress scenarios as it arises.
3. Verifying that the Risk Management Department is performing stress tests periodically and that the Board has a major role in approving the underlying assumptions and scenarios, test results analysis, and approving the contingency and recovery plans.

Executive Management's Responsibility

1. Making the right recommendations, based on the stress-testing results, and reporting them to the Board of Directors.
2. Implementing the decisions of the Board of Directors related to the Bank's stress testing results, in addition to informing the Board about these results.
3. Implementing and controlling stress testing, in compliance with the methodology approved by the Board of Directors.
4. Taking the stress testing results into consideration when planning capital with the aim of reaching the capital that matches the Bank's strategy and risk structure, in addition to taking the results into consideration while performing (ICAAP).
5. Ensuring full cooperation among the Bank's different departments through coordianting with the Risk Management Department to come up with the closest real world stress testing results that the Bank might be prone to as a result of the local and international financial and economic circumstances.

The Bank's Definition for Applying Default and the Mechanism for Processing Default:

The group is committed to the instructions of the regulatory authorities and best practices in the banking sector with regard to the application of default and the mechanism for dealing with bad debts.

Non-performing facilities are defined as those facilities that carry high levels of risk or needs supervision, and the following is a brief description of these statuses:

• Watch List:

Borrower with no assured profits and extremely unstable operational revenues. The obligors' assets are witnessing a decrease in their value, coupled with an increase in doubtful debts without sufficient collaterals. Meanwhile, his exposure is constantly increasing and is greater than the accepted standards in his sector. In addition, the management and controls are weak. Debts classified as watch list will remain as such for a period of time under this rating to be monitored, so that their credit rating is improved in case the data that led to their classification under watch list will change or their credit rating downgraded.

• Substandard:

Borrower is considered non-performing. Where Recovering the granted credit facilities based on the client's operational revenues is questionable, and their assets are not protected at an acceptable degree by net equity. In addition, the borrower's ability to commit to financial obligations or provide additional collaterals is weak. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

• Doubtful:

The Bank's chances of recovering the debts granted to the borrower is doubtful, and part of the principal is likely to be lost under the given circumstances that demonstrate the borrower's inability to fulfill their obligations towards the Bank. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

• Loss:

It is probable that part of the granted amount will be recovered in the future, and the Bank is still not fully convinced that recovery is unlikely. This matter does not encourage the Bank to irrevocably write off the debt, or cease the recovery process. The facilities classified under this level require special provision according to the instructions of the Central Bank of Jordan.

General Guildlines for dealing with default:

- Proposed rescheduling arangements are based on the client's ability to commit to it's financial obligations, as the Bank's aim is not only to improve the credit portfolio classification, but to also recover the loan amount granted to the client.
- While rescheduling debt repayment, a study of the borrower's cash flows must be conducted, especially if the borrower has liabilities towards creditors other than the Bank. This entails studying the borrower's cash flows, current guarantees, and any other extra assets that can be liquidated as an extra source for the repayment, or as an additional guarantee to mitigate the client's credit risk. Other aspects of the client are also studied, including the client's ability to manage the facilities, and validity of the legal documents and contracts in the Bank's possession, to ensure that they maintain the Bank's rights in case legal actions are taken against the borrower.
- In case the client commits to their repayment schedule for a period of not less than 3 months, the account classification is upgraded to a performing status.

Internal Credit Classification System:

The Bank adopts an internal risk rating system to calculate the Risk Rating of Corporate and SMEs clients. The aim of this system is to asses credit risks at client and facility level . For each borrower a risk grade from 1-10 is calculated, where risk grade (1) is the least risky, The calculation of Obligor and facility risk rating is the responsibility if the credit department.

Internal Risk classification of Obligors ensures:

- The ability to maintain a high asset quality, monitor the portfolio's quality, and identify effective plans and future strategies for managing credit risks.
- Linking credit quality, performance efficiency and pricing.
- Determining the authority level for granting and/or renewing the credit limits.

The following table shows the building blocks of the Risk Grade:

Indicator	Indicator's nature
Financial items	Quantitative
Management	Qualitative
Corporate	Qualitative
Economic sector	Qualitative

In order to calculate the Risk Rating, financial statements for 3 years and information about the economic sectors performance should be submitted, accordingly obligors are classified as follows:

Risk level	Risk rank
Excellent	1
Strong	2+ - 2-
Good	3+ - 3-
Satisfactory	4+ - 4-
Adequate	5+ - 5-
Marginal	6+ - 6-
Watch List	7+ - 7-
Non-performing	8-10

Mechanism Used to Calculate the Expected Credit Losses on the Financial Instruments for Each Item Separately

Expected credit losses are calculated on an individual basis on the system that is implemented by the Bank based on parameterized models and methodologies adopted by the Board of Directors and approved by the external auditor in the preparation of interim and year-end financial statements.

a. Probability of Default (PD)

The probability of default is measured for the purpose of calculating the expected credit losses in accordance with IFRS9 through using statistical models based on historical default data, credit exposure classification, and stressed and forecasted macroeconomic trends for corporates and SME's portfolio. As for the retail facilities portfolio, statistical models have been adopted based on the product characteristics and the client's credit behavior.

Under IFRS (9) all credit exposures and debt instruments that are listed under stage (1), are assigned a 12 month Probability of default. As for the credit exposures under Stage 2, the probability of default on a credit exposures is taken into consideration over the lifetime of the exposure.

b. Loss Given Default (LGD) (Guarantees/Risk mitigators)

When calculating the loss given default (LGD), the collaterals pledged against granting the credit exposure are evaluated. Moreover, only collaterals classified as risk mitigants are taken into account (legally documented within credit contracts, while nothing precludes the Bank from reaching the collateral) for the purpose of calculating the repayable amount of the credit exposure after applying haircuts as stipulated in CBJ Debt Classification Instructions No. (47/2009). In addition, LGDs are applied on the uncovered portion of the credit exposure. The LGD estimates are based on historical data related to recoveries upon liquidation as a result of execution on the guarantee due to default, taking into account the time dimension.

c. Exposure at Default (EAD)

When calculating Exposure at Default (EAD), the outstanding amount and type of debt instrument that will be utilized by the debotr will be taken into consideration when calculating the expected credit loss to each stage from International financial reporting standard (9) stages. The exploitation factor is calculated after conducting a study on the withdrawal ratios and the historical exploitations of currencies and different types of debt.

Furthermore, indirect credit exposures (non-financed) are considered on-balance credit exposures on which expected credit loss is calculated. Their probability of default is calculated as well based on historical default.

d. Time Value of Money

The expected credit loss is calculated by using the time value and Effective interest rate (EIR) as a discounting factor.

Governance of applying the requirements of the International Financial Reporting Standard, including the responsibilities of management and executive management, to ensure compliance with the regulatory requirements and applying the international standard.

The Board of Directors:

The Board of Directors will overreview the process and results of calculating provisions according to the international standard in order to make decisions that are consistent with these results and ensure that the executive management adheres to the processes and policies set for the adequacy of provisions. An approved policy that identifies exceptional and justified cases in which the results and outputs of the system are modified and that An independent body shall be determined to be the authority to make the exception or amendment decision and these cases shall be presented to the board for approval.

Risk Committee

The Risk Committee also plays a supervisory role in the IFRS9 Process. The Risk Committee will continue to supervise the inherit risks of the loan and investment portfolio. The risk committee shall insure that:

- The business pricing strategy is commensurate with the costs of impairment from IFRS9.
- Provisioning sufficiently covers the expected credit losses.
- Capital is maintained above the threshold levels and remediation plans are in place

Audit Committee

The provision calculation results according to the international standard are submitted to the Audit Committee, which verifies the adequacy of the Bank's coverage of the expected credit loss in all of the Bank's financial statements.

Executive Management

Senior management should be able to demonstrate an understanding of the inherent risks when pricing exposures and managing Client Relationships. Pricing should to a certain extent reflect the inherent risk in transactions and compensate for booked ECL.

Executive Management is responsible for implementing the reliable credit risk strategies approved by the Board of Directors and for developing the policies and procedures stated above.

Risk Management Department

The Risk Management Department ensures that the provisions adequately cover credit exposures. Ensure that the process and outputs of the system are fairly presented. The results are presented to the Board of Directors, the Risk Committee and Executive Management.

Rescheduled Loans:

These represent loans previously classified under within Stage (3) in accordance with rescheduling principles. These loans amounted to JD 43,269,782 as of December 31, 2023 (JD 20,264,350 as of December 31, 2022).

Restructured Loans:

Restructuring is the rearranging credit obligations in terms of adjusting installments, extending the tenor of the facility, postponing installments, or extending the grace period. These loans amounted to JD 279,310,336 during the year 2023 (JD 337,016,435 during the year 2022).

Debt Securities and Treasury Bills:

The Schedule below shows the distribution of bonds according to the rating agencies classification:

Rating grade	Rating Institution	Within financial assets at fair value through P&L 2023	Within financial assets amortized cost 2023	Total 2023	Total 2022
		JD	JD	JD	JD
AA+	S&P	-	83,081,434	83,081,434	90,544,524
AA	S&P	-	-	-	3,558,797
AA-	S&P	-	16,225,186	16,225,186	16,797,158
A+	S&P	-	35,478,241	35,478,241	14,070,357
A	S&P	-	42,555,329	42,555,329	25,712,346
A-	S&P	-	29,213,225	29,213,225	13,771,547
BBB+	S&P	-	18,238,621	18,238,621	10,847,647
BBB	S&P	-	24,740,754	24,740,754	18,440,448
BBB-	S&P	-	7,211,535	7,211,535	10,975,309
BB+	S&P	1,022,642	7,127,129	8,149,771	7,546,172
BB-	S&P	-	1,266,326	1,266,326	4,829,455
BB	S&P	-	7,784,886	7,784,886	16,134,722
B+	S&P	2,795,239	6,909,987	9,705,226	2,247,391
B-	S&P	-	1,060,482	1,060,482	698,673
Not rated	S&P	-	22,436,567	22,436,567	34,907,581
Governmental	S&P	-	1,330,485,124	1,330,485,124	1,055,539,310
Total		3,817,881	1,633,814,826	1,637,632,707	1,326,521,437

All the above bonds are classified under stage 1.

1. Credit Exposures Distributions

For the year ended December 31, 2023

Internal Rating for the Bank	Category Classification According to (47/2009)	Total Exposure Value	Expected Credit Loss	Probability of Default	Classification according to external classification institutions	Exposure when Default	Average Loss on Default
Performing exposures	JD	JD	JD	%		JD	%
1	Performing	481,947,745	1,091	(29.68% - 0.83%)	Unclassified	444	53.0%
2	Performing	222,651,493	120,479	(36.35% - 0%)	Unclassified	169	42.4%
3	Performing	516,381,481	1,769,414	(31.67% - 0%)	Unclassified	371	42.9%
4	Performing	733,477,752	3,592,801	(80.21% - 0.83%)	Unclassified	549	44.3%
5	Performing	832,586,467	11,258,057	(19.59% - 0.83%)	Unclassified	633	46.6%
6	Performing	396,139,755	16,793,176	(80.21% - 0.83%)	Unclassified	260	43.7%
7	Performing	316,008,024	29,553,685	(80.21% - 0.83%)	Unclassified	243	42.4%
Unclassified	Performing	2,864,856,871	15,420,053	(80.21% - 0%)	Unclassified	1,411	52.5%
Unclassified	Performing	355,842,309	83,076	(0% - 0%)	AA- to AAA	271	45.6%
Unclassified	Performing	541,407,102	149,624	(0% - 0%)	A- to A+	98	75.0%
Unclassified	Performing	42,571,643	62,731	(0% - 0%)	BBB- to BBB+	43	75.0%
Unclassified	Performing	1,052,397,698	410,523	(2% - 0%)	Below BBB+ or unrated FFIs	1,066	47.4%
Total		8,356,268,340	79,214,710			5,559	
Non-performing exposures							
8	Non - performing	126,705,464	70,133,602	100%	Unclassified	105	65.8%
Unclassified	Non - performing	75,606,234	50,352,017	100%	Unclassified	60	72.2%
Total		202,311,698	120,485,619			165	
Grand Total		8,558,580,038	199,700,329			5,724	

2. Credit risk according to economic sectors:

a. Total exposure distribution according to financial instruments:

	Financial	Industrial	Trading	Real Estate	Agriculture	Shares	Individuals	Government and Public	Other	Total
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Cash at central banks	601,321,203	-	-	-	-	-	-	-	-	601,321,203
Balances at banks and financial institutions	371,943,707	-	-	-	-	-	-	-	-	371,943,707
Deposits at banks and financial institutions	14,082,419	-	-	-	-	-	-	-	-	14,082,419
Direct credit facilities and financing	35,777,871	409,203,959	583,898,927	1,095,395,528	90,505,179	266,998,174	830,994,979	599,833,607	332,303,200	4,244,911,424
Treasury, bills and Bonds and as follows:	171,142,676	31,239,496	6,011,454	-	-	-	-	1,424,959,943	4,279,138	1,637,632,707
Within: Financial assets at fair value through statement of profit and loss	1,022,642	-	-	-	-	-	-	2,795,239	-	3,817,881
Within: Financial assets at amortized cost	170,120,034	31,239,496	6,011,454	-	-	-	-	1,422,164,704	4,279,138	1,633,814,826
Other Assets	7,373,895	757,146	11,263,520	716,019	7,473,576	5,754	1,182,472	15,744,605	27,211,351	71,728,338
Total	1,201,641,771	441,200,601	601,173,901	1,096,111,547	97,978,755	267,003,928	832,177,451	2,040,538,155	363,793,689	6,941,619,798
Letter of guarantees	27,447,373	33,681,534	33,869,120	3,739,415	2,658,104	2,532,720	54,282,376	-	71,405,269	229,615,911
Letter of credit	22,861,261	17,468,255	147,194,996	254,223	533,643	1,360,895	87,700,151	-	52,332,023	329,705,447
Acceptances	4,489,530	34,147,175	24,260,259	-	23,348,210	-	3,150,974	-	45,422,942	134,819,090
Other Liabilities	4,943,624	175,895,042	162,901,891	4,844,704	10,243,622	6,285,914	148,877,483	175,000	191,105,756	705,273,036
Total 2023	1,261,383,559	702,392,607	969,400,167	1,104,949,889	134,762,334	277,183,457	1,126,188,435	2,040,713,155	724,059,679	8,341,033,282
Total 2022	1,039,573,461	645,607,385	884,004,422	1,014,380,851	101,282,735	242,666,020	915,454,042	1,772,566,756	1,010,968,236	7,626,503,908

b. Distribution of exposure according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Financial	1,251,703,291	-	9,637,106	-	43,162	1,261,383,559
Industrial	623,528,879	6,619,251	62,928,211	2,175,069	7,141,197	702,392,607
Trading	878,879,793	15,074,881	56,674,865	6,502,419	12,268,209	969,400,167
Real Estates	429,752,363	451,469,064	139,925,677	71,824,237	11,978,548	1,104,949,889
Agriculture	62,033,762	2,797,832	68,156,138	1,303,714	470,888	134,762,334
Shares	30,662,065	215,435,824	17,394,374	12,511,016	1,180,178	277,183,457
Individual	928,581,935	129,837,626	46,127,747	16,052,351	5,588,776	1,126,188,435
Government and public sector	2,040,713,155	-	-	-	-	2,040,713,155
Other	569,328,552	14,265,579	109,777,954	5,378,900	25,308,694	724,059,679
Total 2023	6,815,183,795	835,500,057	510,622,072	115,747,706	63,979,652	8,341,033,282
Total 2022	6,195,228,794	807,352,698	533,198,395	52,415,672	38,308,349	7,626,503,908

3. Exposure according to geographical distribution

a. Total exposure distribution according to the geographical regions - net

	Inside Jordan	Other Middle East Countries	Europe	Asia *	Africa	America	Other Countries	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at CBJ	565,871,203	35,450,000	-	-	-	-	-	601,321,203
Balances at banks and financial institutions	18,386,182	143,593,470	115,437,665	41,941,591	-	50,804,768	1,780,031	371,943,707
Deposits at banks and financial institutions	6,000,000	8,082,419	-	-	-	-	-	14,082,419
Direct credit facilities and financing	4,247,147,579	(2,236,155)	-	-	-	-	-	4,244,911,424
Treasury Bills and Bonds are as follows:	1,353,448,094	82,608,723	80,509,856	19,435,821	-	101,630,213	-	1,637,632,707
Within Financial assets at fair value through statement of profit and loss	-	-	-	-	-	3,817,881	-	3,817,881
Within Financial assets at amortized cost	1,353,448,094	82,608,723	80,509,856	19,435,821	-	97,812,332	-	1,633,814,826
Other Assets	71,728,338	-	-	-	-	-	-	71,728,338
Total	6,262,581,396	267,498,457	195,947,521	61,377,412	-	152,434,981	1,780,031	6,941,619,798
Letter of guarantees	229,465,368	145,543	-	-	-	-	5,000	229,615,911
Letter of credit	309,135,009	19,865,337	-	-	-	705,101	-	329,705,447
Acceptances	130,329,560	4,489,530	-	-	-	-	-	134,819,090
Other Liabilities	705,273,036	-	-	-	-	-	-	705,273,036
Total 2023	7,636,784,369	291,998,867	195,947,521	61,377,412	-	153,140,082	1,785,031	8,341,033,282
Total 2022	7,168,222,525	79,809,467	189,656,010	35,896,652	2,795,297	148,636,393	1,487,564	7,626,503,908

b. Exposure distribution according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Inside Jordan	6,110,934,882	835,500,057	510,622,072	115,747,706	63,979,652	7,636,784,369
Other Middle East countries	291,998,867	-	-	-	-	291,998,867
Europe	195,947,521	-	-	-	-	195,947,521
Asia	61,377,412	-	-	-	-	61,377,412
Africa	-	-	-	-	-	-
America	153,140,082	-	-	-	-	153,140,082
Other Countries	1,785,031	-	-	-	-	1,785,031
Total 2023	6,815,183,795	835,500,057	510,622,072	115,747,706	63,979,652	8,341,033,282
Total 2022	6,195,228,794	807,352,698	533,198,395	52,415,672	38,308,349	7,626,503,908

* Except middle east countries

4. Credit exposures that have been reclassified

a. Total credit exposures that have been classified

December 31, 2023	Stage (2)		Stage (3)			
	Total Exposure Amount	Exposure that have been Reclassified	Total Exposure Amount	Exposure that have been Reclassified	Total Exposure that have been Reclassified	Percentage of Exposure that have been Reclassified
	JD	JD	JD	JD	JD	%
Cash and balances at central banks	-	-	-	-	-	0.00%
Balances at banks and financial institutions	-	-	-	-	-	0.00%
Deposits at banks and financial institutions	-	-	-	-	-	0.00%
Direct credit facilities and financing	626,633,278	190,164,981	199,435,150	80,389,746	270,554,727	6.07%
Treasury Bills and Bonds are as follows:	-	-	-	-	-	0.00%
Within Financial assets at fair value through statement of profit and loss	-	-	-	-	-	0.00%
Within Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	0.00%
Within Financial assets at amortized cost	-	-	-	-	-	0.00%
Other Assets	-	-	-	-	-	0.00%
Total	626,633,278	190,164,981	199,435,150	80,389,746	270,554,727	6.07%
Letter of guarantees	18,601,596	1,400,965	2,876,548	1,427,090	2,828,055	1.23%
Letter of credit	7,020,824	-	-	-	-	0.00%
Acceptances	-	-	-	-	-	0.00%
Other Liabilities	28,305,643	1,267,296	-	387	1,267,683	0.18%
Grand Total	680,561,341	192,833,242	202,311,698	81,817,223	274,650,465	5.09%

b. Expected credit loss for exposures that have been reclassified

December 31, 2023	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2)	Exposure Reclassified from Stage (3)	Total Exposures Reclassified	Stage (2) - Individual	Stage (2) - Collective	Stage (3) - Individual	Stage (3) - Collective	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-
Direct credit facilities and financing	190,164,981	80,389,746	270,554,727	(245,771)	1,712,232	7,786,515	(1,630,296)	7,622,680
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-
Within Financial assets at fair value through statement of profit and loss	-	-	-	-	-	-	-	-
Within Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within Financial assets at amortized cost	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-	-	-
Pledged financial assets (debt instruments)	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	190,164,981	80,389,746	270,554,727	(245,771)	1,712,232	7,786,515	(1,630,296)	7,622,680
Letter of guarantees	1,400,965	1,427,090	2,828,055	(14,860)	713	664	-	(13,483)
Letter of credit	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-
Other Liabilities	1,267,296	387	1,267,683	(11,039)	-	-	-	(11,039)
Grand Total	192,833,242	81,817,223	274,650,465	(271,670)	1,712,945	7,787,179	(1,630,296)	7,598,158

5. Credit Risk Exposures (after provision for impairment, outstanding interest and returns, and before collateral and other

	December 31,	
	2023	2022
	JD	JD
Items inside Consolidated Financial Position		
Balances at central bank	601,321,203	631,678,117
Balances at banks and financial institutions	371,943,707	207,342,608
Deposits at banks and financial institutions	14,082,419	14,013,824
Direct Credit Facilities and Financing - Net:		
Individual	1,069,371,754	939,608,401
Real estate mortgages	1,095,395,528	1,005,785,590
Corporates:		
Large corporates	1,216,644,274	1,213,424,210
SME's	263,666,261	233,085,061
Government and Public Sector	599,833,607	599,215,519
Total	4,244,911,424	3,991,118,781
Treasury Bills and Bonds:		
Within financial assets at fair value through statement of profit and loss	3,817,881	754,793
Within financial assets at amortized cost	1,633,814,826	1,325,766,644
Other assets	71,728,338	96,864,008
Total Financial Position Items	6,941,619,798	6,267,538,775
Off- Consolidated Financial Position Items		
Letters of guarantees	229,615,911	221,380,125
Letters of credits	329,705,448	278,765,120
Acceptances	134,819,090	208,085,503
Un-utilized limits of credit facilities and financing	705,273,036	650,734,385
Total Off-Consolidated Financial Position Items	1,399,413,485	1,358,965,133
Total On- and Off - Consolidated Financial Position Items	8,341,033,283	7,626,503,908

The above table represents the Bank's maximum credit exposure as of December 31, 2023 and 2022 without taking into account collaterals or other credit risk mitigators.

6. Expected Credit Losses as of December 31, 2023:

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	68,178	-	-	-	-	68,178
Deposits at bank and financial institutions	7,159	-	-	-	-	7,159
Direct credit facilities and financing	13,719,773	6,103,035	50,427,760	3,462,267	120,377,048	194,089,883
Debt instruments within portfolio of the financial assets at amortized costs	632,492	-	-	-	-	632,492
Letters of guarantees	316,432	-	56,296	-	108,571	481,299
Un-utilized limits	3,979,251	-	243,538	-	-	4,222,789
Letters of credit	129,852	-	1,702	-	-	131,554
Acceptances	66,975	-	-	-	-	66,975

Expected Credit Losses as of December 31, 2022

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	280,650	-	-	-	-	280,650
Deposits at bank and financial institutions	6,751	-	-	-	-	6,751
Direct credit facilities and financing	16,130,900	2,529,660	52,226,005	507,776	100,550,441	171,944,782
Debt instruments within portfolio of the financial assets at amortized costs	670,099	-	-	-	-	670,099
Letters of guarantees	360,763	-	169,336	-	211,169	741,268
Un-utilized limits	3,518,047	-	435,951	-	-	3,953,998
Letters of credit	171,573	-	13,691	-	-	185,264
Acceptances	93,028	-	48,329	-	-	141,357

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
December 31, 2023										
Cash and balances at central banks	601,321,203	-	-	-	-	-	-	-	601,321,203	-
Balances at banks and financial institutions	372,011,885	-	-	-	-	-	-	-	372,011,885	68,178
Deposits at banks and financial institutions	14,089,578	6,000,000	-	-	-	-	-	6,000,000	8,089,578	7,159
Credit and Financing Facilities:										
Individual	1,127,194,587	39,359,118	881,403	-	505,971,768	259,960,016	161,000	806,333,305	320,861,282	50,355,818
Real estate mortgages	1,116,094,786	3,169,908	335,688	-	379,704,548	279,416	2,150,000	385,639,560	730,455,226	17,889,300
Large corporates	1,327,348,603	24,989,803	6,001,406	253,517	262,062,497	45,996,388	104,134,319	443,437,931	883,910,672	105,993,907
SME's	286,376,151	14,682,027	99,500	-	99,572,101	4,168,150	96,498,948	215,020,726	71,355,425	19,850,858
Government and Public Sector	599,833,607	-	-	-	-	-	-	-	599,833,607	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	3,817,881	-	-	-	-	-	-	-	3,817,881	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	1,634,447,318	-	-	-	-	-	-	-	1,634,447,318	632,492
Other assets	71,728,338	-	-	-	-	-	-	-	71,728,338	-
Total	7,154,263,937	88,200,856	7,317,997	253,517	1,247,310,914	310,403,970	202,944,267	1,856,431,522	5,297,832,415	194,797,712
Financial guarantees	230,097,210	28,193,986	5,286	-	13,486,341	62,153	583,592	42,331,358	187,765,852	481,299
Letter of credit	329,837,001	57,162,970	-	713,461	13,009,117	-	1,860,273	72,745,821	257,091,180	131,554
Acceptances	134,886,065	8,338,565	-	-	-	-	-	8,338,565	126,547,500	66,975
Other liabilities	709,495,825	-	-	-	-	-	-	-	709,495,825	4,222,789
Grand Total	8,558,580,038	181,896,377	7,323,283	966,978	1,273,806,372	310,466,123	205,388,132	1,979,847,266	6,578,732,772	199,700,329

- The bank maintains collateral or other credit enhancements to mitigate credit risk associated with financial assets. The Group maintains financial instruments amounting to JD 1,851,483,447 as of December 31, 2023 (compared to JD 1,697,700,946 as of December 31, 2022) with a loss allowance for it due to guarantees at the end of the reporting period.
- The estimated value of collateral, which is not recognized, held at the end of the reporting period is JD 2,064,932,557 as of December 31, 2023 (compared to JD 1,927,606,541 as of December 31, 2022. The value of collateral is not considered except to the extent that mitigates credit risk. There was no change in the bank's collateral policy during the current year. The following are the main types of collateral and associated asset types.

Financial Assets	Related collaterals
Real estate loans	Real estate guarantees, advance trusts and personal guarantees
Personal loans	The portfolio consists of personal loans and credit cards and is linked to guarantees such as salary transfer, personal guarantees, cash insurance, cars
Corporate Loans	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
SME's	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
Government and public sector	-
Deposits with banks and banking institutions	Margin accounts
guarantees	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Documentary credits and acceptances	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Other Liabilities	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
December 31, 2022										
Cash and balances at central banks	631,678,117	-	-	-	-	-	-	-	631,678,117	-
Balances at banks and financial institutions	207,623,258	-	-	-	-	-	-	-	207,623,258	280,650
Deposits at banks and financial institutions	14,020,575	6,000,000	-	-	-	-	-	6,000,000	8,020,575	6,751
Credit and Financing Facilities:										
Individual	978,779,798	33,057,162	725,589	-	26,195,830	210,622,656	-	270,601,237	708,178,561	33,601,233
Real estate mortgages	1,020,109,367	6,046,867	267,101	-	848,053,416	20,144,863	1,498,424	876,010,671	144,098,696	11,614,714
Large corporates	1,329,014,820	23,080,848	6,414,255	240,300	234,276,252	13,222,463	110,794,636	388,028,754	940,986,066	110,154,001
SME's	252,290,795	12,090,030	275,986	-	81,109,834	3,301,593	94,389,167	191,166,610	61,124,185	16,574,834
Government and Public Sector	599,215,519	-	-	-	-	-	-	-	599,215,519	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	754,793	-	-	-	-	-	-	-	754,793	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	1,326,436,743	-	-	-	-	-	-	-	1,326,436,743	670,099
Other assets	96,864,008	-	-	-	-	-	-	-	96,864,008	-
Total	6,456,787,793	80,274,907	7,682,931	240,300	1,189,635,332	247,291,575	206,682,227	1,731,807,272	4,724,980,521	172,902,282
Financial guarantees	222,121,393	29,731,065	26,895	-	12,379,986	147,289	7,853,014	50,138,249	171,983,144	741,268
Letter of credit	278,950,384	50,710,768	-	726,699	16,807,143	-	560,568	68,805,178	210,145,206	185,264
Acceptances	208,226,860	9,622,544	-	-	-	-	581,371	10,203,915	198,022,945	141,357
Other liabilities	654,688,383	-	-	-	5,843,342	-	-	5,843,342	648,845,041	3,953,998
Grand Total	7,820,774,813	170,339,284	7,709,826	966,999	1,224,665,803	247,438,864	215,677,180	1,866,797,956	5,953,976,857	177,924,169

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
December 31, 2023										
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing										
Individual	50,764,593	3,065	-	-	6,865,787	9,978,205	46,944	16,894,001	33,870,592	36,865,060
Real estate mortgages	27,930,204	-	-	-	10,972,405	-	169,230	11,141,635	16,788,569	11,531,398
Large corporates	92,571,011	10,972	-	-	34,163,709	4,093,687	1,495,000	39,763,368	52,807,643	56,499,716
SME's	28,169,342	684,377	-	-	8,819,760	908,321	6,349,804	16,762,262	11,407,080	15,480,874
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	-	-	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-	-	-
Total	199,435,150	698,414	-	-	60,821,661	14,980,213	8,060,978	84,561,266	114,873,884	120,377,048
Letter of guarantees	2,876,548	524,025	-	-	-	-	-	524,025	2,352,523	108,571
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	202,311,698	1,222,439	-	-	60,821,661	14,980,213	8,060,978	85,085,291	117,226,407	120,485,619

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value								Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals	Net Exposures after the Collaterals	
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
December 31, 2022										
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing	-	-	-	-	-	-	-	-	-	-
Individual	37,290,889	2,609	-	-	1,818,305	7,558,874	236,170	9,615,958	27,674,931	28,191,923
Real estate mortgages	22,840,981	-	-	-	9,698,940	-	110,000	9,808,940	13,032,041	7,384,493
Large corporates	68,380,678	154,680	-	-	13,818,033	2,867,237	9,006,056	25,846,006	42,534,672	51,425,392
SME's	24,655,575	646,097	-	-	8,097,153	731,287	4,524,004	13,998,541	10,657,034	13,548,633
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	-	-	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-	-	-
Total	153,168,123	803,386	-	-	33,432,431	11,157,398	13,876,230	59,269,445	93,898,678	100,550,441
Letter of guarantees	2,248,572	395,834	-	-	791,121	-	352,184	1,539,139	709,433	211,169
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	155,416,695	1,199,220	-	-	34,223,552	11,157,398	14,228,414	60,808,584	94,608,111	100,761,610

45/b. Market Risks:

Market risks are defined as those risks resulting from price fluctuations in a way that affects the Group's profit or owners' equity. This definition includes the change in the currencies exchange rates, stocks prices, and interest rates.

The Group uses a conservative policy to manage market risk. Moreover, these risks are controlled through the adoption of clear policies in this regard and establishing risk limits for each risk type. Our policy aims to reduce minimize these risks.

1. Interest Rate Risks:

A conservative policy is adopted to manage interest rate risks, whereby most of the Bank's assets and liabilities are re-priced in the short term. This limits the effect of interest rate fluctuations on the Bank's profitability and the price of its assets and investments.

Interest rate risks are managed by the assets and liabilities committee in which they are provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

December 31, 2023		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JD	JD
Jordanian Dinar	1%	9,188	9,188
US Dollar	1%	2,052	2,052
Euro	1%	70	70
GBP	1%	10	10
Japanese Yen	1%	(93)	(93)
Other Currencies	1%	41	41

December 31, 2022		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JD	JD
Jordanian Dinar	1%	8,946	8,946
US Dollar	1%	1,739	1,739
Euro	1%	226	226
GBP	1%	40	40
Japanese Yen	1%	293	293
Other Currencies	1%	1	1

In case of a negative change in the interest rate, then the effect will be the same as the change in the above-mentioned table with an opposite sign.

The following is the sensitivity analysis of the impact on the provision for expected credit losses as a result of the change in the economic indicators used in calculating the provision for credit losses for the year 2023:

	Corporate credit facilities	Credit facilities for the government and the public sector	Credit Facilities Real Estate Loans	Credit facilities for small and medium entites (SMEs)	Indirect credit facilities (commitments and contingencies)	Other credit facilities
Companies:	JD	JD	JD	JD	JD	JD
Cash 2M						
5%	1,210,170	-	30,605	-	-	364,477
5%-	(739,567)	-	(17,352)	-	-	(208,214)
Central bank financial statements						
5%	(309,160)	-	(6,747)	-	-	(82,407)
5%-	693,039	-	17,907	-	-	211,908
Small and Medium Enterprises (SME)						
Number of tourists						
5%	-	-	978	15,318	-	4,258
5%-	-	-	(991)	(15,540)	-	(4,321)
Consumer Price Index						
5%	-	-	20,308	317,988	-	88,659
5%-	-	-	(22,691)	(356,049)	-	(98,603)
Bank lending rate						
5%	-	-	9,330	146,159	-	40,689
5%-	-	-	(10,087)	(158,171)	-	(43,901)
Retail:						
M1 Cash						
5%	-	-	12,983	168	198,401	24,200
5%-	-	-	1,847	6	(13,218)	(10,496)
Producer Price Index						
5%	-	-	86,339	996	1,145,376	107,901
5%-	-	-	30,445	273	297,278	1,780
Product price index						
5%	-	-	95,542	1,090	1,255,648	116,048
5%-	-	-	32,109	295	316,524	2,531

2. Currency Risks:

The Group's policy is to fully hedge the currency risk by limiting open positions in foreign currencies only within the limits set and according to a clear policy which reduces the sensitivity of the Group's profitability to currency price changes. limits are placed for open positions for each currency and total currencies, and daily evaluations of these positions are made to reduce the risks of currency exchange rates to the minimum.

Currency	change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year 2023		JD	JD
US Dollar	1%	299,664	731,428
Euro	1%	(38,645)	-
GBP	1%	(6,704)	-
Japanese Yen	1%	9,023	-
Other Currencies	1%	313,432	-

Currency	change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year 2022		JD	JD
US Dollar	1%	51,456	61,361
Euro	1%	(550,198)	-
GBP	1%	(34,637)	-
Japanese Yen	1%	(7,166)	-
Other Currencies	1%	145,422	-

In case of a 1% decrease in the currency exchange rate, the effect will be the same as the financial effect mentioned in the tables above with an opposite sign.

3. Change in Stock Price Risks:

Trading portfolio risk management depends on a policy that is based on diversification of investments, where investments are distributed on a sectoral basis, within the most stable sectors, and across several financial markets to reduce risks to acceptable levels. Regular monitoring of risks is also conducted through:

- Determining the different investments limits
- Determining limits to stop losses per investment coupled with daily monitoring
- Regularly assessing the investment portfolio by an independent body (intermediary office)
- Performing sensitivity analysis to measure the extent to which these investments may be impacted in case the markets invested in drop, so as to maintain risks within levels acceptable to the Bank
- These risks are managed by the Risks Management Department in cooperation with the Treasury Department.

Moreover, their recommendations are submitted to the Assets and Liabilities Management Committee.

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
For the Year 2023:		JD	JD
Amman Stock Exchange	5%	263,835	625,210
Al-Quds Stock Exchange (Palestine)	5%	-	927,964
Abu Dhabi Stock Exchange	5%	1,886	-
Australian Stock Exchange Ltd	5%	3,472	-
EN Paris	5%	16,684	-
EURO NEXT AMSTERDAM	5%	7,224	-
GERMAN STOCK EXCAHNGE	5%	3,703	-
London Stock Exchange	5%	14,460	-
Milan Stock Exchange	5%	10,788	-
NEW YORK STOCK EXCHANGE	5%	165,903	40,145
Qatar Stock Exchange	5%	1,877	-
Saudi Arabian Stock Exchange	5%	1,975	-
The Stock Exchange of Hong Kong Ltd	5%	2,658	-
Toronto	5%	3,783	-

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
For the Year 2022:		JD	JD
Amman Stock Exchange	5%	240,679	501,594
Al-Quds Stock Exchange (Palestine)	5%	-	1,056,828
Foreign market	5%	-	-
NEW YORK STOCK EXCHANGE	5%	-	-
Borsa Italian	5%	-	-
Swiss Market index (SMI)	5%	-	-

45/c. Liquidity Risks

The Bank continuously expands its depositors' base and diversifies the sources of its funds with the aim of maintaining its stability. In this respect, the Bank maintains its liquidity level within risk appetite limits.

Bank's liquidity risk management policy ensures that the bank maintains liquidity limits at the corresponding banks to ensure easy access to high quality liquid assets and can be liquidated at reasonable cost and time in case of an unexpected demand.

To measure the Bank's liquidity levels, a schedule is prepared periodically to verify that liquidity is within the acceptable levels. In addition, the Legal liquidity ratio is calculated on daily basis to ensure compliance with the regulatory requirements and internal policies. Various stress scenarios' identified and measured to ensure the Bank's ability to withstand any changes that might take place in the financial markets.

The Treasury Department manages funds in line with the Bank's liquidity policy endorsed by the Assets and Liabilities Management Committee and submits regular reports to the Committee. Moreover, the Risk Management Department monitors the liquidity levels and ensures adherence to the Bank's internal policies.

First: The table below summarizes the distribution of (undiscounted) liabilities based on the remaining contractual maturity period on the date of the financial statements:

As of December 31, 2023:	Less than a Month	1-3 Months	3-6 Months	6 months-1 year	1-3 Years	More than 3 Years	Maturity	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Liabilities:								
Banks and financial institution deposits	194,020,613	7,822,719	5,500,000	11,000,000	33,410,167	-	61,641,722	313,395,221
Customers' deposits	1,685,222,747	983,934,935	1,061,044,727	1,444,014,636	510,328,163	197,540	-	5,684,742,748
Margin accounts	57,576,976	33,725,468	32,374,507	45,896,641	35,413,788	133,769,491	-	338,756,871
Borrowed Funds	30,402	2,044,996	639,302	24,008,225	50,795,800	123,260,859	-	200,779,584
Subordinated loans	-	-	-	-	-	80,172,527	-	80,172,527
Sundry provisions	-	-	-	-	-	-	525,787	525,787
Income tax provisions	-	-	-	-	-	-	30,872,484	30,872,484
Leasing liabilities	339,990	421,176	943,392	1,436,622	7,973,839	26,664,841	-	37,779,860
Deferred tax liability	-	-	-	-	-	-	20,282	20,282
Other liabilities	-	-	-	-	-	-	150,936,220	150,936,220
Total	1,937,190,728	1,027,949,294	1,100,501,928	1,526,356,124	637,921,757	364,065,258	243,996,495	6,837,981,584
Total assets (according to expected maturities)	1,338,391,828	349,652,884	435,987,195	603,311,028	1,721,811,966	2,582,519,046	388,345,490	7,420,019,437

As of December 31, 2022:								
Liabilities:								
Banks and financial institution deposits	169,524,848	80,081,275	8,504,526	16,107,000	17,500,000	-	47,170,934	338,888,583
Customers' deposits	1,636,419,263	1,052,689,460	865,247,398	1,201,388,545	439,321,423	10,797,540	-	5,205,863,629
Margin accounts	48,041,468	15,118,553	19,589,213	26,692,567	33,115,132	121,355,657	-	263,912,590
Borrowed Funds	59,830	254,995	283,224	11,422,208	54,170,659	69,245,648	-	135,436,564
Subordinated loans	-	-	-	-	-	60,004,459	-	60,004,459
Sundry provisions	-	-	-	-	-	-	631,897	631,897
Income tax provisions	-	-	-	-	-	-	28,930,915	28,930,915
Leasing liabilities	479,557	290,021	958,285	1,281,240	7,726,708	25,126,199	-	35,862,010
Deferred tax liability	-	-	-	-	-	-	844,854	844,854
Other liabilities	-	-	-	-	-	-	101,380,499	101,380,499
Total	1,854,524,966	1,148,434,304	894,582,646	1,256,891,560	551,833,922	286,529,503	178,959,099	6,171,756,000
Total assets (according to expected maturities)	1,164,193,627	379,155,952	426,944,534	569,149,175	1,268,536,548	2,554,269,802	328,641,315	6,690,890,953

Interest Rate Re-Pricing Gap:

Classification is based on interest re-pricing or maturing, whichever is closer.

Interests rates sensitivity is as follows:

As of December 31, 2023	Less than 1 Month	From 1 Month to 3 Months	More than 3 Months to 6 Months	More than 6 Months to 1 Year	From 1-3 Years	More than 3 Years	Non-interest Bearing	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Assets:								
Balances at central banks	172,500,000	-	-	-	-	-	563,705,982	736,205,982
Balances at banks and financial institutions	287,886,847	26,724,799	-	-	-	-	57,332,061	371,943,707
Deposits at banks and financial institutions	-	-	8,089,578	-	6,000,000	-	(7,159)	14,082,419
Financial assets at fair value through statement of profit and loss	35,418	948,082	-	-	1,760,079	1,074,302	22,411,438	26,229,319
Direct credit facilities and financing - net	59,516,447	122,422,093	2,328,308,462	231,518,532	632,586,600	883,060,450	(12,501,160)	4,244,911,424
Financial assets at fair value through statement other comprehensive income	-	-	-	-	-	-	66,658,121	66,658,121
Financial assets at amortized cost	18,607,529	27,425,381	72,553,485	203,349,342	775,645,541	536,866,040	(632,492)	1,633,814,826
Investments in associates	-	-	-	-	-	-	349,622	349,622
Right of use assets	-	-	-	-	-	-	30,438,070	30,438,070
Property and equipment	-	-	-	-	-	-	76,211,079	76,211,079
Intangible assets	-	-	-	-	-	-	28,532,909	28,532,909
Deferred tax assets	-	-	-	-	-	-	37,416,374	37,416,374
Other assets	4,257,770	180,926	17,496,354	1,722,379	74,203	-	129,493,953	153,225,585
Total Assets	542,804,011	177,701,281	2,426,447,879	436,590,253	1,416,066,423	1,421,000,792	999,408,798	7,420,019,437
Liabilities								
Banks and financial institution deposits	75,368,696	7,799,000	5,500,000	11,000,000	33,000,000	-	178,582,524	311,250,220
Customers' deposits	1,531,622,837	716,428,607	832,036,610	1,261,188,465	199,967,704	197,540	1,109,911,255	5,651,353,018
Margin accounts	139,461,265	16,656,445	14,730,000	31,531,500	-	-	127,281,224	329,660,434
Borrowed Funds	-	1,867,660	256,665	20,908,577	32,302,710	86,833,130	48,237,650	190,406,392
Subordinated Loans	-	-	-	-	-	60,295,000	-	60,295,000
Sundry provisions	-	-	-	-	-	-	525,787	525,787
Income tax provision	-	-	-	-	-	-	30,872,484	30,872,484
Leasing liabilities	-	-	-	-	-	-	31,098,416	31,098,416
Deferred tax liability	-	-	-	-	-	-	20,282	20,282
Other liabilities	-	-	-	-	-	-	150,936,220	150,936,220
Total Liabilities	1,746,452,798	742,751,712	852,523,275	1,324,628,542	265,270,414	147,325,670	1,677,465,842	6,756,418,253
Interest Rate Re- Pricing Gap	(1,203,648,787)	(565,050,431)	1,573,924,604	(888,038,289)	1,150,796,009	1,273,675,122	(678,057,044)	663,601,184
As of December 31, 2022								
Total Assets	535,451,564	199,729,010	2,275,286,465	408,386,781	955,457,551	1,486,938,496	829,641,086	6,690,890,953
Total Liabilities	1,771,929,197	869,862,265	665,785,917	1,031,931,202	149,977,048	108,570,380	1,532,798,294	6,130,854,303
Interest Rate Re- Pricing Gap	(1,236,477,633)	(670,133,255)	1,609,500,548	(623,544,421)	805,480,503	1,378,368,116	(703,157,208)	560,036,650

Concentration in currency risk:

As of December 31, 2023	USD	EUR	GBP	JPY	Other	Total
	JD	JD	JD	JD	JD	JD
Assets						
Cash and balances at central Banks	153,458,965	13,105,131	1,407,350	-	33,228,846	201,200,292
Balances at banks and financial institutions	246,169,676	29,442,867	3,816,937	6,735,460	55,060,724	341,225,664
Deposits at banks and financial institutions	3,545,000	2,739,328	1,805,250	-	-	8,089,578
Financial assets at fair value through statement of profit and loss	14,938,831	5,553,935	146,823	-	313,028	20,952,617
Direct credit and financing facilities- net	439,731,888	1,787,804	128,366	30,356,284	1,903,549	473,907,891
Financial assets at fair value through other comprehensive income	34,991,454	-	-	-	-	34,991,454
Financial assets at amortized cost	440,943,262	53,942,548	9,020,192	-	860,736	504,766,738
Convertible Loans	1,004,774	-	-	-	-	1,004,774
Property and equipment - net	170,465	-	-	-	-	170,465
Right of use assets	1,234,828	-	-	-	-	1,234,828
Intangible assets	147,616	-	-	-	-	147,616
Other assets	14,811,407	691,250	119,357	5,831	3,152	15,630,997
Total Assets	1,351,148,166	107,262,863	16,444,275	37,097,575	91,370,035	1,603,322,914
Liabilities						
Banks and financial institution deposits	111,913,736	14,787,567	70,571	33,433,011	25,206,782	185,411,667
Customers' deposits	992,853,376	78,398,914	16,641,772	2,556,802	33,212,939	1,123,663,803
Cash margin	120,149,004	16,475,300	166,749	40,567	1,244,932	138,076,552
Borrowed amounts	106,350	-	-	-	-	106,350
Subordinated loans	14,180,000	-	-	-	-	14,180,000
Leasing liabilities	1,034,504	-	-	-	-	1,034,504
Other liabilities	10,044,759	1,465,592	235,599	164,916	362,138	12,273,004
Total Liabilities	1,250,281,729	111,127,373	17,114,691	36,195,296	60,026,791	1,474,745,880
Bank's Shareholders						
Perpetual Bonds	70,900,000	-	-	-	-	70,900,000
Net concentration in the Consolidated Statement of Financial Position	29,966,437	(3,864,510)	(670,416)	902,279	31,343,244	57,677,034
Contingent Liabilities Off - Consolidated Statement of Financial Position	662,360,433	163,389,729	2,523,864	26,859,352	26,885,826	882,019,204

As of December 31, 2022						
Total Assets	1,126,878,508	105,866,247	20,133,090	44,393,536	46,103,408	1,343,374,789
Total Liabilities	1,121,732,877	160,886,081	23,596,797	45,110,117	31,561,181	1,382,887,053
Net concentration in the Consolidated Statement of Financial Position	5,145,631	(55,019,834)	(3,463,707)	(716,581)	14,542,227	(39,512,264)
Contingent Liabilities Off - Consolidated Statement of Financial Position	835,849,531	145,680,864	5,741,714	38,452,163	32,731,638	1,058,455,910

Secondly: Off- Consolidated of Financial Position Items:

As of December 31, 2023	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JD	JD	JD	JD
Letters of credit	354,708,896	23,057,579	-	377,766,475
Acceptances	134,886,065	-	-	134,886,065
Unutilized limits	709,495,825	-	-	709,495,825
Letters of guarantees	195,461,451	34,477,978	157,781	230,097,210
Total	1,394,552,237	57,535,557	157,781	1,452,245,575

As of December 31, 2022	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JD	JD	JD	JD
Letters of credit	312,427,041	14,465,911	-	326,892,952
Acceptances	208,226,860	-	-	208,226,860
Unutilized limits	654,688,383	-	-	654,688,383
Letters of guarantees	208,157,519	13,780,669	183,205	222,121,393
Total	1,383,499,803	28,246,580	183,205	1,411,929,588

45/d. Operational risks

Operational risk is defined as the risk of loss resulting from failure or inadequacy of internal processes, people or systems, or resulting from an external source (event). This definition includes legal risks and risks related to regulatory authorities.

The Operational Risk Policy covers the role of Operational Risk Management in how we identify, evaluate (periodically), monitor and control operational risks, and comply with all relevant regulatory requirements, to limit some or all of the negative impacts resulting from these risks. It relied on more than one methodology to manage these risks, the first of which is implementing a system for self-evaluation of control procedures (CRSA), by identifying the risks specific to each department and/or unit and evaluating the control procedures to identify weak points and measuring the level of effectiveness of the current control procedures, as these procedures are examined. Self-reporting on a regular basis and submitting reports on the results to the sector management and senior management at the bank. The evaluation of control procedures aims to verify the effectiveness and efficiency of these procedures so that weak control procedures are improved or new control procedures are established aimed at preventing risks or mitigating their severity. Operational Risk Management also builds key risk indicators that will enhance the risk monitoring mechanism as it is an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

In addition to building a database on monetary losses resulting from operational risks in order to evaluate the extent of exposure facing the bank to operational risks in addition to the effectiveness of the applied control procedures. Note that the bank's operational risk management process does not aim to design systems that eliminate all potential operational risks, but rather to understand the financial effects - and any other possible effects - of these risks and develop systems and control procedures that would (if they continue to operate) keep the losses (The potential effects of these risks are within acceptable levels.

45/e. Information security risks

Information security risk management is based on the use of means, tools and procedures and following international standards to ensure the protection of information from internal and external risks, to prevent the information from reaching unauthorized persons, to maintain the confidentiality and integrity of the information, and to ensure its availability and the continuity of the systems supporting it. For this reason, Bank Al Etihad has provided qualified personnel and the necessary resources to protect information security and cybersecurity from security breaches, based on best international practices and standards for protecting bank and customer information, with a plan for business continuity during disasters and crises to ensure the continuation of the bank's business and the provision of all services provided to all its customers at all times.

46. Sectoral Analysis

A. Bank Activities Information:

For management purposes, the Bank is organized into the following major business segments based on the reports used by the general manager and decision of the Bank through the following main business sectors

- Individual accounts: This item includes following up on individual customer's deposits and granting them credit facilities, credit cards and other services.
- Small and Medium Enterprises Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the granted deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Large Companies' Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Treasury: This item includes providing treasury and trading services and managing the Bank's funds and long- term investments at amortized costs, which are maintained to collect the contractual cash flows.
- Investments and Foreign Currencies Management: This item includes the Bank's local and foreign investments which are recorded at fair value, in addition to the foreign currencies trading / services.
- Others: This sector includes all the accounts not listed within the sectors mentioned above, such as shareholder's rights, investments in associates, property and equipment, general management, support management, and the treasury.
- The bank manages concentrations in the business sectors based on the instructions of the Central Bank in this regard, which stipulated that the customer concentration does not exceed 25% of the bank's regulatory capital.

The following table represents information on the Bank's business sectors:

Description	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended December 31, 2023
	JD	JD	JD	JD	JD	JD
Total Income	188,219,842	145,694,968	27,719,732	121,482,667	842,483	483,959,692
(Provision) Impairment of direct credit facilities and financing	(20,193,406)	(18,417,877)	(5,611,788)	2,302,376	-	(41,920,695)
Segments' results*	43,928,929	61,532,747	9,741,657	105,638,575	737,539	221,579,447
Expenses not allocated to sectors						(131,185,846)
Operating profit						90,393,601
The bank's share of the profits of an associate company						3,668
Operating income before tax						90,397,269
Income tax						(32,659,994)
Income for the Year						57,737,275
Capital Expenditures						24,523,711
Depreciation and Amortization						15,059,445
						December31, 2023
						JD
Other Information						
Segment Assets	1,773,810,436	1,987,934,937	332,071,235	2,999,808,996	-	7,093,625,604
Undistributed assets on segments	-	-	-	-	326,393,833	326,393,833
Total Assets	1,773,810,436	1,987,934,937	332,071,235	2,999,808,996	326,393,833	7,420,019,437
Segment Liabilities	3,722,139,453	1,493,897,342	688,301,806	628,528,816	-	6,532,867,417
Undistributed liabilities	-	-	-	-	223,550,836	223,550,836
Total Liabilities	3,722,139,453	1,493,897,342	688,301,806	628,528,816	223,550,836	6,756,418,253

Description	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended December 31, 2022
	JD	JD	JD	JD	JD	JD
Total Income	156,775,952	103,212,893	20,053,063	82,239,122	1,932,014	364,213,044
(Provision) Impairment of direct credit facilities and financing	(3,445,525)	(24,486,380)	(6,824,628)	519,202	-	(34,237,331)
Segments' results*	76,305,026	34,018,103	6,275,055	74,490,738	1,689,891	192,778,813
Expenses not allocated to sectors						(121,052,877)
operating profit						71,725,936
The bank's share of the profits of an associate company						8,496
Operating income before tax						71,734,432
Income tax						(27,934,009)
Income for the Year						43,800,423
Capital Expenditures						17,401,039
Depreciation and Amortization						15,563,353
						December31, 2022
						JD
Other Information						
Segment Assets	1,668,927,865	1,902,263,737	269,367,762	2,539,186,365	-	6,379,745,729
Undistributed assets on segments	-	-	-	-	311,145,224	311,145,224
Total Assets	1,668,927,865	1,902,263,737	269,367,762	2,539,186,365	311,145,224	6,690,890,953
Segment Liabilities	3,841,537,677	1,017,392,260	565,515,000	540,354,647	-	5,964,799,584
Undistributed liabilities	-	-	-	-	166,054,719	166,054,719
Total Liabilities	3,841,537,677	1,017,392,260	565,515,000	540,354,647	166,054,719	6,130,854,303

* The segment results item includes the results obtained for each business sector, which represents the total income after deducting the expected credit losses expense.

B. Geographical distribution information

This note represents the geographical distribution of the Bank's business. The Bank mainly operates in the Kingdom, which represents local business.

The following is the distribution of the Bank's revenues, assets and capital expenditures by geographical sector:

	Inside Jordan		Outside Jordan		Total	Total
	2023	2022	2023	2022	2023	2022
	JD	JD	JD	JD	JD	JD
Total Income	461,423,600	355,505,970	22,536,092	8,707,074	483,959,692	364,213,044
Capital Expenditure	15,484,990	14,188,696	9,038,721	3,212,343	24,523,711	17,401,039

	Inside Jordan		Outside Jordan		Total	Total
	December 31,		December 31,		December 31,	December 31,
	2023	2022	2023	2022	2023	2022
	JD	JD	JD	JD	JD	JD
Total Assets	6,740,981,035	6,237,724,876	679,038,402	453,166,077	7,420,019,437	6,690,890,953

47. Capital Management

a. The capital adequacy ratio was calculated as of December 31, 2023 and 2022 based on the decisions of the Basel III Committee, where the bank's regulatory capital consists of the basic capital of ordinary shares (CET1), the additional capital and the second tranche of Tier 2.

b. The requirements of the regulatory authorities regarding the capital of ordinary shares

The instructions of the Central Bank of Jordan require that the minimum regulatory capital be equivalent to (12%) of the assets and off-balance sheet items weighted with risks, as well as market risks and operational risks. In addition to (2%) an additional reserve according to the instructions for external branching, and an additional reserve (0.5%) for banks classified as banks of local systemic importance. This ratio is considered the minimum capital adequacy, as the bank is committed at all times to maintain an adequacy ratio that exceeds the minimum by an appropriate margin and by It also complies with the requirements of the Basel III Committee.

c. How to achieve the objectives of capital management

Capital management is represented in the optimal use of sources of funds in order to achieve the highest possible return on capital and within the system of acceptable risk limits approved by the Board of Directors, while maintaining the minimum required according to laws and regulations. The bank follows a policy based on striving to reduce the cost of Fund to the minimum possible by finding low-cost sources of funds and working to increase the customer base and optimal employment of these sources in acceptable risk investments to achieve the highest possible return on capital.

d. Capital Adequacy

In addition to subscribed capital, capital includes the statutory reserve, voluntary reserve, share premium, retained earnings, cumulative change in fair value , general banking risk reserve and treasury stocks.

The Bank is committed to applying the requirements set forth by regulators concerning capital, as follows:

1. The Central Bank of Jordan's instructions that capital adequacy ratio should not go below 12.5%.
2. Compliance with the minimum limit set for the paid capital of Jordanian Banks, which is JD 100 million.
3. The Bank's investments in stocks and shares should not exceed 50% of subscribed capital.
4. The ratio of credit limits (credit concentration) to regulatory capital.
5. Banks and Companies' laws related to the deduction of the legal reserve at a rate of 10% of the Bank's profit before tax.

	December 31,	
	2023	2022
	JD	JD
Common Equity Shareholders Rights		
Authorized and paid-up capital	200,000,000	160,000,000
Retained earnings after deduction of the expected distributions	45,411,367	62,930,524
The cumulative change in fair value	2,693,754	6,482,816
Share premium	68,213,173	80,213,173
Statuary reserve	85,321,596	76,227,974
Voluntary reserve	57,172,423	51,192,173
Recognizable non controlling shareholders	57,478,118	52,695,298
Total Equity capital for common stock	516,290,431	489,741,958
Regulatory Adjustments (deductions from Capital)		
Goodwill and intangible assets	(28,532,909)	(26,893,693)
(10%) Deferred tax assets resulting from investments within Tier 1	(37,416,374)	(32,820,280)
Net Equity of common stockholders	450,341,148	430,027,985
Additional capital		
Recognizable minority rights	10,143,197	9,508,557
Perpetual bonds	70,900,000	-
Total Capital (Tier 1 capital)	531,384,345	439,536,542
Tier 2 Capital		
Provision for debts tools listed in Tier 1	15,280,504	16,918,596
Recognizable non-controlling shareholders	13,524,263	12,440,771
Financial tools issued by the Bank that bear supporting capital	51,775,000	41,855,000
Total Supporting Capital	80,579,767	71,214,367
Total Regulatory Capital	611,964,112	510,750,909
Total Risk Weighted Assets	4,083,424,049	3,703,440,657
Capital Adequacy Ratio	14.99%	13.79%
Primary Capital Ratio	13.01%	11.87%
Supporting Capital Ratio	1.97%	1.92%

	2023	2022
	JD	JD
Financial leverage rate		
Tier 1 Capital	531,384,345	439,536,543
Total assets in and out of the financial positions after removing deductible items from Tier 1	8,129,292,079	7,540,758,028
Financial leverage rate	6.54%	5.83%

Capital adequacy was calculated as of December 31, 2023 and December 31, 2022 based on the instruction of Basel Committee III.

Liquidity Coverage Ratio (LCR):	December 31,	
	2023	2022
	JD	JD
Total high quality liquid assets	2,020,674,210	1,558,144,018
Total high-quality liquid assets after deduction and minus cap adjustments For both Level 2 (A) and (B) assets	1,986,819,408	1,537,265,604
Net cash outflow	858,979,314	800,257,317
Liquidity Coverage Ratio (LCR)	231.30%	192.10%
The liquidity coverage ratio is according to the average end of each month	207.38%	189.23%

48. Analysis of the Maturities of Assets and Liabilities

The following table illustrates the assets and liabilities according to the expected maturity periods:

December 31, 2023	Up to 1 Year	Over 1 Year	Total
	JD	JD	JD
Assets:			
Cash and balances at CBJ	736,205,982	-	736,205,982
Balances at banks and financial institutions	371,943,707	-	371,943,707
Deposits at banks and financial institutions	8,082,419	6,000,000	14,082,419
Direct credit facilities and financing - net	1,251,404,593	2,993,506,831	4,244,911,424
Financial assets at fair value through statement of profit or loss	26,229,319	-	26,229,319
Financial assets at fair value through statement of other comprehensive income	-	66,658,121	66,658,121
Financial assets at amortized cost	321,935,737	1,311,879,089	1,633,814,826
Right of use assets	2,747,053	27,691,017	30,438,070
Investments in associates	349,622	-	349,622
Property and equipment	-	76,211,079	76,211,079
Intangible assets	-	28,532,909	28,532,909
Deferred tax assets	37,416,374	-	37,416,374
Other assets	153,151,382	74,203	153,225,585
Total Assets	2,909,466,188	4,510,553,249	7,420,019,437
Liabilities:			
Banks and financial institutions deposits	305,250,220	6,000,000	311,250,220
Customers' deposits	5,574,307,562	77,045,456	5,651,353,018
Margin accounts	162,893,804	166,766,630	329,660,434
Borrowed funds	5,999,413	184,406,979	190,406,392
Subordinated loan	-	60,295,000	60,295,000
Sundry provisions	525,787	-	525,787
Income tax provision	30,872,484	-	30,872,484
Leasing liabilities	2,353,829	28,744,587	31,098,416
Deferred tax liability	20,282	-	20,282
Other liabilities	148,392,668	2,543,552	150,936,220
Total Liabilities	6,230,616,049	525,802,204	6,756,418,253
Net	(3,321,149,861)	3,984,751,045	663,601,184

December 31, 2022	Up to 1 Year	Over 1 Year	Total
	JD	JD	JD
Assets:			
Cash and balances at CBJ	761,806,411	-	761,806,411
Balances at banks and financial institutions	207,342,608	-	207,342,608
Deposits at banks and financial institutions	14,013,824	-	14,013,824
Direct credit facilities and financing - net	1,133,148,196	2,857,970,585	3,991,118,781
Financial assets at fair value through statement of profit or loss	18,423,896	-	18,423,896
Financial assets at fair value through statement of other comprehensive income	-	61,301,069	61,301,069
Financial assets at amortized cost	345,293,367	980,473,277	1,325,766,644
Right of use assets	2,589,168	26,872,488	29,461,656
Investments in associates	345,954	-	345,954
Property and equipment	-	68,516,377	68,516,377
Intangible assets	-	26,893,693	26,893,693
Deferred tax assets	32,820,280	-	32,820,280
Other assets	153,042,786	36,974	153,079,760
Total Assets	2,668,826,490	4,022,064,463	6,690,890,953
Liabilities:			
Banks and financial institutions deposits	337,850,140	-	337,850,140
Customers' deposits	5,108,073,520	78,270,924	5,186,344,444
Margin accounts	102,702,183	154,665,844	257,368,027
Borrowed funds	3,178,347	138,529,599	141,707,946
Subordinated loan	-	46,115,000	46,115,000
Sundry provisions	631,897	-	631,897
Income tax provision	28,930,915	-	28,930,915
Leasing liabilities	2,272,581	27,408,000	29,680,581
Deferred tax liability	844,854	-	844,854
Other liabilities	98,836,947	2,543,552	101,380,499
Total Liabilities	5,683,321,384	447,532,919	6,130,854,303
Net	(3,014,494,894)	3,574,531,544	560,036,650

49. Contingent Liabilites and Commitments

a. Credit liabilities and commitments:

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Letters of credit	377,766,475	326,892,952
Acceptances	134,886,065	208,226,860
Letters of guarantees:		
Payments	66,849,149	69,272,424
Performance	94,941,945	93,575,650
Other	68,306,116	59,273,319
Futures currency contracts	62,503,548	193,778,988
Un-utilized Limits of Credit Facilities and Financing Limits	709,495,825	654,688,383
Total	1,514,749,123	1,605,708,576

b. Contractual Obligations:

The details of this item are as follows:

	December 31,	
	2023	2022
	JD	JD
Property and equipment purchase contracts	6,379,137	1,848,382
Intangible assets purchase contracts	5,129,836	1,257,753

50. Lawsuits against the Bank

The total cases filed against the Group amounted to JD 2,354,730 as of December 31, 2023 In addition to other customs cases (JD 3,728,619 as of December 31, 2022), and the provisions prepared for them amounted to JD 302,182 as of December 31, 2023 (JD 452,175 as of December 31, 2022) and according to the estimation of the bank management and the consultant It is legal that the allocations deducted for these cases are sufficient.

51. Fair Value Hierarchy

a. The fair value of financial assets and financial liabilities of the Bank specified at fair value on an ongoing basis:

Some financial assets and liabilities of the Bank are evaluated at fair value at the end of each financial period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used):

Financial Assets	Fair Value December 31,		The Level of Fair Value	Evaluation Method and Inputs used	Important Intangible Inputs	Relation between the Fair Value and the Important Intangible Inputs
	2023	2022				
	JD	JD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through statement of Profit or Loss:						
Government bonds listed on financial markets	2,795,239	649,405	Level 1	Quoted prices in financial markets	N/A	N/A
Corporate bonds listed on financial markets	1,022,642	105,388	Level 1	Quoted prices in financial markets	N/A	N/A
Corporate shares listed on financial market	9,965,008	4,813,576	Level 1	Quoted prices in financial markets	N/A	N/A
Investments Funds	12,446,430	12,855,527	Level 2	The treasury manager evaluation of fair value	N/A	N/A
Total	26,229,319	18,423,896				
Financial Assets at Fair Value through Other Comprehensive Income:						
Quoted Shares in active markets	31,866,382	31,168,445	Level 1	Quoted prices in financial markets	N/A	N/A
investment fund	19,632,260	14,531,464	level 2	The treasury manager evaluation of fair value	N/A	N/A
Unquoted Shares in active markets	15,159,479	15,601,160	Level 3	Through using equity method and based on the latest available financial information	N/A	N/A
Total	66,658,121	61,301,069				
Total Financial Assets at Fair Value	92,887,440	79,724,965				

There were no transfers between level 1 and level 2 during the year ended December 31, 2023 and 2022.

The movement financial assets classification fair value through (level 3):

	For the year ended, December 31	
	2023	2022
	JD	JD
Beginning balance	15,601,160	12,115,197
Additional	2,111,468	1,822,283
Disposal	-	(278,850)
Change in fair value	(2,553,149)	1,942,530
Total	15,159,479	15,601,160

b. The fair value of the financial assets and financial liabilities of the Bank non-specific fair value on an ongoing basis:

Except for what is set out in the table below, we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the Bank approximates their fair value:

	December 31, 2023		December 31, 2022		The level of Fair Value
	Book value	Fair value	Book value	Fair value	
	JD	JD	JD	JD	
Financial Assets of Non-specified Fair Value					
Term deposits, call accounts and certificate of deposits at the Central Bank	172,500,000	172,646,479	303,200,000	303,373,603	Level 2
Current accounts, and balances at Banks and Financial Institutions	386,026,126	386,391,285	221,356,432	221,576,199	Level 2
Direct credit facilities at amortized costs	4,244,911,424	4,250,588,835	3,991,118,781	3,997,546,728	Level 2
Other financial assets at amortized costs	1,633,814,826	1,654,472,456	1,325,766,644	1,339,871,884	Level 2
Total Financial Assets of Non-specified Fair Value	6,437,252,376	6,464,099,055	5,841,441,857	5,862,368,414	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	311,250,220	312,020,823	337,850,140	338,859,787	Level 2
Customers' deposits	5,651,353,018	5,708,140,738	5,186,344,444	5,224,671,507	Level 2
Cash margin	329,660,434	330,258,548	257,368,027	257,570,975	Level 2
Borrowed funds	190,406,392	190,875,472	141,707,946	142,050,271	Level 2
Subordinated loans	60,295,000	61,429,028	46,115,000	46,665,807	
Total Financial Liabilities of Non-specified Fair Value	6,542,965,064	6,602,724,609	5,969,385,557	6,009,818,347	

The fair value of the financial assets and liabilities for level 2 was determined in accordance with agreed pricing models, which reflect the credit risk of the parties dealt with.

52. Subsequent Events

Subsequent to the date of the financial statements, the Bank's Board of Directors has approved to enter into discussions with Jordan Kuwait Bank to evaluate the idea of merging the two banks and take measures regarding technical, financial and legal studies in a timely manner. This matter is still in the preliminary discussion stage.

Network of branches, subsidiaries and exchange offices operating in the Hashemite Kingdom of Jordan

Branches in Amman:

Head Office
Al-Shmeisani - Abdul Rahim Al-Waqd Street

Shmeisani Branch
Abdul Rahim Al-Waqd Street

Jabal Amman Branch
Abu Firas Al-Hamdani Street

Dabouq Branch
Jum'ah Al-Shibli Street, Building No. (6)

Gardens Branch
Wasfi Al-Tal Street - Al-Barakah Commercial Complex

Sweifieh Branch
Ali Nasouh Al-Taher Street - Aadil Hajarat Complex

Mecca Street Branch
Mecca Street - Nasim Al-Dada Complex

Jubaiha Branch
Yajooz Street - Al-Manhal Signal

City Mall Branch
City Mall - King Abdullah II Street

Yasmeen District Branch
Al-Badia Street - Asmaa Complex

Marj Al-Hamam Branch
National Team Street - Al-Nahar Commercial Complex - Duwar Al-Dallah

Downtown Branch
Imam Al-Ridha Street

Wehdat Branch
Abbad Bin Bashir Street - Abu Abdo Commercial Complex

North Marka Branch
King Abdullah I Street - Duwar Al-Tayyara

Taj Mall Branch
Abdoun - Taj Mall - Saad Abdo Shamout Street

Abdoun Branch
Salman Al-Qudat Street - Opposite Crumz

North Abdoun Branch
Ali Said Al-Kurdi Street - Al-Fayez Commercial Complex

Um Udayna Branch
Shat Al-Arab Street

Jow Park Branch
Sweifieh - Princess Taghreed Street

Jabal Al-Hussein Branch
Jamal Al-Din Al-Afghani Street - Opposite C-Town

Rainbow Branch
Jabal Amman - Rainbow Street

Bayader Branch
Jamal Qitookah Street - Al-Amani Complex

Rabiya Branch
Sicilian Street

Khalda Branch
Wasfi Al-Tal Street - Sons of the Late Nicola Jreisat Complex

Sahab Branch
King Abdullah II Industrial City - Sahab - Banking Area

Tafrabour Branch
Thamannah Bin Al-Yamani Street - Near Carrefour

Hashmi North Branch
Al-Bat'ha Street - Near Tufah Bakery

Rashid District Branch
Aakif Al-Fayez Street - Al-Siddiq Neighborhood - Near Umaymah Residence

Sweileh Branch
Princess Rayeet Bint Al-Hussein Street / Al-Majdalani Complex

Boulevard Branch
Al-Abdali New Project - Boulevard

Maqabaleen Branch
Al-Iza'a and Al-Television Street - Opposite Wholesale Markets

Abu Alanda Branch
Circular Road / Al-Nahar Mall

King Hussein Business Complex Branch
Medical City Street - King Hussein Business Complex

Sports City Branch
Martyr Street - Near Total Gas Station

Shafa Badran Branch
Amman - Next to Al-Lujam Hotel - Near Applied Science University

Sweileh Village Mall Branch
Sweifieh - Sweifieh Village Mall

New Dabouq Branch - Helda Complex
Dabouq - Intersection of Al-Iqram and Saleh Al-Naimat Streets

Lweibdeh Branch
Lweibdeh - Paris Circle

Mecca Mall Branch
Mecca Street - Mecca Mall

Nakhil District Branch
Marj Al-Hamam - Nakhil District - National Team Street

Central Vegetable Market Branch
Ras Rabta - Central Vegetable Market Area

Mobile Office for Shmeisani Branch
Shmeisani - Abdul Rahim Al-Waqd Street

Branches in Other Governorates:

Madaba Branch
Western Amman Road - Al-Yarmouk Street

Zarqa Branch
Happiness Street

New Zarqa Branch
Mecca Street - Al-Kurdi Plaza

Zarqa Free Zone Branch
Main entrance to the Zarqa Free Zone

Ramtha Branch
Al-Sham Line Street

Irbid Branch
Al-Husn Street

Al-Hosn Branch
King Talal Street

Jerash Branch
Amman Gate - Near the second traffic signal

Aqaba Branch
Happiness Street

Fountain Mall Branch
Aqaba - Economic Zone - Fountain Mall

Amman/Irbid Complex Branch
New Amman Complex Street - Al-Saidawi Building

Mafraq Branch
Jarash Street - Opposite Northern Bounty Company

Salt Branch
Salt - Entrance to Salt City - Dabbabneh Complex

Karak Branch
Karak - Entrance to Karak Governorate - Al-Thania Area - Madanat Complex

Irbid - Yarmouk University Street Branch
Irbid - Yarmouk University Street - Opposite the Economics College Gate - Namir Bader Complex

Bab Al-Madina Mall Zarqa Branch
Zarqa - Army Street

North Mountain - Russeifa Branch
Russeifa - Yajooz Street

Ajloun Branch
Ajloun - King Hussein Street

Fuheis Branch
Fuheis - Right side of Shaker Circle

Currency Exchange Unit:

Central Currency Exchange Unit
Amman - Shmeisani - Abdul Rahim Al-Waqd Street

Al-Abdali Boulevard

Bonded Warehouses:

Bonded Warehouses
Amman Industrial City - Sahab

Subsidiaries:

Al-Etihad Financial Brokerage
Shmeisani - Housing Bank Complex

Al-Etihad Leasing Company
Mecca Street - Al-Ghaith Complex

Al-Etihad Islamic Investment Company
Shmeisani - Abdul Rahim Al-Waqd Street

Al-Etihad Financial Technology Company
Medical City Street - King Hussein Business Complex

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